Cholamandalam Investment and Finance Company Ltd. (CHOLAFIN)

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"Cholamandalam Investment and Finance Company
Limited Q 2 FY '24 Earnings Conference Call "

November 03, 2023

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MODERATOR : MR. NISCHINT CHAWATHE – KOTAK SECURITIES
LIMITED

Moderator : Ladies and gentlemen, thank you for patiently waiting. Good day, and welcome to Cholamandalam Investment and Finance Company Limited Q 2 FY '24 Conference Call hosted by Kotak Securities.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal the operator by pressing star and then zero on your touchtone phone.

I will now hand the conference over to Mr. Nischint from Kotak Securities. Thank you, and over to you, Mr. Nischint.

Nischint Chawathe: Good morning , and sorry for the technical glitch . Just continuing , we are discussing the 2Q FY '24 performance of Chola .

We have with us Mr . Vellayan Subbiah – Chairman and Non -Executive Director; Mr. Ravindra Kundu – Executive Director; and Mr. Arul Selvan – President and CFO .

I would now like to hand over the call to Vellayan for his opening comments .

Vellayan Subbiah: Nischint, thank s so much, and sorry for the delay . We will go through the key financial results for the quarter and half year .

Disbursements for the quarter was Rs.21,542 crores , which is up by 47%, and for the half year it's up by Rs.41,557 crores which is up by 49%. Total AUM stood at Rs.1,33,775 crores, which is up by 46% year-on-year. And net income for the quarter was at Rs.2,367 crores , which is up 39% year-on-year, and for the half year it's up by Rs.4,493 crores, which is up by 35% year-on-year.

The PAT for the quarter was at Rs.762 crores , which is up by 35% , and for the half year it's at Rs.1,489 crores , which is up by 32% year-on-year.

So, just the Board of Directors of CIFCL approve d the unaudited financial results for the quarter and half year .

Just some quick highlights :

Both disbursements and AUM were robust in Q2 due to all around growth in demand .

We are seeing a pickup in replacement demand from end user segments in the auto sector , and that supported the growth for vehicle finance . The Loan Against Property business witnessed a healthy revival due to growth in demand from the SME segment , and Home Loans continue to register above average growth due to revival in earnings of self -employed non-professionals .

The new segments ,SME, CSEL , and SBPL also continue to register growth , though on a smaller base.In Q2, CIFCL launched a composite QIP issue of equity shares (Rs. 2,000 crores at a price of 1,180 per share) and Compulsory Convertible Debentures (Rs. 2,000 cror es at a face value of Rs. 1 lakh) overall aggregating to Rs.4,000 cror es. The funds from the investors were received in the first week of October '23, and the allotment has been completed on 5th October 2023.
Some quick performance highlights :
The aggregate disbursements in Q2 we just talked about is basically Rs.21,542 as against Rs.14,623 in the same quarter, which is a growth of 47%. Vehicle finance disbursements were Rs.11,731 in Q2 as against Rs.8502 crores in Q2 of FY '23 which is a growth of 38% .
Loan Against Property disbursed Rs.3,192 crores in Q2 FY '24 as against Rs.2,246 crores in the comparable quarter of last year which is a growth of 42% .
Home Loans (Affordable Home Loan and Affordable LAP) disbursed Rs.1,575 crores in Q2 FY '24 as against Rs.743 crores in Q2 FY '23 which is a growth of 112% , and obviously the percentages is normally high because of the smaller base.
SME disbursed Rs.1,945 crores registering a 32% growth over Rs.1,473 crores in Q2 FY ‘23.
CSEL disbursed Rs.2,853 crores as against Rs.1,579 , which is a growth of 81%. And SBPL disbursed Rs.246 crores for the quarter .
AUM stood at Rs.1,

33,775 crores compared to Rs.91,841, which is a growth of 46%.
So, the PBT growth in Q2 was at 35% and for H1 was at 31%. And the PBT ROA was at 3.2 % for the quarter and for the half year was at 3.3% . ROE for the half was at 19.8% as against 18.3% in the previous year.
The Company continues to hold a strong liquidity position with Rs.11,034 crores as cash balance at the end of September 2023 including Rs.1,500 crores each invested in G SEC / T bills , which is show under investment , with a total liquidity position of Rs.13,569 crores including undrawn sanction lines . The ALM is comfortable with no negative cumulative mismatches across all time bucket s.
Consolidated PBT was at Rs.1,065 crores as against Rs.762 crores , which is a growth of 40%.
In terms of asset quality , Stage 3 was reduced to 2.96 % as of September '23, from 3.06 % as of June '23.
GNPA % as per RBI norms reduced to 4.07% as against 4.3 0% in June '23, and NNPA as per RBI norms has dropped to 2.59% for September as against 2.82 % in June’23. NNPA is below the threshold of 6% prescribed by RBI as the threshold for PCA .

Capital adequacy as of 30th September 2023 was at 16.62% as against the regulatory requirement of 15%. Tier-1 was at 14.66 % and Tier-2 was at 1.96 %. Post the capital raise, capital adequacy is above 20% effective 5th October 2023 .
Nischint, we will stop with that , and we will be happy to turn it over to you for questions .
Nischint Chawathe: Sure. We can start the Q&A.
Moderator: Thank you very much . We will now begin the question -and-answer session . The first question is from the line of Punit from Macquarie . Please go ahead.
Suresh Ganpati: Hi, Vellayan. This is Suresh Ganpati from Macquarie. Let's address the elephant in the room, which is the new business loans NPL s, Vellayan, because it's gone up from 28 crores last year, last quarter from that level to 190 crores. I know there is a base effect here , but if I were to look at this number on a lagged AUM basis , it's 4% , Vellayan , it is a stupendous increas e. Are you guys not worried about this pace of increase in this segment ?
Vellayan Subbiah: Yes. So, two things , Suresh. Obviously just to give you a sense , there are two things happening here. One is the reporting format has changed , right ? Because what used to get logged as FLDG and how we have logged kind of that's before . So, Arul, why don't you explain kind of on the ?
Arul Selvan: See, the NPA s are increasing in the CSEL a little bit , but still, they are very much well within the industry norms . We have always said in the earlier quarters , the NPA s were much lower , were even lower than our secure d businesses . So, that's where it will increase , but in the overall scheme of things , these N PAs are much lower , and we have already provided more than 70% for this , and the net NP As are really much lower . So, we will continue to watch this portfolio and do this .
Suresh Ganpati: But Arul, this number is 66% of Q -o-Q, 4% on a lagged AUM basis . Are you still telling it is in line with your expectations ? Because it really looks like going a little bit out of proportion .
Arul Selvan: No, it is within our expectations and within our plan numbers .
Suresh Ganpati: So, you feel these numbers have peaked or they will further go up from current level ?

Arul Selvan: It may not go up . We are doing certain corrective actions with regard to the two segments as you know, Suresh. One is the fintech partnerships , and then we have the traditional line . So, in the traditional line , we are very much within control , and that is around 0.82%.
Vellayan Subbiah: Yes. So, Suresh, that's the way we should look at it , right ? We should kind of break it down into two lines , right ?
Arul Se

lvan: And the partnerships as well .

Vellayan Subbiah: Yes. The traditional line , we are at 0.82% in terms of Stage 3 grow th assets . In the partnerships , the partnerships have gone up .
Arul Selvan: And the proportion of the book is the traditional line is three -fourth of the book and the partnership is one-fourth of the book . On an 8,000 -crores book , we have 6,600 crores in the the traditional line , which is having a NP A of around 0.82%, and in the partnership which is the 2,200 crores, we have a NP A of around 4.7 %.
Vellayan Subbiah: Suresh, your point on how we are going to react and how we are going to manage this, obviously , we are concerned on the partnership side . And obviously , we will kind of be more cautious on the partnership side , which is what has run up. The partnerships at 4.7 % is the highest stage three that we have in the overall book , and therefore , we will be cautious on that and how we manage including growth on that . But on our regular , which is like Arul said, which is three quarters of our book , on our regular we are seeing a 0.8%. So, even on a lagged AUM basis , on the regular it's okay , but the partnership is what is of concern .
Suresh Ganpati: But partnership is protected by FLDG .
Vellayan Subbiah: Correct . Partnership is currently protected by FLDG , but it's still of concern .
Suresh Ganpati: But it is protected by FLDG only to the extent of 5% , right ?
Arul Selvan: No.
Vellayan Subbiah: No.
Arul Selvan: FLDG will be at 5% as per the regulatory norms , but we will also have a certain hold on them with regard to continuing or extending businesses and service cost etc.
Vellayan Subbiah: So, Suresh, you are right in that the partnership business is what we are being cautious about , and we will continue to be very cautious about that business .
Suresh Ganpati: Sorry , last question on early vintage delinquencies . The recent CIBIL report talks about the fact that the early vintage delinquencies , that is delinquencies within three months or six months of disbursing of a loan really shot up in certain small ticket loans . Are you seeing that kind of a trend because the early vintage delinquencies is one of the lead indicators of the stress forming in the portfolio ? Have you seen that happening in your new business norms within three or six months by default ?
Ravindra Kundu : Suresh, the early default and nonstarter s are under control , and this kind of delinquency in the fintech business is there from the beginning itself . Earlier the FLDG accounting was different . Therefore , that was not coming up , and therefore , that is not a concern for us , and early default and nonstarters are under normal.

Moderator: Thank you. The next question is from the line of Avinash Singh from Emkay Global . Please go ahead.
Avinash Singh: Two questions . First one again continues on that , your FLDG arrangement with the partners . So, technically , I mean, from accounting perspective , as asset quality develops depending upon the stage three , different stage developments , you will provide the credit cost and whatsoever F LDG recovery , that will come into your other income line . So, is my understanding correct there ? That's number one .
Arul Selvan : Yes, you are right .
Avinash Singh: And second one is more , if you can provide some color on the yield development , not from the external factors because , of course , externally , it all depends how the interest rate are going to behave . But based on your loan product mix, growth across different channels at a different stage a bit of a product mix change that will happen over the next three , four quarters . Of

course ,
housing typically will be slightly lower yield. Within vehicle s also, the growth outlook would be different . How are you seeing sort of your yield movement due to product mix chang ing or setting up over the next three , four quarters ?
Ravindra Kundu : See, if you see that quarter two of the last year was 13.6 % in terms of total income and that has gone up to 14.3% now . So, this income has not increased in the line of the increase in the cost

of fund . That's the reason there is a drop in the NIM from 7.6% to 7.4 %. That is correct .
But what is happening is that in vehicle finance , we are having a marginal book yield significantly higher than the book yield of say 14.3% , maybe 15.3% . We are now acquiring the book , but the effect of the 15.3% comes with a la g, and that will start showing up after two to three quarters . So, by the end of this quarter , we will start hitting the number that used to be in the past in terms of the NIM because the income has to go up to the extent of the cost of fund going up .
Now coming to the product mix , the product mix is three type s of the product mix . Within the Company , we have a product mix-up of say Vehicle Finance , LAP and other product s. So, there are two type of product which we are doing it . One is fix ed rate and the floating rate s. All the floating rates book which is pertaining to Loan Against Property or housing loan or S ME have already been increased to the extent of what is required to be done .
Now within Vehicle Finance , product mix is depending on the used and new , and now our used business has gone up to say 33% as against the 25% of the mix which used to do it in the past . So, that is going to increase the overall yield of the book of Vehicle Finance , which is at the end it will increase the total income book of Company , and it will take another two quarters .
Moderator: Thank you very much . The next question is from the line of Ashwani Kumar Agarwalla from Edelweiss Mutual Fund . Please go ahead.

Ashwani K . Agarwalla: Sir, just two questions here . How do you see the growth in the Vehicle Finance industry , especially in tractors , HCV and LCV , because we have seen very good traction in the last three , four years ? And don't you think we are at the peak of the cycle for all these segments even your disbursement has gone down , has slowed down ?
Ravindra Kundu : So, in tractor , if you see that in Q1 was like (-2%) growth and then Q2 has come with -6% growth , and so as of now in tractor , half yearly , we are (-4%) growth , and in the month of October also , we have seen that tractor is actually declined by 4% further . So, now we are hoping that November onwards only things will improve , but whatever it improves , it cannot go beyond say 3 % to 4% of the growth in the current year or maybe it will be a flat growth .
Ashwani K . Agarwalla: What about HCV, LCV?
Vellayan Subbiah: So, Heavy Commercial Vehicle now, half year ly, it has reached to the 10% growth . Light commercial vehicles have reached to 3% growth . And in the current month , in the month of October , HCV has done very well . It has gone up 14% plus , and light commercial vehicle also has gone up. So, considering HCV and LCV and small commercial vehicle is still degrowing . In the month of October , it's a flat growth .
So, at industry level for the entire commercial vehicle as on 30th September , it has been 1% plus over the last year at the same time . So, we are hoping that the industry will be having single digit growth , maybe a higher growth up to 7%, at 8% max or between 5 % to 7%, 8%.
Ashwani K . Agarwalla: So, now just one question related to this only. Out of a total AUM, more than 60% is in Vehicle Finance where growth is an issue

. So, we have talked about AUM growth of roughly 25 % to 30%, more than 30% . So, how is that possible with the growth slowdown in the main segment ?
Ravindra Kundu : So, Vehicle Finance , if you see that the commercial vehicle grew by 1% . We grew by 6%. Our total disbursement has grown in commercial vehicle by 15% . So, a little bit market share growth of 5% plus market growth plus the ticket size growth is giving us 15% growth in new segment . But the major growth is coming from used vehicles , as I mentioned , that we are growing our disbursement mix has gone up to 34%. And there are other products like two -whee ler, three - wheeler and cars and MUV . So, put together , we have grown 35% with the help of those products .
Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal . Please go ahead.
Abhijit Tibrewal: Sir, again , just briefly touching upon these newer businesses and the CSEL segment , you have already explained that a large part of it is coming from partnerships . So, somewhere during your commentary , you also said that you are taking some corrective actions . So, just wanted to understand have you made any changes in our approach or strategy in the CSEL segment ?

Ravindra Kundu: Abhijit, the large part of the business of CSEL is actually coming from the traditional , which is 78%, and 22% is only the partnership . And partnership , as we mentioned even in the last quarter call also, that we are not adding any new partn ers as of now. We are continu ing to do it , and we are also helping the partners to correct their filter so that the NCL can go down further , although it is being protected by the F LDG.

Vellayan Subbiah: Now , Abhijit, were you saying a large part of the issue was coming from partnerships or the large part of the portfolio is coming from partnerships ?
Abhijit Tibrewal: Large part of the issue coming from partnerships ?
Vellayan Subbiah: You're right . So, you are right . Okay . So, now what is your question around that, Abhijit?
Abhijit Tibrewal: So, sir, you were saying that you are already taking corrective actions in the C SEL segment . So, I wanted to understand , I mean, how have we changed our approach or strategy in this segment ?
Vellayan Subbiah: So, there are two things like Ravi said . We are slowing down that segment , right , the partnership segment significantly . And we are also going to constantly evaluate which partners we continue to have in our portfolio , and then basically , obviously , if we are not seeing good performance on the loans , whether we should continue in those partnerships . Those are the two things , slowing down and reducing the number over time.
Abhijit Tibrewal: Sir, my last question is , maybe two parts of the question . First is for Ravi sir. Sir, how has the festive Dussehra demand be en? And the second one is for Arul sir. How are we thinking about the provisioning cover on stage 3 loans going ahead?
Ravindra Kundu: This Dussehra last month we celebrated has been good for the commercial vehicle , passenger vehicle , three -wheeler , and construction equipment . The two -wheeler and tractor were actually not done well . Tractor and two-wheeler likely to improve from November month . And for the second half, we are expecting better growth in commercial vehicles as we have seen that there was only 1% growth in first half. As against that , the second half will be double -digit growth , which will help the commercial vehicle to reach between 5 % to 8% as I mentioned . Passenger vehicles are growing at the rate of 7% , and the growth in the October month is also good , which is going to support to take passenger vehicle growth to double digit . So, that is the growth .
And as I mentioned tha

t when you gain little bit more market share in the case of commercial vehicle and passenger vehicle what we have achieved now , like, for example , now we are up by 20, 30 basis point in terms of market share in commercial vehicle and passenger vehicle , our disbursement growth is coming to 20% , and the additional growth which is coming up to take the overall growth to 35% is being met by the two-wheeler , used vehicle ,three -wheeler and construction equipment . And so, what is your second question ?
Arul Selvan : It is on the provision coverage.

Arul Selvan: So, provision coverage , as you would have seen , Abhijit, that has been improving , and we are now at around 47% . My view, it will hover between 45 % to 50% as we move forward in the next few quarters . It will depend on the PD , LGDs and the product mix.
Moderator: Thank you. The next question is from the line of Prashanth Sridhar from SBI Mutual Funds . Please go ahead.
Prashanth Sridhar: So, the yield in these new businesses seems to have gone up significantly from 22 % to around 27%. One, if you can explain this ? And now that you are being conservative , should we expect this to go down ?
Ravindra Kundu: No, see, so what we are saying is that in the case of the partnership , which is 1.5% of the total portfolio , we are actually evaluating the partner where NPA s are higher . So, in spite of we are basically protected , we are guiding them to ensure that their filters are tight. So, not that 1.5% disbursement will go down and it will impact the overall yield.
Vellayan Subbiah: No, but I think his point is the yield is going up. He is saying the yield is going up in those businesses . How much say the yield moved up? So, is your concern that the overall yield will come down if we slow down the partnership business or you are saying that the yield in the partnership business has gone up ?
Prashanth Sridhar: No. So, I am saying that the total yield in the other businesses seems to be increasing , and now that you plan to be conservative , where should we sort of expect the average yield in this business to stand up?
Vellayan Subbiah: Again , right . I think you are over indexing on the fact that , see, like we are saying , our total partnership portfolio is at Rs.2,000 crores . Okay . That's Rs.2,000 Cr on an AUM of Rs.133,000 , which is about 1.5%. So, definitely kind of us slowing down in that business is not going to affect overall yields or swing overall yields at all . Right ? So, I think if that's your question , then that is the response . That's the answer.
Prashanth Sridhar: So, the yield on the other business you would expect at around 25 %, 26% on average . Is that fair?
Vellayan Subbiah: No, I am just confused where you are getting your yield data from ? Because we have not shown any yield .
Arul Selvan : Income at the Company level is around 14.3% and which is increased from 14.2 % in the previous quarter , that's Q1.
Ravindra Kundu : And that will go up only vehicle finance mix.
Arul Selvan : It will go up , Yes, only because of change in vehicle finance mix .

Prashanth Sridhar: Now maybe if you can just help us , so in the other businesses , how would the yield have moved in the last two or three quarters ?
Arul Selvan: The other businesses we have not yet started disclosing the yield and the line items . As we said , we will disclose from next financial year.
Vellayan Subbiah: That's directionally we can tell .
Ravindra Kundu: No, here actually the page number , if you go to the loan against property page number , the yield is given , 11.7% to 12 .7%. So, there is a increase in 100 basis points.
Vellayan Subbiah: You are ask

ing for new businesses or what are you asking ?
Prashanth Sridhar: Right . New businesses .
Arul S elvan : So, the new businesses are a mix of two different one certain high yield businesses like C SEL and SBPL , high yield but low volume . SME, high volume but low yield. So, it's a mix , and it will all come to the similar levels of around 14% if you consider it . We will start disclosing this from next financial year . I think till that time independently , each business is , we are not disclosing .
Prashanth Sridhar: So, the way we arrived at it is, so you have given the gross income on Vehicle , LAP and Home Loan, and we have the total . So, I am just taking the balance as others and then taking it as a percentage .
Arul Selvan: See, this is the same mistake even last time somebody did with regard to the provision .
Prashanth Sridhar: Credit cost.
Arul Selvan: There is also a treasury income there . So, don't assume that all of the rest of the income is only from the new businesses . Treasury , we have a transfer price model . Anything beyond the transfer price is considered as treasur y income. So, I think kindly wait for us to disclose the details before getting trying to get this arrived at .
Prashanth Sridhar: And out of the 13 , 8 I think is C SEL. How was the NPA on the remaining business ? Anything over there for us to worry about ?
Arul Selvan: Actually , SBPL volume is so small . It's around 0.15% or something . SME is 1% and SBPL is 0.2%.
Moderator: Thank you. The next question is from the line of Abhinav Anchal from SBI Life. Please go ahead.

Abhinav Anchal: I have two questions . One, when we are showing the segmental information , we are seeing a decline of 20 to 25 basis point in cost of fund across the three lines , but the Company level , the cost of funds are flat. So, can you help us understand what is happening when we are showing the segmental cost of fund?
And the second part is that we are seeing a very strong traction on the used vehicle side , almost 10% sequential growth in disbursement . So, can you give us some color on the used vehicle category that which class of vehicles we are financing ? What is the vintage of vehicle we are financing ? And what is the outlook here for , let's say , the next couple of years ?
Arul Selvan: Just the first point I will answer , and I will request R avi to give you the second point . First point is the pricing to the individual businesses goes based on a transfer price which is declared at the beginning of the month . So, the transfer price we will be giving based on what is the treasur y's assumption in the market . So, that is the transfer price , and between that and what is really incur red, there will be some differences , which goes into the treasury P&L as well as the other investments.
So, whenever we have surplus funds because we are holding cash for LCR purpose etc ., those things are investment income that comes into the treasury income . So, these are the ones which get into treasury income . So, that transfer price from that is the cost of funds what you seeing in the segmental is bas is that transfer pricing . So, that will be differen ce. So, overall cost of funds reported for the Company is the actual cost of funds incurred by the Company . I will request Ravi now to answer the used vehicle's part.
Ravindra Kundu: Used vehicle we mentioned in the past that we will be focusing on that, and this year is a market of the used vehicle because last year new vehicle purchased went up , and then now people are selling their vehicle , and then the replacement demand will pick up, and that will help the industry to basically see new vehicle also getting sold.
So, the use d vehicle is coming from HCV , LCV predominantly

, then followed by passenger car
and then used tractor and used construction equipment . All put together it is 34% of the total

disbursement close to say 1 ,400 crores , and these businesses are going to go up only, and the growth momentum is very good , and it is going to be maintained in this way .
Now we have always clarified that we have been doing the business of used only for the vehicle which are less than 10 years . The major vehicle which are coming to us for buy and sell or refinance are 5 to 10 years old vehicle .
Moderator: Thank you. The next question is from the line of Shweta Daptardar from Elara Capital . Please go ahead.
Shweta Daptardar: I just have one question . So, this quarter we saw credit costs around 1.3% , and given the fact that there has been additions to NPA from the new business segment , you also mentioned we raised the PCR there . What is the normalized credit cost for the overall book going forward ?

Arul Selvan: We had already indicated that in earlier calls that over the cycle we would be in the range of around 1%. So, maybe this year we may land up slightly higher at around 1.1 % or 1.2% , but we expect in Q3 , Q4 good traction on the vehicle finance and other portfolios to reduce this percentage . And CSEL should be in the range of around 1 % to 1.2% this year.
Shweta Daptardar: And just one question , I just want to confirm . So, did you mention C V volume growth to be 8% for the full year FY '24?
Vellayan Subbiah: What volume growth ?
Shweta Daptardar: CV volume growth . What is that 8% growth in CV for full year FY '24?
Ravindra Kundu: That is the industry . We have mentioned that industry is likely to grow in single digit because as of now , growth is 1% . So, it will improve over the period in the second half, and it will go between 5 % to 8% is our expectation .
Shweta Daptardar: So, that's for volume growth , right, for the full year ? The industry volume growth ?
Ravindra Kundu : Yes.
Ravindra Kundu: Industry number grow th.
Moderator: Thank you. The next question is from the line of Saptarshi Chatterjee from Groww AMC . Please go ahead.
Saptarshi Chatterjee: Sir, if you can give some ballpark indication what would be ROTA for the new businesses ? And if someone , like if we assume that like ROTA as you have said earlier that the ROTA for the new business is higher than the Company level ROTA , then if I see pre -COVID also, pre-COVID we are making around between 3.1 % to 3.5 %, 3.6% ROTA .
So, now if we see after like new businesses have now around 11% of our AUM still lower , but we have achieved some bit of diversification , but our ROTA has not improved much , and going forward like one can expect only credit cost to move up from here as the book matures . So, I wanted to know your perspective like whether the structural ROTA improves as we grow our new businesses, or it will be remain in the similar line?
Arul Selvan : So, the comparison between COVID period and now , there are two important elements . The cost of funds was very low , and we had also passed on some benefits on the yield , especially with regard to the Vehicle Finance book we spoke about it where we cannot correct the yield on the fixed rate book . So, that correction will happen . So, that is going to be NIM accretive, and therefore , ROTA accretive.
Our expectations are we have sort of bottomed out on the on the cost of f unds. So, here onward , there should be a reduction in the cost of funds. So, that should also be NIM accretive. I am not

wanting you to build too much expectations on that, but this could be in the range of around 5 to 10 basis points from each of them contribu

ting .
The credit cost will come lower . If you again go back to pre-COVID, you will always see Q1 and Q2 are the quarters , especially in Vehicle Finance , where you will see higher credit costs because these are months where activity levels are much lower , especially for vehicle operators , and they tend to have better earnings in Q3 and Q4 where we will have better traction in collecting overdues as well as regular EMIs. So, that's where I am giving when I spoke on the earlier question also, it is from current 1.3% , it will come down to 1.2 % or 1.1% is the overall credit cost we are expecting .
So, we are confident of keeping the ROTA at around 3 % to 3.5% , which is what we always say that we are endeavoring to reach out , and we are confident that this year also we will reach 3.5%.
Saptarshi Chatterjee: And any ballpark like indication that you can give on the new business ROTA ?
Arul Selvan : No, I told again in the earlier questions that the new businesses breakup , we will start disclosing from next year . So, we will do that . Kindly wait.
Saptarshi Chatterjee: Understood , but still like even if those are higher , but we still remain around 3 % to 3.5% ROTA.

Arul Selvan: It's not our indication , sir, it is like there are new businesses which are lower yield or lower ROTA like SME businesses , and there are other businesses . So, we will have to wait and watch.
Ravindra Kundu: The SME business is lower than the overall Company ROTA, and it is going to be like that only , and our CSEL business and SBPL businesses will be much higher than the Company ROT A what we are delivering as of now, but it will take time because we need to leverage . We have invested in that in terms of people , and once the A UM goes up , then we start gaining that kind of ROTA, and it will take another 6 months to one year time.
Saptarshi Chatterjee: And just one clarification . This quarter we are seeing that the employee cost growth has been Q -on-Q very high even on Y-on-Y basis . Any one-off in this?
Arul Selvan: We moved a lot of people who were under an off -roll arrangement into our own employee cost . So, you will see some red uction in other costs and employee costs going up . If you compare both together and consider the increase in AUM as well as normally the increments and promotions happen in Q2 . So, there will always be some increase on account of that . Factoring in all that , that's what is the reason for this variance . Over the next two quarters , you will see this difference between employee cost and other cost.
Moderator: Thank you. The next question is from the line of Bhavesh Kanani from ASK Investment Managers . Please go ahead.

Bhavesh Kanani: Going back to the f intech partnership where we are looking to take corrective actions , just wanted to understand the manner in which the entire arrangement is structured . That is, I am sure we would be giving them certain filters of the kind of loans we want to source through them , and on top of that , they would be doing their own evaluation . How does it work really in terms of exact or specific aspects of the arrangement when it comes to underwriting aspect with partnership model ?
Ravindra Kundu: All the fintech partners who actually start proposing the norm , then it actually goes through our underwriting team and also our Risk Head evaluates the same . Then we approve a filter which is acceptable to us . Then after getting the early default and non-starter , we start recommending to basically tighten the credit so that further the early default non-starter can come down , and that is what we mention that wherever there is a slight increase in the NPA , we are trying to basically reduce it by increasing more filter .
And that is the

continuous process because one is that the in the partnership , they come with the FLDG, but secondly , we have to also ensure that we should not depend on only FLDG , but our NPA s are lower . So, our endeavor is to basically provide data analytics and risk department services to them to ensure that they end up sourcing good quality proposals . That is one side . Second is that we also review their collection mechanism , like, for example , what is current roll forward , and then what is the rol l forward in the subsequent bucket. We identified that their current , their entire focus of these f intech partnerships in the current only . They are able to basically do much lower roll forward or higher collection efficiency in the current , but when it comes to the roll forward from the bucket one to higher bucket , they are not able to put that kind of effort . So, we are helping them to increase the collection efficiency in higher buckets so that the NCL can come down . So, that is also the services we are providing as a guidance to them .
Bhavesh Kanani: And you shared that the GNPA levels for the fintech book is about 4.7%, and we are still considering that is within the original expected levels . At what level would you kind of reconsider this entire fintech as a root of origination ? What level of NPA would trigger that kind of reevaluation ?
Vellayan Subbiah: No, I think we have already discussed that we are basically obviously , we are evaluating and slowing down . So, kind of obviously , even at this level of people continue . We won't be basically growing Partnerships that are basically contributing to NPA at these levels .
Moderator: Thank you. The next question is from the line of Kaitav Shah from Anand Rathi. Please go ahead.
Kaitav Shah: Mr. Vellayan, this question is to you. Essentially , since you are the largest shareholder , do you see this business in terms of risk given that we are hearing a lot about smaller ticket size loans turning ba d? Do you think that you will be easing off sometime in terms of growth or you are comfortable in terms of the data that you are seeing coming from your own Company ?

Vellayan Subbiah: Are you talking about partnership loans ? Are you talking about the overall ?
Kaitav Shah: No, sir, just general .
Kaitav Shah : Overall , not the partnership loans.
Vellayan Subbiah: But overall , maybe I am trying to understand the question , because obviously , overall our book

does not have a lot of small ticket personal loans , right . And overall, our book is 60% focused on vehicle , and we got 20% on loan against property . So, I am just trying to understand , overall , over 90% plus , our portfolio is secured lending , right . So, I am just trying to understand the nature of the question .

Kaitav Shah: So, the nature of the question is in the fact that is the problem kind of just isolated to partnerships and the other business aspects are doing fantastically well ? Do you see this kind of continue ? Are you also looking at risk now more closely than , let's say , a year ago is kind of across the other businesses as well?

Vellayan Subbiah: So, I mean, obviously , we have and continue to monitor risk in all of our businesses , and I don't think anything changes there . And you know , I would say that we have fairly matured and well-developed systems that we continuously improve on. So, we are continuously working on what we can do for vehicles , what we can do for LAP, what we can do for housing loans to improve credit models , underwriting models' collection models , all of that , right . And so that process continues , and our analytics capability , and that only gets me more and more confident overall about the business for us going forwar

d .

I think the specific question , and I understand that there have been questions , quite a few questions relating to our partnerships business . We are obviously kind of looking at that and looking at what kind of corrective action we want to drive in that business , but overall, I would say that my confidence level is very high because we see good growth from the other sectors , good performance , and significant , I would say, even medium to long -term growth opportunities in those segments .

Moderator: Thank you. The next question is from the line of Umang Sha h from Kotak Mutual Fund . Please go ahead.

Umang Shah: Just one question from my end . Now in the past also , the management has discussed , right , some of these new businesses will take some time to stabilize , and by nature itself , they might have slightly higher NPL s on the face of it . But my question is that , should we assume that on a long -term basis the headline NPA and the credit cost number might look a little elevated , although we might be able to deliver the kind of ROA s and ROE s that we are looking at the overall consol level ? Is that the right understanding ?

Arul Selvan: See, that is the whole point of the diversification , right , Umang, because we will have books which will run at much lower credit cost , and we will have some book which will run at a slightly

elevated credit cost . And they will also change the quantum on the percentages over cycle , and the well diversified book helps us to manage this and keep it within the target as I was telling you earlier in the 1 % to 1.2% range . I think we still hold that , and we are confident that we should not cross that .

Vellayan Subbiah: So, Umang, the answer to your question is no , we don't think it's going to kind of increase out of this range.

Moderator: Thank you. The next question is from the line of Preethi RS from UTI AMC . Please go ahead.

Preethi RS: My question is on the asset quality in Vehicle Finance . If you look at the provisions , it is trending at around 1.6% for the first half which is higher compared to pre-COVID trends , and even the gross stage 3 on absolute basis is higher by 17% compared to March '23. And if you do some back calculation , it suggests we have written off Rs.400 crores on an overall portfolio basis . So, which segments within Vehicle Finance are contributing to new slippages?

Ravindra Kundu: See, Vehicle Finance , first of all , from June to September end, if you see that , our NPA s are flat . It is 3.35% to 3.32 %. In absolute value , it has gone up by Rs.100 crores , but provision has gone up by almost Rs.100 crores . So, that is the additional provisioning we are creating for the higher bucket from this financial year . You would have heard that RBI is talking to every Finance Company to improve the provision coverage . So, we have brought some one particular n orm which is over and above the ECL and that is the reason for the higher NPAs for this .

First quarter and second quarter is always the lean period for the vehicle finance . Especially in September this year , it was fully raining as against the August was dry. So, little bit collection did not happen in the month of September as it was expected which is going to happen in the 3rd quarter. Last year, if you see that , our numbers are much lower from the Q1 to Q1 and Q2 to Q2 and H1 to H1 . And we are expecting that we have closed the number close to 1%, 1.2% and with the help of the Q3, Q4 performance , we will reach to the level .

Preethi RS: So, is it fair to say it's the tractor segment with the vehicle finance?

Ravindra Kundu: No, it is not a tractor segment alone. It is all across segment , across the markets there is no concentration with respect to

geography and the product .

Preethi RS: And could you confirm if t he write -off number is right for the Q2 ? What is the write -off number

for H1?
Ravindra Kundu: H1 write -off number . One second . Just hold on. H1 write -off number s are actually similar to what last year's number .
Ravindra Kundu: Actually , it is lower by 100 crores. Last year it was 500 crores . Now it is 400 crores .
Preethi RS: 400 crores , okay.

Arul Selvan: It is the Company level .
Ravindra Kundu: That is the Company level and even Vehicle Finance also is lower.
Arul Selvan: It is 110 crores. Most of it comes out of H1.
Ravindra Kundu: 110 to 89 crores .
Arul Selvan: Yes.
Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup . Please go ahead.
Kunal Shah: So, the question is on OPEX . So, even if we do this adjustment in terms of outsource agent off-roll, but still at the overall OPEX level , the sequential rise seems to be quite high. So, where do we see OPEX to assets and we see across the segments , not particularly across the cost to assets have actually gone up. So, what would be the outlook on that ? And if you can just s hare the number of employees who have now been on the on -roll because it doesn't seem to include in this 51 ,000-odd employees which we you have ?
Arul Selvan: No, we still keep it at the 3% average asset level . That is what is our stated and we are confident we should be within that as we close the year, this year . This quarter's increase is because of the increments that normally happen in Q2 because all our employees get their annual increments as well as promotions effective from July. So, you have the full hit of that comes . That is one thing , as well as there has been incremental people…
Ravindra Kundu: And all incentives are also accounted for in this quarter.
Kunal Shah: So, ex of employee over head also seems to be high if we adjust for this transfer . Okay . So, no doubt it's a decline , but if we just…
Ravindra Kundu: Yes, there is a disclosure on the number of employees also.
Kunal Shah: So, that includes off -roll now?
Vellayan Subbiah: It's ex of employees . He is saying the other average.
Arul Selvan: Other average is because branch expansion is there and other average has not moved that much . You can see that.
Kunal Shah: And off-roll to on-roll, what would be the?
Arul Selvan: That is what is the reason for the shift between employee cost and other expenses . So, you look at it together and take out the employee cost across three comparative quarters we are doing . Either it is q1 of current year or the Q2 of previous year . You will see that there is a manpower

increase of around 12,000 numbers plus I am talking Q2 of last year versus Q2 of this year plus that increase in head count plus the cost increase because of the annual increments and then if you come back the outsource movement from off-roll to on -roll is the shift in line item, not shift or increase in cost .
Kunal Shah: And this 51,000 doesn't include off -roll which we have disclosed . We have 50 ,980 that doesn't includ e.
Arul Selvan: That includes off -roll.
Kunal Shah: So, it's not more than 2,000 .
Arul Selvan: Yes.
Moderator: Thank you. The next question is from the line of Nides h from Invest ec. Please go ahead.
Nidesh: Just two questions . First is on what is the comfort level of unsecured exposure on AUM basis that we have from a medium to long-term perspective ? And second is , if I look at yields on the housing loan segment , these are quite high at 15% plus . Most of the affordable housing finance companies we track are operating at around 13% yie

ld . So, how should we think about the sustainability of yields and profitability in the Housing Finance business ?
Vellayan Subbiah : So, unsecure d 10% is what we would kind of view our comfort level over the next two years , right , kind of not saying that we will g row there , but if you are asking for a cap, then that is a cap.
Ravindra Kundu : And in the affordable housing , as you know that now we started moving from South to other market , smaller market where tier two, tier three , tier four pricing are slightly higher than the normal and that need to be maintained because to that extent we need to check whether what kind of risk is there . So, we have priced it slightly higher than that in the smaller town , and that's the reason the overall yield has gone up , and also yield has gone up because of the rate reset as

well.
Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA . Please go ahead , sir.
Piran Engineer: I am just referring to your sector outlook on Slide 33. What really makes you cautious on HCV and SCV at this juncture ? Especially for HCV , you mentioned increase in operating cost . So, just wanted to understand that better .
Ravindra Kundu: In heavy commercial vehicle , actually that for us , the problem is that if our cost of fund is high, we don't participate in , and SRTOs are not able to participate because there is a formalization happening in the heavy commercial vehicle business .

That is what we are trying to mention that our exposure as of now is 7% , and we are trading carefully in this segment due to the increase in price and operating cost of the vehicle . Because the cost of vehicle goes up , then our customer segment is not in position to acquire the vehicle and operate that. Because our customers are Small Road Transport Operator s, they don't have the contract of the load , and they need to look for the load , and therefore , the productivity goes down , where in the captive and mix size or a large fleet operator , they have a contract , and therefore , they can manage in spite of the cost of vehicle going up .
Piran Engineer: No, but why do you say operating costs are up ? Because fuel prices have been , which is the largest cost . Fuel and toll are the big costs . I don't know about tolls, but fuel prices have been stable now for more than a year.
Ravindra Kundu : Driver and cleaner cost, maintenance cost, then the insurance cost , all those costs are also going up significantly . Fuel cost is constant , but rest of the cost are also gone up.
Piran Engineer: And just quickly on your other income which used to be like 40 , 50 crores per quarter , now last two quarters it's been tracking more than 100 crores . This time 140 . Can you just give us a sense of what exactly is included in this other income ?
Arul Selvan: This quarter , there is a dividend income into it . We have given that in the notes if you can see that. Normally , the other income should be in the range of around 30 to 35 crores. 40 crores , Yes. Last quarter we had the FLDG coming into this, which was the largest number . This quarter it's not to that extent . It is much lesser , but there is a dividend income coming . This will stabilize into the 40 , 50 crores levels .
Piran Engineer: I would have missed that.
Moderator: Thank you. The next question is from the line of Bhaskar Basu from Jefferies . Please go ahead.
Bhaskar Basu: Just two questions . I think one you partly clarified . So, on these variable commission structure with FinTe chs etc., is the variable fee or commission netted off in the yield level , and so to some extent is that FLDG or quasi FLDG embedded in the yield ? That was number one .
And secondly , if you look at your unsecured portfolio

, which is about Rs.8,000 crores , I think you talked about Rs.2,000 crores being fintech partners . So, as you kind of calibrate your fintech book , what are the steps you are taking ? Do you expect the whole book to slow or are you building or you taking any steps to kind of build your traditional channel so that the growth there continues to sustain ? Yes, these are the two questions .
Arul Selvan: See, there is no variable commission and all. What happens is , the share of yield is differentiated based on the portfolio , based on the FLDG, based on the volumes . So, many factors run into it . So, what is the ultimate yield and what is the share the fintech partner r etains and what is the share they share with us. So, this will change from partnership to partnership , and this cannot be

disclosed as confidentiality with all of them , and we also don't want to disclose these things right now. So, that is what is there over and above the FLDG , which will protect us. Correct ?
Ravindra Kundu: As far as the mix is concern ed, as you mentioned is right , that 75% is basically a traditional book and 25% is partnership book , and in the partnership , as you as ked that what are we doing ? Out of the 10 or 12 partners we have today , there are few partners we have seen that there is a requirement to calibrate their underwriting now to reduce , but at the same time the others are doing well . So those who are doing well , we need not just reduce their number . And probably , they might increase also .
So, what we are saying is that , as of now , we are focusing more on traditional to increase our share of 75% to higher than 75%, but that doesn't mean that the 2,000 number will go down , and 2,000 number is actually going to be maintained as it is , but is coming from the better partner who are having a good quality and lower NCL and lower NPL.
Bhaskar Basu: So, just a clarification there on the first part . What I was referring to is performance related commission where there is a whole structure wherein kind of the commission is linked to

performance of the portfolio . So, I was basically referring to those . I mean, FLDG is very clear , I think .

Arul Selvan: It should be there earlier , but now we don't pursue that part .

Bhaskar Basu: And so FLDG is now reflected in the other income is what I understand , right ?

Arul Selvan: On write -off, it will be reflect ed. Till then, it will be outside the book because we keep providing for the book , and once we know that, like either it crosses 90 days or 180 days or we get a confirmation that this is not collectable , then we invoke the F LDG, and the moment FLDG is received , we show it as income there and show it as write -off here in the N CL line.

Moderator: Thank you. The last question is from Nischint from Kotak Securities . Please go ahead.

Nischint Chawathe: My question actually pertains to the release that you have done to the exchanges on the family arrangement . Now without getting into the specifics , because it's a family matter , but just curious , is there any implication for the listed Company and its shareholders in terms of the shareholding pattern changing or any changes in management or anything of that sort that listed shareholders need to be aware about ?

Vellayan Subbiah : Nischint, I think we have clearly stated in the statement itself that there is no impact to listed companies or the shareholders . So, just to give you a sense , the transaction is fairly simple in that we have a holding Company which is Amba di Investments Limited that then holds equity in all the underlying kind of companies of the group , right . And that family member owned a percentage of Ambadi Investments Limited which we have now basically effectively bough

t

back from that family segment , right .

So, basically , now, the only transaction is in the holding Company where all the rest of the members of the family continue to hold equity in the holding Company , and we brought back her portion of it . I mean, that not hers , but her segments portion of it . So, there is no implication for anything else in public companies and no implication for other share holders at all.

Moderator: That's very reassuring. That was the last question for today's call . So, thank you everybody for attending this call , and thanks a lot to the management for giving us an opportunity to host this call.

Moderator: Thank you. On behalf of Kotak Securities , that concludes this conference . Thank you for joining us, and you may now disconnect your lines .

Call: Jan 2024

"Cholamandalam Investment and Finance Company
Limited Q3 FY '24 Earnings Conference Call "

January 29, 2024

MANAGEMENT : MR. VELLAYAN SUBBIAH – CHAIRMAN AND NON-EXECUTIVE DIRECTOR , CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED
MR. RAVINDRA KUNDU – EXECUTIVE DIRECTOR , CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED
MR. ARUL SELVAN – PRESIDENT AND CHIEF FINANCIAL OFFICER – CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED
MODERATOR : MR. NISCHINT CHAWATHE – KOTAK SECURITIES LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Cholamandalam Investment and Financ ial Company Limited Q 3 FY '24 Earning Conference Call hosted by Kotak Securities Limited .

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone.

I will now hand the conference over to Mr. Nischint from Kotak Securities. Thank you, and over to you, sir.

Nischint Chawathe: Good morning, everyone. Welcome to the Earning s Conference Call of Cholamandalam Investment and Financial Company Limited .

To discuss the 3Q FY '24 performance of Chola and share Industry and Business Updates, we have with us the Senior Management today. The Senior Management is represented by Mr. Vellayan Subbiah – Chairman and Non -Executive Director; Mr. Ravindra Kundu – Executive Director; and Mr. Arul Selvan – President and CFO.

I would now like to hand over the call to Vellayan for his opening comments, after which we will have Q&A. Over to you, Vellayan.

Vellayan Subbiah: Thank you, Nischint , and good morning, everybody.

So, we will just go through the Results for the Quarter and the Nine Months ending 31st December 2023 :

The disbursements for Q3 were at Rs.22,383 crores for the quarter, up by 27%, and Rs.63,940 crores for year -to-date December, which is up by 40%. The total AUM stood at Rs.1,41,143 crores, which is up by 36% year -on-year.

Net income for the quarter was at Rs.2,580 crores, which is up 41% year -on-year, and Rs.7,073 crores for year -to-date December 2023, which is up by 37% year -on-year. The PAT for the quarter was at Rs.876 crores, which is up by 28%, and Rs.2,365 crores for year -to-date December, which is up by 30% year -on-year.

Just some Highlights:

So, l ike we said, we disbursed volume of Rs.22,383 crores in Q3FY24 . Vehicle finance disbursements grew by 18%, aided by steady growth in used volumes. Loan against property grew by 51%, and home loans grew by 48%, driven by branch expansion into Tier-3 and Tier-4 locations. Disbursement growth in the three new businesses was 33%.

Like we said, aggregate disbursements in Q3 FY '24 were at Rs.22,383 crores, as against Rs.17,559 crores in Q3 FY '23 for a growth of 27% , and y ear-on-year, we were at Rs.63,940 crores, as against Rs.45,512 crores, which is a growth of 40%.
Vehicle Finance disbursements were at Rs.12,354 crores, as against Rs.10,446 crores, which is a growth of 18%. This is for the quarter, and for year -to-date, the y are at Rs.35,385 crores versus Rs.27,509 crores in the previous year, which is a growth of 29%.
The loan against property business disbursed Rs.3,409 crores in Q3 FY '24, as against Rs.2,255 crores in Q3 FY '23, which is a growth rate of 51%. Disbursements for year -to-date December '23 were at Rs.9,281 crores, as against Rs.6,537 crores in the previous year, registering a growth of 42% year -on-year.
The home loan business disbursed Rs.1,587 crores in Q3 FY '24, as against Rs.1,072 crores in Q3 FY '23, registering a growth of 48%. Disbursements for year -to-date December 2023 were Rs.4,615 crores, as against Rs.2,425 crores, which is a growth of 90%.
The SME business dis bursed Rs.1,981 crores in Q3 FY '24, which is a growth of 11%, over Rs.1,782 crores in Q3 FY '23. And y ear-to-date for SME disbursements were at Rs.5,971 crores, which is a 39% growth, over Rs.4,284 crores in year -to-date December 2022.
The consumer and small enterprise business disbursed Rs.2,773 crores in Q3 FY '24, as against Rs.1,868 crores in Q3 FY '23 , which is a growth of

48%. Disbursements for year -to-date were
at Rs.7,980 crores , which is a growth of 77% over the Rs.4,501 crores in year -to-date December 2022.
The secured business and personal loans disbursed Rs.280 crores and Rs.708 crores in Q3 FY '24 and the nine months ended for FY '24.
Total assets under management stood at Rs.141,143 crores as compared to Rs.103,789 crores as of December 31, 2023 , which is a growth of 36%.
PBT growth in Q3 was at 26% and for year -to-date December '23 was at 29% as compared to overall asset growth of 36% year -on-year.
PBT ROA was at 3.3% for Q3 and for the nine months ended December '23.
ROE for year -to-date was at 19.8% as against 19.1% in the previous year.
The Company continues to hold a strong liquidity position with Rs.7,742 crores as cash balance at the end of December 2023 including Rs.3,765 crores invested in HQLA assets such as G -Sec, T-Bill and shown under investments. The total liquidity position including undrawn sanction ed lines was Rs.9,932 crores. The ALM position continues to be comfortable with no negative cumulative mismatches as per regulatory norms.

On the ratings front, we have had some encouraging news. ICRA has upgraded the long -term rating outlook for Chola from AA +/Stable to AA +/Positive.
Consolidated profit before tax for Q3 was at Rs.1,157 crores as against Rs.926 crores in Q3 FY '23, which is a growth of 25%.
In terms of asset quality, Stage -3 levels representing 90 plus dues reduced to 2.82% as of December 2023 from 2.96% as of end September 2023.
GNPA percent as per RBI norms reduced to 3.92% as of December '23 as against 4.07% in September '23. NNPA as per RBI norms also dropped to 2.56% as against 2.59% in September 2023. NNPA is below the threshold of 6% prescribed by RBI as the threshold for PCA.
In terms of capital adequacy, the CAR for the Company was at 19.37% as against a regulatory norm of 15% and Tier-1 capital was at 15.55% and Tier-2 was at 3.82%.
The Board of Directors also approved the payment of an interim dividend of 65% being Rs. 1. 30 per share on the equity share s of the Company for the year ending March 31, 2024.
I will stop with that. Thank you, Nischint, and we will turn it over to the audience for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh: A couple of questions. The first one is regarding your credit cost and provision cover. So, particularly if you look in Q3 versus Q2, the provision cover has come materially lower in the other segment. Now , one can understand there could be some sort of a change in the asset mix within that segment, but I mean , just in one quarter taking down provision cover to 45% from close to 64% , what explains this provision cover change in this other segment? That's one.
And second, if we see the fee and commission income has seen a material jump. You have noticed two accounts mentioned that you got the insurance broker license. But earlier also , you would have been sort of selling insurance and the income would have been recognizing some

other lines. So, what has changed here ? And is this higher fee and commission income sustainable or was it some sort of a one -time, some one -off?
Arul Selvan: Yes, with regard to the first question, the reduction is because we removed 100% provided items in the others segment . So, if you see the gross stage 3 has come down and so equally the ECL provision has come down. That's the reason that for fully provided book, you know, you write it down because for NBFC s you don't get tax benefit unless you write it down . If you just carry them as fully provided it does not work well from a cash flow perspective. And that's the reason we do this at frequent

intervals. That's the reason. It's not a provision coverage drop . It is more a removal of 100% provision items both from the gross stage 3 as well as the provision.

With regard to the insurance income, yes, so far we have been receiving the insurance income through our subsidiaries over the first two quarters . You would have seen that and from the subsidi aries we have taken it back into the main Company by way of dividend. So, since we did not have the license till then , we got the license in this quarter. So, going forward, the insurance income will come straight into Chola's book.
Avinash Singh: So, this level of fee income is sustainable. And on this PCR again, so in other segment i t's largely unsecured, I mean, personal loan and other unsecured. So, this 45% coverage, you think is sufficient?
Arul Selvan: Yes, it's a mix of SME business, which is a low credit cost as well as low SBPL is also doing well. They have very, very low NPA numbers and CSEL is the one where we are carrying higher provisions because of the unsecured nature. So, this will keep moving up and moving down as we build the provision, write it down, build the provision, write it down . That cycle will continue.
Moderator: Thank you. The next question is from the line of Suresh Ganapathy from Macquarie Research. Please go ahead.
Suresh Ganapathy: So, two questions. One is from the growth itself, right? I mean, we have had some slower disbursement growth in the personal loan segment and 4% Q -o-Q is the overall growth that we have seen on disbursement. Because in the base effect which has given you a 40% AUM growth, how do you look at growth for FY '25? Because we are hearing that banks are cutting down their credit lines to the NBFCs. We still have a large dependence on banks. So, have they increased rates ? Have they withdrawn some credit lines or restricted and consequently , what is the outlook for growth for FY '25?
Vellayan Subbiah: Yes, Suresh, I don't think we are going to guide FY '25 in this call.
Suresh Ganapathy: Direction. Just the directions you can g ive. Yes.
Vellayan Subbiah: Yes. So, to your point, so I think definitely what we see at least, and you see even in the areas we are continu ing to grow on, areas we feel quite comfortable about our book, which is basically home loans, LAP have both seen good growth and both the books are performing very well. Vehicle finance will also continue to do well. Whether the levels of growth sustain at these levels or drop slightly, we will get a better indication through this quarter. But we feel quite comfortable with the current levels of growth and like I said , it might drop a bit from here, but I don't think it's going to be too significant in terms of the drop.
What we have cut back on is our partnership business in CSEL , in our Consumer and Small Enterprise Loans . So, definitely we have reduced the amount of exposure to unsecured and we continue to do that in terms of our bias for disbursements. And so , broadly , I think that we don't see any trends that would cause us to get a lot more conservative going into next year.

Suresh Ganapathy: But is there a supply of funds restricted in banking system? I mean, have you seen the implications with your banking partners where they are trying to restrict credit lines, or they are funding as usual , because the problem there is, R BI is saying lending to N BFCs is going to go down the line, and down the line, we have to have credit lines to the N BFCs, right?
Vellayan Subbiah: Yes.
Suresh Ganapathy: You got the question, Vellayan ?
Vellayan Subbiah: Yes. So, I think, Arul, why don't you provide a perspective, because you are closer in terms of, like, how the banks , I mean, so Suresh

, again, right , I don't think availability of funds is going to be a challenge for the growth rates we are looking at . But , Arul, why don't you answer the question?
Arul Selvan: So, first of all, banks are happy to lend to us, and we are getting good lines of credit from them. Apart from banks, we are building other sources . For example, this quarter, we have taken a loan

from IFC of around Rs.150 million at a very fine rate, and we are seeking similar loans from other multinationals, which we will see happening in the subsequent quarters. We are also building our retail book . We have done retail debentures of Rs.5,000 crores . We created IM during this financial year, and all of it has been subscrib ed, and we closed the last tranche of the issue on Friday, and then we will get the money in the day or two . So, Rs.1,500 crores is coming in from there. So, there are multiple sources of revenue with good credit, and thankfully, ICRA's credit rating would also help us, and hopefully, as we move forward, we should see better traction in the rating side also.

Suresh Ganapathy: That's one of the interesting questions . Your FinTech NPA last quarter was4.7 %, is what you had disclosed . Do you know if that number comes down ? Any number you can share that?

Arul Selvan: No, we cannot talk about those going forward numbers, Suresh, and I think we have been giving guidance on two questions per participant . Kindly stick to that, and we should come back in the queue.

Moderator: Thank you. Next question is from the line of Bhavesh Ratilal Kanani from ASK Investment Managers . Please go ahead.

Bhavesh Ratilal Kanani: This one is on the new lines of business . You said that there have been quite a few of write -offs in the lines of business that we have started recently . One , can you quantify the write -off there ? And second, if you can share your thoughts on the writing off policies we are following for these new lines ? And to add some color to the situation, if you can share what are the corrective steps we have taken a few months back on these lines, on sourcing and how to manage the quality and what has been the impact of same?

Arul Selvan: So, with regard to the CSEL business, the way we provide is on 90 plus we provide 50% and 180 plus we provide 100% . The moment it touches the 100% provisioning , we remove it from the books because we get an FLDG reimbursement on that to the extent of the FLDG cover, and so we do this on an ongoing basis.

What you are seeing as a removal this quarter is also with regard to those 100% book which have been provided . That's where you are seeing a drop in NPA as well as with regard to the provisions coming down. This is a cycle , as I answered somebody else earlier also . It's an ongoing cycle and you will see that continuously happening.

With regard to the rest of the businesses, depending on the ten ure of those businesses, we have different write -off policies . Likewise, for example , in vehicle finance , we provide at the end of around 36 months in certain categories of assets and for 48 months for the rest of the categories, and in the case of loan against property and mortgage , it's a slightly longer ten ure when we reach the 100% provisioning .

But in every case when the provision coverage reaches 100% , we remove them because , as I said earlier , we need to get the tax benefit on it , and we don't get it when we simply provide . Unless we write it off , we cannot get the tax benefit . So, it's a difference between our current tax and deferred tax. So, if we need to reduce this variance between these two.

Bhavesh Ratilal Kanani: And sir, on the corrective measures we have taken for these new lines and the impact of that?

Ravindra Kundu: In the C SEL business, as we clearly articulated in the past, we have two li

nes of business in the

CSEL. One is the traditional, which is through our feet on the street, and one is t hrough partner. So, through feet on the street there were no issues in terms of delinquency as low as 0.6%. And in the case of the partnership it went up to 4.7, which has come down to 2.7. So, that is because we have reduced the disbursement from four partners and earlier we used to do 550 crore to 600 crore disbursements, which is now we are capping it to 250 to 300 crore. The ROAs are good in this business . So, we will continue to do it, but we will do it with the good partner.

And we have also tightened our underwriting process with the existing partner. We started also providing them details of the roll -forward rate management, what we do it in our traditional book, as well as in the VF and LAP for many years. So, those partners are also getting benefit ed in terms of their collections of those cases. We are continuously focusing on reducing the roll -forward rate of non -delinquent to delinquent book in the partnership book as well along with that.

Bhavesh Ratilal Kanani: And lastly, sir, where do we book the FLDG -regulated inflows ?

Arul Selvan: That comes under the other income line, fee and other income line.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citi Group . Please go ahead.

Kunal Shah: So, a couple of questions. Firstly, in terms of the bank borrowing, how much has the rate gone up for us if you have to look at it in terms of banks trying to pass it on post the increase in the

risk rates?
Arul Selvan: See, the bank borrowing rates have not moved up significantly because they are still under what we call the EBLR -linked loan. So, the EBLR -linked loans, their spreads have not increased. One or two banks which have tried to come with a request for a higher increase, where we are able to accommodate if it is minimal, we have accepted that spread increase, which is in the range of around 15 to 20 basis points and are much smaller numbers. And in case there are requests for a higher requirement on a spread, we are pre -closing those loans and moving on to get better loans from our resources.
Kunal Shah: So, overall increase will also be around about less than like 15 -20 bps as such. We are not seeing much pressure out there.
Arul Selvan: Yes, I think you will not get more than that, correct.
Kunal Shah: And the second question is with respect to OPEX . So, while we are seeing some benefit with respect to the insurance income, any element which is there in the cost or this entire increase in the cost which has been there, say on a quarter -on-quarter basis, that is more related to the core business and now overall cost to assets will continue to be at the higher level ?
Arul Selvan: Yes, overall cost to assets would be in the range of around 3%. Yes, it is trending a little higher because there have been some expansions as well as some additional costs, etc., we are incurring with regard to , on the IT side as well as on the branch expansion thing. So, we will endeavor to keep it around the 3% mark , which is what we have spoken about earlier also.
Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal: I have two questions. The first one is for Ravi sir. I just wanted to understand what is the view on the vehicle cycle now ? You have in the past explained that it is only when push shelling starts to happen is where we start looking at maybe a downward trajectory in the vehicle cycle. Where are we in the cycle today? Whether we talk about passenger vehicles ? I mean , we often keep hearing that the discounts are going up now, especially passenger vehicles. If you could just briefly elaborate o

n your view on both passenger vehicles and commercial vehicles ?
Ravindra Kundu: So, in the passenger vehicle, the small entry -level cars are actually doing very well. Their discount levels are not under control and that is the area of focus for us. The mid segment and the premium segment , still the discounts have not started as it used to be in the past. Still t here is a demand in that segment.

So, passenger vehicles if you see the growth for the quarter , went up by 8% . Between the commercial vehicle and passenger vehicle, the PV has been the highest. Commercial vehicle , in fact, is actually lower , it is 4% in terms of the news which was expected. So, for us the use d vehicle in both PV and CV are the growth driver and in addition to that , we are also doing small ticket s ized loan like two-wheeler , three -wheeler , tractor and other products.
So if you take entire vehicle industry including construction equipment, tractor , it went up by 18% and our growth has been 22% in the same period for the new vehicle segment and in addition to that , we have also done better job in terms of used vehicles. So, we are quite confident that these growth levels will continue next year although commercial vehicle growth will be in single digit this year and might be in the single digit in next two, three quarters.
Abhijit Tibrewal: Sir, m y last question was on the margin trajectory in vehicle financing. I mean , having said that , we have already seen some rise in the cost of borings in this quarter. So, two sub parts to this question . One is, how do we look at the cost of bor rowing spending for the next few quarters ? And assuming the status quo on rates , how do we look at cost of bor rowings for next year? And given that our vehicle book will kind of continue to reprice , how do we look at margins in the vehicle financing book ?
Ravindra Kundu : What is the cost and what is the margin?
Arul Selvan: If you see the vehicle finance numbers which we have given , you would already see that the yields have been improving around 50 b asis points and while the cost of any increase has been only 20 b asis points in the case of vehicle finance per se if you refer to our presentation on page 47. Volumes have started improving . So, you will see the trend going forward . Unless something more differently happens in the environment we don't know. As we talk today , our cost of funds , I would say that we are at the cusp of the hike and unless something new happens , we should not see further rate increase other than the 10 , 15 basis points we spoke about earlier.
Ravindra Kundu : The NIM trend is 7.2, 7.6, 7.8 for last three quarters and is going to go up and the difference between the NIM from the same period of last year is also coming down from 100 basis point to 80 basis point and now it is coming to 30 basis point and our marginal book yield is actually 1% higher than this book yield . So, that will start showing up in the next two to three quarters . So, I think from the NIM point of view , I don't think there is any problem . We will continue to increase our ROA if the situation continu es as it is.

Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA . Please go ahead.
Piran Engineer: Just firstly a question on overall customer level indebtedness when you are talking about our LAP customers and there has been a lot of noise about rising leverage in the system and these are smaller customers who might take say a LAP loan for their business , personal loan elsewhere . Are we tracking that data ? Can you share some information on what percentage of our LAP

customers have taken PL from other lenders ? And broadly , is there any

merit given where the
environment is in unsecured to slow down this business?
Ravindra Kundu : No, loan against property for Chola is actually coming from three things. One is that the expansion is happening continuously . You see that our number of branches in LAP is much lower than the vehicle finance branches. Second is that we are also having another product called Micro Lap which we have introduced it in the last year, last I think two years , which is actually catching up .
And the third important is that our east zone has also started adding numbers , which was not there actually . We were operating in three zones and the fourth zone also started adding value.
And delinquency is coming down continuously . It has all -time lowest delinquency in loan against property because SARFAESI is helping us and our disbursement LTVs are always been 50%. So, that is also helping us.
Now, we have been doing the scrub of our portfolio and seeing how much our LAP customers are taking personal loan. In fact, it is much lower. And that is also reason for our existing penetration is also not high in the LAP. So, these are the scenario.
Now going forward, we are expecting that this will be much stronger than any portfolio in Chola as Chairman mentioned that we are quite confident and hoping that our LAP and HL will be growing faster among all.
Piran Engineer: So, just to clarify, very few customers have taken an additional personal loan from outside the system, like outside Chola ?
Ravindra Kundu : Relatively.
Piran Engineer: And the second question just for Arul sir, just to clarify, are we seeing banks also move away from repo linked loans to MCLR -linked loans, given that there is tightness in liquidity at their end?
Arul Selvan: The point is that we go to the MCLR -linked loans for non -priority sector as well and EBLR -linked loans for priority sector ., because still priority sector loans can be priced finely, and which will be always a shade lower than the MCLR -linked loans. So, since banks have a restriction that they cannot lend below MCLR , we opt for the EBLR -linked loans.
Piran Engineer: And that is a two third, one third mix, right? EBLR versus MCLR?
Arul Selvan: No, you have a few fixed rates also. So, we have around 15% of our borrowings in fixed rate . So, they don't change and then around 25 -30% in MCLR -linked and the rest are EBLR -linked.
Moderator: Thank you. The next question is from the line of Dha val from DSP. Please go ahead.

Dhaval: I just had one question relating to profitability. So, you know, if you look at the nine month PB T ROTA , that was about 3.3%. Directionally, would you agree that this is at the lower end of our sort of sustainable band, given where we are in the margin cycle and where we are in the investment of our OPEX cycle? So, as some of the new businesses scale up, would you agree that the PB T ROTA should be more like 3.6 to 4% kind of band on a sustainable basis compared to the 3.3 where we are today? Or if there is any other part which I am sort of missing to understand the sustainable profitability that you are targeting of the model?
Ravindra Kundu: All the business head s are laughing because that is the target we have given internally.
Arul Selvan : Dhaval, first of all, we never guided on any 4% level. Our guidance, if at all it can be called a guidance, that it will be in the 3.5% level. Yes, we should be there, maybe a shade less if in a worst case scenario for the full financial year. But this also is through a cycle. We will have to see how we get across in the next financial year. This financial year, it has been a hit a little bit because of the higher cost of funds and the vehicle finance being a fixed rate book. But it will keep changing.
Moderator: Thank you. The next questi

on is from the line of the branch of Shubhranshu Mishra from Phillip Capital. Please go ahead.
Shubhranshu Mishra: Two questions. The first one is, what is the percentage of repeat customers in each of our businesses, vehicle finance, home loans and LAP? Second is, what is that percentage that we do

over and above 5% mandated FL DG? Do we have some kind of soft claims on the fixed deposits of the FinTech partners which is beyond 5%?
Ravindra Kundu : So, repeat business in vehicle finance, we are actually tracking, you know, because this business is quite mature. So, 30% is actually we are getting from our existing customer month -on-month. Other businesses are lower, very low er because of long -term book. So, unless one customer completes the loan, it is difficult for that customer to go for the second loan. So, the top -ups are also much lower because of the stringent norms in the other businesses. So, vehicle finance is 30% repeat loan.
Arul Selvan : And there are no cross -sell between the businesses .
Arul Selvan: There are hardly any cross -sell between the businesses. The second question on the FL DG, we restricted to 5% . There is nothing new on that .
Shubhranshu Mishra: But in the last call , you said that you do it beyond 5% . So, that's on the transcript.
Arul Selvan: That was in the earlier scenario where we were getting higher and those things are being stopped post the RBI guidance.

Shubhranshu Mishra: So, we were doing it beyond 5%, beyond the mandated 5% by the regulator . Is that a fair understanding?
Arul Selvan: No, we are not . What I am saying within the RBI norm of 5% . The difference between the earlier norm, earlier FL DG level and the current FL DG level is adjusted in the rate which we get from the customer, from FinTech . So, earlier if we were getting only 15% of the hurdle rate, now we are getting higher to the extent of the sacrifice on the FL DG.
Moderator: Thank you . The next question is from the line of Abhishek Murarka from HSBC . Please go ahead.
Abhishek Murarka: I wanted to understand the yield, especially on home loans . So, when I look at your slide 64, it's gone up from 15.6 to 16.7 in one quarter . So, can you explain what that is and if there is any one-off or any of the incomes there can be segregated?
Arul Selvan: No, there is no one -off income . It is the mix of the new business, the new portfolio that is being built by the team in the new locations . That's what i t's showing up, which is the Tier-3, Tier-4 locations in East. Also, you know the floating rate book which we repriced over the past year when the increase happened, that time we would not have repriced all of the books because some parts of the books would not have gone through the full ten ure that is like a one year gap or something we leave because we don't want to reprice it immediately after issuing the book or issuing the loan. So, those things once that mandatory period of one-year crosses , we reprice them . So, such increases have also come into play because , as you know , the recent scale -up in home loan was helpful in repricing the new book as they matured into the one-year threshold , across the one year threshold.
Abhishek Murarka: So, what would be the incremental yield over there ? So, marginal yield versus the book yield?
Ravindra Kundu : It is 1.5% actually across is what we have seen .
Abhishek Murarka: So, the marginal yield or disbursement yield would be 1.5% higher . So, we can still see some bit of catch -up in the overall yield in the quarters.
Arul Selvan: No, see , this happened like one time and now most of the books would have been repriced . So, there would be not much to scale -up from here. See, this is different from the vehicle finance book where the marginal yield of a new book con

sistently changes the color of the book because the old book remains at the old rate. Here the old book is getting repriced. So, please I don't want you to think this rate yield will go significantly beyond this. So, here, it will rem ain. The book yield and marginal yield is more or less same now. As such , as we move on , we will have to see how the yield will pan out in newer locations as they go and that they will bu ild it. So, the vehicle finance book is a slightly different piece of game.

Abhishek Murarka: No, of course , of course. So, basically the re -pricing has happened and now incrementally the yield is around these levels.
Arul Selvan: It will be around this level is what you should think of.
Abhishek Murarka: That's what I wanted to check.
Moderator: Thank you. The next question is on the line of Shweta Daptardar from Elara Capital. Please go ahead.
Shweta Daptardar: I have a couple of questions. One, because I joined the call late , is it that the insurance distribution income has seen higher commission rates from say 5% to 15% last quarter? So, is this why there is one of f element and that's why the other income is lower? That's question number one. Question number two, I am looking at Stage -2B as is. So, since the time we started

reporting this number, we have never seen decline or at best does remain stable. So, which sort of business segment is contributing to this? And there is one more that I will come back to. Yes, so these two.

Arul Selvan: See, as I was saying earlier, the insurance income started accruing into Chola's book because this quarter, that quarter where we got the license in our name and till last quarter, we got it through the subsidiary because they used their license, and they could get it and we got it as dividend. That's why the line items are different. When you get it as dividend, you take it to the other income, and you get it as a fee and commission income. It comes into business income itself. But basically, both are business income and going forward, it will come in the fee and commission income as you see it now. Sorry, what was the second query ? Stage 2B, Stage -2B.

Ravindra Kundu: Stage 2B.

Arul Selvan: No, as a percentage, it still remains much within the, you know, it's actually a drop also. Yes, it is a drop and as the thing grows, you will have these progressive increases. The other point is also we will be doing this correction. We have always been representing our restructured book in Stage -2B, which is where we will move them because most of the restructured book which have completed more than one year in, you know, presenting in Stage -2B. We can move it now into maybe Stage 1. We are in discussion with auditors. These are actually lower than 60 days or lower than 31 days, but still we are showing them in Stage -2B because they were restructured during the period of COVID restructuring, as a special thing, given by RBI and they are there and we consciously kept that as 2B to identify them as a restructured as sets. But now they have been performing well and remaining below the 30 days overdue, we can move them into Stage - 1, which is what we are discussing with .

Ravindra Kundu: But the numbers it does, percentage is 0.93. It's come down to 0.92.

Arul Selvan: Yes, it's come down . Percentage has come down.

Shweta Daptardar: So, one last question I am squeezing in . Should the new business contribution we were guiding earlier be around 15 %-odd over the next few years. So, anything changes on that with the kind of systemic concerns arising? The new business share you guided last quarter will be around 15% over the next few years. So, anything changes on that with the kind of

concerns we are seeing in the system?

Arul Selvan: No, it remains th ere.

Moderator: Thank you. The next question is from the line of Aravind R from Sundaram Alternate . Please go ahead.

Aravind R: So, I would like to understand, like, sorry if this question has been answered already, if this increase in yields on like home loan book is sustainable quarter -on-quarter ? I mean, is this the yield it's going to be for the future quarters? That is my first question and second question on vehicle segments, like, how do you like, you know, a month -on-month vehicle sales data is showing signs of slowdown . Purely the growth is coming from the realization rather than the number of vehicles sold itsel f. And what is your view on the segment?

Ravindra Kundu : In the case of vehicle, as I mentioned, the growth from the industry part of it will be in single digits. And that is specific to the CV, but other vehicle like passenger vehicle or three wheeler, two wheeler are growing very well . Tractor is down. So, put together, you know, as of now for the quarter, it grew by 18% and our disbursement for the new segment was 22%. But if you include the use d because, you know, growth that is actually giving us a positive number. This is going to be continued in terms of Q4 as well as next quarter. So, we are quite confident that we can grow for the vehicle finance at least for 10 %-20% in next year as well .

Prashanth Kumar: As far as home loan is concerned, since we have expanded in new geographies and Tier-2, Tier-3 towns, where we are keeping rates slightly higher, and we want to operate at that price so that we can adequately price the risk going forward.

Moderator: Thank you. The next question is from the line of Vikram Subramanian from MWAM. Please go ahead.

Vikram Subramanian: I just had a follow -up on the PCR, especially in the other book. I think earlier in the call , you had mentioned the PCR and the other portfolio. There is a new business portfolio . We will keep moving up as you build up provisions with increasing delinquencies, and then we'll come off when write -offs happen, just like what happened between last quarter and this quarter. But as per LGD, isn't there a specified level of provision that we need to maintain? Could you please share some color o n what that would be for the new business overall or specifically to CS EL?

Arul Selvan: See, t he new businesses have not gone through enough cycle to build LGD. We have taken the provisioning basis, you know, what is happening in the industry and worked on it to conservatively build beyond that. So, as we were saying earlier, we provide, you know, while

we provide at the Stage -1 level around 1%, and then 25% in Stage -2, and when it crosses 90 days, we provide 50%, and when it crosses 180 days, we provide 100%.
Vikram Subramanian: The CS EL.
Arul Selvan: This is only in the CS EL, yes. This is an unsecure d business. I think the focus of your question is more on that side. So, this we will continue until we get like 3 to 4 years of LGD experience in this business, and then we will adopt it. If we calculate LGD in the current way we are performing, actually the provisioning requirement would be much lower. So, we don't want to adopt that, and we want to conservatively build a slightly higher provisioning. And this cycle I spoke about has nothing to do with LGD . It is more like what you create as a provision, a nd it write down when, you know, from a perspective of availing tax benefit on the write downs that you are less confident of collecting, but that does not rule out any collections there from. We will still pursue and collect if that is a possib ility.
Ravindra Kundu : And just to clarify, the new business is including three businesses, SBPL, SME, and C SEL. So, CSEL

portion is only 7%, and rest of the portions are 4%.
Vikram Subramanian: That's clear. Just one other follow -up question. Stage -1 and 2 provisions , through the past couple of years, this is specific to Stage -1 and 2 provisions. Cumulatively, it has reduced from about 1.8% , 180 bps a couple of years ago to about 75 bps right now. Again , I am assuming this is just going by the E CL PD into LGD calculation, and as the cycle improves, you have been reducing that. But is there any portion or probable contingent that we can provide here? Would that be something management to look at it because it seems like quite a low number for such a high growth rate of Stage -1, 2.
Ravindra Kundu : So, Stage -1 provision, if you see that it is actually 0.44, and this is higher than the pre -COVID level. And even for Stage -2 also, the provision is 10.33% for the Stage -2 book, which is much higher than the old provision.
Arul Selvan: So, see, you should not look at it in a combined way. Because in a combined way, if you look at it, because when you are growing the Stage -1, which is a lower loss requirement book, then your overall percentage will look like it is coming down because the denominator is a larger part of the Stage -1. So, you should always look at Stage -2 separately, which is slightly riskier than Stage -1, because it has trended to go into the 30 plus. Stage -3 is where we all review . All of us know what it is.
So, don't look at Stage -1 and 2 together. If that is the way you are looking at it, that is not the right approach, because when you are growing the book at 30% plus, you will always seem to be at a percentage also it is dropping, but in absolute terms if you look at Stage -2, while the asset has remained more or less at the same level, in spite of such a growth in book . For example , in September it was at 4 ,000 crores . Now we are at around 4 ,100 crores. So, as percentage, the proportion of Stage -2 asset has also come down and thereby the total provision the reon has

actually increased from 10.24 to 10.33. So, it is actually the increase in book and the provision coverage both are being commensurate to what is happening there. So, kindly don't look at it together.
Moderator: The next question is from the line of Ashwani Kumar Agarwalla from Edelweiss Mutual Fund . Please go ahead.
Ashwani K. Agarwalla: In the last quarter , the tractor industry d egrew , but whereas our disbursement grew 23% quarter -on-quarter . So, can you just throw some light on that?
Ravindra Kundu : No, tractor industry is down by 5% and tractor overall volume is actually up by 5% . That is because we are not only doing tractor new , we are also doing tractor used.
Ashwani K. Agarwalla: And in the last quarter , the liquidity became negative for the first time in many quarters and this quarter itself is likely to be negative. So, do we see an increase in cost of funds more in this quarter as compared to last quarter? And 4th Quarter is typically a tight liquidity situation.
Arul Selvan: See, this time we have seen some increase in cost of funds primarily because if I again recall you, let me speak about the term of loans we closed when there was an increase by banks which in our context was higher and not justified. So, we closed those loans. So, when you close such loans , you have such pre-closure expense that would also be out of loan. And as again I was saying earlier, cost of funds in our view has sort of peaked out here and until, unless something drastically different happens either by regulatory interference or any global incidences, we don't see cost of funds going up from here. We also don't subscribe any quick rate cuts, though there are talks about it, but even without factoring in rate cuts, cost of funds should hover around this level.

Ashwani K. Agarwalla: And the business loans have been flat quarter -on-quarter. Typically , Q3 is a strong quarter for business loans because of the festive season and whatever. Why were we flat on quarter -on-quarter basis?
Ravindra Kundu : This one y ou are talking about CSEL business. Do you have?
Ashwani K. Agarwalla: Yes. So, overall business loans, the business loans are Rs.6,620 crores . All the business loans put together, 6,620 crores.
Arul Selvan: You are talking about the growth in the A UM or disbursement?
Ashwani K. Agarwalla: Disbursement in the business loans.
Arul Selvan: Which line was it? You are talking about others you are talking about? I don't know which one is disbursement. Can you repeat? Which slide you are referring to?

Ashwani K. Agarwalla: No, I'm not coming with a particular slide, but I am talking about overall business loans. If you look at the business loans together .
Vellayan Subbiah: No, what are you referring to as business loans?
Arul Selvan: We have not given any such data. We have not given any such data where business loans remains.. .
Vellayan Subbiah: What is business loans? Is it vehicle financed? All of it is business loans in our view. I don't know.
Arul Selvan: What are you referring to as business loans?
Ashwani K. Agarwalla: Take this question offline. And secondly, w hat was the impact because of Tamil Nadu flood?
Arul Selvan: Tamil Nadu is a very small portfolio. We are well diversified from geography and the floods were only in Chennai. Not even in the entire Tamil Nadu.
Ravindra Kundu : Yes, Tamil Nadu flood has not impacted.
Arul Selvan: It is not impacted much. It might have impacted a few customers in Chennai, but I don't think that is significant.
Moderator: Thank you. The next question is from the line of Pranuj Shah from JP Morgan. Please go ahead.
Pranuj Shah: Just a couple of questions. The first one is on OPEX . Coming back to this quarter is alluded at 3.3. Now you did allude to that change in expansion phase and there is also IT cost coming in. So, can this continue for another few quarters also and then you normalize maybe sometime later in FY '25?
Ravindra Kundu : It is 3.1 versus 3.1 last year same period. It is not that it's gone up. What we are mentioning is that our OPEX will be at the 3% level because of the continuous improvement in efficiency as well as the expansion going up. So, it is not gone up first of all.
Arul Selvan: At YTD level, we are still lower.
Ravindra Kundu : Yes, YTD, it is lower .
Pranuj Shah: And last thing is on , like, you have had higher write -offs in the new business segment. So, the FLDG income for this has already been recognized or that would come in the upcoming quarters ?
Arul Selvan: Yes, wherever we are writing off, to that extent , FLDG income would be recognized. I think this quarter we would have recognized around 6 to 7 cro res as FLDG.

Pranuj Shah: Sorry, 6 to 7 crore FLDG. Is that what you mentioned?
Arul Selvan: Yes.
Arul Selvan: Sorry, it is 12 cro res.
Pranuj Shah: 12 cro res.
Moderator: The next question is from the line of Nidhesh from Investec . Please go ahead.
Nidhesh: Just on the housing finance and LAP ? If you can tell, what is the average ticket size on books and incremental average ticket size on these two businesses?
Suresh Kumar : So, for the LAP business, the portfolio average ticket size is about 50 lakhs.
Prashanth Kumar : For Home Loan business, the ticket size is Rs.13,20,000 and the tenure is around 14 years tenure .
Suresh Kumar : . Both LAP as well as the HL, the LTV is about 50%
Nidhesh: Just a follow -up on home loan . On that the yield of 16.7% looks very high because the listed peers in the housing finance segment, on the pure housing the yields are more like 12 -13% on the affordable housing finance side. So, does this portfolio also contain a LAP book or it is just pure housing book?
Ravindra Kundu : No, it is pure home loan only and self -construction housing loan. As we expanded into newer geography, we have expanded the disbursement for other than south. Like you mentioned that last 1.5 years we have been expanding non-south. So, non -south businesses actually started growing and as the south and all non -south will start actually doing the similar growth, then

obviously the number will not be going further. So, this particular yield is actually because of two. One, the expansion and second is the reset of the pricing and after that , it will not be going up.

Moderator: Thank you so much. As that was the last question of the day, I now hand the conference to Mr. Nischint for closing comments.

Nischint Chawathe: Thank you for joining the call today. We thank the management for giving us an opportunity to host the call.

Moderator: Thank you. On behalf of Kotak Securities , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

"Cholamandalam Investment & Finance Company
Limited Q4 FY24 Earnings Call "

May 02, 2024

MANAGEMENT : MR. VELLAYAN SUBBIAH – CHAIRMAN AND
NONEXECUTIVE DIRECTOR , CHOLAMANDALAM
INVESTMENT AND FINANCE COMPANY LIMITED
MR. RAVINDRA KUNDU – EXECUTIVE DIRECTOR ,
CHOLAMANDALAM INVESTMENT AND FINANCE
COMPANY LIMITED
MR. ARUL SELVAN – PRESIDENT AND CHIEF
FINANCIAL OFFICER – CHOLAMANDALAM
INVESTMENT AND FINANCE COMPANY LIMITED
MODERATOR : MR. NISCHINT CHAWATHE – KOTAK SECURITIES
LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to Cholamandalam Investment and Financ e Company Limited Q 4 FY '24 Earning Conference Call hosted by Kotak Securities.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded .
I will now hand the conference over to Mr. Nischint Chawathe from Kotak Securities. Thank you, and over to you, sir.
Nischint Chawathe: Thank you. Good morning, everyone . Welcome to the Earnings Conference Call of Cholamandalam Investment & Finance Company Limited .
To discuss the 4Q performance of Chola and share industry and business updates, we have with us the senior management today. I welcome Mr. Vellayan Subbiah – Chairman and Non - Executive Director; Mr. Ravindra Kundu – Executive Director; and Mr. Arul Selvan – President and CFO.
I would now like to hand over the call to Vellayan for his opening comments , after which , we will take the Q&A.
Vellayan Subbiah: Nischint, thank you , and good morning, everybody.
So, we just go through the key financial results for the Quarter and for the Year Ended March 31st, 2024 :
The disbursements were at Rs . 24,784 crores for the quarter, which is up by 18%, and Rs . 88,725 crores for the year, which is up by 33%.
The total AUM stood at Rs . 1,53,718 crores, which is up by 36% year -on-year. The net income for the quarter was Rs. 2,913 crores, which is up by 41%, and Rs . 9,986 crores for the year, which is up by 38%.
The PAT was at Rs . 1,058 crores for the quarter, which is up by 24%, and Rs . 3,423 crores for the year, which is up by 28%.
So, in terms of our performance , we have delivered the best -ever dispersals, collections and profitability in Q4 FY '2 4. Vehicle Finance grew by 6%, aided by steady growth. LAP grew by 55%, and Home Loans grew by 24%, driven by geographical expansion into Tier 3 and Tier 4 locations.

Disbursement growth in the other businesses was at 24%. Aggregate disbursements were at Rs . 24,784 crores as against Rs . 21,020 crores in Q4 FY ‘23, which is a growth of 18% . And like I said for the year, the growth has been 33%.
Vehicle Finance disbursements were at Rs . 12,962 in Q4 FY ‘24, as against Rs. 12,190, which is a growth of 6%, and disbursements for the year were at Rs. 48,348 crores, as against Rs. 39,699, which is a growth of 22%.
The Loan Against Property business disbursed Rs. 4,273 crores in the quarter, as against Rs. 2,762 in Q4 FY ‘23, which is a growth of 55%, and disbursements for the year were at Rs. 13,554, as against Rs. 9,299, which is a growth of 46%.
Home Loans disbursed Rs. 1,747 crores in Q4, as against Rs. 1,405 crores, which is a growth of 24%, and for the year, disbursements were at Rs. 6,362, as against Rs. 3,830, which is a growth of 66%.
SME dis bursed Rs. 2,136 in the quarter, which is a 2% growth, and disbursements for the year were at Rs. 8,106 crores, which is 27% growth.
Consumer and small enterprise loans dis bursed Rs. 3,301 crores in the quarter, as against Rs. 2,364 in the same quarter last year, which is a growth of 40%, and disbursements for FY ‘23-’24 were at Rs. 11,281 crores, which is a growth of 64%, over the Rs. 6,865 in FY ‘23-’24.
Secured Business and Personal Loans have disbursed Rs. 366 crores in the quarter, as against Rs. 196, which is a growth of 87%, and for the year, disbursements were Rs. 1,074, which is a growth of 138%, over Rs. 451 crores in FY ‘23-’24.
The AUM as of March 31

, 2024, stood at Rs. 1,53,718 crores, and that ’s a growth of 36%. PBT growth in Q4 was 24% and for the year PBT growth was at 27%. PBT ROA for the quarter was at 3.9% and PBT ROA for the year was at 3.4%. ROE for the year was maintained at 20.6%.
So, the Company continues to hold a strong liquidity position with Rs.7,899 crores of cash balance as of the end of March 2024, including Rs.1,500 crores each invested in G -Sec/ T-Bill and Rs.765 crores invested in strips shown under investment s, with a total liquidity position of Rs.8,315 crores including undrawn sanction lines . ALM is comfortable with no negative cumulative mismatches across all time buckets as per regulatory norm.
The consolidated PBT for the quarter was at Rs.1,428 crores as against Rs.1,163 crores , which is a growth of 23% and for the year Rs.4,605 crores as against Rs.3,615 , which is a growth of 27%.
In terms of Asset Quality :

Stage -3 reduced to 2. 48% as of March ‘24 from 2.82% a t the end of December ‘23. So, we have continued our improving trajectory here. GNPA as per RBI norms reduced to 3.54% as of March ‘24 as against 3.92% in December ‘23 and NNPA as per RBI norms dropped to 2.32% as against 2.56% on December ‘23. NNPA is below the threshold of 6% prescribed by RBI as a threshold for PCA.
In terms of Capital Adequacy :
The CAR of the Company as of March 31, 2024, was at 18.57% as against the regulatory requirement of 15% and Tier-1 capital was at 15.1%.
The Board of Directors of the Company has recommended a final dividend of Rs. 0. 70 per share , which is 35% of the equity shares of the Company subject to the approval of the members of the Company at the ensuing Annual General Meeting . This is in addition to the interim dividend of Rs. 1.30 per share for the financial year ‘23-’24 declared by the Company on January 25, 2024.
The Board of Directors of Cholamandalam Home Finance have also approved an equity infusion of Rs. 25 crores in Cholamandalam Securities , both of which are wholly owned subsidies, subject to the approval of the regulators.
Nischint, we will stop with this comment , and we will be happy to turn it over to you for questions. Thank you.
Nischint Chawathe: Yes, let ’s start the Q&A session.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh: Two questions. First, on the disbursement and AUM growth outlook for FY ‘25, can you just please help with some sort of a breakdown among the different segments? That ’s one. And second, if you can also help with the balance transfer trends across your different products, that would be helpful.
Ravindra Kundu : So, disbursement growth will be 20% to 25% and the AUM will be 25% to 30%. In the best-case scenario, 30%, but in worst case scenario, we will do 25%. The balance transfer is only

pertaining to LAP and maybe Home Loan, but Home Loan, we don't do much balance transfer.
Sures h Kumar : So, 45% generally of our disbursement, he is asking more about the disbursement. So, 45% of our disbursement comes from balance transfers, yes.
Avinash Singh: And what sort of a transfer, you are seeing, I mean , the loan going out of your portfolio maybe because of...
Suresh Kumar : Interestingly, out of the closures, about 40% are balance transfers. Out of the total closures.

Ravindra Kundu : You are asking the segmental growth for the businesses. We are giving cumulative for the Chola in terms of disbursement and AUM growth. As of now, segmental disbursement and AUM growth, we are not talking.
Avinash Singh: Yes, I ask that because on the CV side, there is kind of a b

it of a slowdown that's sort of expected.
Of course, now, incrementally, I mean, over the years, your non -vehicle portfolio also has gained size. And that is where we are trying to get an idea that, okay, if the vehicles were to slow down, and then, of course, on a larger basis, how much this can pull off, the non -vehicle. And that is why any color on that LAP or any sort of a new product you are thinking of, that should be helpful.
Ravindra Kundu : See, on the contrary, the vehicle number, CV number for the month of April, we got a cumulative number published or data from the manufacturer for April is actually looking better. So, if you take that number, the industry number, obviously, what we are committing or talking about 20% disbursement, including the new business growth and the mix of the disbursement and our spread in the country, because today, we are present in 1,300 plus branches and 600 RLS, so put together 1,900 touch points are available for us. And we are not only focusing on commercial vehicles , but we are also focusing on passenger vehicles , construction equipment, tractor, two-wheeler , three -wheeler, all used vehicle in commercial vehicle, passenger vehicle, tractor, and construction equipment. So, therefore, we are quite comfortable that we can deliver 20% growth in Vehicle Finance .
Avinash Singh: Quickly, last one, I mean, because you are now recently into passenger vehicles, and a lot of your passenger vehicles typically will be entry -level one. So, what kind of trend you are seeing in the passenger vehicle 's entry -level segment ? Because that has been under stress for quite some time.
Ravindra Kundu : It's been good only . For last year, it was actually a double -digit growth in passenger cars, and entry level cars, especially Tier-four, Tier-five towns also started seeing the sa les. So, that is helping us to get the number at our rate, because we are not into salary class, which is being funded by banks mostly. The self -employed customers are buying entry -level cars in Tier-two, Tier-three, Tier-four towns are actually our customers. We are doing that.
Moderator: Thank you. Next question is from the line of Dhaval from DSP. Please go ahead.
Dhaval: I just had two questions. First is on slide 67. Thanks for this additional disclosure on new business profitability. The question is, on each of these sub -segments, CSEL , SME and SBPL, how do you see the normalized PBT ROA over the next couple of years, and specifically on CSEL, if you could talk about the net credit loss after the FL DG, how does that stabilize in the next couple of years? So, that is the first question, the profitability of each of these businesses. The s econd is on slide 18 , you have given this new disc, I mean, color -coded your last 15 -year trajectory and given this idea of new growth over the last couple of years. Should we expect on

a more medium -term basis the current growth trajectory where we are? You know, over a period of time, that 's the CAGR that one should think of, somewhere around 25 to 30 odd percent over the next few years. And just if you could give some perspective on that, that would be useful, medium -term growth.
Ravindra Kundu : Yes, so let 's start with CSEL . CSEL is at 2.9. You asked a good question, actually. I am also asking Balraj to deliver more and more in terms of ROA. He is also committ ing to increasing it. We don 't want to disclose what target we have given to Balraj, but definitely we will go from 2.9, it will definitely go up. And in two years ' time, we will reach the peak. So, the opportunity to grow ROA will not be over in this year only. Next year also, we will further grow.
In SME, the ROA growth opportunity is slightly less than C SEL, but Pankaj is also committing that in the ne

xt two years he will be taking it up slowly. And SBPL is a great opportunity for us.
From 3.9, I mean huge number we can take it. I mean that is going to be one of the highest ROTA divisions in Chola. So, that's what we are committing, or Ashish is committing to me. I

am not committing to you. We are expecting that we will be touching good number in two years' time.
Coming to the NCL line, NCL line 4.4 of C SEL is actually 3.4 or less than 3.4. And as we basically, we also said that we have already decided, defined what would be our strategy in partnership. We have defined profile partners who are doing very well. So, including that, the performance of this C SEL partnership will further improve and NCL will go down. So, the ROA increase expected from two line . When the expenses go down, the losses will improve. And that is applicable for all SME and S BPL also.
Vellayan Subbiah: And your second question broadly, yes, is the answer to your second question.
Moderator: Thank you. Next question is from the line of Umang Shah from Kotak Mutual Fund. Please go ahead.
Umang Shah: I just have one question. Is there any one -off in the OPEX line item ? And also going forward, if you could just give us some color as to buy, when can we expect the operating leverage to kick in, given that we are anticipating good asset growth, how should we look at this OPEX line item going forward?
Arul Selvan: Yes, see, in Q4 generally, a lot of catching up have plans with regard to CSR expense, etc. So, in Q4, and then we also, Q4 being best of best quarters, I mean, you need to provide incremental incentives, etc. So, such one -off expenses happen every Q4, likewise this time also. And we stick to our original plan that we should be at the 3% to A UM as the OPEX line. We are working towards that. Yes, for the full year, we missed it by 10 basis points this year, but I think next year we should be there. We still work at 3% of keeping it below 3%.

Moderator: Thank you. Next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal: And again, thank you for providing the enhanced disclosures on that to your businesses. So, I just wanted to kind of take forward what you commented on OPEX . Sir, very clearly, I mean, if I look at the fourth quarter, employee expenses are almost 100% year -over-year. You just explained there are some annual incentives also. So, I just wanted to understand whether the annual incentives are always there in the fourth quarter, or if we kind of keep providing for it in all the four quarters.
And maybe a related question here on OPEX is, I mean, very clearly some of the newer businesses, because we were in investment mode over the last two years, were a drag, I would say. But now, how do you see economies of scale in the newer businesses, especially on the OPEX ? Arul sir, you have already guided that you want to stick to that 3% OPEX to AUM , but just some more color there will be helpful .
Vellayan Subbiah: So, we will respond to your question.
Arul Selvan: Abhijit , can you repeat the question?
Abhijit Tibrewal: Sir, I think, it was more on the OPEX again. Arul sir , you already guided that there were some annual incentives and CSR expenses, and that for the next year also we want to stick to a 3% OPEX to AUM . Just wanted to understand a lot of the drag on the OPEX , especially in employee expenses, could also have been coming from the newer businesses, given that we are expanding it to a greater number of branches. Just wanted to understand, I mean, for how long will remain in this investment mode in the newer businesses? What is the thought process there? Do we want to offer these three products, C SEL, SMEL , SBPL, across all our branches , is what I was just trying to

understand. Just some more color there on the OPEX .
Ravindra Kundu : Abhijit , I have mentioned that the ROA expansion for CSEL, SME, SBPL is going to come majorly from the OPEX reduction, because their now base is going up, and the productivity of the people who have been recruited in last two years have started delivering more, and we have seen that Q4 that they have delivered little better ROA than annual ROA and this is going to be continued because the branches are set . I am talking more from the traditional point of view because in the traditional they opened up branches and now they are delivering close to Rs.600 crore per month . That is going to go up with the same manpower .
They are going to increase definitely some more branches , but those branches will have the similar concept of Vehicle Finance where we are opening up RLS with the lesser manpower and then expanding it after achieving the threshold of the volume. So, that way expenses will be controlled, and they will go down from 5.1 for CSEL to, I mean , we are expecting reduction in a phased manner . Two years , it should come down to at least a good number.

And same SME, actually we see that SME, their expenses are 2.3%, which is higher than the

LAP, but their customers are finer than the LAP customers. So, obviously , they should deliver lower OPEX than LAP. That is what their target is. So, they are doing it. SBPL also, if you see that 13.4%, it will come down. So, in spite of we are expanding in all three divisions, we will be reducing our OPEX as well. And that 's the most important thing for increasing the ROA in these businesses.

Abhijit Tibrewal: Just one last question, sorry, two questions that I had. One is, sir, I mean, you have been hearing that the last two, three months, right, elections have had some slowdown particularly in the vehicles segment in terms of demand and activity. So, do you expect that post elections, post project presentation, maybe by August, September, when we kind of start the festive period, demand can start recovering ? That's the first question. Maybe the second question that I have. And the third question I had was, or to Arul sir again, sir, cost of borrowings looks like they are peaking out . Margins are stabl e for the last couple of quarters. How are we thinking about the cost of borrowings and margins now?

Ravindra Kundu : So, from the demand side, as you said is right . There are two things happening . One is the elections are happening till May end and June only, we will get a full month to start working in fullest capacity across the country.

Second is that it is Q1. So, both put together, there will be a slight slowdown in the first quarter. But as far as the vehicle industry is concerned, in the first month, in the month of April, we see that they delivered better numbers than last year. So, last year their growth was negative . This year they started with 80% growth . Across the other products put together, the growth has been actually (+20%) in April month. So, that is 26% growth over the previous April .

That is good news, because if at all it is a wholesale number, if the wholesale number is good, the retail number will be better in the months of May and June and our numbers are also in line with that. And this is only a new vehicle we are talking about . In addition to new vehicles , we have 34% used vehicles , we are doing it, and new vehicle means new commercial vehicle where the growth is 13% . New vehicles put together all other segments is 26%.

It looks like it is actually moving in the right direction and as we mentioned that the demand in terms of commercial vehicles has been on the lower side even in this last financial year also and we did better last year. That is because our used vehicle bu

siness has gone up from 27% disbursement portfolio mix to 34% disbursement mix and high yield businesses like two-wheeler, three -wheeler also we have done better. We will continue to do that and that is the reason we are comfortable in delivering 20% disbursement growth and 25% AUM growth in Vehicle Finance and the growth will start looking better in the Q3 onwards.

Arul Selvan: With regard to cost of funds, see the cost of funds we will endeavor to hold it at this level but as we widen the borrower profile from banks to other sources like ECBs, there can be a slight increase but we

will continue our negotiations to keep it at this level and hopefully by H2 as predicted or as expected , if there are reductions in the market , that should also flow through.

Abhijit Tibrewal: So, this essentially means that it 's still that 's good for a margin expansion given that cost of borrowings that you are suggesting could stabilize?

Arul Selvan: Right now, we don 't want to comment or commit anything on margin expansion. We are back to the pre -Covid levels . I would say we should be happy there. As portfolio mix changes, as cost of funds benefits come through or not come through, accordingly there will be marginal changes in the margin. But I don 't see any large shifts happening.

Ravindra Kundu : But ROA level, we are expecting that from 3.4, it can go up to 3.5.

Arul Selvan: 3.5. Overall,

Ravindra Kundu: And if you see that we have given 15 years data where the pre -COVID level, we were at 3.7 peak. But the cost of funds used to be 6.9 to 7.1 and at that time our income was 14.7. So, we are at 14.4. So, that income line has to go up. The income line will go up with the help of Vehicle Finance , which is actually a fixed rate, and we have been continuously doing higher yield business for the last one year. And this year, we will see that the income will go up.

Moderator: Thank you. Next question is from the line of Sandeep Jain from Baroda BNP Paribas Mutual Fund. Please go ahead.

Sandeep Jain: Just to, you know, addition to what Dhaval has asked about the new business, what kind of credit cost we are building in when we are kind of pricing, especially the SBPL and SME product ? Because it looks like the majority of them , apart from the yield improvement, you see the year - on-year credit cost is declined. And as a thought process, how provision coverage will look like for this new business ? It would be lower than the Company overall provision coverage business, or you would like to have higher provision coverage on these two, three new businesses.

Arul Selvan: Yes, see these loan losses in the new businesses, you know, in SBPL, if you are asking, it will increase the rate over the years, but that would be more than offset by the savings in OPEX as Ravi was saying earlier. So, SBPL is a slightly riskier business where the loan losses will be

slightly higher. But this is the trend of the industry, but we will try to keep it lower.
But with regard to the provision coverage, we are now adopting a provisioning percentage, which is not really driven on the ECL model , because we do not have adequate data, past data to prove it, we have taken industry norms and built sufficient incremental provisions over that to make sure that they are conservative. As we reach three years of full running of these businesses, we will start creating PD/LGDs for this based on our own experience.

Sandeep Jain: So, just to elaborate it more, if I look at the current provision coverage ratio of all these two, three new business, it is somewhere around range of 33% for SME or 25% for SBPL kind of thing, right? The Slide # 29, which shows . Yes, so, in terms

of going ahead, probably when the
ECL model has not developed, so just to understand the thought process, whether we would like it to somewhere around 50%, 60%, and then the ECL model will develop, then we will see the what is the current thing which is happening, because currently also ECL model has not been developed, right?
Arul Selvan: Right, see, but that is why you see a difference in the provisioning for C SEL, which is an unsecured business where we have taken to 50%. And within Stage -3, different provisioning numbers prevail with regard to the aging of the book even in CSEL . And SME is actually the most diverse business . Still, we are providing almost 39 -40% out there, which is as good as LAP or HL where we are creating similar provision coverage . It’s actually better than LAP and HL, because the customer profile is different .
If you see the pyramid in slide #14 , you will see that it is the best quality customers out there in that segment. SBPL, it will increase a bit . Right now, because it is a very small number, and right now the portfolio which is in Stage -3 is very small, it is reflecting like that, but as it moves up, it will increase as I said earlier.
Moderator: Thank you. Next question is from the line of Alpesh Jatin Mehta from 360 One Asset Management Company , IIFL Asset Management Company . Please go ahead.
Alpesh Jatin Mehta: Sir, just one clarification. There is a lot of confusion related to these growth numbers . So, I think we are talking about overall AUM growth of around 25 % to 30 %, disbursement growth of 20 % to 25 %, the lactose within the growth rate will change. Is that right?
Ravindra Kundu : Yes.
Arul Selvan: Yes, AUM growth around 25 %, keep it simple. Let ’s not have any band and all . Let’s say, 25%, right? Because as we go into Q1, Q2, and we know more clarity emerges on the monsoon and post elections, we can come up with a little bit more specific number . We better, we are always conservative. Yes.
Alpesh Jatin Mehta: Okay. So, looking at the current thing, are you, at least you are confident about 25% overall AUM growth?
Vellayan Subbiah: Yes, correct.
Alpesh Jatin Mehta: And secondly, sir, I see the reason we have done during the course of the large investments into a corporate office. So, any rational related to that if you can provide ?
Ravindra Kundu: Purchase land.

Arul Selvan: Yes, we purchase d the land to build our own corporate office. We are actually, right now we are working out of more than four or five centers within Chennai itself . So, we needed to bring all of them together. And we thought it would be better , and it was a general consensus among the management and the Board to look for a big corporate office and build it up. It will take two, three years to complete the whole construction, et cetera, but this is the first step towards that.
Alpesh Jatin Mehta: But at least it will not have any immediate benefit on the P&L per se. Whatever benefit that will occur, that will come after two or three years.
Arul Selvan: Yes, correct. It will happen once we move in, we will save some rent, but that would be the way.
Alpesh Jatin Mehta: And just lastly on the repayment rate . Since we are talking about 20% disbursement and 25% AUM, that means the longer duration product concentration within the overall mix is increasing.
And that is where you are confident that the repayment rate at the overall level will come down.
Something like that.
Arul Selvan: The LAP and HL are slightly longer ten ure book. SBPL will also be a longer ten ure book. CSEL is a much shorter tenure book. So, amongst them, there will be some carry forward of the longer tenure book in Q4 .
Moderator: Thank you. Next question is from the line of Viral Shah from IIFL Securities. Ple

ase go ahead.
Viral Shah: Actually, I have two questions and if the operator permits, I will add one more. But to begin with, you mentioned that the new business profitability will improve, right? But will it still be higher than the overall Company level ROAs? So, right now we have a PBT ROA for FY ‘24 of 3.6%, whereas the new businesses are at 2.4%.
Arul Selvan: Yes, it will improve. It will improve. Again, as Ravi was saying, their OPEX should come down and so there will be a reasonable shift in that year.
Vellayan Subbiah: Yes, but on a weighted average basis across the new businesses, it will be higher than the ROA of the overall Company .
Viral Shah: And Vellayan , do you want to give that number? Like what could that ROAs look like steady state?
Vellayan Subbiah: You already asked Ravi for that number. We said we won’t give that number. So, I think we have given you enough guidance and you know that we don ’t get too particular in guidance at a segment level. But there is enough guidance to give you an indication, obviously, and we have indicated at a weighted average level overall, it will be higher for those three businesses .
Viral Shah: Fair enough. And so on, basically the LAP segment , over there, the credit costs for the last two years have been fairly, I would say , closer to nil. And of course, we have seen a tremendous improvement in the asset quality also over there, but how long can this say a nil kind of credit

costs continue in that segment? And consequently, if say it normalizes over there, how would our overall credit costs look like given the mix change also in the picture?
Ravindra Kundu: We are pushing Suresh to continue.
Suresh Kumar : So, yes, I think if you can see the Stage 3 numbers, it has significantly kind of we have resolved it. That ’s why in the current year you look at such a loan losses reversal. But yes, I think that reversal is kind of coming down. On a steady state, anything between 20 paise at about 25 paise will be v good . And I think that ’s our target NCL that we will range between that number between 20 paise and 25 paise .
Vellayan Subbiah: Then the question is whether any increase in losses or normalization will be offset by a reduction in OPEX .
Ravindra Kundu : One is it OPEX reduction they are planning and then they are also planning to do income increase through their micro -LAP income they have created .
Ravindra Kundu: So, yield improve.
Suresh Kumar : So, overall, the ROTA will still be maintained minimum at this level. Yes, Ravi is just sitting next to me, so definitely it will be more than that. We will maintain that.
Viral Shah: Fair enough. And sir, last question. Can you give us a sense of what is the average tenure of the CSEL and the SME book? The reason I am asking that is to get a sense of how seasoned right now the portfolio is and the numbers that we are seeing , and how can it be relatively when it further seasons?
Balraj Menon : Average tenure is around for C SEL book is on the traditional book is around 44 to 48 months.
Vellayan Subbiah: And the weighted average will come down because the other product s are much lower .
Ravindra Kundu : Yes, this is only traditional.
Balraj Menon : 48 is total book.
Balraj Menon : Average is 44. Only traditional I talked about.
Vellayan Subbiah: Only traditional. So, if you bring it everything combined , it will come down to a bit under 3 years.
Arul Selvan: Some of them are door to door , so the average will be in the range of around 3 years for CSEL and in SME it will be around 5 to 6 years.

Pankaj Murpani : Three products. Equipment finance we do , that is close to 5 years in equipment finance. Term loan w

ould be close to 10 years and supply chain is only 90 days bill discounting . So, there are 3 major products in SME. So, this is the tenure .
Viral Shah: In the weighted average tenure , do you want to give out that for SME?
Arul Selvan: It will depend on the mix as we keep moving between the products because as we keep , we have to look at what products we are focusing on. So, we will work out with that as we move and develop each of these products.
Moderator: Thank you. Next question is from the line of Pranuj Shah from J.P. Morgan . Please go ahead.
Pranuj Shah: Just two questions on my side. One is your standard cover on stage 1 and Stage -2 are reduced. I am assuming your PGD and LGD assumptions have improved. So, in that context , do you have or lowering your guidance for credit cost for FY ‘25?
Arul Selvan: So, see, w hat happen s is every year we have to include the current year PD /LGD and build on

that. So, as you know , it was a little higher during the COVID period. Now as we are performing better this year 's contribution comes into place. So, that will be going like that. If we continue to maintain this trend , it should , but right now don 't count your chickens right now.
Pranuj Shah: No as such credit cost guidance that you would want to provide as of now ?
Arul Selvan: No
Pranuj Shah: And sir , just one last question was on the SRTO profitability . Like we have seen new vehicle and also used vehicle prices rise about 25 -50% over the last one year. So, could you just make a comment on how you are seeing SRTO profitability move about on the overall EMI repayments?
Ravindra Kundu: So, I was talking about the SRT O profitability. Yes, SRTO profitability is mainly depending on fuel consumption and that is actually the fuel prices have little gone down a little . Second is that SRTO also decided not to go into the heavy commercial vehicle segment of new. And they decided to basically stay in the intermediate commercial vehicle or the used commercial vehicle. That is the reason we are also focusing on used commercial vehicles . But we are not focusing more on heavy commercial vehicles . Because the heavy commercial vehicle is more beneficial to the captive users and large fleet operator who are getting the GST benefit also. The SRTOs are not getting benefit but the prices of the vehicles are much lower there. EMI affordability is also good. So, that is the difference in the SRTO and the other segment of the customer who are operating in the commercial vehicle use d segment.
Pranuj Shah: So, also the previous SRTOs were used to go for new vehicles are more preferring used. Is that the understanding?

Ravindra Kundu: Yes, that is correct.
Moderator: Thank you. Next question is from the line of Sunil M. Kothari from Unique PMS. Please go ahead.
Sunil M. Kothari: Sir, congratulations for such a wonderful performance during last year and then 5, 10, 15-year, commendable job you are doing. Sir, your view, macro view on the competition intensity by banks, private, public, they are moving inside the country from Tier-2 to 3, 4, 5, then other small NBFCs and small finance banks. If you can throw some light and your understanding about the intensity of competition will be really helpful.
Ravindra Kundu : Yes, so as we maintained and mentioned in the past also, the banks are more into the top of the pyramid and in the urban market, salaried class and with financial class category of the customers. We are in the self -employed category of the customer and Tier-2, Tier-3, Tier-4 town and as we see the growth coming in the country, economy is growing, the bottom of the pyramid of the category of the cities are also doing better. And small commercial vehicle, light commercial vehicle , used, loan against property, smaller ticket si

ze loan or affordable housing
or SME smaller ticket size loan or equipment finance or business loan, consumer loan , those things are growing better where which is basically being funded s till by the NBFC in the smaller finance companies and is going to be continued because we are a developing country and this developing to developed country will take another 20 years for reaching to that level and we will be definitely growing because of the opportunity available in the country.
SBPL is another product which provides funding to the SME segment, small micro -SME segment and if India has to grow, the small SME has to grow. There are so many grocery shops or small , small merchants are there who are now increasing their sales , but they need capital . They need funding which we are providing and those are actually with collateral secured funding and doing well in the market. We need to identify such customers, such markets , and also ensure that our processes are very clear , and we don 't get into any kind of wrong processes in the process of lending customers.
So, evaluation of the property, evaluation of the customer, the evaluation should be absolutely right. Then you can even be self-employed customer who are not in position to produce income proof, but they are doing better.
Sunil M. Kothari: Sir, your view on intensity of competition compared to say last year or two . Do you see now people are realizing that there should be some sanity in terms of pricing because we heard a lot about the mortgage business getting like this like competition. So, what 's your view?
Ravindra Kundu : There are three situations. One is that if the newcomer comes , then they try to basically do higher LTV and lower pricing and give higher payout incentive to the person who is actually sourcing. So, we are not into that game and that is happening more in the urban market, not in the rural

market. The rural market challenges are collection, evaluation, process, and people. So, our reach is basically helping us to avoid that competition in the urban market.

As far as the competition is concerned, we don 't see in our segment , competition is that intensive because we are more into the middle of the pyramid into a smaller town with a smaller customer where our people who are actually working with us for many years are consistently working.
And here , the main challenge is how can you retain and how can you train and how can you get the job done without deviating processes, which we are doing.
Moderator: Thank you. Next question is from the line of Kunal Shah from Citi Group . Please go ahead.
Kunal Shah: So, firstly on yield side, if we purely look at it in terms of the interest income trend and at the AUM, then it seems there is some maybe the moderation out there in Q4. Last quarter, you indicated that we should see some benefit as marginal book yield is higher, marginal yields are higher than the book yield and we should see some rep ricing benefit. If you can just help, maybe how should we look at the yield trends ?
Ravindra Kundu : So, you are talking from the Vehicle Finance side or from the overall Company side?
Kunal Shah: No, from overall perspective if you look at it , because interest income , that number is broadly overall . And so that 's where it is.
Ravindra Kundu : So, it is better to see page number 18 , which is the 1 5 years sheet , which we have given. Total income to assets is actually 14.4 and RO A is 3.4 . Our peak RO A was 3.7 in 2018, FY '18 when the income was 14.7, the cost of fund was 7.1, now it is 6.9. So, similar situation. ROA was 3.7 . So, our target is to take 3.4 to 3.5 and 3.7 by increasing the income from 14.4 to 14.7 and improving the OPEX line. So, we are more or less very close to the peak number is just the OPEX is 10 b

ps high, and our income is 30 basis point lower. This 30-basis point income , which is lower , is going to come back because we have two types of books .
One is fixed and the others are floating. The SME , LAP and HL are the floating book where the reset has been done, but Vehicle Finance is actually the fixed rate book where it takes two years to basically come back to the peak level of the income line , which is actually now this year we are going to get back. So, that's the next what is the plan, like how to reach out to 14.7 and deliver 3.7 in next two years' time .
Kunal Shah: Absolutely . Sir, I agree on the overall income side , but there is an element of fee income led by more of insurance also , which we reclassified last time. So, maybe the income seems to be slightly elevated because of this fee income stream, but if we adjust for that then the only thing was maybe overall on the pure interest income that seems to be moderating . So, that was the question. I agree completely on the overall income side because of the fee income pool.

Arul Selvan: Fee income now gets amortized . It is not like you get bulk when you do more disbursement etc . Under Ind AS, it has to be amortized . Similarly , the cost element of that vehicle also gets amortized. A long time back when we were in IGAAP , we used to up front both, that is the fee income was up fronted and the cost also was fully charged up. So, it won 't make a big difference . There have been no visible shifts in those numbers . So, they will run as per the normal process.
Kunal Shah: And between fee income and the OPEX , would there be any overlap or reclassification which is leading to both the line items slightly higher this quarter?
Arul Selvan: Yes, that is the OPEX relating to the insurance income generation comes to us also, no? Because earlier that fee and ...
Kunal Shah: Yes, so last quarter that was 160 odd crores . I don't know, maybe the exact amount, but what would be that quantum this quarter if we have to look at it?
Arul Selvan: I cannot disclose the individual numbers, because sometimes it all depends on various factors like some businesses, some locations, people will be multitasking , some there will be specific people . So, accordingly the cost gets allocated, but we can 't go too nitty -gritty into that right now.
Moderator: Thank you. Next question is from the line of Raghav Garg from Ambit Capital . Please go ahead.
Raghav Garg: I just had a few questions . The first one is just to harp a little bit more on the OPEX line item , your employee cost growth is about 100%, whereas your employee base has increased only by 20%, which implies steep escalation in salaries. Now I understand that you would have given incentives as well, but I have been looking at this trend for the last three quarters at least, where the cost for employees has been increasing at some 9 ,200, sorry 50 % to 70% . So, how should one read that ? That's my first question.
Arul Selvan: No, see we have also during the year, I think somewhere in the middle of second quarter or fag end of second quarter, we shifted the large part of our outsource d employees which was in a separate Company , catering only to us on to our payroll . So, from an outsourcing cost , it moved to salary . So, that is one large reason. Of course, the expansion of the various businesses in newer geographies and the growth in those divisions have also increased the cost there . This is why the salary cost looks a little inflated.
The other part which I said earlier, the insurance part of the cost also comes into the salary cost now, because these employees are also now working under Chola for generating the insurance

income.
Raghav Garg: My second question is on the write -offs. So, as per

my estimates, I think that comes to about 370
or 380 crores for the quarter, which if I look at as percent age of the opening GNP A, that's about
9%. It 's trending higher in the last two quarters versus, you know, what we have seen in several

quarters previously , a run rate of around 5 %, 6%. So, why is that? Which segment are these
write -offs coming from? Would this primarily be the new business segments?
Arul Selvan: No, as the business grows, these things will also in absolute terms look inflated, but as
percentages , they are within the numbers which we are targeting. See, we have always indicated
or given a sort of guidance that NCL as a percentage would be in the range of around anywhere
between 0.8 to 1.2. We are at 1.1 right now at the Company level. So , we are comfortable with
these levels.
Ravindra Kundu: Another thing is that it was actually consistent from the last quarter itself. The write -off number
is actually same as Q3 actually . It is that same level. And we mentioned that no, from Q3 or Q2
level, the write -off in the case of partnership is now coming in our book. So, that is the reason
to that extent, the write -off is slightly higher, but it is same level as Q2, Q3, Q4.
Raghav Garg: Just one last question from my side on the Home Loan portfolio. So, you know, when I look at
the last several quarters, your disbursement growth has been pretty high in the quarters where
you expanded the HL branch network pretty significantly. But if I look at the last two quarters,
the HL network has expanded only by 3% to 4% quarter -on-quarter. Does that also mean that
your disbursement growth will slow down from, say , the current run rate of 24% in the coming
quarters or over the next two years? Some color on that would be very useful. Thank you. That 's
all from myself.
Prashanth Kumar : For the HL, we see that we will be better than the expected market growth. Generally , the trend
is 14 % to 17%, the industry average . We will be at least at 25% growth for the Q1. We are
expanding the network. The current plan is to sustain and increase efficiency because this is the
year I want OPEX has to come down because as a Company , we are focused on increasing
efficiency .
So, we will be focused on productivity and ensure all the collection team members are in place
in every branch . The second part of the year, you will see the growth towards, we are
experimenting the Taluka level explorations . That's Tier-three, Tier-four rural market. So, we
are piloting that project, and we will see the expansion of that during the second half of the year.
Moderator: Thank you. Next question is from the line of Anurag Mantry from Oxbow. Please go ahead.
Anurag Mantry: Two questions. One is on the SBP L. So, if I heard correctly, I think you mentioned that the cost
of this can probably inch up a bit and that it can be offset by OPEX . Just wanted to understand
if you compare say your credit cost of, I think 60 bps in FY '24 versus say a Five Star, which is
even the others large listed there in this case. I think their FY '24 credit cost is like 30 b ps. So,
just wanted to understand the comment of why do you think that this credit cost in this segment
can inch up a bit? And if you can indicate any range, you think there it can inch up.

And the second question is on the used credit side. So, over the last few years, a lot of players
have basically been focusing on the use d segment post -COVID, including some of the larger
banks. So , do you see that putting any pressure on the yields overall or do you think that the
overall pie has expanded as you said SRTO….
Ravindra Kundu : So, the first question is the SBPL whereas of now, the net credit cost is

0.6%. So, we are going
to try, we are going to keep it at this level o r slightly it will go up and at the industry level, one
Company who is basically similar, you know that, and you have mentioned that their credit cost
and we will do better than that. That is for sure.
Second is that in the case of used business, as we mentioned that our reach is much bigger than
the new companies who have started doing it. And all those new companies are actually
experimenting mainly in the urban market where the rates are slightly lower , but the majority of
the business is happening in the smaller towns and the re the yields are better and that is the
reason at an overall level , we have not seen our use d business yields are coming down as of now.
Moderator: Thank you. Next question is from the line of Raj iv Mehta from YES Securities. Please go ahead.
Rajiv Mehta: I just have one question left. What will be the recent trends in bounce rate and forward -flow in
CSEL and is the Stage -2 level there coming down or stabilizing? Just wanted more visibility o n
the future NTF?

Ravindra Kundu : Bounce rate is at around 9% C SEL traditional business .
Rajiv Mehta: And is Stage -2 coming off there?
Ravindra Kundu : No, both bounce rate and Stage -2 are maintained at the same level. There has been no increase in the last three quarters.
Rajiv Mehta: And just one data. This micro -LAP, we are low -ticket b etter yield ing LAP product within the overall AUM and in overall disbursement, w hat has been the trend there?
Suresh Kumar : So, micro -LAP is part of the LAP product. So, what is the trend you are asking for? Sorry.
Rajiv Mehta: Share in disbursement in AUM .
Suresh Kumar : So, it's about currently, on a monthly disbursement level , that 's about 10 -12% of our LAP disbursement is our micro -LAP disbursement.
Moderator: Thank you. Next question is from the line of Bunty Chawla from IDBI. Please go ahead.
Bunty Chawla: Most of the questions have been answered. Just one point. On the slide, you have given the margins improvement on a quarter -on-quarter basis, which is approximately 40 bps. So, if we

see that has been given by the yield increment . Have we taken any price hike during the quarter or is it just due to the business mix change? If you can just throw some light on that ?
Ravindra Kundu : So, in the case of Vehicle Finance , we have increased the prices in the month of December across all product segments and that has helped us to increase the yield further. But that is on the marginal book hold.
Suresh Kumar : So, on the LAP side, we have done both increase in the marginal yield as well as we have done a price reset of 40 paise . But that 's only in the month of March. So , we cannot have much effect on that. But the primary reason is the marginal yield increase.
Bunty Chawla: So, can we say as previously we have shared that cost of funds seems to be peaked out and if there is no rate hike or stability in repo rate, there should be further improvement in the margin because incremental yield should go ahead because of the rate hike taken ?
Arul Selvan: No, it is possible. But I would right now hold . As I said , that's all that is put together is what is the improvement in the ROT A we are talking about. Let's see as we progress into the year where the cost of funds settles down. Because there are other things, we have to look at it . As we widen the base for borrowing , that can be an incremental cost like ECBs or public debt, etc. But we will watch it and right now we don 't want to over promise on those numbers.
Bunty Chawla: So, as you given the 15-year data, what we have observed in last three years, there has been a decline in the margin. So, just need to say that at least we can sustain this 7.5% level on a full - year basis a

t least.
Arul Selvan: Yes, you can say it like pre-COVID levels, we will be back to pre -COVID levels.
Moderator: Thank you. The next question is from the line of Bhavya Sanghvi from Fortress Group. Please go ahead.
Bhavya Sanghvi: First of all, many congratulations and we appreciate the disclosure on the different businesses. My question is actually on geographical expansion. So, we have seen that the new businesses have been co -located with the Vehicle Finance branches. So, what are we doing to enhance the capacity in the branches going ahead , so geographical expansion itself ?
And the second question would be on the fee income . So, we have seen continuous improvement in the fee to assets as a percentage. So, what is the management 's outlook and things that you are doing to improve the fee mix ?
Ravindra Kundu : So, good one that the all the branches are co -located and whenever the branches are having a const raint in terms of the place , we are actually relocating . So, every year we are doing two things . One, the new branch opening and as well as the relocation of the branches . So, almost

20% of the branches are getting relocated because they need more space . We have done that in this last financial year also .
Almost 300 branches basically expanded . That means we have opened up in new premises , which are larger than the existing ones, and at the same time we have opened up the new branches close to 300. We have 545 RLH operational for Vehicle Finance where they are going to convert them into branches in time to come once they start hitting the threshold. But now as and when they start hitting the threshold , we are creating provision for other business lines also because within a year or two years' time , the other business will also start coming . So, from the beginning itself we are trying to basically get bigger premises for the new branches as well.
Bhavya Sanghvi: Sir, on the fee front, what are the management taking efforts to enhance this ?
Ravindra Kundu : We have been continuously working on the fee side whether it is a disbursement fee or it is an insurance cross sell or it is a collection fee. All we are working with is a part and parcel of the

business because the business is growing. Obviously , the fee part is in terms of percentage it is maintained . And as we mentioned that it is not that at all bases, we are taking the interest . It is not upfront income we are booking it . It is an amortized fee income which is coming in our book.
Moderator: Thank you . Next question is from the line of Vikram Subramanian from Marshall Wace . Please go ahead.
Vikram Subramanian: I just wanted to get some clarification on the overall ECL cover. So, there is something that we have been noticing has been steadily dropping. So, now the overall ECL cover is at about 170 bps on the total portfolio. I understand the portfolio quality has been improving steadily and is at a very good stage right now , but is there any plans to create some macro prudential provisioning given we are at a very good credit cycle and this is a good time to create some buffers for some time later when cycle could turn bad and also given the fact that 170 b ps seems a bit low ? I just want to know at what point you might consider creating such a provision. Is it based on a timeframe or is it based on any early warning signals?
Arul Selvan: See the provision coverage is a derived number based on the PD/LGDs of the respective products. Now , on top of it , we are also building a macro -based provision requirement. Actually , this time the macro projections are also done by an external consultant and the macro projections because the GDP growth and all other factors are positive.
So, the macro provisions also we could not make any large incr

emental provisions on that
because we are constrained with making provisions within the model. We cannot on our own increase it to 2% or 2.5%. If the portfolio is behaving well , then that is reflected in the PD/LGDs and accordingly provision needs to be made. Only in the period of COVID , we made a management overlay because of the uncertainty in the environment. Unfortunately , Ind AS does not allow us to create incremental provision.

Having said that, I want to mention that as compared to RBI provisioning norm, w e are almost Rs.700 crores above the norm. So , the portfolio quality is good . The NPA numbers are lower . So, accordingly , these numbers will come. If you are looking at it on an overall basis, because stage 1 and Stage -2 numbers will drive down, because they are the denominators, it will drive down this ratio . My stage 1 is good. So, it shouldn 't be that we should penalize when my stage 1 is larger and make it like, no, no, my provision coverage is not adequate. The provision coverage is to be looked at on the NPA numbers, which we have maintained at the 45% numbers, which we have increased to 46% or so, which is around 45-46% numbers, which is where the risk lies, and we are having adequate coverage.
Vikram Subramanian: That's clear. I also ask because on stage 1 as well there seems to be some reduction in coverage, but thanks for that answer . That's clear. If I may just, can you give some color on what the current PD and LGDs are for?
Arul Selvan: No, no, we cannot give those numbers. These are not one single number per se. Even for every product, there is so much in sub -segment w ise classifications. The break -up of the segments, we have covered it in the presentation. I think it 's there in the ECL policy note, which is on the website.
Moderator: Thank you. Next question is from the line of Piran Engineer from CLSA. Please go ahead.
Piran Engineer: Just one question on the funding side. Just wanted to understand how is the incremental cost of funds, not just from banks, but across all types of creditors moved over the past quarter with the risk-weight guidelines? And secondly, is there any cost difference, or rather how much is the cost difference between securitization and pure bank borrowings?
Arul Selvan: See, it all depends on the nature of asset that gets securitized vis -a-vis, you know, bank borrowings and where we give underlying assets. In both cases, we leverage priority sectors. So, if there is a priority sector segment, then there is a benefit of around 25 to 40 b ps, depending on what sort of priority sector assets we provide. Like, there is a larger benefit on Agri assets and a smaller benefit on M1 category or M2 category of MSME. All this needs to be supported by documents like land documents for Agri, as well as Udyam certificates for others. So, there will be differences between each of these lending or borrowing profiles. Independently, I cannot discuss the pricing of each vertical because that by itself is sensitive information, as well as not publicly available information.
Piran Engineer: And just on how incremental cost of funds have trended, say, since November?
Arul Selvan: No, that 's already given We have held, we have brought it down marginally. If you look at the full year, we are at the 6.9% levels, which we have talked about on an A UM basis. And on a borrowing level basis, it should be in the range of around 8%.
Piran Engineer: So, that has not moved up? Like, that 's not changed really.

Arul Selvan: Piran, it will keep moving depending on mix. It’s not like if I keep doing more of short -term, long-term securitization, it will move. I mean, you have to look at it. I think the numbe

r of
discussions we are giving itself is quite exhaustive . So, I think we can ’t extend this beyond this.
Moderator: Thank you. Ladies and gentlemen, which was the last question of the day. I now hand the conference over to Mr. Nischint Chawathe from Kot ak Securities for closing comments. Over to you, sir.
Nischint Chawathe: Thank you for giving us an opportunity to host the call. Thank you very much and have a nice day.
Arul Selvan: Thank you.
Vellayan Subbiah: Thank s everyone .
Moderator: Thank you. On behalf of Kot ak Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

"Cholamandalam Investment and Finance Company Limited
Q1 FY '25 Earnings Conference Call"
July 29, 2024

MANAGEMENT : MR. VELLAYAN SUBBIAH – CHAIRMAN AND NON-EXECUTIVE DIRECTOR – CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED
MR. RAVINDRA KUNDU – MANAGING DIRECTOR – CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED
MR. ARUL SELVAN – PRESIDENT AND CHIEF FINANCIAL OFFICER – CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED

MODERATOR : MR. NISCHINT – KOTAK SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Cholamandalam Investment and Finance Company Limited Q1 FY '25 Earnings Conference Call, hosted by Kotak Securities. As a reminder, all participant lines will be in the listen -only mode. And there will be an op portunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Nischint. Thank you, and over to you, sir.

Nischint: Good morning, everyone. Welcome to the Earnings Conference Call of Cholamandalam Investment and Finance Company Limited to discuss 1Q FY '25 performance and share business updates we have with us, the senior management today. The senior management is represented by Mr. Vellayan Subbiah, Chairman and Non -Executive Director; Mr. Ravindra Kundu, Managing Director; and Mr. Arul Selvan, President and CFO. Let me start by first of all, congratulating Mr. Kundu on the elevation.

I would now like to hand over the call to Vellayan for the opening comments.

Vellayan Subbiah: Okay, Nischint, thank you so much. So quick results for the quarter. Disbursements were at INR24,332 crores, which is up by 22%. AUM stood at INR1,68,832 crores which is up 38% year-on-year. And net income for the quarter was at INR3,033 crores, which is up 43% year -on-year. PAT is at INR942 crores for the quarter, which is up 30% year -on-year.

So, I'll just go through quick performance highlights. The Board approved the unaudited financial results for the quarter ended June 30, 2024. Aggregate disbursements, as I said, were INR24,332 crores as against INR20,015 crores in Q1 for a growth of 22%. Vehicle Finance disbursements were at INR12,766 crores in Q1 as against INR11,301 crores in the same quarter last year, which is a growth of 13%.

LAP is at INR3,874 crores of disbursement as against INR2,679 crores for the same quarter, which is a growth of 45%. So that has grown strongly. Home loans have disbursed INR1,778 crores in Q1FY25 as against INR1,454 crores, which is a growth of 22%.

SME business disbursed INR2,160 crores in Q1FY25 , which is a growth of 6% over INR2,045 in the same quarter last year. Consumer and Small Enterprise loans disbursed INR3,486 crores in the quarter as against INR2,355 crores, which is growth of 48%. SBPL, Secured Business and Personal Loans disbursed INR268 crores as against INR182 crores, which is a growth of 48%.

Assets under management as of 30th June 2024, stood at INR1,68,832 crores as compared to INR1,22,755 crores as of June 30 , 2023 , which is a growth of 38%. PBT for Q1 FY '25 was INR1,268 crores, which is a growth of 31%. And PBT -ROA was 3.2%. ROE for the quarter was 18.9%.

The company continues to hold a strong liquidity position with INR 14,324 crores as cash balance at the end of June 2024, that includes INR1,551 crores in GSEC , INR1,606 crores in T - Bills and INR611 crores in Strips shown under investment, with a total liquidity position of INR14,767 crores, including undrawn sanctioned lines. The ALM is comfortable with no

negative cumulative mismatches across all -time buckets as per regulatory norms. Consolidated PBT for the quarter was at INR1,275 crores as against INR956 crores in Q1 FY '24 with a growth of 33%.

Stage 3 levels representing 90 + dues increased to 2.62% as of June '24 from 2.48% at the end of March '24. GNPA percentage as per RBI norms increased to 3.62% as of June '24, as against 3.54% as of March '24. NNPA as per RBI norms also increased to 2.37% as against 2.32% of March'24 . NNPA is below the threshold of 6% prescribed by RBI as a threshold

for PCA.

The capital adequacy ratio of the company was at 18. 03% as against the regulatory requirement of 15%. Tier 1 capital was 14.76% with common equity Tier 1 capital at 13.63% as against a regulatory minimum of 9% and Tier 2 capital was at 3.27%. I would also like to firstly congratulate Ravi Kundu, who will take over as MD, effective October 7. Ravi has been with us for 24 years. And I'm really glad that somebody that has been kind of grown in the company from within has taken over as the MD. And I have full faith that Ravi and Arul and the entire team here will continue to grow Chola over the foreseeable future as we see.

So, I'll stop with that and thank you. I'll turn it over to you for questions.

Moderator: Thank you very much. The first question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: Congratulations to Mr. Kundu for his elevation to the position of MD. A couple of questions. The first one, if you can help us understand, if we see the PCR in LAP and SME segment, you have taken down materially. So, what is driving this sort of -- what gives you, in this quarter, particularly, where you see some kind of rise in delinquencies and also, I mean, so the PCR reduction in these 2 segments or the LAP and SME material, what is driving that? And the ECL in the vehicle seems to be inching up, I mean, of course, the Q4 to Q1 is typically seasonality, but even if I take on longer -term trend also there's a jump. So, this bit if you can clarify?

Second , yield in the vehicle segment seems to be sort of had come off. Is it because of some mix of vehicles that had changed in your portfolio this quarter or something else?

Arul Selvan: Yes. I'll address the ECL part of LAP & HL. In both these segments, what is happening is we have been resolving a lot of these old cases which were running with much higher provisioning percentages. And that's what you saw over the period that the resolutions have come down, and we have been able to resolve them. So as this book runs off, that is there are old cases with higher provisioning runs off, you will see that the provision coverage seemingly coming down. But basically, the LGDs are very, very low, actually, and we are still following a percentage which is not even as per the LGDs given as per the trend of this portfolio, but much higher than the numbers which we need to adopt. So, this is the status, and we are comfortable with PCR of these segments . Ravi, do you want to talk on that?

Ravindra Kundu: Yes. So, the yield of Vehicle Finance, as we mentioned in the past also, is a fixed rate book and it requires time to grow. And today, also, if you just compare the marginal book yields , we have increased it by almost 60 basis points and NIM has gone up by 30 40 basis points. So, there is still some room for NIM increase , which is going to be done partially this year and then

something will be coming in next year also. As far as delinquency is concerned , you have seen that it is a seasonal effect, and it normally goes up from Q4 to Q1.

The Vehicle Finance or even in Chola, if you see that, the total delinquency is actually 5% between Stage 2 and 3 and is at rock bottom level. In fact, it has gone up by 30 basis points for the company in Stage 2 and 15 basis points in Stage 3. And it is much lower than the quarter 3 closing of 3.06% in 2023. Over the period, we will definitely reduce it. Last year, quarter 1 and quarter 2 to take Vehicle Finance, it went up from 1.5% to 1.7%. And then from there, it started coming down and we c losed the year to 1.20% in terms of net credit cost.

So, this year, I'm expecting that the trajectory will be, from Q2, it will come down and then Q3, Q4 further it will come down and will reach to the level of 1.2 or 1.3. And the NIM will go up.

So, at a ROTA level, we are goi

ng to get benefited. Our profit and disbursement growth in terms of Vehicle Finance will be much better than last year.

Moderator: The next question is from the line of Raghav Garg from Ambit Capital.

Raghav Garg : Just to have a bit more on the credit cost for the Vehicle Finance business. So , if you compare it to last year, there is still an increase and the opex ratio for the Vehicle Finance business have also increased. What's leading to this increase? Especially when I noticed that your disbursements have been higher for the larger ticket s ize vehicles because I would assume if that's the case then the asset base is larger, and at the margin, the opex ratio should not increase as much. Some colour on that. That's my first question.

Ravindra Kundu: In the case of Vehicle Finance operating expense, we re at 3.12% as compared to 3.18% level until March closing and as compared the same period, it has gone up by 20bps . And if you compare the quarter 4 number, it was 3.18% . So, we are well within our plan as far as number is concerned. As for the NCL is concerned, we are actually up by 30 basis points of 1.45 last year to 1.87. But the Stage 2, Stage 3 are actually lower than the quarter 3 closing. We are, as I mentioned, that both Stage 2, Stage 3, historically, for Vehicle Finance as well as the company, we are at the rock bottom level.

So, in the Q1 because of the seasonality, it has gone up by 20 basis points in terms of Stage 3 and 30 basis points Stage 2. If we are going to reduce it over the period, I mean we come back to the normal level last year and we closed the year with NCL at 1.20%. We will be near to that level this year and with the help of the NIM growth and also in terms of Opex level where we are, we will definitely increase the ROTA to the last year's closing. We closed with the ROTA at 3.35%, we'll be near to that or will improve from 3.3 5% ROTA.

Raghav Garg : And sir, my second question is on the Home Loan business and so on. I see that the number of branches that are there, the incremental addition has been coming down over the last 3, 4 quarters. And essentially, that was one of the things that was driving the disbursements growth also for us in the Home Loan business. So no w as the branch addition has slowed down quite materially, does this mean that you have penetrated in terms of distribution fairly well, and it will be a more stable and established state growth run rate on the disbursements front from here on?

Prashant Kumar : Yes. As far as Home Loan is concerned, last 2 years, we have ramped up and scale d up volumes substantially. As I said in the earlier call, this year will be a period of consolidation, increasing productivity, seeing everything is in order in terms of delinquencies, control, putting consistency regarding governance. So , this year, first quarter, we have seen that we are in fact, you can see the numbers, the delinquency levels are under control. ED is also improving .

So, we have maintained the consistency. And now the scale up will happen towards the second part of the year. And accordingly, we have placed the manpower for the current year. Lastly , we will see the ramp -up in volume in Home Loan business during the second half of the year.

Raghav Garg : And this ramp -up in volumes will be led by the employee addition or …

Prashant Kumar : We have also introduced 1 more project in terms of going more rural. So that will help us to increase our numbers, penetrating more into rural market.

Raghav Garg : So, your incremental ticket has around 1.5 million of 3 Lakhs in Home Loan business?

Prashant Kumar : –The growth will be stable, and we will do better than industry growth.

Ravindra Kundu : And ticket size also will be similar.

Raghav Garg : Do I have time for one more question?

Ravindra Kundu: Go ahead.

Ragha

v Garg : Just your write -offs and slippages have also been elevated this year and comparing it to Q1 of FY '24 because I understand that Q1 is not the right comparison, right? So , when I look at Y -o-Y business increase, which product segments are leading to the steep increase in slippages and write -off?

Ravindra Kundu: So actually, write -off and settlement of our Vehicle Finance out of 1.9% and last year, 1.5%. It is the same level of 1%. Increase is only in the ECL from 0.25% to 0.9 % in terms of Vehicles Finance and that is a major book. So , when Vehicle Finance is consistently maintaining for the company also write -offs and settlements are at the same level.

Raghav Garg : Your write -off at INR320 crores right, versus INR200 crores last year …

Ravindra Kundu: That's the absolute value, but in terms of percentage. Percentage remain s as it is constant.

Raghav Garg : Right. But sir, at the same time, your AUM has also increased. So mathematically that is bound to come down. But if I look at write -offs as a percentage of opening NPAs, then it's fairly elevated compared to last many quarters. So that's the reason why I a sked?

Arul Selvan: So, in CSEL, for example, last year, we started doing write -off and recognizing FLDG not in Q1, but subsequently. So that difference will keep coming until you come to the same level of representation happening in both sides.

Raghav Garg : Sure. So, it's majorly driven by CSEL, right?
Arul Selvan: Yes.
Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal Financial Services.
Abhijit Tibrewal : Congratulations, Ravi sir. My first question is for you. How should we look at opex not just in the near term but slightly, I mean, over the next 2, 3 years, why I ask this is, I mean, we have led out new businesses, which are doing well. And I'm sure, I mean, they are in the investment mode. Just trying to understand over the next 2, 3 years, I mean, then maybe you'll kind of look at a few more product lines. By when can we expect this investment mode to get over and we kind of transition to improvement in productivity, as to say?
Ravindra Kundu: One is that in the new businesses, we have been continuously expanding across the country in terms of putting up more branches for them and putting more number of manpower. That's one. Second is that our experiment in terms of expanding the businesses like Vehicle Finance from CSEL to financing mobile and then CD is also on. So therefore, as of now, we are focusing on growth and keeping the NCL down and increasing the NIM.
The opex will start coming down. Obviously, the opex level of the new businesses, if you see that, it started coming down and their ROE will start improving. CSEL has come down from 5.1% to 4.8%, and they are expecting it can go down as low as 3%. So, there is an upside there, but it will come in next 2 years' time . Similarly, if you see the SBPL, where opex is down from 13.5% to 9.7%. Their ROA is 8% level. And he is afraid that if I ask him to reduce further, ROA will go up.
But there is a scope to improve it. But at the same time, we continue to increase the branches and increase the manpower. Our disbursement growth will go up and ROA will continue to be there, slightly improvement is there. So , if you continue to do this exercise, maybe the best result will come in 3 years' time. But every year, we will improve the opex.
Abhijit Tibrewal : Okay. Ravi sir, I mean, is it fair to say that maybe in another 2 years' time, we should even start seeing an improvement in our ROA profile, PBT -ROA profile, not just some margin expansion but also from improvements in opex?
Ravindra Kundu: Yes. And Home Loan also if you see that in the past when they were only focused to South zone, they were delivering more than 5% ROA. And now we are at 4.7% ROA. And

their opex went
up to 4.3% in Q4FY24 , which has come down to 4.1% in FY24 and it has come further down in quarter 1 at 3.8%. And Prashant is saying th at you've mentioned that it should come down further. So, it will help us to increase our ROA in HL business more than 5% again.
Abhijit Tibrewal : Thank you Ravi sir. And my last questio n is for Arul sir m ore near term I mean cost of borrowings seem like stabilizing now while there is narrative of a rate cut now kind of building in the second half of this calendar or Fiscal year. Just wanted to understand how we have positioned ourselves on the bank of borrowing side particularly in terms of our MCLR

borrowings. I mean are we positioned in such a way that whenever the rate cuts are there it will start benefiting us quicker than maybe some others?
Arul Selvan : Our bank borrowings are predominantly driven by pri ority sector on lending by the banks . And here we try to do it benchmarking with the T -Bill or any of the benchmark indices because the MCLR rate is higher. So if the liquidity position improves and T -Bill rates come off then we should see the benefit. We are seeing that already in part of the portfolio where it has been benchmarked in such indices. O f course, public sector banks we do with MCLR. There we are still seeing some increase happening in MCLR, but that is something w e need to manage between these two to get the overall rate steady at the current level.
Abhijit Tibrewal : Okay, sir. Sir, just to conclude I mean in the near term if re po rates remain status quo, cost of borrowings are now stabilized exce pt for tho se PSU-linked MCLR borrowings?
Arul Selvan : Yes. You can keep it like cost of borrowings will be at similar levels.
Ravindra Kundu : Just for more clarity Abhijit first is the yield and NIM will go up. Second, the opex will start coming down or maybe cost of funds will start improving and then our ability to finance and vehicle finance to big ticket size will go up and then N CL start coming down. So, in general, everything will improve don't worry.

Abhijit Tibrewal: Yes, sir this is very comforting. Thank you so much and all the very best to you.
Moderator: Thank you. Th e next question is from the line of Shweta from Elara Capital. Please go ahead.
Shweta: Thank you, sir, for the opportunity and c ongratulations to Kundu, sir. I have two questions. One does we have capital raising plans and therefore how are we positioned on our growth targets for next two years? And second sir my question is to Kundu, sir. Sir although you explained the ROTA to be maintained or increase on the vehicle finance side, b ut could you just give a drawdown on how you perceive credit costs which increased quarter -on-quarter this quarter to 1.55%. So how do you perceive this number and therefore the console ROA?
Arul Selvan : On the capital, let me answer. We are comfortable on the Tier 1 after doing the raise where we are above 14%. And this is be fore converting the compulsorily convertible debentures which should happen sometime in FY '26. So, between these two Tier 1 would be comfortable. W e are raising the Tier 2 capital by way of subordinated debt and p erpetual debt and that would sort of supplement the capital. So, we would be comfortable for the next two to three years , considering this growth.
Shweta : How about the growth targets, how are you positioning vis -a-vis this capital position? Sorry, I interrupted.
Arul Selvan : We will be growing in the range of 25% to 30% and that level we still hold and if we keep achieving pretax ROTA of 3.5% plus that should be self -sufficient by itself. Only if the growth exceeds beyond that and we don’t have the p rofitability at these levels then we will have a

problem, b ut we shouldn't look at it on a quarter -on-quarter basis . We should look at it more on a year -on-year basis.
Ravindra Kundu : Regarding NCL of vehicle Finance we've been closing the NCL for the year, the last three years at 1.20% level. And last year also we started 1.45%, 1.5% and it went up to 1.7% in the second quarter. So, from quarter 1 to quarter 2 was 1.7% and we are at 1.9%. From quarter 2 from 1.7% we closed the year at 1.20%. This year the trajectories we are expecting that from share it will go down in quarter 2 because the monsoon has been very good and evenly raining across the country and there is no problem.
And between July and August it will complete and then September we'll get a best collection. And therefore, it will come down a nd then from there it will be quarter 3 and quarter 4 which we have been doing and we have been seeing the results last three years, s ame thing will happen. So, the NCL expected is at the same level or maybe 1.3%. And the NIM which is going to go up further, w ill help us to increase the ROA.
Shweta: That is helpful sir. Thank you so much.
Moderator: Thank you. Th e next question is from the line of Viral Shah from IIFL Capital. Please go ahead.
Viral Shah : Thank you for the opportunity. I have a few questions. So, one in terms of the credit cost. So while we have a changing book mix which is there I would say that from a medium -term perspective your cre dit cost could be a bit higher, b ut do we see also the fact that the recoveries in the home loans and LAP piece now that will moderate your credit cost where will it kind of say not for this year, but say '26, '27 where it would kind of s ettle on a BAU basis?
Ravindra Kundu : HL & LAP we have been doing the write -backs till last year. Now they're at 0.2%, 0.3% level.
Suresh Kumar : So, the LAP as you can notice that in last year for all the quarters the credit cost was negative primarily because of our write -backs on the Stage 3 and as we come to a steady state in current quarter, LAP credit cost is about 11 basis points. I think at best level it will be about 20 basis points .
Prashant Kumar : In case of HL, we are at lowest ever in Stage 3 and Stage 2 numbers trying to control upsid e, as of now we are 0.30%. Going forward, we will try to maintain this based on increase in book percentages we'll try to maintain this. On the upside will be 10 bps higher in the scenarios which we see is d ifficult rest is going to go down.
Viral Shah : So, sir my question is that while you're in Home Loans and LAPs, there will be a bit of upside from where we were in FY '24. Plus, of course, the new businesses they are even despite the higher credit costs they are still ROA -accretive. So where will be the kind of normalized credit cost settle ? Will it b e like 140 basis points levels a nd I'm not asking for FY '25, but more like say '26, '27 how one should look at it?
Ravindra Kundu : So, we mentioned that 1% to 1.20% the range. We still see that, that range we will be there. We are at 1% level now. On worst case scenario 1.2% the best-case scenario is 1%.

Viral Shah : Okay. You're saying the total credit cost, right?
Ravindra Kundu : Yes, overall, for the company level.
Viral Shah : Got it. Sir, the next question is in case of the new businesses as you mentioned that we have seen, of course, improvement in our profitability both driven by opex moderation as well as NIM expansion. And consequently, our ROAs have kind of i mproved, what further scope over there in these new businesses is ther e say in terms of further improvement in profitability?
Ravindra Kundu : So, each business has at least 1% between CSEL, SME & HL. We see that top side is good. SBPL is actually peaked I mean it is at 8.1% and opex is also high, but we'll keep it at this level

only. The CSEL, SME, HL, these three businesses there is upside of 0.5% to 1% ROA.
Viral Shah : And in terms of the book mix now we are at 13% of the new businesses where should we settle, say 2 years out seeing FY '26?
Ravindra Kundu : 15% max.
Viral Shah : 15%.
Vellayan Subbiah : Unsecured will stay at about 8% .
Viral Shah : Sorry can we just repeat the last piece?
Ravindra Kundu : Three new businesses, CSEL, SBPL, SME put together is at 13% and it can go up to 15%. Vehicle Finance is at 57%, which can go down to 50%. LAP and HL, which is at 30% can go up to 35% , so 35%, 50% and 15%.
Vellayan Subbiah : And just to clarify, unsecured part of CSEL business will remain at 8%.
Viral Shah : Got it. A nd finally in terms of the overall growth , last quarter you had mentioned the disbursement growth to be in the range of 20%, 25% for this year. Now are we seeing a bit lower than that in this year?
Ravindra Kundu: No. Actually, in fact, it is higher than the expectation. We thought in election period, the disbursement will get impacted. In fact , we have done better than that. Both the asset growth and disbursement growth are higher than our expectations for the quarter 1. And actually, from quarter 2 onwards, it should further improve.
Viral Shah : Got it. So basically, we're confident of 20%, 25% kind of disbursement growth and 25% to 30% AUM growth for this year?
Ravindra Kundu: Yes. That is correct.
Moderator: The next question is from the line of Kunal Shah from Citi group.
Kunal Shah : Yes. Congratulations , Kundu sir. So again, touching upon this growth , in fact, when we look at it, the traction, as you mentioned on the disbursement side, is better than what you expected plus

almost like 8% sequential growth in a seasonally weak quarter. Doesn't it give the confidence to be like relatively higher on the AUM growth, you seem to be slightly conservative with this 25%, 30%? Or you are clearly seeing that in some segments, you would tend to pull back on the growth, if any asset quality issues come up?
Ravindra Kundu:
Vellayan Subbiah : Yes. I mean we always will guide in what we have a high confidence in delivering.
Kunal Shah : Okay. But otherwise, there is nothing because in terms of credit cost also, you are confident that it will come off, okay, maybe at least yields will also improve. So that is nothing which worries us on the growth side, considering the traction which has been there on Q1.
Ravindra Kundu: That's correct.
Kunal Shah : Okay. And secondly, in terms of the opex, so again, you indicated how it would pan out. But just like in 1Q, it's been quite low across the product segments. So, when we look at it, in fact, is there a revision maybe you indicated that you would keep on investing into the branches and the manpower. But compared to what we have been highlighting earlier in terms of where it should settle, now given the growth trajectory, is it giving us the confidence that opex to assets may be at a relatively low er level, maybe mainly because of the denominator effect or maybe whatever we are seeing positive surprise on the denominator will get offset by the increase in the opex as well?
Ravindra Kundu: So, we are always working on increasing the productivity within the people who are there. And then we are increasing the manpower and giving them opportunity to settle down and give them some time so that they start delivering. So that is what is the opex, nothing else. In the quarter 1 to quarter 4, the opex slightly move up because quarter 2, we have a salary increment coming up, then quarter 4, the incentives are basically factored. So that happen s.
So, the range of the opex is between 3.1% to say 3.5%. That is what is actually happening because we are in growth phase. And once all the businesses are actually up like in for home

loa

n, just we want to give you an example that when they were only focusing on South, their opex came down less than 2% and ROA went up to more than 5%.
Now they are growing in rest of the country. So obviously, opex is high. And when they complete the growth part, then obviously opex will start coming down. So opex is actually the factor of growing across and investing in their expenditures, what we do fo r the people in the branches as well as moving from bigger ticket size to small ticket size.
Kunal Shah : Okay, sure. And one last question in terms of the positioning in the vehicle segments. So, when we look at it in terms of the disbursements, particularly in the used, it's still been like steady, somewhere closer to 32 %, 33-odd-percent . Would we be seeing in terms of the increase in this maybe given that most of the players are highlighting that there is a huge demand as well as increase in the prices as well for the used vehicle ? Do we see that proportion inching up?

Ravindra Kundu: So that's what . If you focus more of use d and 2 -wheeler and 3 -wheeler and tractor, then opex goes up. It requires more manpower; ticket size is small. So, we need to balance the entire portfolio by focusing heavy commercial vehicle, light commercial vehicle, cars & MUV as well so that opex is also stable.
We cannot just get the ROA by increasing the yield . And we have been considering that. And that's the reason growth is coming from across all segments. So as of now, use d vehicle is at, say, 33%. If you take within the vehicle finance itself, the portfolio mix is 27%, but the disbursement mix is 33%. So obviously, our used vehicle mix of the portfolio from 27% to 33% will go up and disbursement continue to be at 33%.
Kunal Shah : Yes. But otherwise, disbursements might continue because you still want to make it slightly more broad -based growth?
Ravindra Kundu: Yes.
Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers Limited.
Bharat Shah : Raviji, hearty congratulation . This elevation was waiting for a while and most deserving.
Ravindra Kundu: Thank you, Bharat bhai. Thank you so much. Thanks a lot for your kind words.
Bharat Shah : Absolutely. I just wanted to understand the sense of our distinct . If I look at the past, Chola, if I had to describe it as Chola 1.0 was more about decent ROE good enough ROE and reasonable growth while keeping quality and other parameters impeccable, given the context of the verticals that we finance. Chola 2.0 of the recent period, which is still I think is going on, is more about enhanced growth rate. While ensuring that our quality and capital efficiency parameters don't suffer , in fact, it appears subject to opex is to enhance that.
Now you have talked about moderation of expenses and operating leverage kicking in, so given the effect of that happening in some time, given the fact that in any case, we have always remained focused on quality of the assets and the emphasis on the capital efficiency, both ROA and ROE , what kind of , in the 3 to 5 years sustainable growth you would think you need to have and you target to have?
Vellayan Subbiah : Bharat bhai, this is Vellayan. So, Bharat bhai, I think kind of like you said, there has been a shift. But obviously, one of the reasons we made the shift and added the new businesses was to add more growth sectors. So even if you see disbursement growth that happened, vehicle finance has been a bit lower, but the overall company disbursement growth has not changed. So basically, the mix is changing at two levels. The mix of the overall level is changing because of the new businesses. And the mix within vehicle finance is changing as we basically move, like we said, more towards used and products like that.
Some of these products tend to be more intensive o

perationally and hence, the shift in operating
expenses also. If we take a five-year view, we see no reason if we look at the macro in India to be able to continue to grow at this stage. So basically, if you ask kind of broadly the engine is

designed to perform at that rate now kind of. So, each of the businesses kind of individually make their adjustments and fixes. So, I do believe that this growth rate is sustainable over that period.
Obviously, in any business, especially in kind of some of ours like Vehicle, we are going to have

cycles and we will have to we usually take a 5 -year period in around a 5 - to 6-year period; you tend to have 1 down cycle. So that will be to be expected. But otherwise, I would think that growth rates can be sustained. It is an intentional shift.

And always, we kind of work around those parameters to say, what does it take to achieve that median of about 3.5% ROA that kind of swings depending on the interest rate environment and NCL performance it goes down a bit down to the 3.1%, 3.2% levels and t hen goes up as high as 3.8%. So that will continue to be the performance band in which we continue to operate. I don't know if that answers your question, Bharat bhai.

Bharat Shah : No, you did. I mean, of course, clearly deepening the products is a very worthy exercise we have taken. So is to reduce overall risk on the business as well as improve the growth quotient. So, my question, emanating from that was given our penchant for maintaining quality, efficiency parameters intake over the cycle, of course, there can be variations in the swing of the cycle in between but that is to be expected.

My question was given all of that and now our verticals are setting, our capital operating leverage is expected to kick in. And given the credit cost control that we typically have in a stringent way is really the capital efficiency parameters. In Chola, s o to say, 3.0, what kind of given all of these sustained 5 -year kind of growth, can we look at more in the band of 30%, 35% or it will be more like 25% to 30% kind of bracket?

Ravindra Kundu: Bharat Bhai, we are actually envisaging to basically conservatively target 25% to 30% CAGR growth with aspiration to reach 4% ROA.

Bharat Shah : And which means there will be at least one instance of capital dilution in 5 years because our growth rate obviously will exceed the return on equity and at some amount of dilution, it will call for it, we aim to grow at 30% over 5 years.

Vellayan Subbiah : Yes. You're correct.

Moderator: Thank you. The next question is from the line of Pranuj Shah from JP Morgan. Please go ahead.

Pranuj Shah : Sir Kundu, one question I had on your branch expansion, it has been pretty fast over the last couple of years. And especially, I think in other sectors, you look at the performance in Vehicle Finance but in Vehicle Finance in particular before expanding, w hat the parameters that you look in a particular market or a district for setting up a branch over there ? And my second question is just on the CSEL disbursement the mix between unsecured business loan and unsecured consumer loans ?

Ravindra Kundu: Yes. So, we have increased our branch network from 1,387 to now 1,438. So last year, we increased it by almost 200 branches and this year, we increased it now from 1,387 to now 1,438. So that is 51 branches. So, this year, I think, again, we will repeat a similar number of branches, what we added last year . In addition to these like the branches, we have also given how many touch points we are working in addition to the branches. For example, last year, we were working 545 RLH, which is resident location in addition to 1,387. So, some of these 545 locations are getting converted into branches

and wherever we get the threshold achieved and see the portfolio is supporting us, we converted to brick and mortar branches.

As of now, we are working on 594 branches in addition to 1,438 . 594 resident location in addition to 1,438 branches. So obviously, out of 594 the best locations, which are reaching to the level of threshold , what we set up for internally, maybe 150 to 200 will get converted to branches in this year. So, all depends on penetrating more into Taluka level and seeing them performing for 1 to 1.5 years and reaching to the level of the disbursement threshold and early default and non -starters being under control and then converted to branches and provid e them with more manpower so that they can take it up further.

Pranuj Shah : Understood. On the CSEL part?

Ravindra Kundu: The CSEL actually consumer durable is very small.

Vellayan Subbiah : No, he is asking business loan versus consumer loan .

Balraj Menon : See, last quarter, we have disbursed INR3,486 crores. If you look at the overall disbursement, the traditional business has been around INR2,000 crores and out of that amount 72% is business loans. Then around 15 % is professional loan , which is to the doctors and chartered accountants and 13% is personal to the salaried sector.

Moderator: Thank you. The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh : First question is on again the CSEL. So, the credit cost that we are seeing is net of FLDG income or it is gross of FLDG income?

Arul Selvan : Gross.

Nidhesh : The quantum of FLDG income that we poked in this quarter?

Arul Selvan : Around INR12 crores to INR13 crores.

Ravindra Kundu: INR13 crores.
Nidhesh : INR13 crores. Okay. And secondly, are there any plans to add further products in the new initiatives over the next two to three years? And what all those products can be?
Vellayan Subbiah: Sorry. Your question was you were going to add new products. So as and when kind of many products are kind of board approved and we initiate them and we discuss them, obviously until that happens, we don't discuss them in public domain .

Nidhesh : Okay. But in the aspiration of 20%, 30% growth over the next 5 years, are we also building in new product additions or from the existing products itself, we can build that sort of growth?
Vellayan Subbiah: And like I said and kind of we are constantly looking at opportunities. If something is board approved, we come then we will obviously kind of bring it to you at that stage.
Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from Phillip Capital .
Shubhranshu Mishra : Congratulations, Kundu sir. I have 2 questions. First one is the fact that we are speaking about a 25%-30% growth. Our focus would be majorly on higher ticket items especially Vehicle Finance because that is what will propel growth at those levels. Is that a fair understanding?
Also, is there an infinite market for used vehicles because almost everyone is doing that, like we have our NBFC competitors that are small finance clients there are certain banks, which are also entering. So, what is the total market size according to our estimates and where are we in the market share? And where do you think that we would be in market share? And just one last data keeping question. What were the number of loans that we did in Vehicle Finance t his quarter versus 1 year ago?
Ravindra Kundu: So, first of all, the growth is coming from across all segments including LAP, HL. In fact, between the Vehicle and LAP, HL, if you see HL and LAP are growing much better, much faster. And that's the reason I mentioned that the mix of vehicle, which is at 57% likely to go down to 50% and mortgage will go up to 35%. And new businesses will go up to 15%. So, we are growing all the businesses,

but mix is moving towards LAP and HL because of the long tenure also. That is also the advantage the mortgage business gets.
The vehicle finance business is four years and therefore the rundown is high. In spite of the disbursement growth in the same level, if the asset growth will be always higher than the mortgage business . That's 1 point. And second is that the number of customers , 2.65 lakh versus 2.40 lakh. The number of customers has gone up more this incremental. Vehicle finance has gone up by 16 %. The total number of loans that we did this quarter was 2.65 lakhs.
Shubhranshu Mishra : The total number of loans that we did this quarter was 2.65 lakhs .
Ravindra Kundu: Yes, versus INR2.40 lakhs last same period last year.
Shubhranshu Mishra : And what is our market share in used, sir? That is one question.
Ravindra Kundu: Market share is very difficult to assess because , we don't have any public data that's the reason we don't mention it, but we can say that we are one of the largest players in the used business.
Shubhranshu Mishra : But maybe what is the total market size if we don't have a market share. So, we would be doing some kind of math to understand that, okay, this is going to contribute to our growth, right?
Ravindra Kundu: Actually, it's difficult to assess. There is no authentic data available. Therefore, guessing it, I'm telling you is not appropriate. That's the reason we're not bringing that number to here. We know that number.

Shubhranshu Mishra : Got it, sir. Sure, I'll take that off -line, sir.
Moderator: Thank you. The next question is from the line of Sanket Chheda from DAM Capital. Please go ahead.
Sanket Chheda : Congrats on a good set of numbers and pretty many congratulations to Kundu sir, very well deserved. My question was to just a comment that you alluded that 25%, 30% CAGR is what you intend to do. And you mentioned 4% ROA target. If here by when you think we would be…
Ravindra Kundu: Aspiration. It will take like in response to Bharat Bhai's question, is 5 years.
Sanket Chheda : Okay. Sure, sir. And the credit cost guidance stays at 1.2%, right?
Ravindra Kundu: That is an aspiration. We are trying to keep it. We have been doing it 1% at the company level for the last 3 years. 1.2% is a max level. We are having an internal target and depending upon Suresh and Prashant how they handle it.
Sanket Chheda : So, then it's fair to assume that it woul d be pulled back in second half?

Ravindra Kundu: Yes.
Sanket Chheda : Thank you. Sir.
Moderator: Thank you. The next question is from the line of Bunty Chawla from IDBI Capital. Please go ahead.
Bunty Chawla : My question has been answered. Just a data point if you can sh are write -offs for this quarter?
Ravindra Kundu: INR322 crores. Yes.
Bunty Chawla : INR322 crores, Q1 FY '25. And a similar number for the last year, Q1 FY '24?
Ravindra Kundu : INR204 crores.
Moderator: Thank you. The next question is from the line of Nischint from Kotak Securities. Please go ahead.
Nischint: This is actually on Vehicle Finance. I'm just trying to understand as to how do you see the growth going forward for this segment? I believe most of the auto analysts are sort of having very muted or moderate growth expectations this year and specifically, the tailwind that was enjoyed by the sector in the last 2 years because of the vehicle prices going up, I believe some of the companies are probably expecting some discounts as well. So, in the backdrop of this, which segment of Vehicle Finance probably grow this year? And what are you really stepping up? And in that sense, how does it change your overall yield profile.
Ravindra Kundu: So, on the contrary, the wholesale number published by SIAM shows that they have gone up by 16%. But FADA said that the retail has been up by 9%. So, we

are up by 13%. And we are also

saying that there is an inventory piled up to 65 days. So obviously, wholesale number can go down. But because of the piled -up inventory, the retail has to go up from 9% to 11% or 13%. So that is the genesis of our disbursement plan, which is a t 13% level in spite of election and heat wave and all, we are expecting that to move up to higher level during Q2, Q3. And obviously, that is actually driven as of now by the high -yield business es because we are trying to increase our yield. The marginal book yields are higher by 40 basis points than the book yield . So that effect will get normalized within, say, 3 quarters to 4 quarters. And then we will have the opportunity to further start doing the big-ticket size, which are funded at a lower rate and obviously, we are also expecting that some point in time, cost of fund will start coming down. So majorly , the focus is on high yield businesses small ticket size and keeping the yield high and then move to the higher high-ticket business es in the second half.
Nischint : And in that sense, the increase that we saw in HCVs this quarter could be sort of more transitionary and next quarter onwards when you see the other businesses or the share of other businesses and disbursement increasing?
Ravindra Kundu: HCV, basically we reduced it significantly last year, and we are getting now low base effect, and that is what is happening.
Nischint : But do you see that base effect continuing in the next 3 quarters?
Ravindra Kundu: We are not intending to do that. But if our customer segment like we mentioned that the large ticket size and medium ticket size and the large fleet owner and medium fleet owners, are buying the vehicle. Now the small transport operator, will start purchasing as and when they come, we will focus and see that number. But we don't have a target to increase as such.
Vellayan Subbiah : It's difficult to predict also.
Ravindra Kundu: Predict, also. Yes.
Nischint : Sure. My second question is actually on business loans. And we have seen some signs of stress in unsecured loans with some of the lenders and typically, there is a concern that this kind of marks into stress for some of the other segments. So, are we seeing any increase in bounce rates or anything that kind of flags in these segments, which probably be sort of change business or shift business segments in this particular product?
Balraj Menon : See, as far as the business loans in the quarter 1, the industry -wise, there was a spike in the month of April, and that is basically because of the election, 2-3 holidays and all those things. But if you look at the industry -wise trend and what we have done, our bounce rates are still sub 10%. Our semi bounce rates are bet ter than the previous quarters.
And we have not seen any major spikes in our portfolio behaviour . Yes, this book is around 30 months to 33 months only. So during the course of maturing, we will see a slight movement up down, but that as such, Nischint, we are not seeing much of any abnormal behaviour or the kind

of things the news which is spreading in the market, that kind of behaviour , we have not seen in
the quarter 1.
Ravindra Kundu: And also in the business loans, we are actually distributing in the select market and select customer segments. We mentioned that all our business loan customers are mostly 700 -plus.
Balraj Menon : Just for your information, in our business loans booked , 83% of our customers are with a credit score of more than 725 and 13% of customers are with credit score of 700 to 725. So, you can say that 97% of our business loan customers, which contributes to almost 73% of our book is with a credit score of 700 -plus.
Nischint

: Sure. Got it. This was actually the last question for the call today. Thank you, participants, for joining us today. And thank you very much, the management of Chola for giving Kotak, an opportunity to host this call. Thank you very much.
Ravindra Kundu: Thank you, Nischint.
Moderator: On behalf of Kotak Securities, which concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

"Cholamandalam Investment and Finance Company Limited
Q2 FY '25 Earnings Conference Call"
October 28, 2024

MANAGEMENT : MR. VELLAYAN SUBBIAH – CHAIRMAN AND NON-EXECUTIVE DIRECTOR – CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED
MR. RAVINDRA KUNDU – MANAGING DIRECTOR – CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED
MR. ARUL SELVAN – PRESIDENT AND CHIEF FINANCIAL OFFICER – CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED

MODERATOR : MR. NISCHINT – KOTAK SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Cholamandalam Investment and Finance Company Limited Q2 FY '25 Earnings Conference Call hosted by Kotak Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Nischint from Kotak Securities. Thank you, and over to you, sir.

Nischint Chawathe: Thank you. Good morning, everyone. Welcome to the earnings conference call of Cholamandalam Investment and Finance Company Limited to discuss the 2Q FY '25 performance of Chola and share industry and business updates. We have with us the management of the company represented by Mr. Vellayan Subbiah, Chairman and Non -Executive Director; Mr. Ravindra Kundu, Managing Dire ctor; and Mr. Arul Selvan, President and Chief Financial Officer.

I would now like to hand over the call to Vellayan for his opening comments, after which, we'll take the Q&A.

Vellayan Subbiah: Thank you, Nischint, and good morning, everybody. We'll go through our financial results and performance for the quarter and the first half of the year. Our disbursements were at INR24,314 crores per quarter, which is up by 13% and INR48,646 crores for the half, that's up by 17%. The total AUM stands at 1,77,426 crores, which is up by 33% year -on-year.

The net income for the quarter is at INR3,238 crores, which is up 37% year -on-year and INR6,271 crores for the half year, which is up by 40% year -on-year. PAT is at INR963 crores for the quarter, which is up 26% year -on-year and INR1,905 crores for the half, which is up 28% year-on-year.

The Board met and approved the unaudited results for the quarter, half -year ended 30th September 2024. Vehicle finance disbursements were at INR12,336 crores in the quarter as against INR11,731 crores, which is a growth of 5%. And disbursements in H1 FY '25 were at INR25,102 crores as against INR23,032 crores, which is a growth of 9%.

LAP. the loan against property business disbursed INR4,295 crores in Q2 as against INR3,192 crores, which is a growth of 35%. And for the half, they were at INR8,170 crores as against INR5,872, which is a growth of 39%.

Home loans disbursed INR1,823 crores in the quarter as against INR1,575 crores, which is growth of 16% and for the half, disbursements were INR3,601 crores as against INR3,029 crores in the previous year, which is a growth of 19% year -on-year.

The SME business disbursed INR1,959 crores in the quarter as against INR1,945 crores, which is a growth of 1% and disbursement for the half were at INR4,119 crores which is a growth of 3%.

The CSEL, Consumer and Small Enterprise Loans, disbursed INR3,588 crores for the quarter as against INR2,853 crores, which is a growth of 26%. And for the half, they were at INR7,075 crores, which is a growth of 36%.
Secured business and personal loans disbursed INR312 crores in the quarter as against INR246 crores in the same quarter last year, which is a growth of 27% and the disbursements for the half were at INR580 crores, which is a growth of 36% over the first half last year.
AUM stood at INR1,77,426 crores as compared to INR1,33,775 crores, which is a growth of 33%. PBT growth in Q2 was at 27% and for the half, it was at 29% and PBT ROA for Q2 was at 3%, and for the half year, it was 3.1%. ROE for the quarter was at 18.24% and for the half was 18.55%.
The company continues to hold a strong liquidity position with INR13,864 crores as the cash balance a

t the end of September, including INR2,563 crores embedded in G -secs and INR2,106 crores invested in T -bills and INR624 crores invested in S trips shown under investments, with a total liquidity position of INR14,404 crores, including undrawn sanctioned lines. The ALM is comfortable with no negative cumulative mismatches across all -time buckets as per regulatory norms.
Consolidated PBT for the quarter was at INR1,304 crores as against INR1,065 crores in Q2 FY '24, which is a growth of 22%. And for the half, it was a t INR2,579 crores as against INR2021 crores, which is a growth of 28%.
In terms of asset qualities, Stage 3 levels increased to 2.83% as of September '24 from 2.62% as of the end of June '24. GNPA as per RBI norms increased to 3.78% as of September '24 as against 3.62% as of June '24. NNPA, as per RBI norms, also increased to 2.48% as of September '24, as again st, 2.37% on June '24. NNPA is below the threshold of 6% prescribed by RBI as a threshold for PCA.
The capital adequacy of the company as of September 30, 2024, was at 19.5% as against the regulatory requirement of 15%. Tier 1 capital was at 15 .04%. Common equity at Tier 1 at 14.20% as against the regulatory minimum of 9% and Tier 2 was at 4.46%.
So with that, I'll stop with the commentary, and we'll be happy to turn it over to you for the Q&A.
Moderator: The first question is from the line of Dhaval from DSP. Please go ahead.
Dhaval: Thanks for the opportunity. Just a couple of questions. First is on the asset quality for VF and CSEL. Could you talk a little bit around both these segments, where the Stage 3 in CSEL is, especially the NCL is also relatively higher in the first half compared to last year. Just how things are progre ssing, in line or better than what you think?
The second question relates to the growth. Just with the RBI sort of cautioning companies on growth? How is the company looking at, just where we are and our growth trajectory? And if

you could give some perspective around regulatory interactions around this aspect, that would be useful.
Vellayan Subbiah: Yes. Dhaval, so I'll answer the growth bit and then kind of Ravi will talk a bit about asset quality.
As you can see, we've moderated disbursements a fair bit. The disbursement growth is upside only by 13% for the quarter. And so you can see that growth moderation that basically we will be talking.
We obviously kind of, this is a matter that we discussed at the Board as well. And so you can basically see that disbursement growth is moderated to 13%. Why you see a slightly higher number for AUM is because o of base, from last year. But that will moderate kind of as we go into the rest of the year as well
Dhaval: So Vellayan, you were just highlighting that you had discussed at the Board and the disbursement growth is around 13%, and that's when we lost, yes.
Vellayan Subbiah: Yes. So basically, that was just to give you an indication that we have moderated .. And as kind of some of the base effect wears off, I think, we'll kind of drop to numbers that are slightly lower

than the numbers that you are seeing in terms of AUM growth . Ravi, if you want to add? Asset quality.

Ravindra Kundu: So Dhaval, asset quality in vehicle finance, we've seen that due to the heatwave in the first quarter, the second quarter was actually the extended rains and all, slightly it has gone up by 30 basis points in Stage 2 and then 30 basis points in Stage 3. I think, this quarter, it will be at the same level and then next quarter, it will come down. As usual, the fourth quarter is al ways better for the vehicle finance as well as the company.

As far as the CSEL is concerned, they are also in the range -bound hovering between 4.25% to 5%. And we have also started Samsung partnership mobile funding. So there are 3 businesses: One is t

raditional; second is the partnership for the digital lending an d digital lending in -house; and then, the Samsung. So CSEL is continuously expanding their product line, so you will see that this will be hovering between 4.25% to 5.5%.

Dhaval: Got it. And just -one follow -up on the growth bit. So the book is sort of shifting towards longer duration product, so which is why there is a gap between AUM and disbursement. So what we should monitor is disbursement growth? Or at the Board level, the focus is on disburse ment growth or AUM growth? Because just trying to link the medium -term guidance of 25% plus AUM growth, that's the reason I'm asking.

Vellayan Subbiah: Yes, so our sense is that what you saw was a 33% number . That number will come a bit off . So that's why I'm saying that the guidance of 25% is kind of a useful guidance to use on the AUM side.

Moderator: The next question is from the line of Raghav Garg from Ambit Capital.

Raghav Garg: My first question is on the asset quality again. Your slippages this quarter were around INR930 crores. How much of this would have come from the vehicle finance and the CSEL product specifically? If you can give these 2 numbers separately. And how much would these numbers be up on a Y -o-Y basis?

Arul Selvan: It's given in Page 29 of the investor presentation, even individual product -wise details have given on the Stage 3 numbers. So there's a slippage of around INR600 crores -- less than INR600 crores, of which around INR300-odd crores has come from vehicle finance and the rest has marginally increased.

Raghav Garg: Sir, I think your write -offs have also been elevated, right? So I am assuming here that some of the flows that you would have seen in either last quarter or even in this quarter would have been written off. In that backdrop, the absolute amount on gross sl ippages, which seems to be about INR900 crores would -- a breakup of that would be useful.

Arul Selvan: So it is at the same level as last quarter.

Vellayan Subbiah: Write -offs are the same level. Write -off, there's no difference in the comparable quarter.

Raghav Garg: Understood. Fair enough. The second thing is that in the last call, you had mentioned about 1.2%, 1.3% credit cost for vehicle finance this year, right? We're already averaging about 1.8%, 1.9% in the first half. I think that in the first quarter call, you had mentioned it would come down. Just wanted to understand what has changed between then and now that the credit cost has not come down, still elevated? And what gives you the confidence that it will come down in the second half?

Ravindra Kundu: For company level, we said that 1.2% to 1.3%. So 1.2% to 1.3% a and if you take a little conservative approach, it will be at 1.4% at our company level. Vehicle finance is actually at 1.8% for Q2FY25.

Arul Selvan: Both at the company level and even at vehicle finance level, if you see, compared to Q1 it is coming down, and this is the same similar trend you saw in the last year, that what used to be like a larger number , ends in the year with a smaller number because second half will always be better, especially more so in vehicle finance because they are more skewed towards collection during the festival period and post -harvest.

Raghav Garg: No, sir, I completely understand. Q4 is generally very good in terms of recoveries and collections, but it's just that whatever guidance you had, the ask on second half just goes way too high. So I wanted to get some confidence on that. But yes, you partly ...

Arul Selvan: It will be at 1.3% NCL is what we are seeing now.

Raghav Garg: Understood. And sir, in vehicle finance, can you, apart from the numbers that are already there in the presentation, whatever is there in the quarterly numbers, what is actually happening on the ground in vehicl

e finance in terms of truck utilization, in t erms of the freight rates, or if you

give some granular sense? Are operators getting enough load to carry, all that sort of stuff, just to help us gauge how the trends could be going forward?
Ravindra Kundu: Yes. So Ravi here. Trucks, we are actually having a lower mix in terms of our commercial vehicle business. But small commercial vehicle business, we do more. So we saw that the rural economy is slightly not being that better. And demand side also, we have seen that small commercial vehicle has come down. So delinquency related to the last mile transportation is there.
So among all products within vehicle finance, if you segregate CV and passenger vehicle, tractor, 2-wheeler, 3 -wheeler, I see that small commercial vehicles especially sub -1 ton last mile transportation got impacted, both from the demand side as well as the delinquency side. And therefore, the overall delinquency is at a higher side, but it is also related to seasonality.
Quarter 1 and quarter 2 have been always higher. And this time, it was election in the first quarter and then heat wave. Second quarter, we have extended rain as well as the post-election transition also not completed fully on ground. And therefore, there is some utilization -related problem .
Then the festival also moved to October, both the festivals. So pre -festival activity also has not been good in the quarter 2.
So all put together, last mile transportation, capacity utilization during the quarter 2 for the commercial vehicle has been down. So among all products, we have seen that CV delinquency were higher. It is likely to go down in the quarter 3; and then quart er 4, it will improve further.
Raghav Garg: Do I have room for another question?
Ravindra Kundu: Go ahead.
Raghav Garg: Sure. Okay. Sir, just on the employee side, right, there has been a substantial jump quarter -on-quarter. We've almost added about 7,000 employees this time, which all products have we added? And in which functions have we added these employees? That's my last question.
Ravindra Kundu: So all the divisions is actually, if you see that the LAP is working on micro LAP. SME business is working on equipment finance, medical equipment finance, industrial equipment finance and micro term loan. HL is expanding into non -South market. Vehicle fin ance is also adding small branches as well as manpower for collection. CSEL is also expanding, so manpower increase is there across the businesses.
Moderator: Mr. Garg, does that answer your question?
Raghav Garg: Yes, yes. I am good. My questions have been answered.
Moderator: The next question is from the line of Avinash Singh from Emkay Global.
Avinash Singh: So questions, I mean, related to this employee addition. I mean, that has also led to sort of the expansion in the opex ratios. Now if you can help, I mean, that how has been this breakup of

employee addition towards the sales and collections? And also if, I mean, this is what sort of led to kind of jump in opex ?
Now how do you see the ROE trajectory improving? Because I mean in terms of credit cost, yes, I mean, we are expecting some bit of improvement in the second half, but I mean for the full year, it is somewhere toward the upper end of guidance. Now OpEx goin g towards slightly higher end. And also, I mean, you're borrowing just because of function of your growth will be higher, so how do you see that ROE playing out?
Ravindra Kundu: So the operating expenses are actually flat if you see the quarter 1 and quarter 2, it is at 3% level. And it is going to be in that same level for this financial year because we are adding manpower for expansion of the product line as well as the geograph y. The product

ivity is down because the market was down.
So quarter 3 onwards, the individual productivity by sales executive doing more number of loans will go up from October month. We have seen that in this month the disbursements are higher than last month. So the productivity increase is going to be seen, b ut the opex will remain as it is.
Avinash Singh: Yes. And if you can just help that, okay, how much of this kind of 7,000 employee addition you have done towards collection side?
Ravindra Kundu: More or less, balanced actually. We're adding manpower equally in sales and collection, not only sales and collection, we are also adding for supporting businesses .
Arul Selvan: Yes, it is, in vehicle finance, it's a little bit more in collection, but LAP and the other businesses,

it is more on the sales. So I think the breakups will be more getting into more data, which is not available in public domain, so just leave it at a very broad level , but this is the broader range.
Vellayan Subbiah: General bias is that, like Arul said.
Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: I had 2 questions. First thing, please, I mean, if you could comment a little bit on our view on the auto cycle. Sir, if you look at the last 4 quarters, vehicle finance disbursements have been in a tight range to INR12,500 crores to INR13,000 crores. And given that we are already talking about some slowdown that is being seen in PVs. How should we look at the auto cycle going ahead? This is something I want that Ravi sir to comment on.
And the other thing is, maybe a related question here is, I mean, while you said October disbursements are looking better than September. If you could also comment a little bit on the festive season demand because from what we are able to gather, I mean, f estive season is not very good this time around. And sir, the second question that I had is Ravi sir, said, that in the month -- in the last quarter, we saw that CV delinquencies were higher, small CVs last month transportation has got impacted, both on t he demand side as well as the delinquency side. So just wanted to understand, I mean, if you can throw some nuance around new and used CVs. Is there

a significant difference in behavior that you are seeing between new and used CVs. Those are the 2 questions I have.
Ravindra Kundu: Yes. So maybe the demand is determined by the wholesale number of the manufacturers. I'm not sure how much wholesale number will come in the quarter 3. As of now, in the quarter 2, CV numbers are down by 11% and PV is down by 2%. But retail is going to go up because whatever supply t hey have made it to the dealership, dealership is going to sell and to the extent that the disbursement will go up.
As you mentioned that we have been doing INR12,000 crores of disbursement in a quarter. So obviously, from there, from Q3 onwards, it will go up. And that's how we have also budgeted internally.
What Mr. Vellayan was talking about that even after doing the disbursements, say, 10% to 12% or 14% is in the vehicle finance, the asset growth, which is at, say, 22% will come down to 18% to 20%. And at the overall level, it's a similar story, we are at 1 7% growth in terms of H1 and if little bit disbursement goes up also, the asset growth will come down to 25% to 28%. Now coming to delinquency, which you want segregation between used and new we don't do small commercial vehicle used. We do light and heavy. So as far as the small commercial vehicle, which is related to last mile transportation, it is pertaining to new small commercial vehicles, especially sub 1 -ton. But if you club all CV new versus all CV used, the delinquency levels are in the same level. So increase in the delin quency are the same irrespective of new and used.
Abhijit Tibrewal: Got

it, sir. And sir, just one more question that I wanted to squeeze in here. In addition to, I mean, this festive season demand, how is the festive period panning out? Sir, I think, I mean, somewhere you said that manpower increase is there across busine sses and will continue in the foreseeable future. I just wanted to understand for how long do you expect this to continue? And at what point we will start focusing on improvements in productivity?
Ravindra Kundu: Yes. So CV has not picked up in this festival. For the month of October, we are seeing other than CV, all the other products are doing well relatively. And this will get continued, maybe post harvesting when the crop will come to the market and farmer will start getting money and then construction activity will pick up, then CV will start picking up. Till such time, I don't think CV is going to pick up the way we want it.
As far as the productivity is concerned, in vehicle finance, we mentioned that we have recruited more collection than sales. So obviously, we are focusing on the productivity on sales side with the existing manpower and increasing the collection intensity to manage the collection.
Other product line, they are adding manpower. Obviously, they are working on the productivity. Now you take the example of home loan. Home loan is like they are 50% focus in South and non-South is like 50%. Obviously, they have a lot of room to basically e xpand rest of the market. So obviously, they will continue to hire manpower, continue to open branches. And similarly, LAP, CSEL, SBPL, those are operating from 1/3 or say, maybe half of the vehicle finance branches. So obviously, if they open up more branches, they have to recruit more manpower for

sales and collection. Initially, every business will open up, recruit more manpower in sales and then they recruit collection.
Moderator: The next question is from the line of Ishan Shrimali from Tara Capital.
Ishan Shrimali : I just wanted a little clarification on the credit cost. Was it 1.3% on the NCL? Or what was it? Is it 1.4% or 1.3%?
Ravindra Kundu: 1.3%, 1.4%, NCL.
Vellayan Subbiah: 1.4% for the quarter and 1.5% for the half, right , for last year's NCL.
Ishan Shrimali : Yes, NCL. I was talking about the NCL. It was 1.3%. It's 1.4% for this quarter and for the next of the year, it was?
Ravindra Kundu: 1.4% for this quarter, it has come and what we said that it will be 1.3% for the full year.
Ishan Shrimali : Okay, 1.3% for the full year.
Moderator: The next question is from the line of Piran Engineer from CLSA.
Piran Engineer: Congrats on a good quarter. My question is really on the home loan business. Firstly, can you just talk a bit about competition. And secondly, when repo rates are cut, what happens to our yields? What percentage of our home loan book is linked to the repo rate?
Prashanth Kumar : So as far as home loan is concerned, right now we are expanding geos and our major focus is in self-construction business. So as of now we are maintaining the yield. We'll not allow the yields to drop because we are going towards the new geographies where the delinquencies will turn off over a period of time.
So as far as the yields are concerned, we are trying to maintain that. Of course, going forward, if the rate of interest goes down, there will be a stiff competition. And as we all are aware, this is the affordable segment, there are many new entrants. But over a period of time, it will be those guys who can maintain the delinquency levels at the expected and who can have the team for assessment credit.
Vellayan Subbiah: Are you there?
Piran Engineer: Yes, I am there.
Ravindra Kundu: Okay. Fine.
Piran Engineer: So but my question is really like are our internal benchmarks indirectly pegged to the repo rate or not? Like if the repo rate is cut

50 bps, will our yield on the back book also decline by 50 bps.
How should we think about that? That was my question.
Ravindra Kundu: Yes. Going forward, definitely, the pass on will be to the customers, but there are 3 aspects to that. Of course, the cost of fund is one of the variance. There is also the cost of operations and

the profitability part. So we'll see, over a period of time, how it pans down in terms of the rate reversals to the customers.
Piran Engineer: Understood. Understood. And just one clarification on what Kundu sir mentioned, the lower capacity utilization, is that only for LCV or across LCV, HCV, both?
Ravindra Kundu: Yes. Across all product lines, we see that including the first quarter and second quarter that is because of the election, heat -wave, extended rains and also transition has not been completed.
The capacity utilization of the commercial vehicle is down as well as last -mile transportation also got impacted because of the poor demand in economy as well as the consumption in the rural market is down.
Moderator: The next question is from the line of Kunal Shah from Citigroup.
Kunal Shah: So first is on the borrowing side. So when we look at it, still the skew is more towards the bank borrowing compared to that of the debt market. But the rate cuts would be following relatively later compared to the benefit, which we are seeing on the debt market side.
Would we be tweaking the proportion looking at the opportunities, which are available? Or we obviously expect the overall mix to continue? And within bank borrowings, how much is linked to MCLR and how much is linked to EBLR within that, in terms of just t o gauge the repricing benefit?
Arul Selvan: Yes. See, we will continue with the skew more towards bank borrowings, primarily because of 2 reasons. You are right, like more than 50 % to 60% of the borrowings are connected to EBLR, and we are already seeing some amount of benefit coming into that. And the other point is because of the bank borrowings, in bank borrowings, we take advantage of the PSL as well to get the rates lower than the market rate. So it continues to be skewed towards bank borrowing.
Kunal Shah: Okay. And within bank borrowing, you said 50% is linked to EBLR?
Arul Selvan: Yes, yes. And 50% in EBLR, around 10% is fixed and the rest are MCLR.
Kunal Shah: 10% fixed rate and balance MCLR. Okay. Got it. And when we look at it in terms of the commentary, normally, Q3 sequential uptick in the disbursements, particularly on the vehicle is

quite good. So does it suggest that maybe at least in terms of the momentu m this quarter, Q3 could be relatively low, maybe at least in terms of the increase from where Q2 was, would it be relatively lower compared to what we have been seeing in the past 2, 3 years because you are highlighting maybe things are still not on track and it might take some time?
Ravindra Kundu: Q2 to Q3 disbursement is going to go up. That is for sure. There is no problem.
Kunal Shah: No. The only thing is in terms of like the quantum, which generally happens, that's quite huge, but the commentary still suggests that it's going to take some time. So would it be fair to assume...
Vellayan Subbiah: Are you talking about disbursements? Or are you talking about collections on that?

Kunal Shah: Yes, disbursements. Disbursements.
Ravindra Kundu: Disbursements are about the same range only. I don't think disbursements saw a very jump from Q2 to Q3.
Vellayan Subbiah: Disbursements, we don't see that. I think, the question, as Ravi's commentary was more on the collections and the portfolio normaliz ing.
Kunal Shah: And collections also Q3, you said like at least in terms of the GS2, GS3, it would be at a similar level to Q2 and the improvement would be from Q4 onwards. So that's right?
Ravindra Kundu: That's correct.
Moderator: The next question is from the line of Shubhranshu Mishra from Phillip Capital.
Shubhranshu Mishra: Three questions. The first one is around the fee income, a chunky piece is now coming from our insurance premium. How do we model for the insurance premiums going forward in the fee income?
The second question is around the assignment that we used to do in vehicle finance. It's come off drastically versus, say, 6, 7 quarters ago. How do we look at that in terms of assignment going forward in vehicle finance business? And third, if you can spl it the collections team or collection employees into various businesses?
Arul Selvan: Insurance. Yes, insurance, we were earlier getting through the subsidiaries and which we're taking through dividends, it is now coming in Chola . We are already at a fairly decent pace on the insurance. I don't see too much of an upswing from here. It will go in line with the disbursement trends. On the assignment, actually, we're not doing assignments. We're doing more of only securitization so f ar. So...
Vellayan Subbiah: So I think his question was, we doing a lot of assignment...
Arul Selvan: Long time...
Vellayan Subbiah: That was a long time ago.
Arul Selvan: Very long time. More than 5 years back. Actually, most of the assigned book we have in VF, has already run down. We have a few INR1,200 crores or so on the LAP and HL book, which we have done long time back, which is still as well as the whole residual...
Vellayan Subbiah: Manpower, obviously, I mean, we're not going to give guidance around...
Arul Selvan: We have not given separately guidance on collections team, et cetera, but...
Vellayan Subbiah: But the majority -- more or less in line with kind of the size of the each of the businesses.
Shubhranshu Mishra: But how many people do we deploy in collections?

Vellayan Subbiah: Oh, question is overall in collections.
Arul Selvan: That will differ, again, product to product. Maybe vehicle finance is the largest, or most like 20,000 people will be in VF.
Vellayan Subbiah: So I think a quarter of our total workforce should be collections.
Shubhranshu Mishra: Say that number again?
Vellayan Subbiah: So it will be between 25% and 30% of our total workforce is collections.
Shubhranshu Mishra: And what portion would be in vehicle finance and LAP?
Vellayan Subbiah: That's what we just told you no. We won't give any specific guidance and you can just assume that it's in ratio of the size of the business.
Moderator: The next question is from the line of Viral Shah from IIFL Securities.
Viral Shah: Let me ask the question. So I wanted to check on the new businesses, since last 3 quarters now we are seeing broadly flattish kind of disbursements, so what is the outlook over there? Or is it more of a conscious call? And also, if you can share the percen tage of the CSEL book now being

sourced through fintech partnerships?
Balraj Menon : In CSEL book 10% is partnership.
Balraj Menon : The overall CSEL book is INR14,000 crores. Out of that fintech partnership is only INR2,000 crores. The ratio has actually come down.
Vellayan Subbiah: So it's about 12% through fintech partnership of the book. And to your question, kind of I think what we've always indicated is that the totally unsecured book will cap out as a percentage of our overall portfolio. So the CSEL business is about 8% to 9% of the overall portfolio right now. So we don't see it kind of growing into double digits .
So I think we'll cap out at 10% max. So to your question on whether that's conscious? Obviously, it's moderated, yes, by the size of the overall business. So quick answer is, yes.
Viral Shah: Okay. And when you say you'll cap i

t at, say, at max 10%, is it like say more 6 months, 12 -
month kind of thing? Or more from, say, a medium -term perspective, say, 3 years out also it will be like...
Vellayan Subbiah: Yes, yes, medium term also. Three years out also.
Viral Shah: And secondly, I wanted to check if there would be, say, any impact of the RBI's directive on doing it with the foreclosure charges on the floating rate MSME book, which would be a LAP book in our case. Do you foresee any impact not just from, say the , fees perspective or, I would say, more from a competitive perspective as well as the exit barrier kind of goes ahead?

Arul Selvan: The directive is more for foreclosures out of own funds and for personal purposes taken. What we do is all business loans and where it is from own funds, we don't charge, but where it is a balance transfer, etc, we will charge.
Viral Shah: Okay. So you are saying only the non-BT portion will be impacted on the LAP book?
Ravindra Kundu: No, there are 2 type of foreclosures . If someone is actually paying from his own pocket, then we are not charging . And someone is basically taking loan from the market, then it is being charged.
Viral Shah: Okay. And that does not change with this kind of directive, to your understanding?
Ravindra Kundu: Difference is coming, I think.
Suresh Kumar : It will come, so we will have to assess it. At the portfolio level, we will see and there could be some impact if the full circular is implemented.
Viral Shah: Okay. Got it. Thank you. And do I have a chance for 1 more question?
Ravindra Kundu : Go ahead.
Viral Shah: With respect to the NIMs, if you can see, let us know how it will trend in the second half? And more importantly, also in this quarter, was there any effect of averaging or timing impact because we saw 10 bps increase in cost of funds, right? Did it have a nything to do with the ECBs that we raised?
Arul Selvan: So we did Tier 2 INR3,000 crores. There's a marginal impact, but it is more case of some of the old loans, old borrowings, which were at lower rate also running off. The same reverse story of what we talk about in vehicle finance, but we were able to manage it there, and we hope to keep it.
Moderator: The next question is from the line of Pranuj from JPMorgan.
Pranuj: Two questions. One is on your fee income, it is sustaining at a pretty decent level of INR400 crores plus. Your insurance income has not increased that much quarter -on-quarter. So what actually led to the strength over here? And second is your OpEx should sustain at that 3%, 3.1% level even if you see that incremental disbursement growth coming off from this year and next year?
Ravindra Kundu: Fee income.
Vellayan Subbiah: Yes. So I think the OpEx will be at the 3% level. We don't see kind of that opex going up even if disbursement grow . As opex is basically measured off of the AUM base, and we'll see the AUM base like we've guided . Kind of will be lower than the 33%, but the OpEx, we don't see an issue.
Arul Selvan: Fee income. Fee income will remain at similar level. It has improved a bit, but it will remain at similar levels.

Vellayan Subbiah: As a percentage of...
Arul Selvan: As a percentage of average assets because it is amortized on the book under Ind AS.

Pranuj: Understood. Just to clarify, OpEx, you said 3% to 3.1% should sustain going forward also, right?
Vellayan Subbiah: Right. Yes. 3%.
Moderator: The next question is from the line of Hardik Shah from Goldman Sachs.
Hardik Shah: I had 2 questions. One is specifically on yields, what will be your incremental yields versus outstanding? And if you have taken any interest rate hikes across portfolios?
Vellayan Subbiah: In which -- you're talking

about overall?
Hardik Shah: Overall.
Arul Selvan: In this scenario, we will not be taking interest rate hike from the floating rate book, which has already been hiked, which is the LAP, HL and SME. In the rest of the books, where it's a fixed rate, we have progressively been increasing marginal yield, 2 c omponents to it. One is the increase as well as the mix.
Most of this is giving an impact on the yield. So you'll see that more in vehicle finance and CSEL. And CSEL, you won't see much because it's already a high rate book, so you may not see that much impact. But in vehicle finance, you will see progressive increase over the next 2 quarters.
Hardik Shah: So what would be the broad delta on incremental yield versus...
Arul Selvan: We can't discuss those delta because it is a combination of 2 factors, as I said. One is the increase we are doing as well as the mix of the portfolio. So mix of the portfolio will be determined by market demand, etc, so we cannot really give you a number, and it's going to nitty -gritty into that.
Hardik Shah: Okay. Got it. And sir, second question is broadly on the customer overlap with MFI. If you could share some color, especially for our 2 -wheeler and affordable housing business, if you're seeing any impact on those portfolios from the stress that we are see ing in MFI?
Ravindra Kundu : No, there is no overlap actually.
Hardik Shah: Zero?
Arul Selvan: Across all business...
Vellayan Subbiah: We can't say zero . It is m inimal.
Moderator: The next question is from the line of Nidhesh Jain from Investec.

Nidhesh Jain: Two questions. Firstly, are there any growth and asset quality divergence between new CV and used CV? And secondly, in the SME book, there is almost a 30 basis point sequential increase in GNPA GS3, and the book is also growing at a healthy pace. So that l ooks a bit high increase on the GS3, so any comment or color on that?
Ravindra Kundu: As we mentioned always, we are more focused on the CV used. And in the case of CV new, whenever heavy commercial vehicle is growing faster, our growth looks lower than the market. But now CV new is also growing lower pace, so our growth rates in the CV New and CV used, both are same.
Nidhesh Jain: And sir, on the asset quality trends, the GS3 increase that we have seen, is it uniform across used and new or there are divergences?
Ravindra Kundu: Yes, yes, same only. I mentioned that in the previous analyst question also.
Nidhesh Jain: Sure.
Pankaj Murpani : As far as SME book is concerned, quarter -on-quarter the book has almost stabilized on the same number. And as far as GNPA is concerned, basically, book is maturing and we are seeing that some cases will come. But with the legal course and all, things will come down with SARFAESI. It's all covered under SARFAESI. So it is now maturing, and we'll take actions to bring it down. And H1 was anyways a little bit tougher. The market was like that, but in H2, we are confident that it will come down
Moderator: The next question is from the line of Ajit Kumar from Nomura.
Ajit Kumar: Just one question. In your credit cost guidance for FY '25, are you factoring in further reduction in ECL provision in Stage 1, 2, 3 assets in second half? This quarter as well we have seen reduction in ECL provision. That is why I wanted to check on trajectory of ECL provision going forward?
Arul Selvan: So the reduction would be driven by the reduction in Stage 2 and Stage 3 assets. It's not a reduction , if you are indicating that it's a reduction by changing the methodology.
Moderator: The next question is from the line of Bhaskar Basu from Jefferies.
Bhaskar N. Basu: I just had 1 question on the credit cost side. So you seem to be indicating that GS3, the asset quality would broadly be stable sequentially, while the ask on the cred

it cost for the second half
to meet your full year guidance is still fairly high. So do you expect credit cost to go down next

quarter onwards like we have seen in the past or it's going to be largely back -ended?
Ravindra Kundu: Next quarter will be flat. The fourth quarter will be lower, and that's how we will achieve. As of now, we are at 1.5%, if you see that. And as we have said that it will come down to, say, 1.3%.
Bhaskar N. Basu: Right. So the entire improvement is likely to be in the fourth quarter is what you are indicating?

Ravindra Kundu: Yes, that happens actually, normally. Last year, quarter 3 also was good, but since it is the October month, last day is the Diwali. So October month will not be that great. And then November and December, we need to cover it up. And also, the entire harvesting also got extended.
Bhaskar N. Basu: Okay. Okay. And when you're talking about reduction in GS3, it's going to be across the board or specifically on the vehicle finance side where you see a correction from where you are?
Ravindra Kundu: Some of the portfolio like LAP and HL are already at the r ock bottom level. Even in vehicle finance, if you see that we are much lower than the pre -COVID level. And that is also one reason that it is going up. When you have reduced it so bottom, it has to go up a little bit in a month. But we are expecting that vehi cle finance, CSEL, SME, they will be reducing their Stage 3.
Moderator: The next question is from the line of Ankush Agrawal from Surge Capital.
Ankush Agrawal: Firstly, sir, our capital adequacy has increased sequentially, so can you explain why did that happen?
Ravindra Kundu: CAR has gone up.
Arul Selvan: CAR has gone up because I told know we did the Tier 2 and Tier 1 . Perpetual debt goes into Tier 1 so that has improved.
Ankush Agrawal: Sorry, can you repeat, what goes into Tier 1?
Arul Selvan: Perpetual debt. We did INR1,000 crores of perpetual debt, which goes into Tier 1 and INR2,000 crores, which went into Tier 2, both have helped improve the CAR.
Ankush Agrawal: The second question was about growth. I mean in quarter 1 con call, we made this comment that the Q1 growth and disbursement were much higher than what we had expected because of election. And that in Q2 onwards, we expect it to increase further, but obvio usly, we have not seen that happen. So what changed between these 2 periods that the overall growth outlook is now much lower than what was there in Q1?
Ravindra Kundu: Q1 growth was 21%. Now it is at 17%. We said that in Q2 because of the rain it had an impact, and then from Q3 onwards it will pick up.
Arul Selvan: We've always maintained 20% to 21%.
Vellayan Subbiah: Yes, and broadly, the guidance we've always given, like Arul said, has been 25% AUM growth, right? There was also the question based on kind of RBI input and all of that. So broadly, what we're saying is that we've shown 33% in the first half. And we will likely kind of drop to a lower number. But still we maintain that 25% guidance . So we're not changing the full year guidance of 25% AUM growth. .
Moderator: The next question is from the line of Renish from ICICI Securities.

Renish: Just one question on the credit cost front, once again. So if you can just throw some light maybe qualitatively that since we expect a sizable recovery in Q4 from all our product line, which product you expect will drive this improvement, including since o ur exposure to some of the unsecured product is relatively higher. Maybe NCL, unsecured business loan, et cetera. So which segment you expect to drive this recovery in Q4? And do you foresee any risk to that recovery as of now?
Ravindra Kundu: So first of all, you have to accept that it

is actually from quarter 1, which has come down from 1.5% to 1.4%, okay? And with 1.4%, we are saying that it will go down to 1.3% at the company level. Now if you see that our LAP, which was actually doing the r eversal till last year, they were reversing 15 basis points. This year, they have given 15 basis points above NCL. So that is a 30 basis point swing.
So now they do not have that much reversal capacity. They will do 15 basis points. In steady state, they can go up to even 30 basis points, but they're doing better than their expectation. Vehicle finance actually from 1.9%, it has come down to 1.8%, and it is going to go down further. So the major difference is only 10 basis points, 1.4% to 1.3%. So 1.4% to 1.3%, everybody will have to contribute, but those who are already lower like HL and LAP, they are

already lower, they cannot contribute anymore.
Vellayan Subbiah: Yes, so HL and LAP have had a strong performance. That will continue. And obviously, some of the other segments will now start contributing a bit more.
Renish: Okay. And do you -- I mean, you don't foresee any risk of unsecured business loans or maybe unsecured portfolio sort of resulting in higher credit cost in second half, given the current environment is...
Vellayan Subbiah: There is no concern on unsecured business.
Moderator: The next question is from the line of from Kaitav Shah from Anand Rathi.
Kaitav Shah : Sir, just one question was on the improvement in the ROTA. So with the growth perhaps slightly slowing down, does that change the ROA trajectory for you? I mean, ROTA trajectory, in a medium -term perspective? I mean, does it postpone the ROA improvement? Or it's still on track, do you think, over the medium term?
Vellayan Subbiah: No, no. I think that is still on track. We don't see any challenges.
Arul Selvan : We're still working on the 3.5 % ROTA .
Vellayan Subbiah: Yes. So we've always guided that . We have talked about the range and kind of the performance in that range. So I don't think there's any change in medium -term guidance.
Moderator: The next question is from the line of Raghav Garg from Ambit Capital.
Raghav Garg: Thanks, my questions have been answered.

Moderator: Next question is from the line of Sonal from Asian Market Securities.
Sonal: There was a previous question on PBT -ROTA. So in 1H, we are closer to about 3.1%. So how do we reach to 3.5% by the end of the year? Because what I understand there would be 10 bps improvement from credit cost.
Vellayan Subbiah: The specific guidance we've given is 3.5% is the average over the full cycle . And we've said that when we are at weaker points in the cycle, we will drop closer to 3%. So the range we've given is 3% to 4%, and we said we'll average 3.5% over the cycle. So in years like this, we will definitely be lower than 3.5%. So we'll be closer to the 3% end of the year . So what we're saying is it'll move up from 3%, but it will definitely not move up to 3.5%. So we're not saying we'll hit 3.5% this year, to be clear.
Ravindra Kundu : We're at 3.1% level of H1, so it will improve to maybe 3.2% for the full year.
Vellayan Subbiah: Could be 3.3% also. Between 3.2% and 3.3%.
Ravindra Kundu : Yes, for the year.
Sonal: Sure. And just another question on CSEL. So our provision coverage ratio is at 50.5%. Now given that the book is unsecured, any thoughts of increasing this provision coverage ratio?
Vellayan Subbiah: Is your question, whether will we change the CSEL provision coverage ratio ?
Ravindra Kundu: No, no, we are not going to change
Sonal: I am talking about CSEL Stage 3.
Arul Selvan: No. CSEL, right now we are adopting a more aggressive policy considering that we don't have the history to do an ECL model on it. Hopefully, by end of next year, we will be having enough data to do the ECL mod

el, but our indications show that the ECL model will throw a lower number than what we are already providing.
Vellayan Subbiah: So broadly, we feel comfortable with the current provisions of it.
Sonal: Okay. So I mean pre -COVID levels, when our book was secured book, we were maintaining about 1.75% of PCR. With unsecured book being closer to about 8%, are we comfortable with 1.83% PCR on the total book?
Arul Selvan: You have to look at it from an overall perspective, CSEL is only 8% of the overall book. So considering that, its not going to swing that much. You are talking the 1.25% is the overall company.
Ravindra Kundu: 1.83% for the entire...
Vellayan Subbiah: 1.83% as a percentage of total...
Ravindra Kundu: Earlier, it was 1.7%, yes.

Sonal: Okay. So we don't see anything to change here over next 4, 5 quarters?
Vellayan Subbiah : No.
Moderator: The next question is from the line of Dhaval from DSP.

Dhaval: Just one sort of question relating to the business model. So like we added these new businesses to reduce cyclicality, and that's what is playing out with VF being lower -- relatively lower growth, but the overall business is sustaining. Any part of the bu siness model that you think as you've added these 3 or 4 segments, anything that can become much more bigger in the next, let's say, 5, 6 years from where we are today? Any of the businesses, just any thoughts around that?

Ravindra Kundu: So one is that at a company level, we have diversified. And within the businesses also, every business is trying to diversify. For example, LAP is actually getting into the micro LAP in order to maintain their yield and ROA can be stable. Similarly, HL is like expanding and we are also having new product other than the self -construction.

CSEL has already got 4 products in their line. SME also started moving to the equipment finance, medical equipment finance, industrial equipment finance. They generated funding and also -- they are also getting into the micro term loan. So I think we are d oing both at a company level as well as the division level.

Vellayan Subbiah: The thesis still kind of remains intact . And like Ravi said, HL and LAP are showing good indications of kind of this thing. So I think HL is obviously a much larger base but both of these businesses are showing kind of good indications of taking a larger percentage of the overall book .

Dhaval: And so medium term, should one be thinking that this 50% VF today and maybe eventually 40% to 50%, directionally, it can be far more diversified, may be many years down the line, but it can be a far more diversified business than what it is today, so that should be a broad hypothesis? Or do you think at some point, the VF will still flatten at a particular elevated percent?

Ravindra Kundu: Actually, it will come down.

Vellayan Subbiah: Right, you're seeing that. I mean, like it's at 56%, it will come down -- I mean, if you take the long term, right, I mean, definitely, some of the other businesses also have good growth. So your point is valid.

Moderator: The next question is from the line of Nischint from Kotak Securities Limited.

Nischint: This is just a clarification. When you mentioned credit cost of 1.3% versus 1.4% in the second quarter, is 1.3% for the second half or is 1.3% for the entire year?

Vellayan Subbiah: For the full year.

Nischint: For the full year. So probably second half should be like whatever 1.1%, 1.2% or there. Or maybe fourth quarter should be like whatever, 1.1% or so?

Vellayan Subbiah: Yes, yes. That's correct.

Arul Selvan: Yes, that's what Ravi was saying.

Nischint: Thank you very much. This was the last question for the call. So thank you, everyone, for joining th

is call. Happy Diwali to all of you, and thank you very much to the management for giving us an opportunity to host the call.

Vellayan Subbiah: Thanks, Nischint. Thank you.

Moderator: Thank you. On behalf of Kotak Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

February 6, 2025
The Secretary
National Stock Exchange of India Limited
Capital Market – Listing , Exchange Plaza
5th Floor, Plot No. C/1, G Block,
Bandra■Kurla Complex, Bandra (E)
Mumbai 400 051
NSE SCRIP CODE: CHOLAFIN EQ The Secretary
BSE Ltd.
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001
BSE SCRIP CODE: 511243
Sub.: Transcript of Earnings call for the quarter ended December 31, 2024
Further to our letter dated 31st January, 2025, informing you regarding the upload of the audio recording of the Earnings Call for the quarter ended 31st December 2024, we enclose the copy of the Transcript of the Earnings Call, which has also been uploaded on the Company website today in the following link:
https://www.cholamandalam.com/investors/call-transcript

We request you to take the above on record.
Thanking you,
Yours faithfully,
For Cholamandalam Investment and Finance Company Limited
P. Sujatha
Company Secretary
Encl.: As above

"Cholamandalam Investment and Finance Company
Limited
Q3 FY '25 Earnings Conference Call"
January 31 , 202 5

MANAGEMENT : MR. VELLAYAN SUBBIAH – CHAIRMAN AND NON-EXECUTIVE DIRECTOR – CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED
MR. RAVINDRA KUNDU – MANAGING DIRECTOR – CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED
MR. ARUL SELVAN – PRESIDENT AND CHIEF FINANCIAL OFFICER – CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED

MODERATOR : MR. NISCHINT CHAWATHE – KOTAK SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '25 Earnings Conference Call of Cholamandalam Investment and Finance Company Limited , hosted by Kotak Securities Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this call is being recorded.
I now hand the conference over to Mr. Nischint Chawathe from Kotak Securities. Thank you, and over to you.
Nischint Chawathe: Good evening, everyone. Welcome to the earnings conference call of Cholamandalam

Investment and Finance Company Limited. To discuss the 3Q FY '25 performance of Chola and share industry and business updates, we have with us the senior management, represented by Mr. Vellayan Subbiah, Chairman and Non -Executive Director; Mr. Ravindra Kun du, Managing Director; and Mr. Arul Selvan, Chief Financial Officer.
I would now like to hand over the call to Vellayan for his opening comments, after which we'll take the Q&As.
Vellayan Subbiah: Thank you, Nischint, and good afternoon, good evening, everybody. Key financial results for the quarter and the year -to-date December 2024. Disbursements were at INR25,806 crores for the quarter, which is up by 15% and INR74,452 crores for the YTD , that's up by 16%.
The total AUM is now at INR1,89,141 crores, which is up by 34% year -on-year. And net income for the quarter was at INR3,541 crores, which is up by 37% year -on-year and INR9,812 crores for year -to-date, which is up by 39% year -on-year. PAT is at INR1,087 crores for the quarter, which is up by 24% and INR2,992 crores for the year -to-date, which is up by 27%. I'll just go through some of the disbursement data at a business level.
The vehicle finance disbursements were at INR14,390 crores in Q3 FY '25, which is a growth of 16%. And disbursements in year -to-date December 2024 was at INR39,492 crores, which is a growth of 12%. Our loan against property business disbursed INR4,205 crores for the quarter as against INR3,409 crores, which is a growth of 23%. And year -to-date, disbursements at INR12,374 crores, which is a growth of 33%.
Home loans disbursed INR1,820 crores in Q3 and that is a growth of 15%. And year-to-date, the disbursements were INR5,421 crores, which is a growth of 17%. SME disbursed INR1,911 crores and that is as against INR1,981 crores in the same quarter last year. And the year -to-date is INR6,029 crores, which is a growth of 1%.
CSEL, which is our consumer and small enterprise business, disbursed INR3,149 crores in the quarter as against INR2,773 crores, which is a growth of 14%. And the secured business and personal loans disbursed INR331 crores as against INR280 crores, which is a growth of 18%. And year -to-date, it was INR911 crores, which is a growth of 29%.

Assets under management stood at INR1,89,141 crores. PBT growth in Q3 was at 27% and for year-to-date, it's at 28%. PBT ROA for the quarter is at 3.2% and year -to-date is at 3.1% and ROE for the quarter was at 19.6% as against 18.9%.
The company continues to hold a strong liquidity position with INR 15,159 crores as cash balance at the end of December 2024, (including INR3,421 crores invested in GSEC and SDL and INR1 ,694 crores invested in T -Bills and INR758 crores invested in Strips which is shown under investments), with a total liquidity position of INR15,677 crores, (including undrawn sanction lines). The ALM is comfortable with no negative cumulative mismatches across all - time bucket s.
Our consolidated PBT was INR1,465 crores for the quarter, w

hich is a growth of 27%.
In terms of asset quality, Stage 3 levels representing 90 + dues increased to 2.91% as of December '24 from 2.83% as of September '24 end. GNPA as per RBI norms increased to 4% as against 3.78% on September 2024 . NNPA also increased 2.66% as against 2.48% on September 2024 . NNPA is below the threshold of 6% prescribed by RBI for PCA.
In terms of capital adequacy, as of 31st December, we were at 19.76% as against regulatory requirement of 15%. Tier 1 capital was at 14.92%.
In terms of dividend, the Board of Directors approved the payment of an interim dividend of 65% being INR1.30 per share on the equity shares of the company for the year ending March 31, 2025.
So I will stop with that and be happy to turn it over to the audience for questions. Thank you.
Moderator: We'll take our first question from the line of Dhaval Gada from DSP.
Dhaval Gada: I had a couple of questions. The first one relates to asset quality. So last quarter, I think we commented that generally, we expect Stage 3 assets to improve in the second half of the year. If you look at Slide 29, generally, the improvement is less, and you've seen some increases, especially in the newer businesses. Could you talk a little bit around -- is it in line with what you expect and things should improve in the fourth quarter or what's sort of gone in the new businesses? So that's th e first part.
And the second question relates to, if you look at Slide 67 and 68, which is on CSEL and SME, generally, if you look at the ROA improvement, the PBT ROTA improvement, we expected some bit of credit cost normalization as well. What should be the steady state credit cost in both the businesses in your view? And where it should be in the curr ent year and then in the medium term?

Ravindra Kundu: Yes. So first of all, I mentioned last time that the quarter 2 to quarter 3, it will be flat, actually. And we have tried our level best and we see the little bit benefit in terms of NCL of vehicle finance is actually now seen to the extent of 10 basis points.

At the same time, the CSEL is actually showing a little higher NCL. That is because of the partnership is actually showing higher NCL. And we mentioned in the last time also that we are coming out of the partnership business slowly. We have already come down to 3 partners from 10 partners in the last 2 years' time and likely to go down further and will come out completely from the next financial year.
And as we come out of the small ticket size loan where the NCLs are high, you will see that the NCL of CSEL will start coming down. So stand -alone CSEL without partners is much lower, but if you add the NCL, it is actually higher.
And second is that even in the case of the partnership , we are getting FLDG in the income line. So overall NCL whatever you are seeing, it is inflated by 1% because that is added in the income line also. So your question is when the C SEL, NCL will come down? It will come down only when we start doing lesser partnership and when we completely come out fro m the partnership. And we are likely to do that . Within next 1 year time, you will see that the partnership book will get run down because these are small ticket, small tenor book. And majorly will get run down and the balance will get run down in the next 2 years' time.
When it comes to the SME, it is basically similar to loan against property where the customer is having a collateral and then we have to do SARFAESI and resolution of the cases takes 9 month s to 1 year. So there are SARFAESI which is lined up. And once the SARFAESI starts kicking in , then the NCL will start giving the reversal as we have seen in the case of LAP.
So next financial year, you will see those reversals coming, and you'll see our NCL in case of SME instead of negative, it will be p

ositive, and therefore, the ROTA can go up. So this is what is the feedback on SME and the C SEL delinquency. Is there anything which I missed out?
Dhaval Gada: Sir, could I just follow up, in terms of the partnership for C SEL first, what is the NCL right now? Like it's sub 4% or even lower? So what should be our expectation for next year and beyond? That is one. And on SME, you said that reversal this year elevated and then next year probably reversal. On average, what should be the NCL that we should look at in this business on a more medium -term basis?
Ravindra Kundu: Yes. So one is that the reversal happen only when you start getting SARFAESI and properties started getting auction, those reversal will start happening. But in steady state, this particular book also will behave like loan against property. So 0.5% is the NCL, you can take it as a steady state for the SME business.
As far as the C SEL partnership and non -partnership, traditional we have never given the bifurcation and we have not disclosed that. So we don't want to comment on that as of now. But obviously, when it will start coming down, the significant amount of NCL, which is showing up like it is 5.75, initially, it will come do wn below 5, and then it will start coming down further.

Dhaval Gada: Got it. J ust last question on growth. So last time, you mentioned that 25% growth expectation in the medium term. Does that sort of still hold true or any thoughts that you have for next year or beyond in terms of growth expectation?
Ravindra Kundu: No, w e are holding on it. That 25% growth we are going to deliver that even next financial year.
Moderator: We'll take our next question from the line of Dhaval Gala from Aditya Birla Sun Life AMC.
Dhaval Gala: A very good set of numbers, congratulations to the management team. Sir, two questions. First, on net interest margins, if you could let us know the current movement or repricing of the borrowings? And how would we be placed, assume the rate cycle is peak and if there is any cuts, how should one look at next year?
And second question, on the asset quality front, if you could highlight, generally, that trend is that fourth quarter numbers look to be far better than the previous three quarters and there is better collection efficiency across the vehicle or all the auto financing book. Should one expect similarity in the current financial year? And maybe what could be the guidance for credit cost next financial year?
Arul Selvan : Firstly, on the borrowing cost, we are holding it at similar levels, and we expect if there are

reductions coming through by the rate reduction , etc, then that would flow through. But that would be a lag of a quarter. But I think then it will come.
Ravindra Kundu: Yes. Yes, quarter 4 will be better than the quarter 3 and it has been like that. But if you see that in general, second half normally from quarter 3 onwards start doing better. And this year, we said that this year scenario is slightly different, things ar e not looking so good in terms of all the metrics and all the macros. So therefore, things will start improving slightly slow. And therefore, we said that quarter 3 will be flat. And the improvement in quarter 4 as compared to quarter 3 if you take the last year was very, very good.
So though it will happen definitely quarter 3 to quarter 4 improvement, it will not be to the level of the last year. And slowly, slowly improve because the capacity utilization of the vehicle still improving. I IPs are still improving. It has not come to the level of what it was last year. So it will take another 3 to 4 quarters to reach to the level of last year performance. So that is what is hitting. So from here, things should improve as far as the vehicle fin ance portfolio is concerned, we have seen that.
We have started ac

tually delivering a slight reduction in the NCL over the quarter. And then quarter 4 will be definitely better than the quarter 3. We have to see quarter 1 because normally quarter 1 is slightly a lean period. And then obviously, the next year will be better than this financial year.
Moderator: We'll take our next question from the line of Akshay Jain from Autonomous Research.
Akshay Jain: I have two questions. One, your credit costs continue to remain in the post code of around 155 to 160 basis points for the last 3 quarters. While we see that elevated credit costs in vehicle

finance fees and deterioration in new businesses. Can you please provide some more color on this as the stress in the vehicle finance is being seen across products, vehicles, geographies? Or is it restricted to some certain specific segments?
And also, you mentioned something on the new business side, but I guess you missed the SBPL piece. So if you can provide something on that also?
Ravindra Kundu: Yes, so first of all, before coming to vehicle finance, I'll tell you that it is not only the credit cost is basically coming up from the new business. It is also the reversal of the credit cost from the LAP, which was coming, which has now –stopped and then they started getting into the normalization of the credit cost. They were earlier, say, minus 20. Now they are plus 10 basis. So that is also a swing happening because they have also reached to the rock bottom level of Stage 2 and Stage 3 and reve rsals are now is not possible further.
So one is that the credit cost is coming from that. In the HL also, they were also continuously reducing their NPA. They have come down to 1.2% level and their NCL is at 0.3 level, though the NCLs are at same level, not gone up. But ideally, in the affordable business also, the NCLs are slightly higher than that. So it is not only coming from the new businesses, it is also coming from LAP and HL.
Now coming to the SBPL. SBPL is delivering 6% plus ROA and their NCL is likely to be 1.5% to 2% in a steady -state situation. So we are also getting NCL to the standard because now that book is getting settled down.
Now coming to the vehicle finance, which part of the market is basically not doing. We mentioned that last year, small commercial vehicle and light commercial vehicle for us were not doing well from quarter 2 of the last financial year itself, started increasing the infant delinquency, and we have taken the conscious decision to reduce the market share in the small commercial vehicle last year itself.
And now we are seeing that the early default and non starter started coming down from November onwards. So things are improving in the small and light is concerned. In addition to that, we have also seen the used commercial vehicle and also tractor were not doing well. But all those two products also now seeing that things are improving. So in vehicle finance, we can say that the last 2 years of non - performing products started performing better from quarter 3 onwards. The improvements are slightly not visible as of now. We are able to see from the infant delinquency only point of view.
Therefore, the Stage 3 is not visible. Stage 2 has come down in vehicle finance. And Stage 3 is slightly up by 9 basis points. So things are going to improve in next 3 to 4 quarters as similar to what it used to be, but we have to wait for that.
Akshay Jain: So is it right to call that you are calling a peak to the current stress and Q4 will -- definitely will be a strong quarter given the seasonality and Q1 should start seeing moderation further?

Ravindra Kundu: No. As of now, we should not use this strong and all. It will be better than quarter 3, definitely. We are trying stro

ngly to get the better performance. But things are looking better now in terms of infant delinquency and also the roll forward rates have started co ming down in the early buckets. The important is that the resolution of the higher bucket cases, which has already flown, that is taking time.
So unless the customer who have moved to Stage 3 start giving 2, 3 installments, they will not come back. So that is the reason I'm not using the strong performance coming up very soon. It will definitely come in 3 to 4 quarters, but not immediately. But g oing forward, it will continue to improve.
Akshay Jain: And if I may, last technical question on GNPA versus GS3. So your GNPAs are up 22 basis points in the quarter and 46 basis points in this year. Are the drivers here similar to what we can see in GS3? And what is the main difference between the GNPA and GS3 because one is at 2.91% and other is 4%?
Ravindra Kundu: Yes. When the market becomes very good, then all the GNPA customers who have actually come back from Stage 3 will become no rmalized . But what is happening there, the things have just started improving. So some people would have come back, but it's still showing up GNPA because once you touch the GNPA and it has come down to, say, 30 from 60 or 60 from 90, still the customer will be in GNPA, where in the Stage 3, once customer is coming below 90 DPD , it is coming out of the Stage 3. So during this kind of situation where things have started improving, there is always a gap in Stage 3 and GNPA.
Akshay Jain: Thank you.
Moderator: Thank you. We'll take our next question from the line of Harshit Toshniwal from Premji. Please go ahead.
Harshit Toshniwal: Thank you for the opportunity. Sir, the question was more on the headcount increase and more specifically that as you mentioned that the higher bucket cases this time are more sticky. So if you can throw some light about the collection, the allocation towards the collection within the employee count.
And also when we -- I mean, simple metric, if you try to look at more like disbursement per employee, so that number has not seen much efficiency over the last say, 3, 4 years. Now is it more sticky that the collection efforts are becoming tougher in this cycle? So to that extent, can that have any implication on the cost ratios in the next 3, 4 quarters for us?
Ravindra Kundu: Yes. As the market is actually not going up significantly or market is stuck at say 5% to 10% , the disbursements are depending on the number of vehicles being sold by the industry. So the productivity of the sales also get impacted. And also when there is a market, the portfolio is actually in a slightly challenging environment, sales executives are also responsible to do the early default follow -up and non -starter follow -up. So obviously, they are putting their efforts, but the number of units is not going up, which is going to go up only when the industry start s

seeing the good number in terms of the percentage of unit being sold by the manufacturer and the dealer.
At the same time, when it comes to the collection, the collection executives are given more number of accounts during this situation. And this time, we have hired around 55% people in the collection only and majorly people have actually gone to the collect ion. Those people who are -- like you also asked that what is the strategy of collection ?
So we have created a separate bucket -wise approach for the product like we have a separate bucket, Car & MUV , we have a different bucket, 2 -wheelers too, we have a different bucket and soft bucket, hard bucket, medium bucket, like that we have broken up and given the allocation to different employees. -- Higher bucket executives are getting lower account of allocation and lower bucket executives are having a higher bucket. So

there is a strategy on collection and it's getting implemented across all the businesses.
Harshit Toshniwal: Got it. Sir, just a follow -up to that itself. Now obviously, maybe the early bucket collections would be a responsibility for the -- mixed responsibility of the salesperson itself. But if we look at, say, 65,000 employees today, how much would be core coll ection or collection managers?
I think there will be a lot of agencies at the back end, which number will not be represented here ,

agency and the agency employees . But how much of the 65,000 would be core collection dedicated ones, maybe the harder buckets one? And if you can say compare that what percentage it was a year back, some direction to the number.
Ravindra Kundu: 31,000 is collection now.
Harshit Toshniwal: And earlier, what was the percentage, I mean, 1 year back ?
Vellayan : It's the same ratio, it did not move much on the ratio.
Harshit Toshniwal: Thank you.
Moderator: Thank you. We'll take our next question from the line of Raghav Garg from Ambit Capital.
Raghav Garg: Thank you for the opportunity and c ongrats on the results. Firstly, sorry, I could not hear your commentary on truck utilization properly, what is that, if you can repeat very briefly? The other thing is that , also your view on vehicle finance stress taking about 3 to 4 quarters to resolve, right? So in light of that, what will be your credit cost guidance for next year? That's my first question.
Ravindra Kundu: Yes. So capacity utilization, if you see that the inflation of the vegetable has gone up during last 1 year , we have seen that very significantly. That is also because of the supply being less. So if supply is less then onion being transported by the small vehicle, small commercial vehicle between Nas hik to Mumbai, the number of trips have come down. So it came down as low as 50% and then started going up.

The capacity utilization has started improving as the supply of the vegetable, supply of the food has improved. Last mile transportation has improved, the capacity utilization is improving month -on-month. But it has come to 70%, 80% now. And it's required to move further. I'm talking from the small commercial vehicle point of view.
Similarly, when you see that industrial production or the GDP is strongly correlated with heavy commercial vehicle capacity utilization, there, we see that the on -ground activity on infra, road, mining and manufacturing are slightly down. It has improved i n November and December, but it's still not up.
So in the heavy commercial vehicle, the sales are down and the portfolio quality, capacity utilization is slightly getting impacted. Though Chola is not more exposed in the heavy commercial vehicle so we do not have that problem as far as the HCV is concerned . And HCV problem has started now. Small commercial vehicle, light commercial vehicle problem actually started last year, which is now coming down, and it is improving in fact.
So therefore, in order to basically see that the NCL will start coming down to the industry level, I see at least 3 to 4 quarters there. From Chola's point of view, since our exposure are less in HCV, our net credit cost should start coming down from quart er 4 onwards.
Raghav Garg: And what is your guidance for next year's credit cost?
Ravindra Kundu: It will be lower than the current year.
Raghav Garg: Understood. And sir, my other question is LAP portfolio. So there also you've seen some NPLs increase now. I've seen the numbers, but if you can give a more ground level flavour as to what are the reasons, why our customer is finding it difficult to make repayments? So that's another question, sir.
Suresh : So as far as LAP is concerned, in the last 2 - 3 years, we have significantly reduced our Stage 3. And these are all normal roll for

wards, which is as a BAU roll forward. If you look at it still at the overall Stage 3 level, it's holding at 2.25%. So there is no significant change in terms of the movement in the Stage 3.
If you look at even December '23 Stage 3 of LAP book, it was about INR803 crores. And we are almost at the same level for the last 12 months. Maybe there is a dip because of some resolutions happening in between and then normal roll forward s happen. So it has remained stagnant for last 15 months, it's almost on the same level.
Raghav Garg: And one last question from my side. In the C SEL disbursement of about INR3,200 crores, how much of this was from the partnerships?
Ravindra Kundu: INR1,200 crores.
Raghav Garg: And this you're saying will go down significantly in next year, right?
Ravindra Kundu: Yes. Next year, it should not be there. This quarter itself it'll come down.

Raghav Garg: Understood. Thanks a lot and that's all from my side.
Moderator: Thank you. W e'll take our next question from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal : I have two questions. First one, a clarification question. Ravi sir when you say things will start improving from 4Q and maybe it will take three to four quarters for things to get normalized, what I'm trying to understand is, I mean, what is the underlying rationale when you say that? Is it more in the nature of seasonality that we see in 4Q or do we think that the macro themselves will start improving? A nd from maybe better government c apex which will lead to an improvement that we're ta lking about?
Ravindra Kundu: No. So 4th quarter, I mentioned about the heavy commercial vehicle, where our exposure is negligible. So we are not relating to that one. I'm saying the GDP growth which has come down or IIP is showing lower, those data point is basically showing that the capacity utilization of heavy commercial have been impacted. The on -ground activity on mining, construction, road and everything has not gone up or picked up as similar to last financial year.
So therefore we will have to wait for heavy commercial vehicle capacity utilization to go up in next three to four quarter time as far as the small and lights are concerned, these are more strongly correlated consumption and rural economy, last mile transportation and all that has started improving.
And that's the reason we said that we are expecting things to improve slowly from Q4 onwards and next year, net credit cost will be better than –previous quarter in this financial year as far as the vehicle finance is concerned for Chola.
Abhijit Tibrewal : And sir, then the second question that I had was more on used vehicle and two-wheelers. Sir, I mean, people, other lenders, other NBFCs, some banks have talked about some stress that we are seeing in used vehicle business. I'm talking about more about the refinance part of used vehicle business which is often treated as a consumpti on loan. So what are we seeing there?
And sir, two-wheeler, again, I mean, we've heard some lenders talk about challenges in two-wheeler in terms of collections because the ticket sizes are low, given that whatever stresses are being seen in micro finance there are some spill over. So what is our assessment of the used vehicle refinance business and the two-wheeler business?
Ravindra Kundu: So two -wheeler, tractor and small commercial vehicle, light commercial vehicle and used commercial vehicles, all these five products the delinquency started or infant delinquency started moving up from the quarter 2 of the last financial year itself which is because of the consumption, because of the rural economy not doing well at that point in time, then consumption in urban also impacted, last mile transportation got impacted.
And now we are seeing that al

l of these are actually started improving, especially from November and December. And we have only seen 2 months, that's the reason I'm not able to say

that. T his will be cleaned up in the next one to two quarte rs. That's the reason I have said we have to wait for some time, but things are improving and next year will be better.
Now coming to the specific to two-wheeler, if we do all two-wheeler across all OEM, then there is a problem. There are select OEMs we have done it in the past and you know very well. And that's the reason our performance of two-wheeler is looking better now. And used commercial vehicle also improving and showing the better capacity utilizing therefore, portfolio just started improving.
Abhijit Tibrewal: Got it sir. Thank you.
Moderator: Thank you. W e'll take a next question from the line of Pranuj from JPMorgan. Please go ahead.
Pranuj : Kundu sir one clarification. I think you mentioned the capacity utilization was 50% and now it's 70% to 80%. So are you comparing 3Q to 2Q or 3Q to 3Q last year for SCVs and LCVs?
Ravindra Kundu: No, I'm comparing Q1, Q2 versus Q3.
Pranuj : But doesn't that impro vement generally always happen l ike 3Q is more active, so I assume that always be the case?
Ravindra Kundu: No, I'm saying this capacity utilization has gone down so badly. From there, it started improving. Normally, the capacity utilization doesn't go down so badly, it remain at 70% level during the lean period and comes back to 90% level in the peak period. So during this financial year, due to the heat waves and excessive rain, election, post election transition was taking time, the capacity utilization got impacted. And then from there, it is going up.
Pranuj: Okay. Understood. So it's 50%, 70%, 80% this year and that was 70% and 90% levels last year for an SCVs and LCVs?
Ravindra Kundu: Correct.
Pranuj : Got it. And second just on your disbursement level sequentially in the new businesses, even if I

look at home loan is now flat, LAP has come down, even C SEL is not bad , but I think C SEL will be more because your partnershi p of higher disbursements, but on the LAP and HL the trend, how do you see it moving forward for you to achieve your 25% growth target for next year?

Suresh : So LAP if you look at it in the previous two quarters are okay, b ut last quarter we had a small dip. That's primarily because some of the market we have external process change in the SROs, we couldn't disburse the full. That is one of the primary reasons in some of the major markets there was a drop, but we are very co nfident and if things will stabilize this quarter onwards and the disbursements will come to the normal levels for LAP.

Prashant : For HL, the disbursement has increased, the overall numbers which we feel is around 15% growth on the Y -o-Y basi s and going forward the AUM growth will be around 35% -plus. For

the next 2 years this is a common point which we have been highlighting in the investors meeting.

Ravindra Kundu: Y-o-Y disbursement we are saying that 15% on disbursal and 35% with the closing asset that is fine for us in order to basically deliver 25% growth for the company. That is what is HL is prom ising where they are expandin g and stabilizing .

Pranuj: Got it. Thank you sir. I will come back in the queue.

Moderator: Thank you. W e'll take our next question from the line of Hardik Shah from Goldman Sachs. Please go ahead.

Hardik Shah: Sir, two quick questions. One is how much of our LAP affordable housing would be linked to repo? And how would the transmission look like if hypothetically rates were to get cut in February?

Arulselvan : We have our own internal benchmark for our reference rate and that's what we follow

for this.

And that is a combination of the ten or and the asset profile. So they have a transfer price to the business and basis the transfer price adding various components we arrive at the reference price . And because the transfer price takes the market pricing, if there are any reductions that gets passed on and the reference price will change.

Hardik Shah: Okay. So the transmission will happen not immedia tely, but with some kind of lag. S o can you help us think through in terms of what that lag could look like for you?

Arulselvan : It depends on whether our borrowings are also get ting the impact of the repo. So, for example, we have MCLRs which may not reduce. So then we will not be able to reduce it unless the banks pass it on, we will not be able to reduce it. So you need to understand month -on-month, we do this exercise and then we factor in what is the pricing for the book that needs to be done. It depends on how fast on the borrowing we get the impact, then it will get passed out.

Hardik Shah: Understood. And sir, sec ond question on the credit cost . You mentioned that you expect credit cost for Vehicle Finance lower for the next year from the current year, what would that look like for the overall book? If you could guide on that front?

Ravindra Kundu : See, as of now, we are saying this sector which is now we are looking really better, is just the Vehicle Finance. Obviously, Vehicle Finance is actually 56% of that much impact, take of the overall. But obviously for the company also it will come down.

Moderator : We'll take our next question from the line of from Subramanian Iyer from Morgan Stanley.

Subramanian Iyer: I just had a couple of data questions. So one is in your P&L you have this net gain on derecognition of financial instruments of INR65 crores. Is this assignment? I just wanted to confirm that.

Arulselvan : Yes, it is an assignment. We have an opportunity to do. Normally, we have not been doing, but this time there was a request from one of the banks so we thought we'll do it.

Subramanian Iyer: Okay. And you mentioned about 1% of ECL in the CSEL being FLDG so that goes out to about INR35 crores, INR37 crores. Is that already in the other income this time?

Arulselvan : It is in the income line of CSEL .

Ravindra Kundu : Yes, yes, it is in the income line of CSEL .

Moderator: We'll take our next question from the line of Piran Engineer from CLSA.

Piran Engineer: Congrats on the quarter. A couple of questions. Firstly, how should we think about growth in LAP over a 2 - 3 year period? I was going to ask for Home Loan s also, but you've already

answered that. But on Home Loan s, how confident are you to maintain yields at 16% and also grow at 30%?
Suresh : So we'll take the LAP first. So we have been growing last 3, 4 years consistently. And if you look at it earlier, because of the lower denominator effect, it was showing a higher percentage and we have grown to a certain state where 25% of disbursement gro wth and about 35% to 40% of AUM growth is what we look at it on a steady state. And that's what we're looking at, and that is what we are very confident and we are working towards in achieving that. So you can take 25% of disbursement growth and 35% to 4 0% of the AUM growth for LAP.
Prashant : For HL, I have already answered, we are looking at 15% disbursement growth and 25% to 30% book growth for next at least 2 to 3 years. And we feel that right now, we are stabilized and we have become a pan -India player in affordable segment. And for the current year, what we have also done, we have started increasing on the efficiency management. So the opex is going to be in reduction trend. That's what we are focusing to ensure that the efficiency levels goes up.
And also, going forward, we see there is still scope of at least coverage of

300 more branches
pan-India in the next 2 to 3 years because we are operational right now at 700 branches, whereas vehicle finance is around 1, 500 locations .. So there is still scope, headroom, for us to grow next 2 to 3 years and have coverage across all the locations everywhere. So right now, we are focusing on the stabilization and increasing the efficiency. Next, it will be on growth phase for next coverage for next 2 to 3 years in terms of book growth.
Ravindra Kundu: Income as of now, it is showing 15.9%. Obviously, when we start growing across the country, a little bit income will go down, but it will get offset by the better expense line because 3.9 as of now has come down from...
Piran Engineer: Sir, your voice is not clear.
Ravindra Kundu: So what we are saying is that the yield, which you said, how can you hold it at this level for how longer? We are saying that we can go down a little bit, but to that extent, opex also will improve.
So at ROA level, there is no change.
Piran Engineer: Understood. And sir, just secondly, on the used car market, you mentioned that used commercial vehicle was under stress for the last 4, 5 quarters. But 1 of the other players also recently

mentioned that used car market is seeing delinquencies. Is that also what you are seeing? And what is the sort of actions that you all are taking?
Balraj Menon : So for us, our used car business is doing well. It is not having any stress, like it is improving. As such, we are doing well in that segment.
Moderator: We'll take our next question from the line of Chandra from Fidelity.
Chandra : I had a couple of questions. I'm just trying to reconcile the 2 statements that you made. One was it will take up to 3 to 4 quarters for stability in credit costs, but your early delinquency you're saying are coming down. If you early delinquencies are com ing down, why would it take 3 to 4 quarters for credit cost to stabilize? That's question number one.
And second was, at the start of the year, you were of the view that this is -- I mean, in the next few years, cost to assets will start improving for Chola with every passing year. I mean, far from improving cost to assets are actually going up. I understa nd, obviously, there is a little more investment into the collections.
But maybe just what's not happened on the cost side and how should we just -- over the next ?
Ravindra Kundu: There are 2 things I said as far as the credit cost is concerned. One is that from the commercial vehicle point of view, what I mentioned, that small and lights are improving, but heavies are actually strongly correlated with IIP and GDP. And we see that those 2 data points are not showing so good results.
So for heavy commercial vehicle, it might take longer period. And Chola is not exposed to HCV so we are not having that problem. For the industry, it might take commercial vehicle is improving in 3 to 4 quarters. As far as Chola is concerned, we mentioned that we have seen a little improvement in November and December, and therefore, Q4 will be better.
And from here, it will be improving quarter -on-quarter. Barring quarter 1, which is a lean period, we have to see what would be the number, but we are quite comfortable that the things are improving much faster than the fourth quarter. As far as the opex is concerned, we have been mentioning that we are in growth phase, we are introducing product after products.
We are working on consumer durable now. And we have also developed our own digital platform where we have been doing the ELCS, and that is also the new investment. We are also going through a lot of changes in technology side, which is some are compliance related, some are like improving the efficie ncy related.
So therefore, we mention that currently, we are expecting our opex to be there at a 3% level.

Not
that year -on-year, it will come down. Year -on-year, new businesses will reduce the opex and the investment will continue to be there and which will hold the opex at the same level. When the investment on the new businesses will get over .
And then definitely, we will be reducing the opex , which is going to be after 2 years, not year -on-year immediate.

Moderator: We'll take our next question from the line of Suhas Hari from ICICI Prudential AMC.
Suhas Hari : I think there was a mistake. I don't think I really asked. There was some error in that. Sorry, sorry for that.
Moderator: There is no question. All right. We'll take our next question from the line of Abhishek M from HSBC.
Abhishek M: So sir, I think for credit cost, initially, you all had called out about 1.3% for the year. You're at 1.4% YTD. So do you still hold on to 1.3% because 4Q should be much better typically, even if it is higher than last year or do you think 1.4% is more the level to think about?
Ravindra Kundu: As of now, 1.4%. We are expecting quarter 4 to be better, but let's take 1.4% as our target.
Abhishek M: Okay. And next year should be better based on your commentary that on used CV tractor, the LCV, SCV, I think generally, your commentary on vehicle and then as you come out of partnership, etcetera, in CSEL , so it should be better next year?
Ravindra Kundu: Yes. That's correct. Absolutely. Next year it will be better than this financial year. We are banking on the vehicle finance more. And as far as CSEL is concerned, we will come out of the partnerships, and that will improve the net credit cost.
Abhishek M: Understood, sir. And margins, just quickly, you expect it to improve as rates come down or do you think that will have to be passed on and basically margins should remain flattish from here?
Ravindra Kundu: Vehicle finance is around fixed rate, that is 56%. If rate cuts come, then obviously, vehicle finance will be more benefited. And we have also mentioned that our marginal is still higher than the book rate and that is getting transferred slowly. So quarter -on-quarter, we get 10 basis points benefit on account of that. Next year margin will be higher because of that.
Moderator: Next question is from the line of Vikram Subramanian from Marshall Wace.
Vikram Subramanian: Just to follow up on asset quality. I know it's been discussed quite a bit, but just wanted to get a bit more clarity. A couple of things that I understand from what you have commented as 1H had quite a bit of systemic issues because of heat wave and elect ion and all of that, which resulted in a significant drop in capacity utilization. And right now, there is a bit of stress in HCV capacity utilization as well.
But given that now in 2H, you say capacity utilization has increased significantly and our proportion of HCV is also quite low. Why isn't it that we won't see sharp credit cost reduction in 4Q, ideally, that should be the case, right, given that the base h as so much stress 1H and 3Q, can you give some explanation or color there, please?
Ravindra Kundu: No. As I mentioned that the improvements are not sharply happening. It is seen that it is going up from 60 to 70, but last year, 70 was the base case and it went up to 90 in good time. That is the reason we are saying that this year, the second half improv ement is lower than the second half improvement of last year and capacity utilization started improving for small and light, but

for those customers who have already gone into this stage 3, they will not be positioned to come back and they'll not be in position to pay 2 EMI, 3 EMI at a time. So that is what is going to take time.
Vikram Subramanian: Okay. Okay. Fair enough. And just another fo

llow -up on opex. I think one of the previous participants had asked about the investment phase and when opex will reduce. From your comment, is it right to understand for the next couple of years, opex to assets will be flat and then it will start to reduce?
Ravindra Kundu: That's correct. Absolutely.
Moderator: Next question is from the line of Viral Shah from IIFL.
Viral Shah: So sir, I have a few follow -ups on the questions that have been already kind of answered, but some bit of ambiguity. So one is on CSEL , you mentioned that the credit cost actually increased. And of course, it is because of partnership and FLDG in other income. But when I look at your yields, which includes other income, that has actually sequentially declined. So how should we

think about it?
Ravindra Kundu: That is because of the reversal of income also when the customers are getting written offs and the interest income is actually coming down for that portion.
Viral Shah: Okay. Got it. And sir, your comments with regards to various sub -segments of vehicle have been quite helpful. Just one, I think the missing piece over there is how is the used heavy commercial vehicle doing? So while you mentioned heavy probably is now getting into the relative stress and will take now 3, 4 quarters to improve. But the used heavy how is it trending? And more so from a market perspective, I know we are not the big players.
Ravindra Kundu: See, use d is also relatively now doing better in this November and December month.
Viral Shah: And you mean to say the used heavy, right? Not the used small and medium.
Ravindra Kundu: Yes, yes.
Viral Shah: Okay, sir. And sir, with regards to the home loan piece. So we saw a 20 bps decline sequentially in terms of yields, what was it driven by?
Prashant : The yields as we go to self -employed self categories, the yields are slightly being competitive and we are going to stabilize at the places. So at the same level, the yields we are going to maintain.
Viral Shah: Okay. And what would be the reason for, say, the relative moderation in the disbursements in home loans? Like it's flattish quarter -on-quarter, was it because of any localized disruption in any states or geographies?
Prashant : NoThe number as of now, we said 15% growth year -on-year basis and the book growth around 25% to 30%.

Moderator: Next question is from the line of Renish Bhuva from ICICI Securities.
Renish Bhuva: Just 2 things from my side, again, on the expense ratio side. So I do understand that in some of the new businesses, the expense ratio could be higher, but when we look at the vehicle finance business, the cost ratio has been increasing, which is now stand s at 3.4% versus 2.8% in the first quarter of '24 and 3.2% in last quarter. So how one should think about it? It is the competitive intensity which is leading to higher payouts at the dealer point and hence the increase or there is some structural c hange in the business model, which is leading to higher cost ratio, sir?
Ravindra Kundu: So this quarter 1 '24, was actually 2.8%, after that, it started going up. As I mentioned from the last year, Q2 onwards, we started seeing the delinquency going up. And therefore, we started recruiting manpower in collection, created more vertical within the collection, that was one reason.
And at the same time, we have also started reducing the number of cases by the executive, because those executive who were doing 10 units in small commercial vehicles started doing 6 and 7. And over the period we have seen that there is a drop in sales in light and small and that also reduced the productivity of the vehicle.
So it is a productivity of the sales executive and which has come down during 2 years because of the market. And also because we wanted to further strengthen the collection, we hav

e recruited
more manpower in collection, so that activity, I think, is over. From here, next year onwards, you will see that the improvement will come with the vehicle in term s of opex .
Renish Bhuva: Got it. And sir, just last thing, again, on the housing loans. So at roughly INR17,000 crores of book at 15%, 16% yield, we are targeting 35% kind of a growth. So I mean, is there any huge white space available wherein we see this kind of a growth or we see sharp moderation in yields maybe a couple of years down the line?
Ravindra Kundu: One is that the growth is basically because of the stickiness of the portfolio for the longer tenure. So when you do the 15% disbursement, it normally will deliver 25% to 30% growth automatically. Second is that the incomes are higher because we are expanding into Tier 3, Tier 4 town where the yields are better.
So our expansion from South to non -South started 2 years back, and which has continued so far. And we are getting a better result in terms of the yield. The overall income also benefited when we started doing insurance and that also added. But now it is getting normalized.
So we're at 15.9%. So this 15.9% to 15.7% is the income we are quite comfortable and we are hoping that this will be maintained. And ROA is at actually say 4.3%. So this 4.3% can go up only when the opex will go down. So the previous question which was asked was that what would be the outlook of the NIM as well as the expenses? We said that the NIM can come down and expenses can also corres pondingly come down. But ROA, we can hold it at this level.
Moderator: We'll take our next question from the line of Aravind R from Sundaram Alternates .

Aravind R : Congratulations on the good set of numbers. Sir, like you mentioned in a much about asset quality. I would like to get a qualitative view just like in vehicle finance, you mentioned there were system issues. MSME, LAP, affordable housing these are the segm ents actually have grown much faster not just for us but for the entire system. Do you see any leverage -related issues for the system level like in affordable housing segment or in the LAP segment that could cross out?

Ravindra Kundu: So actually, when we are financing LAP or affordable housing, we check whether the customer has an end use or not. So for affordable housing, the end use is either purchasing house or construction of house. And if the customer's income is such that he has taken loan and is not able to pay further loan, obviously, we are not approving the loan both in the case of LAP and HL.

So the capacity of the customer is always evaluated based on the income assessed by the people who are doing the GD and also GD and we are also seeing that what are the inflow coming in the bank all put together. So the overleveraging is not possible when we are financing.

Aravind R : No, understood, sir. But we are seeing different affordable housing portfolios are different companies because of the exposure to unsecured, there is some level of stress. I'm not saying a significant stress coming out yet, but I was just trying to underst and like do you see any risks down the li ne in affordable housing or LAP?

Ravindra Kundu: So we are seeing that. I mean, in such situation, we are not approving the loan.

Moderator: We'll take our next question from the line of Roshan Chutkey from ICICI Prudential Mutual Fund.

Roshan Chutkey: Just one question, sir. At the system level, for the CV book, how are you reading the asset quality? What is your read of the asset quality for the system?

Ravindra Kundu : Sorry?

Roshan Chutkey: In the CV book, sir, in the CV book, what is your read of the asset quality at a system level?

Ravindra Kundu : Yes. We discussed that. It is moving from product to product. So now it looks like it is impacting more on the heavy c

ommercial vehicle. And small and light, we have seen the portfolio how it is behaving for some time.

Moderator: We'll take our next question from the line of Kunal Shah from Citi Group.

Kunal Shah: So I understand on the home loan side, a 15% disbursement growth translating because of the stickiness of the longer duration, but in general, when we look at it, the overall disbursement run rate has been quite low over the past f ew quarters across the segments? So still, we are continuing with almost like 25% AUM growth?

So business loans, we have seen that there's hardly like 7 %-odd growth and few of the segments have started to show stress. So why still being confident on the overall AUM growth or do we

see any kind of a risk out there because disbursement growth in other segments is not suggesting that, yes.

Ravindra Kundu: No, we have seen that. In each and every segment, we have considered and after considering only then we are also with the planning stage so we are also seeing that what will be the next year. If we disburse at the rate of 18% our growth can be 25% can be achieved in terms of AUM. And we have considered all the run rate of the pre -closure, everything we have considered. and after that only we have seen that.

Kunal Shah: Sure. And secondly, in terms of the vehicle opex to assets so you indicated why it's been higher, but have we picked out and should we see the improvement going forward or will it again take few quarters and it will stay elevated?

Ravindra Kundu : It will be improving. And we are quite comfortable that the trends which we have seen in the last 2 months, it will be maintained in the coming months, and we are expecting that to improve in the next financial year as well.

Kunal Shah: Opex to assets in vehicles?

Ravindra Kundu : Opex to asset is going to be flat for some time. And then vehicle finance will start reducing because there the collection and main people what we have added in the last 1 years to 1.5 years, further, we need not increase it to achieve the next financial year. That will help us to reduce the opex in vehicle finance.

But at the overall level, what we said is that it will be flattish for some time because we are into growth phase and we're continuously working on both product launch as well as the technology

improvement and the branch expansion as well as is going on.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Nischint Chawathe from Kotak Securities for closing comments. Over to you.
Nischint Chawathe: Thank you very much for joining us today. We thank the management for providing us an opportunity to host the call.
Moderator: Thank you. On behalf of Kotak Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

The Secretary
BSE Ltd.
1st Floor, P.J. Towers
Dalal Street, Fort,
Mumbai 400 001May 6, 2025
The Secretary
National Stock Exchange of India Limited
Trade World, 4th Floor, Kamala Mills Compound,
Senapati Bapat Marg, Lower Parel,
Mumbai 400 013
NSE SCRIP CODE: CHOLAFIN EQ BSE SCRIP CODE: 511243
Dear Sir / Madam,
Sub.: Transcript of Earnings call for the quarter and year ended March 31, 2025
Further to our letter dated 28 April, 2025, informing you regarding the upload of the audio recording of the Earnings Call for the quarter and year ended 31 March, 2025, we enclose the copy of the Transcript of the Earnings Call, which has also been uploaded on the Company website today in the following link:
https://www.cholamandalam.com/investors/call-transcript
We request you to take the above on record.
Thanking you,
Yours faithfully,
For Cholamandalam Investment and Finance Company Limited
P.Sujatha
Company Secretary

"Cholamandalam Investment and Finance Company Limited
Q4 FY 25 Earnings Conference Call"
April 28 , 202 5

MANAGEMENT : MR. VELLAYAN SUBBIAH – EXECUTIVE CHAIRMAN – CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED
MR. RAVINDRA KUNDU – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED
MR. ARUL SELVAN – CHIEF FINANCIAL OFFICER – CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED

MODERATOR : MR. NISCHINT CHAWATHE – KOTAK SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY '25 Earnings Conference Call of Cholamandalam Investment and Finance Company Limited hosted by Kotak Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorde d.
I now hand over the conferen ce to Mr. Nischint Chawathe from Kotak Securities. Than k you, and over to you, Nischint.

Nischint Chawathe: Good morning, everyone. Welcome to the earnings conference call of Cholamandalam Investment and Finance Company Limited. We have the senior management with us today to discuss the 4Q FY '25 performance of Chola and share industry and business updates. Let me welcome Mr. Vellayan Subbiah, Executive Chairman and Executive Director; Mr. Ravindra Kundu, Managing Director and CEO; and Mr. Arul Selvan, Chief Financial Officer. I would now like to hand over the call to Vel layan for his opening comments, after which we will take the Q&A.

Vellayan Subbiah : Nischint, thanks so much and good morning, everybody. We will just go through the results for the quarter and the year ended 31st March 2025. Disbursements were at INR26,417 crores for the quarter, which is up by 7% and INR1,00,869 crores for the year which is up by 14% year - on-year. The total AUM stood at INR1, 99,876 crores which is up by 30% year -on-year.

The net income for the quarter was at INR3,758 crores which is up by 29% year -on-year. And for the year, it is at INR13,570 crores which is up by 36% year -on-year. The PAT is at INR1,267 crores for the quarter, which is up by 20% and INR4,259 crores for the year which is up by 24%.

Just give you some qui ck performance highlights. The v ehicle finance disbursements were at INR14,430 crores in Q4 as against INR12,962 crores in Q4 FY '24, which is a growth of 11%. And disbursements for the year were at INR53,922 crores, as against INR48,348 crores in the previous year, which is a growth of 12%.

For LAP, Loan against Property, we disbursed INR5,539 crores in the quarter, as against INR4,273 c rores which is a growth of 30%. And for the year, disbursements were at INR17,913 crores as against INR13,554 crores , which is a growth of 32%. The Home Loan business disbursed INR1,983 crores for the quarter as against INR1,747 crores , which is a growth of 14%. And for the year, it is at INR7,404 crores as against INR6,362 crores which is a growth of 16%. SME disbursed INR1,733 crores as against INR2,136 crores and the disbursements for the year were at INR7,763 crores as against INR8,106 crores. The drop in disbursement is due to a conscious decision to slow down on lower ROTA products such as supply chain finance.

Consumer and Small Enterprise Loans disbursed INR2,328 crores as against INR3,301 crores. And for the year, it was at INR12,552 crores as against INR11,281 crores, which is a growth of 11%. And the drop in disbursement is due, again, to like our decision to progressively exit from some of our partnership -led volumes.

The Secured Business and Personal Loans disbursed INR404 crores as against INR366 crores which is a growth of 10%. And for the year, it was INR1,316 crores which is a 23% growth over INR1,074 crores in the FY '23 -'24.

AUM stood at INR1,99,876 crores as compared to INR1,53,718 crores which is a growth of 30%.

PBT growth in Q4 was at 19% and for FY '24 -'25 was at 25%.

PBT ROA was at 3.6% for the quarter and for the year it is at 3.3%.

ROE was at 22.2% and for the year, it was at 19.8 % in Q4FY24 .

Th

e company continues to hold a strong liquidity position with INR15,267 crores of cash balance including INR5,866 crores held at HQLA for LCR purposes and shown under investment. The total liquidity position was INR15,712 crores, including undrawn consortium lines. The ALM is comfortable with no negative cumulative mismatches across all time buckets.

Our consolidated PBT for Q4 was at INR1,698 crores as against INR1,428 crores in the quarter, which is a growth of 19% and for the year it is at INR5,741 crores as against INR4,605 crores, which is a growth of 25%.

We are also launching the Gold Loan business in select geographies.

Our Gross Stage 3 assets representing 90 + dues, decreased to 2.81% as of March '25 from 2.91% as of the end of December '24. GNPA as per RBI norms decreased to 3.97% as against 4% in December '24. The NNPA as per RBI norms also decreased to 2.63%, which is well below the threshold of 6% prescribe d by RBI as a threshold for PCA.

The Capital Adequacy Ratio of the company was at 19.75% as against regulatory requirement of 15% . Tier 1 capital was at 14.41% and Tier II capital was at 5.34%.

The Board has recommended a final dividend of INR0.70 per share, subject to approval of the members of the company at the ensuing AGM. This is in addition to the interim dividend of INR1.30 per share for the financial year '24 -'25, declared by the company on 31st Jan 2025. So, Nischint, I will stop with that, and we will be happy to turn it over to the audience for questions. Thank you.

Moderator: Thank you very much, sir. We will now begin with the question -and-answer session. Th e first

question is from the line of Dhaval from DSP Mutual Funds. Please go ahead.
Dhaval : Yes, hi. Thanks for the opportunity and c ongratulations on good performance. I had two questions. First relates to overall growth. Could you just highlight the growth expectation for next year? Last time, you had mentioned 25% for next year as well as medium term. Could you just re -highlight that? And specifically, if you can touch upon the home loan business growth.

Earlier, you had commented that we accelerate , stabilize, and again accelerate on this business. So, we have seen a 16% growth in disbursement this year, whereas the capacity growth is much higher. So, should we expect significantly better growth in FY '26? And any comment around that would be useful.
And the second question relates to credit cost. On the newer businesses, we have seen an increase in all the three businesses, the CSEL as well as SBPL and SME business. Could you highlight like are these at peak -ish levels and we should see imp rovement across all businesses o r any comment around credit cost in the newer businesses for FY '26 w ould be useful?
Vellayan Subbiah : Okay. So, in terms of overall growth, at the AUM level, we still believe we have always guided in the 20% to 25% range, and we still believe that will hold. In Home Loans in specific, I will let Prashant take that question.
Pras hant Kumar : So, for home loans, we are seeing around 15% to 20% growth. That is on disbursement side and book will be growing at the rate of 30% plus for next 2 years.
Ravindra Kundu: Yes, so the credit cost, we have delivered 1.4%. And in the case of Vehicle Finance, we are at 1.6%. So, Vehicle Finance will reduce the credit cost in this year. So, if they reduce it by 20 basis points, the company will get benefited by 10 basis points because they are 55% of the overall book.
In terms of the CSEL and SME, these businesses will reduce the credit cost by the year -end. And we need to factor Q1, Q2 where the credit cost goes up and then Q3, Q4 credit cost goes down. So, what I am talking about the full year is our expectation in terms of SME and CSEL . If they come down by 50 basis points and they are 10% of the book

, so they can reduce it for the company by 0.5%.
And for HL and LAP, which is basically at rock bottom level, we need to –see all three businesses, SBPL, HL and LAP, if they goes up by 10 basis points and they are 35% of the book, they can actually increase it by 0. 35%. So, net-net, what SME and CSEL reduction can get adjusted against the SBPL , LAP and HL.
And then the vehicle finance reduction can reduce the credit cost by at least 10 basis points for the company. So, we are expecting 1.4% to go down to 1.3% in the next year as far as the credit cost is concerned. As the overall growth is concerned, as boss said that we are targeting 20% to 25% always we have mentioned that. For that, we need to achieve 30% growth in non -vehicle and 20% growth in vehicle. 30% growth in non -vehicle is easily possible. Now we will try vehicle finance to deliver 20%.
Dhaval : On the growth question, if you could talk a little bit around these newer segments that are getting added, should in the medium term, should this be additive to the overall growth profile of 20%, 25% o r this should help us sustain these levels of growth? Any comm ent around that would be useful?

Vellayan Subbiah : Yes. I will just say from a guidance perspective; we have always said that range of 25%. So that includes the new segments, right? So, we will manage the mix within that, but that is what we will get to as a delivered number for the company.
Dhaval: Got it. Thanks, and wish you all the best. Thank you.
Moderator: Thank you. We will take the next question from the line of Raghav Garg from A mbit Capital. Please go ahead.
Raghav Garg : Hi, good morning and thanks for the opportunity and c ongrats on the 4Q performance. I have a few questions. One, just for clarification purposes, did you say that AUM growth for Vehicle Finance will be 30%, in FY '26, is that 25%? Is that what you said ? Sorry, I may have misheard it?
Ravindra Kundu : No. Vehicle finance asset growth, we said 20% and non -vehicle 30%. So that 25% can be achieved. But this 25% is at a higher level. Our stand is that we will be targeting 20% to 25%

growth. All depends on how monsoon takes place because the last year monsoon was good an d post that, things have started improving. This year in Vehicle Finance, we have disbursed almost 12% for the year and we are likely to increase the disbursement from 12% to 15% to 17%. So, it depends on the second half. And that is the reason we are slightly conservative in terms of disbursement growth, and this has been our stand for the company, it will be 20% to 21%.
Raghav Garg : Understood. And sir, I was looking at your 4Q numbers for the vehicle finance segment, there seems to be some seasonality in the v ehicle finance yields. In fourth quarter, it tends to increase about 30 to 40 basis points quarter -on-quarter every time in fourth quarter. Why is that?
Ravindra Kundu : No, I did not understand. Once again, repeat it.
Raghav Garg : No, I am saying that in the fourth quarter, your Vehicle Finance yields tend to increase quarter - on-quarter by 30 to 40 basis points. And then in the following quarter, which is the first quarter, it comes.
Ravindra Kundu : Yes. So, your point is that the Q4, our overall income goes up like from Q3 level, it has gone up to, say, 15.2% to say, 15.6%. Last year, it went up from 15.1% to 15.4%. This is related to the collection efficiency because in the last quarter, always our collecti on efficiency improved and that improves overall collection, including the EMI collection like recov ery collection, shortfall collection, other charges collection. So that includes the income, and that increases the income in the Q4.
Raghav Garg : Understood. And sir, just one of the last questions from my side. Has the cost of hedging on foreign borrowings gone up in recent

months? What is your observation?
Arulselvan : Cost of borrowing or cost of hedging?
Raghav Garg : Cost of hedging on for eign borrowing, has it gone up for...

Arulselvan : It has gone up in Q1 now, but it was good in Q4. We managed to get good deals in Q4, but we will be always selectively watching and doing deals. So, we could strike deals in Q4 at fine rates, fully hedged.
Raghav Garg: That is all from my side. Thanks.
Moderator: Thank you. Th e next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal : Yes. Good morning, everyone and thank you for taking my questions. Just two questions t rying to understand first thing from Arul sir. Sir, this year, how are we looking at our cost of borrowings getting repriced ? With the assumption of maybe one or two more rate cuts in the coming quarters, how would you look at cost of borrowings coming down? And to that end, given our home l oan, LAP and SME book, our floating rate, what proportion of it will be passed on eventually? What margin expansion ca n one build in this fiscal year?
And the second question is for Ravi sir. Sir, just trying to understand, I mean, very clearly, there is a tightness in terms of collections, which is evident also showing up in credit costs. This year, all 4 quarters, credit costs in absolute terms, all we re in a very tight range. So, when we say next year, the credit costs will be lower, what has to change from where we are today, what we saw last year? And what has led us to where we are today? So, from here, what has to change for the environment to improve and credit costs to come down next year? These are the two things I wanted to understand.
And I will just squeeze in one last question. We have already announced the launch of our gold loan business. If you can give some colour around, how are we approaching the gold loan businesses, which geographies we will target and the ticket sizes that we will be looking at? And eventually in the next 1 or 2 years, what proportion of the loan mix can gold loans become?
Arul Selvan : Okay. Let me address the first question on the cost of borrowings. Around 20% of our borrowings are linked directly either to the repo or the treasury bill. So that we are seeing the benefit coming through as and when there are reductions. A large part of our borrowings, which is around 50% plus is linked to banks. We must wait for those MCLR reductions to come for this benefit to pass through.
However, marginal borrowings, we can negotiate finer rate, both from market as well as from the banks, considering the reductions that are coming into play. So, we should see overall for the full year around 10 to 15 basis points reduction, net of what we need to pass on to the floating rate book for us. So NIM should improve around 10 bps is what I would right now consider.
Ravindra Kundu : And regarding the credit cost, as I mentioned earlier also, see, there are 3 areas where the credit cost must be improved. One is vehicle finance, second is CSEL and the SME. Now CSEL credit cost will come down by running down the Fintech book, where the proportion of the credit cost is higher than the traditional book. And that will start happening from the t hird quarter onwards. So first two quarters, we need to bear with the credit cost, whatever they are delivering, and the

book is also going down.

In fact, in the beginning, the percentage will look higher. And then after that, once the book is completely run down, the credit cost which is coming from the partnership book will go down. And th erefore, the NCL, by the end in CSEL will start showing a reduction. In SME, it is a term loan, which is similar to LAP, where the SARFAESI is

there on many cases and is going on and
the progress is very good and likely to basically get the result again in the second half, and that will start reducing as LAP has reduced over the time. In the case of vehicle f inance, we are depending on monsoon, we are depending on reliable performance and capacity utilization of small commercial vehicle, light commercial vehicle.
We have seen that this has improved from quarter 4 onwards. And quarter 3 also, the NCL did not go up. So, if that gets continued and we get a good monsoon this year also, again, we will see the NCL of vehicle finance from 1.6% level to go down, which will improve the overall NCL of the company. As far as the gold loan is concerned, we have studied not only gold loan, consumer durable.
We have studied our customers, in which 45 lakh customers are taking gold loan from the market close to INR1,000 crores per month and almost INR1,000 crores disbursement is happening from the consumer durable. So, both the products we have initiated. In the beginning, we will be slow and cautious, and we wanted to do it in a much -advanced manner.
And therefore, we are taking the benefit of the technology available to ensure that the goals are secured, and those things are getting developed. At the beginning, we are launching 120 branches in South and East. And we are having a plan to pilot it and see that how it is working. And in this fiscal year or maybe 1.5 years' time, we will try to achieve INR2,000 crores and see the performance of gold loan, how it is working based as against the plan. Once it is doing very well, then obviously, we need to reach out to our customers who are actually going there and taking the loans.
Abhijit Tibrewal : Got it , sir. This is all from my side. Thank you and wish you all the very best.
Moderator: Thank you. Th e next question is from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh : Good morning. Thanks for the opportunity. M y question is on opex . I mean, in this Q4, if we see opex as kind of the growth of opex has materially slowed down. I mean that is a bit typical of Q4. So, what were the reasons? And going ahead with some of part of opex seeing increase with launch of gold fin ance and all, how do we see opex to trend over the next year?
Arul Selvan : See, generally, opex increases a bit in Q4. This year, we have kept it under control, primarily because we have moved in all the cost relating to the new businesses, which we introduced over the last year. Most of it has been completed. As we move into next year, we will see a little bit of opex coming because of the Gold Loan. But beyond that, there should not be any further increases. Target is to keep it in the 3, 3.1 to asset ratio. We will endeavor to follow that trend.
Avinash Singh: Okay. Thanks.

Moderator: Thank you. The next question is from the line of Harshit Toshniwal from Premji Invest. Please go ahead.
Harshit Toshniwal : Yes. Sir, this is on the assignment income. So, we had that last quarter, and we also have it this quarter. Just wanted to check that is this now a consistent strategy going forward that we will do some assignment because this is something which we have been doing only in last 2 quarters?
Arul Selvan : Yes. We had some opportunities, and there have been some slowdown in the securitization market because most of the banks have sort of got saturated with the securitization requirement.
So, we had kept certain assets available, and we thought we should continue with that progr am.
So most probably, we will do one or two more deals. Post that, we will again slowdown be depending on market.
But basically, there should be some income coming through either the securitization or the assignment route, some disposal of assets or sale of assets that we will ta

rget. So accordingly,
we will plan as we move forward into the current financial year.

Harshit Toshniwal : Got it. Sure, sir. And sir, on the Vehicle Finance, I think the guidance you mentioned that we would want to increase the disbursement growth to maybe 15% to 20% from the 12% Y -o-Y we saw this year. But if you can give some color as to what segments you want to focus this year, where do you see the green shoots? And in the context of economic recovery also, are we building some of that into our guidance?
Ravindra Kundu : So first, just to clarify, 15% disbursement growth, 20% asset growth, which we are targeting this year. And this will happen only when the light commercial vehicle and small commercial vehicle picks up, and we continue to do what we are doing in terms of u sed and passenger vehicle and other products. The monsoon has been good last year; therefore, tractor and 2 -wheeler sales has also picked up.
We have also done the disbursement. But still some scope is there to do more tractor and more 2-wheeler. So, across all product segment, we are focusing across the country to achieve 15% disbursement which will take us to 20% asset growth in terms of vehicle finance.
Harshit Toshniwal : Sure. Got it. Okay sir. Thanks a lot.
Moderator: Thank you. We will take the next question from t he line of Kunal Shah from Citig roup. Please go ahead.
Kunal Shah : First, just to check on the home loan, we indicated that the growth should improve both in terms of disbursements as well as AUM, almost like 15%, 20% disbursement. So, what ideally would lead to that kind of an improvement? Maybe this year, the overall disbursements in home loan has not been that great. And secondly, on LAP, when we look at it, in fact, it has been growing quite well. So, would we see some kind of a normalization coming in LAP or maybe the growth traction in LAP should still continue?

Ravindra Kundu : No. First of all, what Prashant said that the 15% disbursement growth will take him to 30% asset growth, which is at a similar level where we are as of now in the home loan business. In the case of Home Loan, when we do 15% disbursement, it comes to 30% asset growth because we have grown in the new geography: East, West, and North. And around 60% of disbursement of Home Loan is still coming from South, but we are cautiously increasing the disbursement, and this is enough for achieving 30% growth. That is also one reason.
So, we will continue to have this 15% disbursement and 30% asset growth. But after some time, we need to do more than 15% to achieve 30% asset growth. By the time, we will learn newer market very well, and we will get established there as the Home Loan department has done it in South.
As far as the LAP is concerned, they are now almost expanded across the country. And therefore, the disbursement growth and asset growth are almost at same level, almost 30% asset growth and 30% disbursement growth. Maybe in the coming year, we are targeting between 25% to 30% disbursement growth, which will be enough to deliver 30% asset growth. And I have mentioned that non -vehicle will try to basically deliver 30%.
Kunal Shah : Yes. So particularly LAP, you are still saying it might continue with 25% to 30 -odd percent. There are still like maybe the opportunities available and the levers available to continue at that pace.
Ravindra Kundu : Correct.
Kunal Shah : Okay. And on new businesses, when do we start seeing the pickup, maybe would it be after the first half where we will see maybe th e credit cost also normalizing o r maybe now that has also almost bottomed out in terms of growth and we are getting confident, particularly on the SME and the other segments because otherwise, disbursement growth this quarter has not been that great in the new businesses?
Ravindra Kundu : No. See, on

e, the disbursement growth is not there because we have taken some decision in terms of CSEL , where we have come out from the Fintech partnership business. And that gets compensated through the consumer durable and our traditional TL, BL business as well as our in-house digital lending business. But that is not possible to completely reduce it and compensate immediately. So, over the period, which will get compensated.
In the case of CSEL , our asset growth is slight ly lower for this financial year, but we will catch up next year. As far as the credit cost is concerned, since the asset rundown in terms of Fintech book is very fast, but the net credit cost in absolute value remain as it is. So, first half, this will basically remain at the same level. And only in the third quarter or maybe fourth quarter, we will see that the NCL will start coming down.
As far as the SME is concerned, we have again taken one decision that supply chain finance will be reduced because the ROA in the supply chain finance is very low. And in that place, we will actually do the small term loan and equipment finance. So again, that product, which we are

doing it is getting good traction. And this year, we will basically see that the disbursement also in the case of SME goes up.
And because of the term loans are longer tenured book, 30% asset growth is possible, and we will try to do that. In the case of the SME, the net credit cost is higher because the cases which have gone into Stage 3 are in SARFAESI and likely to get resolved in quarter 3. And therefore, we said that in the case of SME also, we are expecting their NCL to go down in this financial year.
Kunal Shah : Perfect. That helps. Thank you.
Moderator: Thank you. We will take the next question from the line of Nidhesh Jain from Investec. Please go ahead.
Nidhesh Jain : Thanks for the opportunity. F irstly, in the new initiative, if you look at three businesses, all three have shown deterioration in asset quality, slowdown in growth, some recalibration in terms of strategy. So, what has actually gone wrong in terms of strategy in that business? In all three of them, we are seeing a bit of similar trends.
Ravindra Kundu : No, it is not like that. SBPL has delivered 7.6% ROA in quarter 4. And for the full year also, they have delivered 7.6% ROA. And their growth has been good. They are growing at 70% just because of the small base. So SBPL is one book which is doing very well. Now coming to the SME, as I mentioned, in the SME book, by nature, if the term loan goes into the NPA, it takes 1 year time to reduce the NCL.
We have seen that in the case of LAP also in the past that initially it goes up. And then once it starts solving the problem, then automatically, the reversal will start happening. So, this SME book is also growing at a rate of 33% for the full year and their net credit cost is at 1%, which will go down.
Our targeted ROTA in this business is 2.5%. We have delivered 1.9%. It is just a difference of 0.5%, 0.6%, which is going to be coming from the NCL, which we are very, very confident about delivering it next financial year. Now in the case of CSEL alone, where we have done two businesses. One is that in -house DST, DSA, PL, BL business and Fintech business. In the case of Fintech business only, we have seen that there is a delinquency high. And that delinquency also went up because the FLDG rule has got chan ged.
And after that, the amount of FLDG we were getting it earlier, we were not getting it. And therefore, we decided not to pursue that business. And that is the reason there is a n increase in NCL and drop in the business in the case of CSEL . So, I will accept that CSEL , when we star ted doing F intech business, this FLDG norm of 5% cap was not there. And when it got introduced, not only for us, for the entire indus

try, it has become a problem. And therefore, we have also decided to go slow.

And finall y, we decided to exit from the F intech digital business. As against that, we have developed our in -house digital lending book, which is d oing very well. Their ROA stand alone is actually more than 6%. So, we will slowly grow that business.
Nidhesh Jain : Sure. Thanks for the explanation. W hat share of our CSEL book will be Fintech as of March '25?
Arulselvan : Fintech is 1.5% of the overall Chola book .
Nidhesh Jain : Okay sure. And then secondly on the gold business do we have stand alone branches specifically on gold only or the gold only or the gold will also be offered through the same branches from which we have been doing v ehicle finance, et cetera?
Ravindra Kundu : No, gold loan will be stand -alone branches. We are planning to roll out 120 gold loan bran ches in this quarter. And we have already created infrastructure. It is just a matter of some more time; it will get rolled out.
Nidhesh Jain : Okay, sir. Thank you. That is, it from my side.
Moderator: Thank you. We will take the next question from the line of Viral Shah from IIFL Capital. Please go ahead.
Viral Shah : Hi, thank you for the opportunity. S ir, just a follow -up on the previous question. You mentioned that you will be rolling out a separate branch for gold loan. Can you just explain the rationale behind that? Because until now, the other businesses that we have been scaling up, we have tried

to utilize the existing network and also some of our peers have been using, say, the existing branches to do the gold loan business. Just the thought process there?

Ravindra Kundu : No. In the gold loan, you need to have a separate vault, separate RFID. And we are also basically introducing some more control where who is entering inside the branch, who is taking out gold. All those things are getting tracked from head office . That is possible only when you have stand - alone gold loan branch. And gold loan branches also require a specific location to operate from. And that is also another requirement. So, these two requirements can be fulf illed only when we go for stand alone gold loan branches.

Viral Shah : Okay. And sir, just as a corollary to that, the opex guidance that Arul gave, it kind of breaks in all this branch expansion that you will be doing and also some bit of pickup in the disbursement that will happen in the overall business b ecause we are saying that in vehicle finance that the disbursement will pick up, so will our incentives. So jus t wanted to get a sense on that?

Arul Selvan : Yes. Broadly, they should . We are still endeavouring to keep it in the 3% to 3.1% as we would call it because the count of gold loan branches will not be very high in the first year.

Viral Shah: Okay, sir. Got it. Thank you so much and all the best.

Moderator: Thank you. We will take the next quest ion from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer : Yes. So just wanted to get a sense more quantitatively on what could be the disbursement g rowth in SME lending next year b ecause while this quarter was down because we have slowed down in supply chain, if I look at the last five, six quarters, it has been flattish. So, I just wanted to get a sense on that.

And then the next question is, what is like the TAM in terms of number of branches you can do LAP and home loans from, l ike we are already at almost 800 branches in LAP and 700 -odd in- home loans. Could that go up further o r now growth will be a function of just improving branch productivity rather than branch expansion?

Ravindra Kundu : Yes. First of all, this SME, the disbursement will be, again, even for this financial year also,

it

is going to be flat only. We are not going to increase disbursement signifi cantly because we have brought two products. One is small term loan and also equipment finance as against the supply chain finance. Supply chain finance was a big chunk, which we have cut down.

So therefore, initially, the disbursement is not going to go up, but we will maintain the asset growth, which is at 30% level, which is going to be there because of the disbursement we are doing in the case of term loan and which is a long tenured book. And therefore, asset growth is not a problem.

As far as the LAP and H L is concerned, as I mentioned they are already into three zone where they are operating only for last 3 years, and their disbursement of three zone put together is lower than South Zone because of the productivity and because they have introduced only 3 years back. So, they are continuously improving the productivity and operating expenses and likely to increase also a little bit. So, both LAP and HL will continue to do that.

But the number of branches expansion is not very high in the current financial year. Current financial year, the productivity focus by LAP and HL is high. And then subsequent year, maybe LAP and HL will think about going to another 100 branches.

Piran Engineer : Okay. That answers my question. Thank you and wish you all the best.

Moderator: Thank you. Th e next question is from the line of Renish from ICICI Securities. Please go ahead.

Renish : Just one question from my side on this Tamil Nadu bill, which sort of table over the weekend. And given our major exposure would be in high state. So how confident we are about sort of sustaining the growth rates or even credit cost? And maybe if you can just tell us about the reality at ground post this bill. I know it is too early, but what is your assessment, sir?

Ravindra Kundu : So actually, the similar thing is there in Karnataka, Telangana, Andhra Pradesh. And this is more related to private lender and also microfinance. And this was actually going on in many places. And you kno w that we are quite compliant in terms of our collection approach to the market. And therefore, we do not see any impact coming on vehicle finance or which is deep -rooted in Tamil Nadu as well as the home loans and LAP.

Balraj Menon : It is very clearly mentioned, the legislation will not apply to banks, nonbanking finance

companies.
Ravindra Kundu : And it is also not applicable to us, first of all. Registered with RBI, cooperative banks, and cooperative societies.
Renish : Yes, correct. But in Karnata ka, we have still seen sort of players getting impacted because it takes time at borrower level to fully understand the bill, et cetera. I know MFI or maybe a small ticket loans will be more vulnerable. But do you think, I mean, in your portfolio, any of t he product is vulnerable?
Ravindra Kundu : No, nothing like that. Actually, we are also approaching the market in terms of collection very peacefully. So therefore, across the country, our approach has been very soft. We have been following up but not harassing customer.
Renish: Got it. Okay. That is, it from my side. Thank you.
Moderator: Thank you. We will take the next question from the line of Pranuj from JP Morgan. Please go ahead.
Pranuj : Thank you for taking my question. So j ust one question on HL, the delinquency rates have risen up to 0.6%. So, is there any concern out over here? And second is a clarification, Arul sir, that 3% to 3.1% opex , that is opex to assets?
Arul Selvan : Yes, it is opex to asset.
Prashant Kumar : So as far as actual delinquencies are concerned, we are maintaining a 0.40 % for the year. If you compare with the last quarter, this quarter, it was slightly up and last year, there was a release in terms of Stage 2 and Stage 3. This year, w

e are maintaining at 0.40 %. And going forward, we foresee that it will be at similar levels. Already our Stage 2, Stage 3 are in good shape. And that is what we are focusing on the fresh bucket to ensure that the same level of delinquencies continues with the increase in the book size.
Ravindra Kundu : And also, as I mentioned in the beginning itself, that LAP and HL are basically very tightly maintaining their net credit costs. So, if at all the increased 10 basis points, which will only impact 0.35 % as against the SME and CSEL going to reduce it by 50 basis points, will release 0.5%. So, we will get netted off. And Vehicle Finance will basically reduce it, which will improve the credit cost by 10 basis points. Now HL, as I mentioned, they do not have SARFAESI .
So, their resolution takes time. And they do it mostly through arbitration because small ticket size loan, less than INR20 lakhs. Therefore, resolution takes time. So those cases, which has gone into the NPA last year, will start getting resolution by the end of the year.
Pranuj: Understood. So, on a full year basis, you still expect to maintain that 0.4% for FY '26?
Ravindra Kundu : 0.4% to 0.5%.

Pranuj: Understood. Thank you, sir.
Moderator: Thank you. Th e next question is from the line of Shweta from Elara Capital. Please go ahead.
Shweta : Thank you, sir for the opportunity. Sir i n the vehicle finance portfolio, have you seen any write - offs? And if you could provide any color on the sub segments that you might be closely monitoring or seeing vulnerability?
Arul Selvan : No, only the normal levels of write -off, which is relating to repossession of vehicles and the sale of vehicle that has continued, and there has been no different change in the trend. So, we will continue to have this. As you know, there is a little bit of a higher proportion of used vehicles, et cetera. To that extent, there would be some skewness. But other than that, there will not be any high levels of write -offs in Vehicle Finance.
Ravindra Kundu : So, the write -off has not been done. Only the reposition and sale of vehicle only been done.
Shweta : Okay. And sir, how about bounce rates and early on delinquencies for DPD book in the vehicle finance, h ow is that faring?
Ravindra Kundu : Non-starter is actually lower than the last year March '24 to March '25. The non -starter has come down. The earl y default also has come down over the December and September quarter, but it is still higher than the March '24 numbers .
Balraj Menon : Slightly higher . But non -starter is much lower, lowest in the last 18 months.
Ravindra Kundu : So that is the trend that we are improving our portfolio quality, but it requires better monsoon even this year also. And then only we can see better NCL in this financial year.
Shweta: Very helpful, sir. Best of luck. Thank you.
Moderator: Thank you, sir. We will take the next question from the line of Mahrukh from Nuvama. Please go ahead.
Mahrukh : Hello. Good morning, sir. I have one question only on asset quality. So, you answered -- you replied to Shweta partly, but this time, the fourth quarter seasonality was not strong, and you had already been guiding to that. So, does that mean that the 1Q weak seasonality will also not

be as pronounced? Is that a fair takeaway in vehicles, especially?
Ravindra Kundu : So, quarter 1 is basically like if you are specific to Vehicle Finance, if yo u're asking the question very specific to vehicle finance.
Mahrukh: Yes.
Ravindra Kundu: Last year, quarter 1 was 1.9 and so we are at actually 1.6. So, from 1.6 actually, in the case of vehicle finance, it will not go to that level, so we will definitely see Q1 to Q1 reduction.
Balraj Menon : Q1 to Q1 reduction, yes.

Mahrukh: Okay. That was my only question. Thank you, sir.
Moderator: Thank you, sir. Th e next question is from the line of Alok from UBS. Please go ahead.
Alok : Yes. Hi, good morning, sir. Si r, did I hear correctly that you said 1.5% of your book is Fintech - driven partnership AUM?
Ravindra Kundu: 2%.
Arul Selvan : 1.5% to 2%.
Ravindra Kundu : INR2,000 crores is our Fintech book and INR2 lakh crores is our AUM. So, 1% you can say that.
Alok : Okay. So, sir, are we saying that first half of the yea r, NCLs will still be high in CSEL primarily because of this Fintech book. So, on this remaining INR2,000 crore s AUM, we are expecting another INR500 crores, INR700 crores of credit cost. Is that fair to say that?
Ravindra Kundu : No. We have never said. We are saying that the CSEL NCL, which is actually where we are as of now, will be remaining at the same level in terms of absolute value . So, for example, I will tell you the CSEL number. It is actually per quarter, it is INR210 crores to INR230 crores to INR240 crores, which is deliver ing. This number remains as it is in quarter 1 and quarter 2. And after that, when the book will get run down, then INR230 crores, INR240 crores of per quarter NCL will go down.
Arul Selvan : This INR240 crores is on th e 8% CSEL book, not on 1.5% of the Fintech book .
Alok : No, that is fair. Yes. And sir, in this quarter you have done some extra provisioning in CSEL . Could you give that number?
Ravindra Kundu : INR35 crores.
Alok : INR35 crores. Okay, got it. Thank you.
Ravindra Kundu : It is actually INR220 crores, which is actually similar to quarter 3. Quarter 3 was also INR210 crores. Now it is INR220 crores. And we have created another INR35 crores, INR36 crores, which is actually taken up to INR256 crores. This number in absolute value will remain as it is for another two quarters. And once the book gets run down, then the corresponding NCL will go up and then the percentage will go down.
Alok: Sure. Got it, sir. Thank you.
Moderator: Thank you. Th e next question is from the line of Rajiv Mehta from Yes Securities. Please go ahead.
Rajiv Mehta : Hi, good morning. Just one question on v ehicle finance. So, there is a clear pickup in new LCV and HCV financin g in the past two quarters. So, if you can comment on that. And second, when

I look at your growth in car and UV financing also, you are significantly outperforming the underlying industry sales. So, what is driving this? Have we tied up with more OEMs or otherwise for more models?
Ravindra Kundu : See, Chola growth of light commercial vehicle has been 4% as against the industry growth of 3%. It is there in Page #37. And in the case of small commercial vehicle, the growth is basically slightly lower than the industry. Industry degrew by 9%, we degrew by 6%. We are slightly conscious. We are conservative in small commercial vehicle and reduced our market share. In the case of light commercial vehicle, we have increased our market share slightly higher than the industry . But in terms of heavy commercial vehicle, our growth is better than the industry. That is because now the customer, as we maintained in the beginning that initially, the captive user and big fleet operator, medium fleet operator will buy and then slowly the retail customer will come into the market.
So now our customer segment has started buying heavy commercial vehicle. And therefore, our HCV sales has gone up, and it has increased our market share from 2.9% to 3.5%, so slight

increase. In terms of growth, in terms of unit, it is looki ng higher. It is there in Page number 38
industry degrew by 3%. We grew by 21%.
Balraj Menon: And in passenger vehicle, we have grown in terms of market share. Our reach of having larger number of branches in Tier 3, Tier 4 cities are helping us

. And in fact, our market share in Maruti has gone up substantially. So, in passenger vehicle, we have been able to grab our market share, increase our market share, especially in the Maruti segment.
Rajiv Mehta: Yes. That is, it from my side. Thank you.
Moderator: Thank you. Th e next question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.
Shubhranshu Mishra : Good morning Kundu sir. T wo or three questions. The first part is on the number of people we deploy in collections across businesses and if we can split that into soft bucket and hard bucket. That is first. Second is that I saw a notes to account with this Chola Home Finance. So just for clarity, we are running the home loan business in that subsidiary. And third is that the LAP is growing at a strong level of 25%, 30%, and that is the guidance as well. Do we foresee seasoning and in that seasoning, we will also see higher credit cost? These are the three questions?
Ravindra Kundu : So, in the case of headcount, we have 30,700 people in sales and 22,000 people in collection and almost 10,000 people in credit ops and 1,600 people are our business enabler sitting at head office. In the case of loan against property, I think Suresh, you wan t to say that what is your plan?
Suresh Kumar : Yes. So, if you look at LAP, we have improved our number of branches to 800 branches, and we have significantly invested on the people side as well. And that is what has resulted us in the growth for the last few years where we are consistently growing our disburs ement as well as book.

And we still feel there is a lot of market opportunity, but the key focus for the current year is our improvement in the efficiency of the existing manpower. And we are pretty confident, and we are convinced that with the market opportunity available, we can continue to grow at this level of 25% to 30% of disbursement growth, resulting in about 35% of book growth.
And we definitely see the opportunity in India for the SME segment, especially for the LAP segment. And with all the manpower and the branch structure in place, we are confident that we will continue like this. As far as Chola Home Finance is concerned, we do not have anything in that.
Arul Selvan : Yes. Actually, the Chola Home Finance, we created thinking that we can move and create a home finance company. The arbitrage between home finance company and NBFC has narrowed down significantly. So, we have already decided not to pursue this and keep the Home Loans in the main company itself. And we have renamed the company as C hola Leasing Company so that they will start look ing at leasing operations with the various products we have. But that is in a very nascent stage right now. So, we will look at it as we move into the next financial year or thereafter.
Shubhranshu Mishra : Sir, my first question remains un-answered. How many people in collections, business -wise sir?
Arul Selvan : Business -wise collection, we will not be able to share. We have given you the overall numbers at the business level . Business -wise manpower collection of these is not publicly available information and we keep it within the company.
Shubhranshu Mishra : Sure, sir. I will come back in the queue. Thanks sir.
Moderator: Thank you. Th e next question is from the line of Dhaval from DSP Mutual Funds. Please go ahead.
Dhaval : Yes, thanks for the follow up. J ust a quick one on the profitability. So overall, what we are saying is for FY '26, we are expecting margin improvement, opex improvement and credit cost improvement, which should mean that, that 3.5% PBT ROTA that we were guiding to should be a target for us?
And if yes, then is that a s ustainable level from there on o r we further invest back in the business and therefore, we'll see some bit of volatility in comi

ng years on the PBT ROTA like just directionally, with this change in the business model, diversification, et cetera, is the 3.5% now a sustainable number or no t? That is what I wanted to get through ?
Arul Selvan : We will be working towards a 3.4% conservatively to look at in the coming year and then move on to 3.5% because w e still have gold loan -related ope x coming up in the current year. And we will have to also look at how all of these will pan out. So, I do not want to count the chickens right now . Let us wait for it to move on.

Let us cross the first half, and then we will know because that is a crucial part when reality of
the monsoon becomes more certain. So, we will do it as we move on. Right now, conservatively,

we will improve from the current level. But certainly, there will be improvement. But whether we will reach all the 3.5% or somewhere midpoint is what we need to see as we move into the current year.

Dhaval : Got it. And just a clarification, in terms of new businesses, apart from gold loan and consumer durable lending, what are the sizable opportunities do you think we can tap in the next few years? I think directionally, would the consumer side of the busines s be a big focus. I am just trying to understand where the investments would be incrementally in the coming years.

Ravindra Kundu : We will continue to focus on this existing and new business or whatever we have rolled out for near term. I mean, 3 to 4 years, we do not see we can go beyond gold loan and consumer durable because SBPL, CSEL itself is even SME also. There are five new businesses we have rolled out during this post -COVID. So, all five need to be groomed and we must make it as big as vehicle finance LAP and HL in time to come. So, we will focus on this only.

Dhaval: Got it, sir. Thank you and wish you all the very best. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take the last question for today from the line of Shreepal Doshi from Equirus Securities. Please go ahead.

Shreepal Doshi : Thank you, sir for giving me the opportunity. S ir, my question is why have we moderated our growth in the supply chain financing? Is there anything that the regulator has indicated or anything of that side?

Arul Selvan : No. It is not actually by the regulator. It is primarily a low ROTA product. And here, what we see is there is much faster churn. So many times, it is less than a month that the asset stays on the book. So, you have large disbursements, but it really does not count to your AUM and real income that comes into. So opex becomes burden. So, at a very low yield, it becomes not our targeted level of ROTA expectation. And that is the reason.

Shreepal Doshi : Got it, sir. Most of my other questions have been answered. Thank you and good luck for the next quarter.

Ravindra Kundu : Thank you.

Moderator: Thank you. A s that was the last question for today, I would now like to hand the conference over to Mr. Nischint Chawathe for closing comments. Thank you and over to you, Nischint.

Nischint Chawathe : Thank you everyone for joining us today. We thank the management for providing us an opportunity to host the call.

Arul Selvan : Thank you.

Ravindra Kundu : Thank you.

Moderator: Thank you, members of the management. On behalf of Kotak Securities, which concludes this conferenc e. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

“Cholamandalam Investment and Finance Company
Limited Q1 FY'26 Earnings Call ”

August 01, 2025

MANAGEMENT : MR. VELLAYAN SUBBIAH – EXECUTIVE CHAIRMAN , CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED
MR. RAVINDRA KUNDU - MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED
MR. ARUL SELVAN - CHIEF FINANCIAL OFFICER , CHOLAMANDALAM INVESTMENT AND FINANCE COMPANY LIMITED
MODERATOR : MR. NISCHINT CHAWATHE - KOTAK SECURITIES LIMITED

Nischint Chawathe: Good morning, everyone. We welcome to the Earnings Conference Call for Cholam andalam Investment and Finance Company Limited.

To discuss the 1Q FY'26 Performance of Chola and share industry and business updates, we have the senior management with us, represented by Mr. Vellayan Subbiah – Executive Chairman ; Mr. Ravindra Kundu – Managing Director and CEO ; Mr. Arul Selvan – Chief Financial Officer.

I would now like to hand over the call to Vellayan for his “Opening Comments ,” after which we will take the Q&A.

Vellayan Subbiah: Thank you, Nischint, and Kotak for hosting this call. Good morning, everyone. Happy to take you through the performance for this quarter.

As a backdrop, here is a quick glance at the economic environment that prevailed :

The global economy during April to June faced uncertainty, largely on account of the US tariff and trade policy concerns, and geopolitical risks in the Iran -Israel conflict. Growth outlook has been revised downwards for most major economies. In a bid to stimulate growth in India, RBI took various measures to maintain liquidity in the economy and reduced interest rate by 25 bps in Q4 FY'25 and 25 bps in April and 50 bps in June. In general, while market rates reflect the reduction in rate immediately, banks typically make these reductions over the next few quarters once their FD rates are reduced. Hence, the positive impact of RBI's monetary actions is expected to take effect over the rest of the fiscal year.

In terms of our performance through the quarter, for disbursements :

Aggregate disbursements for Q1 FY '26 were at Rs. 24,325 crores. Disbursement growth was muted in Q1. There was a marginal decline in the disbursements in home loans due to changes in the home registration process in a few key markets. Another contributing factor was our conscious call to exit the partnership busines s in the consumer loan segment.

In terms of AUM :

Despite lower disbursements, our AUM growth continued to be robust at 23% year -on-year and now stands at Rs. 2,07,663 crores. We launched the gold loan business in Q1 of FY '26 and have opened 73 independent branches in gold loans as of June 2025. Our NIM improved marginally from 7.6% in Q1 FY '25 to 7.8% during the quarter. It is expected to improve in the coming quarters with the impact of repo rate cuts flowing through when banks reduce their MCLR and the benefit of EBLR rate movements accrues on the respective reset dates. Our tight control over cost levels resulted in reduced OPEX from 3% in Q1 FY '25 to 2.9% in Q1 FY '26. This may see some increase in Q2 due to pay hikes to employees in their annual appraisal, which is traditionally affected in July of every year. Our credit costs increased in Q1 by 30 bps over the

previous year primarily due to stress in the market in both the auto and the consumer loan segments.
Our Stage -3 numbers have increased to 3.16% in June 2025 from 2.81% in March 2025. The early arrival of monsoon significantly ahead of its usual schedule has impacted movement of vehicles resulting in lower vehicle utilization during these periods. Landslides and water logging in open cast mines hamper the earning c apacity of operators and elevated stress on their ability to meet loan obligations resulting in deferrals of payments. Concerted efforts by our team have ensured no sharp spike in delinquencies.
Our provision coverage stands at 43.72 on our Stage -3 assets as of Q1 FY '26. PBT for Q1 FY '26 stood at Rs. 1530 crore s which is a growth of 21% year -on-year. PBT ROA for the quarter stood at 3.1% , which is lower by 10 bps compared to Q1 of FY '25. While the Q1 ROA reflects a transitional impact on the market, the underlying business fundamentals re

main robust. The
strategic focus on improving asset quality and continued refinement of product and pricing strategies positions us for ROA recovery in the coming quarters. The ROE for Q1 FY '26 was 18.8% as against 18.9% in Q1 FY '25.
In terms of liquidity :
We hold a strong position with total liquid asset holdings of Rs. 17,226 crores including G -Sec and T -bills. The ALM is comfortable with no negative accumulated mismatches across all 9 buckets. Our capital adequacy position stood at 19.96% with tier 1 capital of 14.31%.
In terms of the outlook :
With inflation softening considerably, monsoon being favourable and festive seasons commencing in Q2, the economy is expected to bounce back if risk factors such as an extended monsoon and geopolitical issues are in check. A rebound in agricultural income will result in stronger cash flows and liquidity in the rural economy. With our strong collection infrastructure, we expect credit costs to come down post the festive season in Q2.
So, let me stop with those comments , Nischint and we will be happy to take it over to questions.
Nischint Chawathe: Sure, we can start the question -and-answer session. The first question comes from the line of Suresh Ganpati. Suresh, you can unmute and ask your question.
Suresh Ganpati: Thanks , Nischint . So, within just the qualitative assessment of what explains the increase in the vehicle finance NPLs? I mean, on the one hand we are seeing rural inflation being lower, but you know it is income levels of the truckers or freight charges not being up to expectations. What really explains this stress in the vehicle finance segment?

Ravindra Kundu: So, Hi Suresh, this is Ravi Kundu. See, in vehicle finance mainly , two things are important. One is that the vehicle capacity utilization and how the economy is actually doing well or not. So, in the 1st Quarter if you see that the industrial productions are down as compared to last year Q1. And second is that there is an early arrival of rain which has impacted the capacity utilization in many markets. So, the vehicle operators in 1st and 2nd Quarter actually struggle for paying the first E MI and the customer who are in the zero bucket move to first bucket and some customers who are in borderline in Stage -2 moves to Stage -3. So, for the seasonal effect , there is a problem and then little bit macro side also there is a n issue. So, we are hoping that if this early arrival of rain gets over in the middle of September or first week of September , then there will be a very good agriculture growth, and festivals start in the quarter 2 end itself. So, if that happens then we start seeing some good results coming from Quarter 2 itself , otherwise Quarter 3 onward we will see better results and that will improve our performance for the year in vehicle finance.
Suresh Ganpathi: What about other segments when everybody everything is gone up QOQ the LAP , the home loans, the personal loans, CSEL everything.
Ravindra Kundu: So, one is that then we have been saying that LAP , HL, SB PL and SME , mortgage based SME lending were in the rock bottom level of the NPA because if you go back to 2022 , the NPAs of LAP used to be 6 % where they came down to 2 %. Now, normalization will happen we have said that and their NCLs are in line with that. So, in the case of like HL , we said that it will be 0.6 and in LAP, it will be 0.3 and that is what the range it is and now when the NPAs are going up , it takes some time to get resolved if you are going through SARFAESI in the case of LAP, it

will take one year and then in the case of HL and SBPL, non-SARFAESI in the normal traditional route of arbitration , it takes 2 to 3 years ' time. So, to that extent , there will be slight increase going to be and NCL will be in the range bound of that whatever we have said

in terms of the product line for example LAP, it will be say 0.3 % to 0.5 %, HL will be 0.6 % to 0.7 % and they are delivering the ROA also whatever we have said . In our case , the problem is actually if you see that the vehicle has actually gone up from 1.9 to 2.1 and in the C SEL where the Fin tech book we are running it down , there the NCLs are high range. So, there are two businesses where we are seeing more than expected level of NCL which is going to get sorted out by the end of the year . Quarter 4 onward , things will start looking a little better.

Nischint Chawathe: The next question comes from the line of Dhaval Gada. Dhaval , you can unmute yourself and ask the question .

Dhaval Gada: Hi sir , thanks for the opportunity . Just one clarification and one question . First is on credit cost , so for the full year, I think sir mentioned on the channel that it should be 1.4 % to 1.5 % and therefore should we expect this to be similar or slightly lower next quarter and then a meaningful improvement in 2H so that is one clarification . And second is on growth , so I was a little surprised with the degrowth in home loan in terms of disbursement last quarter , we were thinking about 15 % to 20 % full year growth , so the ask rate for the rest of the year is about 20 % plus, so you still maintain that or is there any change to overall growth thought process at the lower end of your band width ?

Ravindra Kundu: In the housing loan , we said that this year we are not expanding and therefore disbursement growth will be lower and asset growth will be 30 %. So, asset growth is actually at 30 % level . In the 1st Quarter , we see that as the Chairman mentioned in his opening remark that some of the market we are seeing that housing registration processes are getting changed , therefore disbursements are slow which is going to be back in the Quarter 2 , Quarter 3 , but generally housing loan will be around 10 % disbursement only for this year because we have not started expanding further and we are focusing more into OPEX deduction so that is the housing loan story . And when it comes to the overall NCL , overall NCL last year we did 1.4 , so it will be if the rains get over ahead of the time , then we will get little benefit in quarter 2 otherwise quarter 2 will be at similar level where we are today and quarter 3 onwards , we will see the reduction coming up . And if the rural economy improves after the agriculture growth and little bit improvement comes from industrial production then obviously, we will be closing our NCL nearby the number where we were last year , otherwise you can conservatively take it 10 basis point increase over the last year.

Dhaval Gada: Understood. And just one clarification then on growth . Since you said 10% for HL , for VF you still maintain 15% plus VF growth and similarly if you can give your thought process for LAP and CSEL as well.

Ravindra Kundu: Vehicle finance , we thought that from quarter one onward s, the market will start at least showing single digit growth , but on the contrary , industry all the manufacturers showing -5% put together, SIAM data is showing that -5% in terms of unit. And against that, we have registered 7% growth. So, most of the product line, we have achieved an increase in the market share, except for one or two products where we are actually deliberately not increasing market share . So, we are doing better than industry. And we are hoping that these disbursements will pick up from Quarter 2 onwards because Quarter 2 , this time unlike last year, this time the festival is starting from 25th September itself. So, some benefits will come in the month of September and October also. So, put together , the projection is that we can actually start seeing double digit growth as soon as possible. But whether we will

be reaching to 15% or not , it all depends on how the agriculture growth pans out for the full year and how the industrial production other important parameter for GDP also starts improving in the secon d half.

Dhaval Gada: Understood. And C SEL and overall growth then for disbursement for FY'26?

Ravindra Kundu: CSEL is actually because we have cut down Rs. 1500 crore of disbursement quarterly from the Fintech partnership book and almost Rs. 500 crore disbursement we have cut down from the supply chain finance and other low ROTA product of SME. Both put together , the disbursement shutdown. That is what is pulling down the overall disbursement of Chola which would have been higher by Rs. 2000 crore and we could have achieved 10% growth if you consider that. So, in the case of CSEL, the strategy is to basically focus on traditional and increase our CD and in - house digital lending . So, by the year end quarter four onwards , we will start seeing better increase in terms of the assets as well as disbursement from C SEL and CD. And recently, we

have started g old loan, and the initial start is very good. So, we will see some benefit coming from gold loans .
Dhaval Gada: Got it. Thank you, sir, and all the best.
Nischint Chawathe: Thanks. The next question comes from the line of Avinash Singh. Avinash, you can unmute and ask your question.
Avinash Singh: Yes, thanks. Good morning. Thanks for the opportunity. So, just two questions. The first one is this, again, just to clarify this 1.4 % to 1.5 % full year credit cost guidance. This is basically on total, I mean, balance sheet assets, not necessarily on loans. So, that's the first clarification. Second one, if I were to see the asset quality trends. I mean, one or the other issue started last year Q1 when we, I mean, the industry had the issue of the heat wave and electoral problems. Since then, I mean, even the H2 recovery was hoped that did not play out. So, just my question, broadly, just not one specific category, is this the new normal, I mean, in the business, the kind of credit cost or asset quality that you are seeing and your recovery hope that for H2. Now given, yes, the monsoons are doing good, but then there are kind of floods and extended monsoon problems that might creep up the floods are kind of affecting the infra and some mining related contract and works. And on top of that, I mean, I know it's too early, but these US tariffs and all that also have a kind of linkage to certain MSME sectors. In all this backdrop, you have the series as a sector is not doing well, there is a kind of a challenge from the floods and all, and then this thing, what sort of a again, gives you hope that things will improve better than what they did last year, or rather, they will improve at all. Thanks.
Vellayan Subbiah: See, I don't think there's anything trying to define this as a new normal, right? Which is basically, this is the environment right now. And the environment right now, I mean, the economy has been a bit mut ed. And so that is the situation at the current point in time. So, and in general, if you kind of observe the trend, usually with the festival season , you do see an improvement in the October, November , and December quarter. So, that's the only observation we are making at this stage, right? So, I don't think we want to define it as a new normal because the environment in India keeps changing, right? And that is our reality. So, I think that's our kind of approach at this stage.
Avinash Singh: And so that the credit cost or that 1.4 % to 1.5 % that's on t otal assets or the loan assets?
Ravindra Kundu: Yes, that is the way we calculate, and we are talking we are not going to change the calculation so it will be on total book assets.
Avinash Singh: Okay, very clear. Thanks.
Nischint Chawathe

: Next question comes from the line of Shubhanshu Mishra. Shubhanshu , you can unmute and ask the question.

Shubhanshu Mishra: So, two or three questions. The first one is that after a very long period of time, I have seen the urban branches growing up to around 9% of the branches. This is almost after eight or nine years. So, is this like a reclassification or is this a change of strategy? That's first. Second is that given the fact that we are hopeful of a better second half. How are we budgeting for this in terms of OPEX , in terms of schemes, in terms of payouts to our employees, especially in vehicle finance? What kind of discussions have we had so far with the top OEMs that we work with? Thanks.
Ravindra Kundu: So, the 75 gold loan branches which got opened up are actually in the urban market. And that is the reason it has actually increased the penetration in the urban market from the branch count point of view. There is no change in the strategy. Overall level, we are more into the tier 3, 4, 5. In fact, 90% of the branches are in tier 3, 4, 5, 6. But as initially the gold loan branches are going to open up, they will be opening in the tier 1, and then they will move to tier 2, tier 3. So, that's the thing. Second is that as far as the payouts and this thing is concerned, our chairman mentioned in his opening remarks that quarter 2 always comes with the high and therefore it slightly can go up. But at the same time, we are working on increasing productivity , financiers are increasing productivity , they are curtailing their OPEX at the same level. And other businesses are also not expanding the new branches and therefore keeping their OPEX very tight. In spite of gold loan expenses, which are branch expenses, we have increased. Our overall expenses ha ve come down to 2.9 as against 3%. So, we would like to basically keep it at a 3% level, even in Quarter 2 , Quarter 3 . And with the manufacturer, we are discussing with them. They are also having a concern that the numbers are not going up, and therefore they want to work very closely with us. Our market share is also improving in segments in the vehicle finance. That is because of the very, very close engagement with them.
Shub hanshu Mishra: Right, if I can slip in just one last question, what is our strategy in terms of selection of branches for the new businesses that we have, which is CS EL, SBPL, SME, how do we go about looking at a location and then saying that, okay, we will co -locate this particular branch with our VF

branch here in th is particular location. Thanks.
Ravindra Kundu: All the branches across all the segment, whether it is new or old businesses , they are co -located mostly. But only thing is that SME are more into tier 1, CSEL is tier 1, tier 2, tier 3. SBPL is more into tier 3, tier 4, tier 5. It depends upon the product, and type of customer. Most of the branches are co -located wi th vehicle finance branches.
Shubhanshu Mishra: Thank you so much. Best of luck for ensuing q uarters. Thank you.
Nischint Chawathe: Thanks. Next question comes from Abhijit Tibrewal . Abhijit, you can unmute and ask your question.
Abhijit Tibrewal: Yes, thanks, Nischint . So, two, three questions. First thing is vehicle, you said the growth of 15% will be possible if economy picks up, festive season is good. So, what I am trying to understand is beyond things which are not in our control, things which are in our control, basically is if we can work to gain some market share. So, what we are trying to understand is,

are we also trying to work with OEMs which are beyond our top two or top three OEMs to gain some share with them? And the related question here is why you said earlier onset of monsoons, weak economy. W

ithin vehicles , Ravi sir, if you can give some color around what is weaker ? Is it new or used or any particular segments which are weaker relative to the others so that is my first question on vehicle financing. And then the second question for Arul sir is on margins. Sir, while we started seeing some early improvement in cost of borrowings, by when is it going to be 3Q, is it going to be 4Q when we are going to see a large part of the benefits in our cost of borrowings? And yield this time was a little muted. I mean, what were the quantum of interest income reversals that we saw in this quarter? And the last question is again, on the ove rall growth that we are targeting for this year. Ravi sir, I am just trying to understand if you look at segments today right, while these are smaller segments for you, unsecured MSME, which we do through CSEL, SBPL, which is micro -LAP . Some of these segments, at least in the last three months, have started showing industry -wide weakness. Most other NBFCs who reported earlier have called out weakness in these segments, right? And where both the demand, basically growth and asset quality credit costs are taking a beating. So, would you want to slow down a little bit in some of these segments, unsecured business, working capital loans, micro -LAP , SBPL, right? And will that kind of lead to us growing at the lower end of the guidance that we gave out in the last earnings call? Thank you so much.
Arul Selvan: So, Abhijit , let me take the interest question first. So, you'll see, as I was saying earlier, the benefits have not flown in much in the Q1 on cost of funds. It is hovering at same level because the bulk of the cost of fund reduction in the form of repo rate reduction came at the fag end of the book. See that happening in Q2 onwards. The bank borrowings, 50% of the bank borrowings are EBLR linked. So, that would see the full benefit coming through in Q2. The MCLR linked benefits will come more from Q3 onwards because banks have not started giving the entire benefit out. So, net-net for the full year, you should see here overall 20 basis points, sort of an improvement on accoun t of the cost of funds. We may have to give away part of it at least 5 to 8 basis points by way of yield reductions in the floating rat e book. So, I would say we should see around 12 to 15 basis points net impact on NIM purely because of the cost of funds.
Ravindra Kundu: Yes. So, Abhijit , Ravi here. Now, the Chairman has already mentioned that we are seeing that across segment , the economy is slow. And it is likely to improve in the second half because we are going through two issues. One is that the early onset of the rain as well as there is a drop in industrial production and some of the macros are not favorable as of now. But if you take the SME, there are two types of SME. Different, different financ iers have discussed it. Our SMEs are purely a mortgaged SME. Whether it is SBPL , SME and LA P, only in the case of C SEL, they have an unsecured business loan, which is much smaller. So, the unsecured SME is not doing well but secured SME though there is a n increase in the NPL, which was projected earlier that it is going to go up. We are not concerned about it because it is going to get resolved through either SARFAESI or through the normal traditional route of arbitration and our NCLs are under control as per the projected level. So, as far as the SBPL or SME or LA P or even HL for that matter, the mortgage business, we are not slowing down disbursement. In fact, in the case of CSEL and SME, we were the first to take a decision to cut down on the fintech business last year

and now stopped it completely. And also, we have decided to cut down the supply chain finance which is actually low ROTA product . Beyond that , we are not going to reduce anythin

g. As far
as the vehicle is concerned , across all product line if you see the growth of SIAM HCV is (-6), we are (+9); light commercial vehicle (+5), (+5); small commercial vehicle (-12), we are (-1); passenger vehicle (-1) industry , we are (+2); three wheeler , it is flat my industry , we are 15% ; two wheeler is actually (-6), we are (+16). Only in the case of tractor where we see that the rate competition is very high , we have taken conscious call not to reduce our pricing and therefore we are at flat and also in the case of construction equipment , we are at similar level of the market. So, we are working with all kind of manufacturers for all product segments very closely to keep our engagement level very high during the tough time and helping them to actually sail through this tough time for them actually, which is helping us to keep our numbers higher.

Abhijit Tibrewal: We got it. Thank you for patiently answering the questions and I w ish you and your team the best.

Nischint Chawathe: Thank you. Just two instructions before we move ahead. One is participants, please state your company name before you start asking questions. And the other thing is that we have a hard stop at 11 :30. So, just be a little brief with your questions. Kunal, your line is unmuted. You can ask your question. Kunal Shah.

Kunal Shah: Thanks, Nischint . So, firstly, if we look at the performance of Q1, was it may be given the environment, was it below our expectations? And then eventually, maybe you indicated festive and maybe early monsoons getting over that would help. But internally, what are the initiatives we are taking just to make sure maybe have we made any credit filters more stringent o r have we enhanced the collection capabilities in any of the segments if you can highlight that maybe ex of the external factors what we are doing. And secondly, with respect to the overall growth, maybe 20% -25% which we have guided you have indicated acro ss the segments , how we are looking at it. But given this kind of disbursement now, where do you see the overall growth settling? Will it be at the lower end of the guidance at 20 odd percent or maybe even below that and any measures which you are taking either in terms of pruning the growth or maybe boosting the growth?

Ravindra Kundu: Yes, so the calibration of underwriting and our collection mechanism is a continuous process and it actually improves when you have a tough time and as we mentioned about CSEL underwriting last year itself in the Quarter 4 , that we cut down the number of enquiries. We have reduced the trade where we are giving the business loan and also, we were also very clear about it that some of the markets are basically negative in terms of repayment. So, we have done it from Quarter 4 itself . In vehicle finance , they have been continuously improving their underwriting models. So, those are important things , and we also mentioned that this year is actually a year of collection , not the year of disbursement. So, we are trying our level best to ensure our first bucket collection is actually very good and roll forward rates are lower. And if you continue to do that, then obviously we will start getting benefit from quarter 3 onwards and in terms of the loan losses are concerned , loan losses are actually not because of the current

collection . It is also because of the roll forward that happened in the past. So, our job is to ensure that whatever roll forward happened , how can we curtail into stage two or stage one in the next quarter and that is the reason we are saying that if the economy improves that wi ll help us to achieve our goal.

Kunal Shah : Any growth guidance?

Ravindra Kundu : So, growth is actually what you said is right because we have been discussing 20 % to 25 % but we will be actually trying to ach

ieve at least 20% without fail. Let's see that , it all depends on second half also and we are at 23 % now. So, if it deteriorates, then only it will go down to 20, otherwise we will be maintaining the same level.

Kunal Shah : Thanks. Yes, that's helpful.

Nischint Chawathe: Next question is from Mahrukh Adajania . Mahrukh, y ou can unmute and ask your question.

Mahrukh Adajania: Yes, hello, sir. Mahrukh from Nuvama. Actually, I had only one question. It's already been discussed. But last year, we were expecting improvement. Of course, there was heat wave, there was MFI, and therefore all NBFCs had indicated that they are tightening their collections. And yet the expected improvement in third quarter did not come around. So, are we really seeing on ground? Is that the feedback on ground because monsoons happen every 1st Quarter , sometimes delayed to 2nd Quarter . But it looks like we have given up all the COVID post -COVID recovery, right? We are back in terms of NPLs to September 22 levels in VF. So, are we seeing en ough on-ground factors and feel good s to assume that there will be a massive recovery in the third quarter because last time also that was the expectation, and it did not come through and it's kind of spilled over to the ne xt year for different reasons. So, I mean, it's really v ery hard for us to assess then if there is any geography specific thing or any segment specific thing like mining that will help us better understand this issue , because otherwise it's very hard to assess, right? All the gains post -COVID look like they were being erased in the last 4-5 quarters.

Ravindra Kundu: So, last year I said that Quarter 3 will be flat, and we will be seeing the result only in quarter 4 onwards. It happened at a similar level, similar way only. And this year again, we are seeing that there is an early arrival of monsoon. And that is what has created an issue in terms of vehicles, in addition to the market itself the environment is slow. So, if the environment is slow, the results will be in line with that only. As far as your comparison between pre-COVID and post -COVID , pre-COVID level Stage -2, Stage -3 used to be 10%. We are at actually 7%, still much lower than that. So, our efforts are to achieve best result, but it depends on the environme nt and condition in the market.
Mahrukh Adajania: Yes, sir. So, I was not talking about pre -COVID, post -COVID. I was just talking about post -COVID in the 3rd Quarter of 2023, the recovery that we saw. I mean the GS 3 was 2.2 or something then. But anyways thank you . Thanks a lot.

Ravindra Kundu: Thank you.
Nischint Chawathe : Pranav Tendulkar you are next. You can unmute and ask your question.
Pranav Tendulkar: It's not just you, but there are many other NBFC’s and banks that have like two-wheeler , three -wheeler, and unsecured retail asset quality worsening . So, isn't it just monsoon or is it over-leverage of retail people like retail asset class that is having the problem? How do you assess it differently from say seasonal factor from a structural topping of leverage that a retail asset class can take? Thanks a lot, sir.
Ravindra Kundu: No, it is more seasonal and then also related to the economy of the country as of now slightly looking slow. So, both put together are actually impacting on the NCLs and NPL and likely to improve from Quarter 3 after having better results coming up through more mainly in the rural market and after the agriculture growth status showing up.
Pranav Tendulkar : Right, sir. So, this is I think 4th or 5th Quarter for us for asset quality little bit worsening. So, it just makes me worried a little bit. T hanks a lot for your confidence.
Ravindra Kundu: Thank you.
Nischint Chawathe: Thanks. Next question from Viral Shah.
Viral Shah: This is Viral Sha

h from IIFL Capital. Two questions largely. One is, see historical ly we have been kind of say more counter cyclical in terms of growth. Wheneve r we have seen early signs of say stress, we have tended to be more conservative, pullback. We saw some glimpses of it in FY25 in the vehicle finance segment, say in tw o wheelers we had pulled back. You were referr ing to those few quarters back and you compared the growth rates for OEMs and versus now what we are doing, are we actually seeing now signs of structurally underlying environment improving? Again, w e are being counter -cyclical and starting to gain market share and growing aggressively on the vehicle side that is one . Second is on non -vehicle side , I think a couple of participants have pointed this out , and this is these are segments where we are relatively smaller as a lender , there we are actually seeing worsening of stress. So, does that mean that now we are going to say relatively pull b ack on growth in these segments ? And my second question is for Arul sir. Sir, you mentioned of co urse on the cost of funds side how it will p an out and maybe you may have to give on some of the rate cut bene fit on the floating rate book. What about the interplay of the say mix change adverse mix change on the asset side because we will be growing the probably the non VF book may grow a bit slower and also hav e we passed on any incremental say rate cuts on any of the fixed rate products also , so vehicle finance and any of those things ? Thank you.
Arul Selvan: On the interest rate, on the fixed rate we have not started passing on and even if that happens it will be more than the marginal book and it is not on the existing book. The existing book as we tend to raise the borrowings related to those lending. On th e floating rate book, actually th e

floating rate book is growing better. L ike if you look at both LAP and HL, their A UM growth is above 30%. So, they still have a lot of growth coming through and funding for that would continue. But as we move on, in the near term, we should actually also benefit more in LAP because BT-in will be more is what I look at i f there are rate reductions that are happening both from our side as well as from the market.
Ravindra Kundu: So, Viral , you are right actually two years back we said that the rural economy was not looking great and that point in time we observed two years of back -to-back bad months soon and then we cut down our tractor funding as well as two -wheeler funding ahead of the time , but now that is not the case and our vehicle finance is predominantly into the rural market and we see that every year last year onward, the monsoon is actually looking better. So, that is the reason some of the products which we are not doing it in two years back or last two years, we started focusing

more on that, which is showing up in our disbursement growth as against the industry growth of -5% to +7% . In the case of unsecured SME, our percentage is ha rdly anything. So, it is in CSEL , which is 7%, very small to the other players. Therefore, we do not have any problem, and we don't want to increase significantly. There in CSEL we are trying to increase consumer durable and in-house digital lending book and C SEL traditional book which are actually almost Rs. 500 crores -Rs. 600 crores disbursement , they remain at same level. We have curtailed the number of enquiries and in the case of say number of loans which are existing customer coming for the second or third loan. So, thereby, tightened the credit norm last year itself. So, we are expecting that portfolio will also start improving . In fact, if you see that CSEL NCL from Quarter 4 to Quarter 1 it is static, it is slowing now though , their numbers are looking very high. A nd from Quarter 4 of this financial year, yo

u will see that CSEL NCL will further go down.

Viral Shah: Got it sir. So, just one clarification on the comment that Arul sir had made. Basically, on the NIM benefit of say around 15 odd basis points from here on incrementally does this ta ke into account the benefit of the CCD con version which will come on NIMs?

Arul Selvan : It is at 7.5%, so that when you will be substituted by similar loan on their conversion . So, it's not when we are growing , we are borrowing more than Rs. 1,000 crores every month so that they would get subsumed in that .

Viral Shah: Okay, but just I was thinking from a leverage perspective . The leverage may reduce a bit.

Arul Selvan : The 2 ,000 getting converted into equity will give a very marginal benefit , but on overall 1,74,000-1,75,000 crore , borrowing side it may not --

Viral Shah: Got it, sir. Thank you.

Nischint Chawathe: Thank you. The next question comes in from the line of Zhixuan Gao. Zhixuan , you ca n unmute and ask your question.

Zhixuan Gao: Hey, this is Zhixuan from Schoenfeld. Thanks so much for the opportunity. I just want to understand a bit more about the credit cost guidance. So, let's take the higher end of the guidance 150 basis points. First quarter we started at 180, 2nd Quarter 170. So, this sort of implies the second half we need to go down to somewhere about 120-125 basis points. Now I am just looking at this pace of seasonal improvement, first half versus second half and compared to last year it seems that we are forecasting a much better half of half forecast versus last year. So, just want to double check is what we are seeing right now? The magnitude of the seasonality and macro improvement second half versus first half. Is that the way that we should understand it?

Ravindra Kundu : Last year if you see that we actually you know started from 1.5 and in the last quarter we did 1.3 and the average was 1.4 , so we are starting from 1.8 and that's the reason we saying that this year we might end up at 1.5 , 150 basis point , but this reduction will be coming up only from the Quarter 3 onwards Quarter 2 is still actually we have a monsoon which is going to go and if in case we get the monsoon in the first week of September itself then little bit better result can come. So, the trajectory of the NCL will be starting from 1.8 it can either be 1.8 in the 2nd Quarter or it will be 1.7.

Zhixuan Gao: Got it. That is clear. And lastly on the 15% vehicle finance for this whole year. Is that loan growth or disbursement growth?

Ravindra Kundu: Asset growth is actually at 18 % level and what we said is that the asset growth will remain at 18% level. As of now, disbursement is looking at 7%, which is going to go up to 10 % to 12 % in this financial year.

Zhixuan Gao: 10% to 12 % disbursement growth for the Vehicle Finance. How about the overall disbursement growth this year?

Ravindra Kundu: That's what we are saying. Overall disbursement growth for the year. For a company we are at flat level as of now.

Vellayan Sub biah : No, he is asking for full year growth.

Ravindra Kundu: 10%.

Zhixuan Gao: Okay, got it. Thank you so much. All the best to our next caller. Thank you.

Ravindra Kundu: Thank you.

Nischint Chawathe: The next participant is Raghav Garg . Raghav, you can unmute and ask your question.

Raghav Garg: Thanks Nischint . I am Raghav from Ambit Capital. Just two questions. Most of my questions have been answered. One, in the vehicle finance asset quality, can you highlight some of t he broader trends across, say, the M& HCV and LCVs and also what is UCV segment doing and what are you picking up in terms of truck movement o n the ground? I ask this because I see that

your disbursements' gr

owth in M &HCV has been slowing down while LCV has been picking
up. So, that's the first question. The second question is how much of the gold loan disbursements in this quarter were to the exist ing vehicle finance customers? Those are my only two questions. Thank you.
Ravindra Kundu: The gold loan is actually purely a new customer. We are not given it to our existing customer. And in the case of vehicles , we have never given the segmental data of any product line. But in general, the NCLs are higher into the small commercial vehicle product and tractor. These are the two products within the high NCL, and others are slightly lower. It is not that it's gone down, but it's gone up slightly across all product segments in the commercial vehicle sector.
Raghav Garg: In tractor specifically, so I think the industry has been fairly optimistic, right, in terms of growth because of the rainfall being good. And so why is it that there are higher NCLs in the tractor portfolio?
Ravindra Kundu: No, higher NCL is actually because of the old book , the stage 2 is actually when for the tractor has improved.
Raghav Garg: Understood. Okay. Than k you. That's all from my side.
Ravindra Kundu: Thank you.
Nischint Chawathe: Thank you. We will take the next question from the line of R enish Bhuva . Renish, you can unmute and ask your question.
Renish Bhuva: This is R enish from ICICI Securities. Sorry, sir, just again going back to the vehicle finance business. So, many players are highlighting stress in this segment. some are saying UCV, some are saying new retail CV. But just, you know, from our perspective we have been gaining market share. So, I just wanted to understand your broad strategy about sort of why to gain market share when there is stress and you also mentioned that Q2 is sort of looking weak. And in that scenario, while we might continue to gain market share, but how will we ensure that we are onboarding quality customers and not getting to a cycle ?
Ravindra Kundu: So, one in vehicle finance, we have tightened the underwriting norm as I mentioned, and we are working more closely with the manufacturer. So, there are two things. One is that when you work with the more closely with the manufacturer, get a first right of rejection. First right of rejection means you get the best quality of customers. Second is that if you are underwriting, models are tightened, then the rejection rate goes up. And in spite of your increasing market share, you get good quality of customers. So, that's the strategy we are trying that only. Second is that why we are doing now, why we have not done it two years back. Two years back we saw that the rural economy is slowing down and most of the vehicle finance branches in the rural market and therefore the impact can be bad from the industry perspective, environment point of view. As of now what we see the rural economy will be, it is improving, and it will be further

improving after this dimension gets over. That will help us to basically maintain our quality in time to come.
Renish Bhuva: Got it. Just clarification . So, you are saying our rejection rate in vehicle finance currently, let's say, would be higher than two years back?
Ravindra Kundu: Higher than in the past.
Renish Bhuva: Yes. Okay. And we are still g aining market share at biggest point .
Balraj Menon : See, as far as all these products are concerned, small commercial vehicles and all, we have tightened our credit policy. So, in terms of the acquisition stage itself, customer acquisition stage itself, the filtration is going in. And plus, when you move, when you are in the first right of refusal at major counters, we are not active across. That is helping us in getting, acquiring the best of best customers. So, we are not running after them .

Ravindra Kundu: Another thing is that when the market is looking bad, manufacturers are also down. And at that point in time, if they are coming to us, that is the best time to basically gain market share. When market is doing ve ry well and you start gaining market that is not a great idea we have seen.
Renish Bhuva: Got it and so basically, we are gaining market share at the dealer's point and not when gaining market share by expanding on the distribution. How should one look at this?
Ravindra Kundu: Both, both happening distribution has already been continued to be there as we mentioned in the past that our resident locations have gone up to 700 towns where we will open up the branches in time to come. So, the network has more than 1 ,613 branches.
Renish Bhuva: Okay. That's it from my side. Thank you and best of luck.
Nischint Chawathe: We are moving on to Hardik Shah. Hardik, you can unm ute and ask your question.
Hardik Shah: Yes, thank you for the opportunity. Can you hear me? Yes. Perfect. Sir, my first question is about the asset quality in the vehicle finance space, given that we have seen elevated stress for a few consecutive quarters. How has the loss given default trended across product types of commercial vehicle , used vehicles? Is there anything different that you see versus historical trends?
Ravindra Kundu: LGD is same level as now. There's no change in LGD. Loss on sale on the asset, whatever we

repurchase, is 32 % to 35% varies from product to product .
Hardik Shah: Understood. And sir, my second question is about growth. If this slowdown were to sustain in Vehicle Finance, are there any other levers that you think you could pull to meet your AUM guidance of 20 % to 25 % or the lower end of 20% growth guidance? How are you thinking about it?

Ravindra Kundu: You're saying vehicle finance you are saying if it doesn't go up then ho w will you achieve 20 % growth?
Hardik Shah: Yes.
Ravindra Kundu: At the overall level?
Hardik Shah: Yes.
Ravindra Kundu: Obviously, if one business goes down significantly it will impact on the overall growth. But our hypothesis is that vehicle finance will be there at 17 %-18 % level and mortgage businesses will be there at 30 % and C SEL business will be slightly lower . With that we are reaching 20% to 22 % asset growth. Anything goes down wil l it further reduce the overall growth.
Hardik Shah: No, so you are saying that you are okay with achieving lower growth versus guidance if vehicle finance were not to improve, not grow significantly on other segments. Is that understanding, correct?
Ravindra Kundu: No, vehicle finance, we sai d that our disbursement is at 7 % level in quarter one. And here our disbursement is going to go up only because we are seeing that now the manufacturer and dealers have started stocking the vehicle for and preparing for the festivals. So, with that indication is that it will go up to 10 % to 12 %. If that happens obviously vehicle finance is su pposed to remain at same level.
Vellayan Subbiah : I think the question is if vehicl e finance growth does not come, t hen what happens right? And in general kind of our perspective has been that we do have the opportunity because of the overall portfolio to see if other businesses can basically kind of fill up some of that. So, is that your question?
Hardik Shah: Yes.
Vellayan Subbiah : So, that's how we would manage it. So, if vehicle finance continues to be muted in the second half, then we will obviously look at mix of other businesses like LAP , home loans an d some of the other businesses.
Hardik Shah: Got it, got it. And my last question is on the MSME versus commercial vehicles or vehicle finance overall. We see profitability trends in MSME have improved while that for vehicle finance has come off

. So, what is it that you are seeing differently in SME versus vehicle finance space? Are we going down the risk curve there or how should we think about it?
Ravindra Kundu : Mainly lever is only one here in between them . All MSME businesses are basically a secure business and their asset backed MSME has a lower NCL and SARFAESI benefit is there in order to get back and those are appreciating assets . In the case of vehicles , it is a depreciating vehicle , if you repossess then obviously the NCLs are high, and we are at higher level of NCL which is

actually dragging the ROTA of vehicles . Thats is the comparison between auto and MSME ecosystem. OPEX is also high in the case of auto ecosystem as compared to SM E ecosystem because the ticket size in the SME is much higher than the auto.
Hardik Shah: Understood. Okay. Thank y ou. Thank you for your answers.
Nischint Chawathe: Thanks. We move to Abhishek Murarka. Abhishek, you can unmute and ask the question.
Abhishek Murarka: Yes. Hi. Thanks Nischint . I am Abhishek Murarka from HSBC. So, the first question is that in CSEL, how much of it is unsecured business loan? And can you give some thoughts in terms of ticket size, geography, customers where you are seeing stress, is there anything specific to note over there? And how much of the C SEL is actually partnership based and by when does that run? So, that's my first question. I will just come back for a quick second question as well.
Ravindra Kundu: CSEL partnership Rs. 2,500 crore balance is between the C SEL business loan, personal loan, professional loan, and a C SEL CD and D2C and everything is unsecured. Entire C SEL is unsecured. Only that C SEL is only unsecured. So, that's 7% of overall book.
Abhishek Murarka: Yes. So, outside of the partnership business, are there any particular pockets of stress or it is across all these different segments?
Ravindra Kundu: No, one is that the C SEL business loan which is having little higher NCL than what we expected and that's the reason we started cutting down the number of inquiries and also reducing the existing loan to keep the second loan or third loan which is basically done in Quarter 3, Quarter 4 last year itself. But the disbursements are at same level what we used to do earlier last year we

used to do Rs. 500 crores now also we are doing similar levels .
Abhishek Murarka: Okay, so the C SEL business loan is how much?
Ravindra Kundu : CSEL business loan is almost Rs. 7,000 crores .
Abhishek Murarka: And within this 7 ,000, do you see any particular geography like maybe Karnataka, Tamil Nadu, or anything particular in terms of ticket size where the stress is concentrated? Some cuts will be helpful to understand the problem.
Ravindra Kundu: Across the country, in the CSEL business loan, actually the problem was where the customers have multiple loans. So, that was around 5%. It's not concentrated in a particular geography. It is spread across.
Abhishek Murarka: Okay, 5% of the Rs. 7,000 crore book
Ravindra Kundu: Yes, they are having a multiple .

Abhishek Murarka: Multiple loans, okay, that helps. Okay. And the second question is, when I see your vehicle finance slide, the assignment part for this quarter is just Rs. 6 crores, it was Rs. 9 crores last quarter, it's been coming off. So, what is the plan? Are you looking to assign more vehicle finance going forward? Or is this just a product you don't want to do? How are you looking at that?
Arul Selvan : Actually, we have not been doing assignments for a long time and of late some demand came from one specific bank which wanted LAP book and since we have a long and a large relationship with them, we have started doing some assignments over the la

st two quarters. So,
that has been restricted to LAP . So, we don't want to go around seeking assignments , know, especially in vehicle finance or other products . Vehicle finance, we do a lot of securitization. That is not shown greatly because that is coming as part of bor rowing. We are not seeing that.
Abhishek Murarka: Understood. Okay. Thanks so much and all the best. Thank you.
Nischint Chawathe: Thank you. We will take the last question from the line of Nidhesh Jain.
Nidhesh Jain: Thanks for the opportunity. I am Nidhesh from Investec. So, two questions. Firstly, in your products, do you see cross -sell opportunity synergies of cross selling your products to the same customer and are you looking for the business from a customer lens or from a product lens? And secondly, how do you benchmark yourself in terms of technology with your peer group within the NBFCs , specifically the top N BFCs?
Ravindra Kundu: So, the cross -selling, as of now, within vehicle fina nce we are doing, so around 25 % of disbursement is actually coming from the existing customer, where the vehicle customer is going for second loan or commercial vehicle customer is going for car loan or two -wheeler loan. As of now, we are not cross -selling LAP against vehicle finance or vehicle finance against LAP . That's cross -selling across the divisions is not happening. It is happening within the division only, restricted to within.
Suresh Kumar : It happens like when the customer inquiry comes, we do that. It's not that we don't do those products, but w e don't drive them as a cross -sell produ ct, but it naturally happens.
Vellayan Subbiah: One of the things we started from an analytics perspective is looking at the propensity of customers . So, we are taking each of our customer datasets and looking at their propensity and interest in buying other products that we would start cross -selling. So, we are definitely making that transition f rom product -based views to a customer. And I think that's a shif t that we are beginning to make.
Sures h Kumar : So, we are also using our internal bureau data, our existing bureau data to kind of leverag e on the cross -sell aspect.

Ravindra Kundu: Yes, but the opportunity in the cross -sell is more into if you do CD and then give, say, personal loan, that opportunity is more. So, our CD book is very small. And our digital lending as of now we are doing Rs. 100 crore is actually co ming from the existing customer only.
Nidhesh Jain: Sure. O n technology, how do you benchmark yourself?
Ravindra Kundu: I think we are having the best IT team; think we can say that. Most of the loan origination systems are internally developed. We are relying on the LMS being supplied by very top -notch IT company. And all other subsystems are also developed internally.
Nidhesh Jain: Okay, tha t's it from my side. Thank you.
Ravindra Kundu: Thank you.
Nischint Chawathe: Thank you very much. That was the last question for today. We thank the management for providing us with the opportunity to host this call and we thank participants for joining us today. Have a nice day.

Call: Nov 2025

14 November, 2025
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Dear Sirs / Madam,
Sub.: Transcript of Earnings call for the quarter ended September 30, 2025
Further to our letter dated 7 November, 2025, in forming you regarding the upload of the audio recording of the Earnings Call for the quarter ende d 30 September, 2025, we enclose the copy of the Transcript of the Earnings Call, which has also b een uploaded on the Company's website today in the following link: https://www.cholamandalam.com/ investors/call-transcript

We request you to take the above on record.

Thanking you,

Yours faithfully,
For Cholamandalam Investment and Finance Company Limited

P. Sujatha
Company Secretary

Encl.: As above

"Cholamandalam Investment and Finance Company
Limited Q2 FY '26 Earnings Conference Call"

November 07 , 2025

MANAGEMENT : MR. VELLAYAN SUBBIAH – EXECUTIVE CHAIRMAN ,
CHOLAMANDALAM INVESTMENT AND FINANCE
COMPANY LIMITED
MR. RAVINDRA KUNDU – MANAGING DIRECTOR ,
CHOLAMANDALAM INVESTMENT AND FINANCE
COMPANY LIMITED
MR. ARUL SELVAN – CHIEF FINANCIAL OFFICER ,
CHOLAMANDALAM INVESTMENT AND FINANCE
COMPANY LIMITED

MODERATOR : MR. NISCHINT CHAWATHE – KOTAK SECURITIES

Nischint Chawathe : Hi, good morning, everyone. Welcome to the Earnings Conference Call of Cholamandalam Investment and Finance Company Limited .
To discuss 2Q FY '26' performance and share industry and business updates , we have with us the senior management today. The senior management is represented by Mr. Vel layan Subbiah - Chairman and Non -Executive Director ; Mr. Ravindra Kundu - Managing Director and CEO and Mr. Aru l Selvan - Chief Financial Officer.
I would now like to hand over the call to Vel layan for his opening comments after which we will take the Q&A's.
Vellayan Subbiah : Thank you, Nischint for hosting the call. Good morning , everybody. I am happy to take you through the performance for the quarter.
Just in terms of a quick backdrop :
Obviously, there were a lot of changes in the quarter with rationalized GST rates, repo rate reductions, actions taken by the government which are quite proactive. I just like to say and actually they are quite positive overall for credit offtake. I just like to say while the impact of these changes was not fully visible in Q2 due to basically transitional issues . In the medium term, we feel it looks quite strong , especially for players like us because of both the multi -product and cross -country presence. So, I think that makes me quite bullish.
In terms of performance for the quarter :
The loan growth aggregate disbursement stood at Rs. 24,442 crores taking AUM to Rs. 2,14,906 crores which is a 21% growth over the previous year.
Vehicle finance register ed an AUM growth of 17% and LAP AUM grew by 33%. Home loans disbursement continued to be negative in the quarter, impacted due to procedural changes in the registration process in a few key markets. The AUM growth continued to be healthy at 28% and the AUM of SME also grew by 28% with increased focus on business loans and equipment financing.
CSEL, which are consumer and small enterprise loan businesses, registered a degrowth due to stoppage in disbursement through our F intech partnerships. NIM improved substantially from 7.5% -7.9% during the quarter. We expect another 10 -15 bps improvement in NIM levels in the second half of the year. Credit cost and asset quality have already been broadly stable though select segments experienced some stress. Unsecured business loans portfolio under C SEL witnessed higher delinquencies in certain markets coupled with our exit from the partnership business. However, credit losses in C SEL have peaked and we expect this impact to be moderate going forward. We have tightened underwriting norms and enhanced borrower monitoring in the segment, which is expected to bring in better results.

As highlighted in our Q1 Earnings Call , NCL performance has shown sequential improvement across other business segments resulting in credit cost ratios at a company level improving by 10 bps in Q2 FY '26 over Q1 FY '26 and we remain confident of continued progress in H2. PBT for Q2 FY '26 stood at Rs. 1,561 crores which is a growth of 20% year-on-year. PBT ROA for the quarter stood at 3% , which is at similar levels compared to Q1. As you know the business typically witnesses strong traction in the second half and we expect that will also translate into growth and profitability metrics in the second half. Obviously, we are a bit concerned about the extended monsoon and its impact on harvest that we will continue to look at in the coming quarter. The ROE for Q2 was at 18.11 % and for H1 was at 18.47%.
In terms of liquidity and capital adequacy :
We hold a strong position with total liquid assets being Rs. 17,516 crores including G -Secs and T-bills. ALM is comfortable with no negative cumulative mismatches across all time buckets and our

capital adequacy stood at 20% in September 25 with Tier -1 at 14.59. As highlighted earlier, we think that hopefully we will be looking at a stronger second half , but Nish int, I will stop with that and be happy to turn it over to the participants for questions. Thank you.
Nischint Chawathe : Participants, if you have a question, do press the raise hand button on your screen. The first question comes from Kunal of Citigroup. Kunal, your line is unmuted.
Kunal : So, can you hear me now?
Nischint Chawathe : Yes, go ahead.
Kunal : So, firstly, again on the growth side, you indicated like second half would be relatively better but if you look at the disbursement's growth now, it is almost like say flat for the first half. Last time, you had broadly indicated that we will try to grow disbursements by 10% in FY '26. Would that be possible? Would we see the improved run rate in the second half which can take disbursements to almost like a 10% growth? And you had clearly indicated that you will try that

the AUM doesn't fall below 20 % odd from the lower level of the guidance , but the run rate this quarter has not been that great. So, would we see some risk to both of the disbursements as well as the AUM growth target?

Vellayan Subbiah : So, Kunal, I will start in reverse. So, definitely, I think that I do not see the 20% being at risk in terms of AUM growth. So, then I do think the second half is going to be quite a bit stronger. So, second, then, see there are two sets of things that happen with disbursements in Q2. If you take some of the loans in property business, basically, with some of the festive holidays towards the end of September, a lot of the registration got pushed out. And so, we are seeing that registration basically would then come into the October, November , and December quarter. So, I see strengths from that perspective. And then, the GST cut, the transmittal of that. So what happened was from August 15 to September 22, the entire market was in wait and watch mode. But since then, we have obviously seen a lot of transmittal benefits coming on the GST side which is also

going to help both our vehicle finance and some of our other businesses as well in the October, November, December quarter. And then I would say the additional kicker we have got is since we star ted the gold business, there we ha ve got Rs. 500 crores in disbursement. So, that will also start coming into the October, November, December quarter. So, Kunal, that i s why I am fairly bullish on both. Now, whether we get to that 10% number, we might be a bit shy of that number. But definitely, we are going to see good disbursement growth in the second half. And definitely, I don't see the AUM growth greater than 20% being at risk.

Kunal : Sure. And secondly, on the credit cost side, so again, new businesses have shown some stress. Otherwise, commercial vehicle, we had seen some kind of a decline out there. And maybe life has been steady. So, when do we see this C SEL credit cost stabilizing? Because I think, it has been a big one in the new businesses. And across the board, the Stage-3 numbers have gone up, I think, at all the product segments. So, how do we now view the overall credit cost trajectory for the second half and what would be the guidance on that front?

Vellayan Subbiah : So, Kunal, so I think there are two things, two trends we should look at. So, definitely, first half, on your question on C SEL, like I said, my belief is kind of, it has now peaked. And from now on, hopefully, we will start seeing moderation in that book. That is kind of what we are working towards on the CS EL side . If you actually see the company overall, when you start looking at what is happening, the net increase in Stage-3 is actually kind of, the net increase has gone down in Q2 versus Q1, r ight

? So, that is a useful trend. We are also seeing Stage-2 stabilize. So, if you take those two things combined, right, we really feel like we are beginning to see the peak a nd from now on, we are basically going to see improvement going forward coming in at least for the next 6 mo nths, definitely. That is our belief. Now, obviously, the one thing with credit performance is it is always a bit environmentally driven. And so that is why there is some of the wait and watch around the monsoon and some of the factors like that. But broadly, if we just look at the data, and we look at how we are seeing trends, we do see and how we are seeing things on the field, we see a certain level of peaking and an improvement coming in on the second half.

Kunal : Thanks a nd all the best. Ye s.

Vellayan Subbiah : Thanks, Kunal.

Nischint Chawathe : Thank you . Next question comes from the line of Priyanshu from I IFL. Priyanshu, your line is unmuted.

Viral : Thanks, Nis chint . This is Viral here from I IFL. Vellayan , two questions. One, I think you partially referred to the sequential say drop in kind of net slippages. I just wanted to pick your brains on so when I look at the net slippages, both at a Stage-3 level as well as the increase in, I would say, the Stage -2 on a sequential basis that has been trending lower. So, is this a leading indicator of say a substantial improvement in , say NCLs in the second half? That would be my first question. Do you want me to go one by one? Or should I put all the questions together?

Vellayan Subbiah : Sure. So, definitely kind of when we look at the stage numbers, right, kind of like you said, Q1 to Q2, there has been an improvement, right? So, overall, it comes down to about 2.5% versus the 2.8%. That is a net slippage , kind of when we look at the net slippage numbers. So, that is why, like I said, I do see that as a positive trend kind of going forward. And like I was answering with Kunal, from Kunal's perspective, so if you look at what we are seeing, just in t he individual businesse s, right, we definitely see an opportunity because if you look at what is happening with vehicle finance, now we have got net Stage-3 at about 2.24%, right? And so we just see some of these factors continue to kind of to moderate kind of going forward. And that has been quite

positive in terms of the movement quarter to quarter as well. So, basically , we do see kind of that improvi ng in the second half.
Viral : Thank you, Vellayan . The second question, just more of a, I would say, a data question, given a lot of our peers have already disclosed this number. Can you give us a sense of how the growth trends are going on in the month of October? Or it has already happened in October?
Vellayan Subbiah : In general, we have not given kind of current quarter data. But like I said, we are definitely seeing that GST impact and the transferal kicking in on quite a few of our segments. And like I said, kind of what happened in LAP and HL was more of , it was more the SRO problem that basically kind of created some , SRO kind of holidays that created a bit more of a push there. So, on both fronts, we see this being more positive this quarter. So, to your question, October is definitely looking better.
Viral : Got it. And last question, Vellayan , from my end is , when I look at C SEL, right , of course, I think when we started this business, the regulations were different and we had a different thought process. What is the lessons that we have, say, now kind of learnt over here? And say, what would we look to say, do differently when we say embark on growing this portfolio, maybe over the medium term? The reason why I ask this is that, on the other hand, we see some of our peers kind of materially scaling up all these partnership businesses. And they keep ta

lking about that
this is one of the best portfolios out there. So, if you could just help us understand the kind of, say, probably the different approach and how do you see this playing out in future?
Vellayan Subbiah : So, I think each firm has its own culture, right? I think if we were to take learnings, then definitely one is that and perhaps kind of some of this normalization needs to happen, right? So, one is that the partnership business basically is an area that perhaps , it was a partner selectio n kind of issue as well, but we ha ve been generally, I think we are better off when we are fully in control of our process, right . And I think our learnings was that some of the partner processes were very different. And so I would say that there is a strong preference to keep total control over origination, underwriting and collections , in-house versus working on the partnership side . Anyway , the second thing is that from how tight , usually we ha ve always taken the approach of kind of being like collections first, right and building out our collection strength first. This is a business where we thought would not be as collections led and therefore didn't build out that collection strength upfront. So, that has been a real challenge and what we have been doing, obviously, since then is building out that collection strength. And I think that is very critical for

us as well. And then the third is that honestly, I didn't think we estimated correctly the implications of the massive supply side rush. So, what started happening is that there were a lot of customers that started getting loans from multiple people. And that massive supply side rush is something that should have been a significant warning signal for us, where we tightened underwriting much qui cker. And that is perhaps in hindsight, a mistake, because we didn't do that quickly enough, right and we are payin g the price for that now.
Viral : Got it. That is really great. Thank you so much, Vellayan .
Vellayan Subbiah : Yes, absolutely. And again, I am not questioning whether partnerships are the right approach or the wrong approach. I am just saying for us, I think kind of there were learnings from that, right, kind of that when we spread out we saw that there weren't in our control. So, for others, it could be an approach that works.
Viral : Got it. Thank you.
Nischint Chawathe : Thanks. Abhijit Tibrewal from Motilal, you go next.
Abhijit Tibrewal : Yes, thanks, Nis chint. So, two questions. The first one is on vehicle finance. While we have seen some asset quality deterioration, which was acknowledged as well, I am just trying to understand which segments in vehicle finance have exhibited higher stress and which segments continue to do well. Also, during the opening remarks, Vellayan Sir said.
Yes, sir. So, sir, I was just trying to understand in vehicle financing, which segments have exhibited higher stress and which segments in vehicle finance, which products to con tinue to do well. Also, in your opening remarks, Vellayan sir said that extended monsoons is something we would kind of closely monitor. All of Octobe r, we continue to see rains. So, what impact it would have on the 3rd Quarter ? And s ir, second question I had was on unsecured business loans. Again, Vellayan sir said that we ha ve seen higher delinquencies in certain markets. So, just trying to understand which ticket sizes are these, which markets are these, if you can give some nuance around maybe the customer cohort, right, or geography for that matter ? And lastly, in terms of property, which is essentially home loans and LAP , I heard that there were again, certain markets where registrations were a problem. This is something geography specific or which Vellayan sir later said that this was mo re holidays, and which is wh

y registrations could not happen ?
Ravindra Kun du: So, just to start with vehicle finance, just to clarify that or give you some data points, that even after having monsoon impact on the overall portfolio of vehicle finance, from Q1-Q2, the Stage-2 has been flat, it has not gone up. In terms of Stage-3, if you see that, the absolute value increase in quarter 1 over Quarter 4 and quarter 2 to quarter 1, that there has been improvement. And obviously, because of the monsoon effect, the capacity utili zation get impacted for commercial vehicle and constructio n equipment. And that has been the reason for little bit increase in terms of whatever has been increased. And that is what we are expecting to improve over Quarter 3 , Quarter 4 , because now capacity utili zation from here, it will start improving and that will

improve the overall portfolio vehicle finance behavior. So, it is across commercial vehicle and construction equipment, wherever it actually depends on get impacted because of the monsoon got impacted a little bit. And in spite of that, we have been successful in keeping Stage-2 at the same level. Now, coming to the registration, yes, HL affordable housing registrations got impacted for last 2 -3 quarters due to the changes in the norms, especially in the southern zone. And also because of the festival holid ays across the country, the SROs were not performing. So, therefore, lot of disbursement has moved to October. And in fact, that disbursement spillover has been for even vehicle finance due to the GST implementation happened during the last 10 days. So, in nutshell, October has been fantastic month to start with the Quarter 3 and we are expecting that that should continue in terms of the growth point of view.
Abhijit Tibrewal : Got it. And s ir, on the unsecured business loans ?
Ravindra Kundu : The unsecured business loans, as Vellayan sir said is exactly right. There are two things.
Vellayan Subbiah : I think the question is, what are the specific geography?
Ravindra Kundu : So, in the case of unsecured loan, which is CSEL , we have three businesses. One is the personal loan, the business loan, and the professional loan. So, business loan across the country, the behavior is same. And in fact, we have done some analysis with the CIBIL data, bureau data. It is actually appearing across the industry , across the ticket size. The main problem is the business loan alone, which is irrespective of the geography, irrespective of the ticket size. It is because of more of the leverage issue, where the customer wanted to take 2 -3 loan and the DSAs have actually done it with the multiple finance company simultaneously. So, therefore, those customers have failed and therefore, there is an issue and which entire industry has taken note of it and then taken the decision that the number of inquiry, number of loan, existing loan. Based on that, the credit term have been now tweaked and therefore, we are now quite comfortable that is going to i mprove our CSEL business. Within the C SEL business, the fa g end of the rundown which is happening now with respect to partnership has got higher NCL in terms of percentage, which is sho wing up into entire NCL of the CSEL . That is also a reason for overall in terms of percentage increase in C SEL, NCL quarter -on-quarter over last year to this year. And both the thing get corrected, business loan quality improvement has already started. We have seen that early default & non-starters come down in during last 2 quarters and also C SEL partnership book is running down. In the Quarter 3 , Quarter 4 , we will be seeing the improvement in terms of overall NCL coming down of CSEL book.
Abhijit Tibrewal : Got it, sir. Thank you so much. And s ir, just one follow up question, have you made any PLR changes in the home loans an

d LAP book in the second quarter?
Suresh Kumar : So, for the LAP book, we have done a PLR change of 15 basis points and which we have passed on to the customers, specifically to the customers.
Ravindra Kundu : Both LAP and HL we have done that .

Abhijit Tibrewal : 15 basis points. All right, sir. Thank you so much.
Nischint Chawathe : Raghav Garg from A mbit, you go next.
Raghav Garg : Thanks, Nischint. Good morning. I just have a few questions. One, I think you have partly answered in your previous question that I think the October month has been pretty good. I just wanted to get some more definite color, whether the vehicle utilization has improved in the month of October or so far in November. What are some of the trends that you are seeing on the ground? That is my first question.
Ravindra Kundu : Yes, vehicle utilization has been improving for last 30 -40 days. From the festival season, it started improving. But the best result will come only from December because still it is raining in some part of the country, especially in South, eg in Tamil Nadu the rains comes in the winter season. So, therefore, the capacity utilization improves some market and deteriorate in some market in the month of November. But December is the month from there up to say April, May, June, the capacity utilization peaks up. So, we are expecting that further improvement will

happen.
Raghav Garg : At one point, I think you had also indicated couple of quarters ago that M &HCV is one segment which is more impacted because of the, it is highly, it is more vulnerable to the industrial cycles. Any color you could give between the heavier vehicles versus what you are seeing in the SCV and the LCV segme nt. That will be helpful?
Ravindra Kundu : Yes, if you go through the call and also I said that the heavy commercial will get impacted. Now, today you see the number, the heavy commercial vehicle growth has been flat. It has come up from minus 2 % and small commercial vehicle has picked up. It has now gone up to 2 %-4% and light commercial vehicle also gone up. So, the improvement will start now. It has already started. So, the improvement will come with a lag effect. First, the Lights will improve, heavy commercial will improve and it also depends on the macros because the industrial production improve, that will improve the commercial vehicle sale. GST cut has come which is actually creating definitely positive sentiment in the market, but we have to see that also. Post agricultural harvesting period after the Kharif price comes in the market, then that will also improve the capacity utili zation and because of that purchases will start. Mining also will support the heavy commercial vehicle to further star t the purchases in terms of HCV and also quality of the HCV portfolio will start improving from there.
Raghav Garg : Understood. Another related question is, I think, last quarter you had highlighted that in your conversations with vehicle OEMs, they were saying that volumes were below expectations. This was obviously before the GST cut happened, but after the GST cut , when you conversed with the vehicle OEMs, what are they indicating? Is there a pickup or do you expect a substantial pickup in 2H in volumes?

Ravindra Kundu : No, it has not been so far good. So, the pickup, they are expecting in the second half only because the commercial vehicle has, as I mentioned, actually grew up by 4 %, wherein the changes , the passenger vehicle and two -wheeler are little better and that is why I am saying that the quarter 2 to Quarter 3 , the improvement will start coming from Lights and small commercial vehicle and then after that heavy commercial vehicle. As of now , for the commercial vehicle indu

stry, every manufacturer put together, they are expecting higher single digit growth in this year. So, as of now, we are at 4 % as at industry level. That might go up to, say, 7 %-8% by the end of this year.
Raghav Garg : Understood. My last question is on cost of fund. So, I think a couple of large AAA rated NBFCs have indicated that the cost of funds benefit they were to get from the 100 basis points repo cut, that is more or less already come. What are your thoughts on this and how much more cost of funds reduction do you expect? And I think that there is some warrant conversion which is pending for you. So, when you say 10 -15 bps NIM improvement in the second half, does that include the benefit of that warrant conversion ? If yes, up to what extent? That is all from my side.
Arul Selvan : Yes, there will be some more small improvements coming through because we are yet to get the full MCLR pass through happening from the banks. This is what we spoke last quarter also and a large part of it has come. There will be a little bit more that should come in. The CCD conversion will have a littl e bit positive impact. It is a Rs. 2,000 -odd crores number on which the cost of funds will come down and it will move to equity. But that will be spread over the next 3 quarters. So, the first conversion has happened around 300 crores in October. Balance 1700 will get converted over the next 3 quarters. Progressively as it converts, we will get that small benefit coming.
Raghav Garg : Thank you. That is all from my side.
Nischint Chawathe : Next question from Bunty Chawla of ASK .
Bunty Chawla : Yes, thank you Nis chint . One data keeping question. Can you share the write -off number for this quarter as well as Q1 FY '26? This was on data and secondly, as you rightly said, now we are seeing the improvement on the ground and the credit cost which has slightly improved in Q2 should improve in next first half. So, can you share just in first in FY '25, it was around 1.5, it just came up to 1.8 and 1.7. Can we say the second being the improvement in second half, it should equalize to FY '25 number and how one should see the FY '27 similar growth and credit cost guidance? Thank you.
Arul Selvan : Yes, the write -off numbers in Q1 was Rs. 514 crores and in Q2 it is Rs. 639 crores.
Ravindra Kundu : You are asking that the improvement in NCL.
Arul Selvan : So, that is because on the provision, ECL is slightly lesser on the incremental volume being lower. So, that is the reason why it is reduced .

Ravindra Kundu : And NCL is which is actually improved from 1.8 to 1.7 is likely to further improve in Quarter 3 and Quarter 4 and obviously, we will reduce it from overall like at the YTD level, we are at 1.7 or 1.8 from there I think it should come down for the full year, it should be , I think we are expecting closer to 1.6. Let us see that how it pans out in Quarter 3 , Quarter 4 .
Bunty Chawla : And on FY '27 if you can share some thought process?
Vellayan Subbiah : I think you are asking for guidance for FY '27, I think it is too early to give right now.
Bunty Chawla : No, sir, just a color, nothing a s a number but as a color per se?
Ravindra Kundu : The standard, this thing we likely to keep our growth level between 20 %-25%. Sometimes it come s down towards closer to 20 , sometimes it goes up. So, if we continue to see the growth, like what we have seen in October, obviously, the growth will be higher than where we are.
Bunty Chawla : That was very helpful. Thank you.
Nischint Chawathe : Thanks. Next question from Piran Engineer of CLSA.
Piran Engineer : Hi. Thanks for taking my question and congrats on the quarter. Firstly, I just want to understand this conceptually. We have had a few quarters of CV stress and obviously, then your contractors and all are not buying new truck

s. Is it fair to say that first we should see CV stress normalize and then we start seeing a pickup in growth or is there any reason why growth should precede asset quality improvement?
Vellayan Subbiah : No, in general, what we have seen is that you do see growth kicking in, even though stress does not fully correct. In general, Piran that is always been the way it has been. So, just because, when you have a combination, right, new buyers coming in, people wanting to kind of change their fleets. So, it is not that one has to correct fully before the other happens.
Piran Engineer : And is it like two different cohorts? Like, for example, the large fleet operators will be the ones buying while the small fleet operators are the ones still under stress?
Ravindra Kundu : Depend upon situation. For example, now, GST cut benefit will be more towards the retail customer because they do not take GST input and they would like to take it because then EMI burden will go down, cost of fund has come down. So, rate of interest charged to them will be lower. Wherein for the large fleet operator depend upon how many contracts they get it and it depends on the infrastructural development and the mi ning and construction, how that is happening in the market. So, if the consumption goes up, the industrial production goes up . Agriculture growth kicks in, the retail customer buys the vehicle and if the GST cut reduces the cost of vehicle, also the cost of the down payment and also the interest rate has come down, it will improve their capacity to utilize the vehicle and pay it in time. So, therefore, those people will come forward and they are the core customer of Chola and therefore, we are likely to benefit.

And as I mentioned that happens first small commercial vehicle and then light commercial vehicle, then heavy commercial vehicle.
Piran Engineer : Understood. So, for HCV, it is probably some time away, maybe a quarter
Ravindra Kundu : Growth is sometime away, but improvement has started.
Piran Engineer : Understood. That is clear. Just secondly, our tractor book has been declining now for 3 or 4 quarters and that is actually been the segment for the auto industry which has seen the best volume growth. So, what exactly are we missing here? Is it that competition has heated up? Are we taking some conscious stance of something back corrective actions?
Ravindra Kundu : No, we have taken conscious call. In the past also, we said that there are two problem in tractor, we have seen. Because it is a PSL asset, there is a supply side rush, we have seen in the CS EL business. Here also, all financ iers have started doing it and the rate has come down. In the sense, the yield of the business has come down and with that yield, if we continue, then therefore, the ROA which we normally deliver in tractor get impacted. Therefore, we said that and the payouts for dealer also gone up. So, that is the reason we started driving the used tractor more and then we also completely revamped the tractor vertical and then top to bottom we have now people. So, from here onwards, we start driving the tractor new disbursement also and 2 years , there were monsoon deficit and therefore, there were problems. So, this year onwards, tracto r started growing. So, now, it is the right time to basically increase it.
Balraj Menon : And in some markets, you have this government run schemes, which is not supporting the NBFCs. This Anna Saheb Patel scheme in Maharashtra, some schemes in Gujarat and all those things, it is only for the public sector banks or banking. So, it is difficult for NBFCs to participate and whatever the leftover are coming in, we have taken a call to keep away from that because of the portfolio related issues. So, tractor, yes, you can see some improvements in the coming months. We have corrected it

and we are on the way back in that particular segment.
Piran Engineer : That is clear. And just lastly, I know it is early days, but indicatively, how are gold loan yields looking like? Are we pricing ourselves below say, Muth oot, Manap puram or similar sort of

yields?
Ranjith Ramachandran : If you look at our yield, definitely we are not looking at pricing lower than the industry peers. We are on par as far as the pricing is concerned. And we do not want to dilute our yields on that. We have a very healthy marginal yield, which is yield at origination, which I think is slightly better than the incumbent players in this segment. So, I think the focus is on providing easy access , great experience in terms of availing a gold loan with ease and also offering a lot of digital processes so that the loans are disbursed quite quickly so that the customer starts seeing a better experience at our gold loan branches. So, in terms of a pricing strategy, we do not want to get into any kind of pricing war with competitors, because we just started our operations in

gold. We are doing well. We are slowly building a customer franchise, and slowly and steadily building. And our marginal yields, which is yielded origination is quite healthy.
Piran Engineer : Understood. That is it from my end . Thank you and all the best.
Vellayan Subbiah : Thank you, Piran .
Nischint Chawathe : Shubhransh u Mishra from Phil lip. You can unmute yourself and ask your question.
Shubhranshu Mishra : Thanks, Nischint . Hi, good morning. So, three or four questions. The first part is on heavy commercial vehicle. If we can split it into 3 parts, buses, haulage, and tippers, where exactly are we seeing growth and how do we look at it going forward in the next 3-4 quarters? Small commercial vehicle and light commercial vehicle, we had alluded to slightly heightened asset quality and delinquency in the early quarters. How are we looking at the asset quality in that specific segment? In terms of passenger vehicles, the largest OEM, Maruti, they have spoken about higher guidance in FY '27. They are also seeing higher realizations. So, how are we geared up, especially in terms of market share growth in Maruti, and pos sibly in Hyundai as well? And the fourth is if you can speak about the net value transfer out in LAP as well as home loans?
Ravindra Kundu : Shubhranshu, g ood morning. Thank you. So, the M &HCV has improved 1.9% at the overall level, but the buses have been higher in the M &HCV segment. Li ght commercial vehicle, 5.1% during the April to September period. So, both the product line, M &HCV and lights have gone up. But as you asked t hat which segment of M &HCV, it is the buses who are actually driving the HCV number. And on the contrary, we do not do HCV buses. So, we are able to do HCV haulage numbers, but there are market where we are seeing that the participation by our competitors are slightly lo wer. And therefore, we have gained our market share in heavy commercial vehicle. And in the case of light commercial vehicle, small commercial vehicle, we have done well. And as I mentioned this is what going to be the trend also. So, first small and light will happen and then HCV will start growing over the period. What was the second question, S hubhranshu? Can you repeat?
Shubhranshu Mishra : Maruti has increased its guidance for FY '27. They are also g etting much better realizations?
Balraj Menon : So, as far as Maruti is concerned, we are now in the top 4 of the financial metrics. We have done our highest ever numbers last month. The last 4 months, we have been continuously doing. We have the best now. As far as Maruti is concerned, we are quite aggressive. We have done well in that segment. And coming to Hyundai, we are slowly getting, but the initial focus was to grow our market

share and numbers. And we just reached a reasonably good at par with the best in the industry. So, Maruti, we are focused , we are month on month.
Suresh Kumar : So, for LAP, out of the total closures, 45 % is BT out. Rest are all from the old funds and say LAP assets and so on and so forth . So, it is about, this trend remains the same almost in all the quarters.

Ravindra Kundu : But BT in is more than the BT out.
Suresh Kumar : Yes, our BT in is good. We have always been maintaining a good BT in.
Shubhranshu Mishra : And if I can have just one clarification on Maruti and Hyundai, what we are seeing in passenger vehicles is that PSU banks are super aggressive, both in terms of tenor as well as rates. What is our strategy in terms of countering PSU banks to gain more mar ket share in both Maruti and Hyundai, which are two large PV OEMs?
Ravindra Kundu : No, we are not countering the PSU because they are focusing on salar ied and we are focusing on self -employed, non -professional. We are into Tier-3, Tier-4, Tier-5 market and they are into 1, 2, 3. So, the segment and the customer segment of the market are both different between us and them. So, there are NBFCs who are doing their job and the banks doing job. So, we are also not offering that kind of tenor or that kind of pricing. So, our pricing and our tenor are to our customers and we have been financing them. And we are seeing that segment is growing and we are also seeing that the manufacturers are also interested to equally increase salaried class as

well as self -employed, non -professional category buying the vehicle. Especially in this smaller segment, entry -level car, and mid -segment car, they are more working with the NBFC and the salaried class people are buying both the categories, premium segment as well as mid -size car.

Shubhranshu Mishra : Understood. This was very helpful. Thank you so much. Best of luck for ens uing quarters .

Ravindra Kundu : Thank you.

Nischint Chawathe : Next question comes from Kaushik Agarwal of Haitong Securities. Kaushik, you can unmute and ask your question.

Kaushik Agarwal : Yes. Hi, sir. I hope I am audible and thank you for the opportunity. I have a couple of questions. So, firstly, can you please explain what explains the steady pressure on the yields in the SBPL segment? So, should I ask other questions or we will go one by one?

Ravindra Kundu : One by one is better. But what t ype of pressure you are saying?

Ravindra Kundu : He is saying that why it is steady yield. Steady yield.

Ashish Potulwar : I thought pressure.

Vellayan Subbiah : Can you please repeat your question?

Kaushik Agarwal : So, I am referring to slide number 58, where you have given the profit and loss statement of SBPL. So, the asset ratio shows that the income number has come down to 25.5 in 2Q . This was 25.9 in 1Q. So, just wanted to understand the yields movement over there ?

Ashish Potulwar : It is because of the average asset movement. Because this business was started 3 years back. So, as the average assets are improving, the yields is slightly, initially it was looking higher, now it is coming to normal . But the normal yields have remained same over the last 3 years. Marginal yield is same only.

Kaushik Agarwal : There is no PLR cut as such we have taken in this particular product segment?

Ashish Potulwar : No, this is a fixed rate.

Kaushik Agarwal : And s ir, my second question is on the OPEX front. How do you see the same panning out in the medium term? There is some jump in the second quarter as well , so is it more of a seasonal impact?

Ravindra Kundu : For SBPL or overall ?

Kaushik Agarwal : This I am asking for the overall business?

Ravindra Kundu : Overall business just gone up b

y 10%. We mentioned that in the previous quarter that during this year , we do all salary increment and incentive payment because of that is gone up. And you have to also consider that we have been continuously investing in the new businesses like gold and consumer durable. And in spite of that, we have been successful in keeping it at 3.1%. And as Ranj it has mentioned that he is also doing good job in terms of gold as it goes up, their operating expenses will further come down. So, that will improve our overall cost of operating expenses in time to come.

Kaushik Agarwal : Understood. And sir, my last question is relating to C SEL business. Since you have pulled back from the partnership channel, can you throw some light upon how do you plan to scale the same and is there any target which you have set in terms of how will this number be in terms of overall AUM mix in the medium ter m?

Ravindra Kundu : Yes. So, as of now it is 7 %-8%. So, it will remain at that level only. But entire, all other businesses are going to grow. So, therefore, the percentage mix in terms of the C SEL to Chola will remain as it is. However, overall disbursement in AUM growth will start kicking up from Quarter 3 because we are also parallelly investing on the consumer durable and D2C which is the direct to customer digital lending by Chola which is coming under C SEL as of now. And CSEL business also , now they started improving i n terms of their direct loan business, their personal loan business has improved and they are smoothening their disbursement overall. And then Quarter 4 onward s, you will see that the base effect of stopping the partnership business will go up and therefore you will start seeing the number also, the growth number, positive number.

Kaushik Agarwal : Understood. That is it from my side. Thank you.

Nischint Chawathe : Yes. So, there is one question which has come up and it says that while you expect the second half to be better than first half and you already seen some improvement in October, given the fact that we have higher exposure in Tamil Nadu and Karnataka which have thei r own set of problems, is there in the vehicle side , risk to utilization levels in Tamil Nadu and on the HL lab in Karnataka because of e-Katha issues and all?

Balraj Menon : See, as far as Tamil Nadu is concerned, in fact, the portfolio has improved and it is continued . Even September, October has been good. So, Tamil Nadu , we are back on track. In fact, we are

fully ready to gear up any market improvement, we will be the first to hit the block. So, Tamil Nadu we are not seeing any concern. Karnataka , because of this rains and mining segment some delays here and there we are seeing , but things are improving. As far as South India is concerned, vehicle finance book and the disbu rsement everything is improving. So, we do not see any concern even if this is part of the regular , as far as Tamil Nadu rains are all concerned, this is a part of the regular this thing and absolutely , we are not expecting any surprises there.
Ravindra Kundu : In fact, HL and LAP also likely to grow in Karnataka.
Suresh Kumar : E-Katha is only a procedural issue which is causing delay. However, , it does not have any portfolio issue or risk it is not rating and it is only the transaction spillover which is happening and which is delaying the whole thing.
Prashant Kumar : For HL, Tamil Nadu remains the best numbers for HL business and we keep on doing these numbers in Tamil Nadu. Karnataka, there were issues on the e -Khata conversions. Slightly , the registration process was getting delayed on that front. As far as delinquencies and controls are per se, Karnataka the reduction has started kicking in and we see now all the South Indian states from here will do better and accordingly , the disbursement and the

book will also show that signs.
Nischint Chawathe : Sure and just one more is I think there is some clarification for credit cost. You are guided for around 1.6 that is around 20 basis points Y-o-Y rise, right? I think that is one clarification ?
Ravindra Kundu : So, we are at actually 1.8 as of now. So, from there if we come down to 1.6, so obviously that will be the achievement for us and obviously , we will try to do more but let us see that . That is what I am saying here. All depends on how the Quarter 3 improves. The Quarter 3 and Quarter 4 will be definitely improvement will come over quarter 2 and how much improvement comes that is what is something we need to wait and wat ch and one important thing which Vellayan also mentioned in the beginning itself that little bit there is a monsoon which is getting extended is a cause of concern , but therefore but that is what we have already factored and started working on it.
Nischint Chawathe : Got it. Next question from Nidhesh Jain of Investec .

Nidhesh Jain : Thanks for the opportunity. Two questions. Firstly, how do you see the GST led deflation impact on our disbursement in the vehicle finance segment? Do you think that 10% reduction that in value of vehicle which has happened you will be able to negate through vol ume? Secondly, what is the long -term strategy on SBPL? We have seen some stress in that book. Do you plan to scale that book further from the current levels?
Balraj Menon : See, the first month and the month of October, the ticket size has come down by almost 8% , but our volumes have gone up by 14%. The disbursements have gone up by 14% and units have gone up by 18% in the first month. So, we will see that. I think that is it. For the time being, we are not much worried about it.
Ashish Potulwar : As far as SBPL is concerned, we plan to continue the growth. Only thing is that the growth will happen on those areas where we are already becoming stronger . So, the strong will become stronger and wherever we are having some issues like what you have seen in that, there we will just maintain the status quo.
Nidhesh Jain : Sure. That is it from my side. Thank you.
Nischint Chawathe : Next question comes from Shweta Daptardar .
Shweta Daptardar : Thank you for the opportunity. Sir, I have two questions. First, there is quantum jump in disbursements on the LAP front first half of this year vis -a-vis the corresponding period. Is this attributable to home loan competitive intensities flaring up and also that larger part of branch expansion has stabilized for us? And if you could just throw color upon the whole LAP product dynamics right from origination, ticket size, yields and any change in strategy on the LAP front?
Vellayan Subbiah : I am just trying to understand. Basically, we are talking about disbursement growth has been 14% H1 on H 1, right? So, is that what you are saying as a quantum jump?
Shweta Daptardar : Yes.
Vellayan Subbiah : That is actually lower than the increase in disbursement growth last year, Shweta.
Shweta Daptardar : If we observe in past 3 quarters, the disbursements in AUM growth has been stronger on LAP higher than home loan segment. So, if you could just lay out ?
Vellayan Subbiah : You are comparing it to a home loan ?
Shweta Daptardar : Yes.
Vellayan Subbiah : So, you are comparing it to home loans. So, I think it is better to look at them individually at a segmental level because both businesses are at a different stage of growth. So, just look at it from, look at LAP , do not compare it to the home loan business and loan against property business had a higher growth rate last year. That growth rate has moderated a bit on the

disbursement fund because you got a higher balance sheet

this year, a higher starting kind of
level from last year. But obviously , the intent there is that we feel like these are achievable
disbursement levels and we will continue in time.
Suresh Kumar : And these are prime. So, HL is an affordable segment where the average ticket size is 13 lakhs
and here the average ticket size is about 65 -70 lakhs. So, they are completely not a comparable.
Vellayan Subbiah : So, you should not compare these two businesses.
Shweta Daptardar : Sir, no change in origination strategy or ticket sizes on the LAP front?
Vellayan Subbiah : No. Like we said, we have had a drop from last year's growth. So, we are asking if we are going
more aggressive.
Shweta Daptardar : Yes, e xactly that is the point.
Vellayan Subbiah : But Shweta, the data does not reflect that.
Shweta Daptardar : Sir, my second question is, we have dealt in greater detail on volume pickup on the CV side and
also capacity utilizations gradual upt ake. But how is the operator economics shaping up for
SRTO segment considering that even freight rates at Pan India level aggregate basis have seen
some interrupt?
Ravindra Kundu : Yes. As we mentioned that September end onwards, the activity on ground has improved and
capacity utilization also improved. And even in October, that has continued. Now, after
November, we will get a Kharif corp on ground and therefore, that will further increase the
capacity utilization of the retail customer. And therefore, the capacity to repay whatever
delinquencies are there in Stage -2 or Stage-3 will improve. And therefore, we are expecting
better result in Quarter 3 and Quarter 4 . So, things are improving on ground.
Shweta Daptardar : Sure. Thank you, sir.
Nischint Chawathe : Sure. Next comes in Avinash Singh from Emkay . Avinash, you can unmute yourself.
Avinash Singh : Yes. Hi. Thanks, Nishant. So, the question is on that home loan business, two things. One, of
course, with the base effect coming into picture and also seasoning happening, it is clear that
there will be kind of some increase in the GS3. But over the last 4-6 quarters, probably the pace
of this accelerated GS3 is a bit on a heightened side. So, can you provide some color, if it is
specific to particular geography or particular customer segment that is kind of affecting this piece
and also gradually the coverage has been coming down on t his, so is it kind of some of your
ECL model let change where, you have a different time period, different kind of past experience
data that is affecting it. So, what explains this sort of a reduction in the PCR? That is it.

Ravindra Kundu : So, we mentioned that in the past also in the case of affordable housing, we have 50 %
SARFAESI , 50% doesn't cover SARFAESI . So, the non -SARFAESI asset, we need some time
to see our efforts are actually getting result or not. And therefore, we don't do immediately asset
sale and wait for some time. And you have seen that in the case of past also , in the LAP , we have
benefited by not acting so harsh on the NPA cases. And then after that post -COVID , when
SARFAESI come down to 20 lakhs across all entire portfol io of LAP were covered, the NPA
reduction has been fast. So, for some time, it goes up a nd then after that, once we see that there
is a sale need to be done with the ARC who are actually having a SARFAESI for all these cases,
then our NPA comes down. So, that is what is the strategy in general in affordable housing being
managed by the NBFC because we have a different norm as compared to the HFCs and banks.
So, that is one. Second is that it is not impacting as of now anything in terms of the EC L also for
that matter if you are asking that. And the early bucket increase in the NPA, if suppose cases
move from Stage-2 to Stage-3 and it is getting into the Stage-3, automatically the provis

ion
coverage for the overall Stage-3 goes down because it is a new asset. O ur overall Stage-3 is most
of it is a new, therefore the provision coverage comes down.
Prashant Kumar : And as far as growth is concerned, we are with AUM growth of 30 % and geographies we have
spread. We have seen slight de -growth in S outhern states, as I said, for Q1 and Q2. But from
here on, the leads are good and we will see the disbursement going up for the Q3 and we will
maintain the steady rate of 30 % AUM growth as commented earlier.
Avinash Singh : And this, if you can just help, this GS3 growth over last 4-6 quarters in absolute terms, are these
issues some specific to certain geographies ?
Prashant Kumar : No, the indicators are not indicating. It is because as I was said, SARFAESI, non -SARFAESI ,
we take time for a non -SARFAESI pool and then gradually it will take a moderate shape.
Ravindra Kundu : It is related to non -SARFAESI, SARFAESI, not related to the geographies.
Avinash Singh : Got it. Thanks.
Nischint Chawathe : And the last question comes from the line of Aravind Ravi Chandra n.

Aravind Ravi Chandran : Hi, team. Thank you so much for the opportunity. In respect to SBPL business, are we seeing any issues there like which could affect short -term growth of prospects in that business? That is my first question.
Ravindra Kundu : SBPL is looking very solid in terms of growth. They are growing higher than 30 %. In f act, they are growing 57% . Though this is in early, therefore the growths are so high, but we will definitely grow this business more than 30 % over the longer term also.

Aravind Ravi Chandran : Sure. My question is particularly related to like this particular segment has seen some other quality issues with other players. Are we seeing any like short -term issues because of that, like and that is affecting the growth in the shorter term?
Ravindra Kundu : SBPL, when we started, we thought it is a secured business and personal loan, but we have not done the secured personal loan so far. So, that is the advantage for us and therefore , we are quite comfortable that we continue to do business loan and maintain the equality in terms of both net credit cost and pre-tax ROA what we are delivering .
Ashish Potulwar : No, as far as shorter term you are asking, it will not affect. Whatever we are maintaining for the first half, that will be maintained for the second half also, the growth rates.
Aravind Ravi Chandran : Sure. And just one last question, like, when you mentioned about C SEL business, you said the mix would be somewhere like closer to this only. Then are we saying that it would not be a big growth driver in the medium term, like we have seen like L AP and HL being a big growth driver for our businesses, like which is growing above the overall credit growth. Like, are we saying like, in medium term, CSEL will not grow beyond, let us say, the overall business growth, whatever we say.
Ravindra Kundu : No, we are not saying like that. What we are saying that the mortgage business will be growing maybe at the rate of 30 % and non -mortgage business will be growing at 20 %. So, obviously, we will try to do better than 20 %. That is the endeavor. And that is what we are saying always.
Aravind Ravi Chandran : Thank you.
Nischint Chawathe : Thank you. That was the last question for today. Thank you very much participants for joining us. Thanks management for giving us an opportunity to host the call.
Vellayan Subbiah : Thank you, Nischint .

Call: Dec 2025

30 December, 2025

The Secretary
National Stock Exchange of India Limited
Capital Market – Listing , Exchange Plaza
5th Floor, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (E)
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NSE SCRIP CODE: CHOLAFIN EQ The Secretary
BSE Ltd.
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001

BSE SCRIP CODE: 511243

Dear Sir / Madam,

Sub.: Audio recording of the Investor Call

Further to our letter dated December 23, 2025 inform ing you regarding the upload of audio recording of the Investor Call held on the same day, we enclose the copy of the Transcript of the Investor call. The same has also been uploaded on the Company's website in the following link:

https://www.cholamandalam.co m/investors/call-transcript

We request you to take the above on record. Thanking you,
Yours faithfully,
For Cholamandalam Investment and Finance Company Limited

P. Sujatha
Company Secretary

Encl.:As above

"Cholamandalam Investment and Finance Company
Limited
Conference Call"
December 23, 202 5

MANAGEMENT : MR. VELLAYAN SUBBIAH – EXECUTIVE CHAIRMAN –
CHOLAMANDALAM INVESTMENT AND FINANCE
COMPANY LIMITED
MR. RAVINDRA KUNDU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CHOLAMANDALAM
INVESTMENT AND FINANCE COMPANY LIMITED
MR. ARUL SELVAN – CHIEF FINANCIAL OFFICER –
CHOLAMANDALAM INVESTMENT AND FINANCE
COMPANY LIMITED

MODERATOR : MR. NISCHINT CHAWATHE – KOTAK SECURITIES
LIMITED

Nischint Chawathe: Hi, good morning everyone. Welcome to Interaction with Management of Chola mandalam Investment and Finance Company Limited. The Senior Management of Chola is r epresented by Mr. Vellayan Subb iah, Chairman and Executive Director , Mr. Ravindra Kundu, Managing Director and CEO, Mr. Arul Selvan, Chief Financial Officer. I would now like to hand over the call to Vellayan for his opening comments.
Management: Executive Chairman, you can mention Executive Chairman.
Vellayan Subbiah: Okay, , Nishant, thank you. Thanks so much.
Management: Vellayan Subbiah is our Executive Chairman.
Nischint Chawathe: I'm sorry, my bad.
Vellayan Subbiah: Yes, good morning everybody and thanks for joining the call at short notice. You know, this is basically with reference to the blogs and posts carried out by an agency in their website where they have, you know, have several charges and allegations that have b een made against both Chola, its associates and subsidiaries and some of the other Murugappa Group entities. To avoid market speculation and then obviously kind of, you know, pending examination of all the various allegations they're kind of putting out, we wanted to give our summary responses.
You know, first is that the entire allegations are malicious and baseless and they basically seem to be stated with some other motives in mind that are kind of clearly ulterior. You know, from a financial health perspective, the company really wishes to re assure all of you that the performance of the company, its asset quality and its liquidity position continue to be very robust as disclosed in the audited financial statements of the company for the half year ended September 2025.
There's no revision in our guidance provided in the past and the company will continue to deliver as per its board approved business plan. Liquidity also continues to remain strong with cash and bank balances of INR14,900 crores as of November 30th. ALM across time buckets is also positive, all buckets, and CAR for the period ending November 30th, 2025 was at 19.79%, with Tier 1 capital of 14.53%.
The rating continues to be A A+ from ICRA, India rating s and CARE. The net worth of the company stood at INR26,783 crores as of November 30th, 2025, which is an increase of more than INR3,000 crores over FY25 closing levels.
This includes conversion of INR300 crores of the CCDs issued in FY24 and the balance of INR1,700 crores is expected to be converted in the next three quarters, which will further strengthen the net worth. Second, a few clarifications relating to malicious and fraudulent queries and allegations, and obviously we are holding the conference call be cause we're happy to kind of take any questions from you in response specifically to any of those questions that you might have as well.

The queries in various mails and in the blog, sent to us and then, kind of there's also some primarily related to our financial practices, related priority transactions and compliances generally, right?
So the first one, the first set of things seems to be around large cash deposits by the company. And I think, as you all know, in our business, because we cater to the needs of SRTOs and Self-Employed Non -Professio nals and over 50 lakhs, spread over 1,700 branches, basically our categories of lending are mortgage, unsecured, right, you know, and vehicle finance. Therefore, they bring in financial inclusion for underserved segments in rural and semi -urban geographies across the country.
But some of these borrowers obviously earn and pay in cash, right, including for their EMIs from us. And obviously the amounts we collect in cash have to be deposited in banks. So this has been put as an accusation as to

kind of why we are dealing with cas h, but obviously this is a
business that I think all of you as investors have already understood.
And there's been a clarification also that's been put out by, some of the investors, some of the analyst firms, which is that this is less than, and I'll guess the exact number, but it's less than 20% of our overall kind of collections. This collection pro cess and amount has been subject to, and continues to always be subject to internal and external scrutiny. And this is also covered, by our robust internal systems and subject to statutory audit.
All KYC and income tax compliance for such collection is done in compliance with applicable legal requirements . So this was one of the central points that they basically raised. The second

was about related party transactions, and they've kind of talked about three sets of entities broadly, as we can understand. So basically, just to give you all comfort and compliance with legal and accounting requirements, all our RPT are fully disclosed. and in complete detail in our financial statements.
So, for example, CIFCL has transactions covering the borrower's accident and hospitalization, etcetera. And the premium on such policies collected from the borrowers is paid to a fellow subsidiary company , Chola MS General Insurance Company Limited. These policies, firstly and primarily, help our borrowers with sudden hospitalization needs. They also help CIFCL to ensure that no losses are faced on our loan accounts in case borrowers meet immediate health requirements that are expensive.
They've also talked about payments to other related parties, such as entities like CBSL and Murugappa management services. We've always had relationships with these companies. These companies have provided manpower, strategic services, IT, you know, over time. And so, this also has been in the ordinary course and we've always disclosed this, over different points in time. Whenever the entities have been related parties, the requi rements of laws has been complied with.
Allegations have also been made that certain individuals are benefiting from the above transactions. And obviously, the company categorically rejects these statements. All payments

to board members, KMP, SMP of CIFCL have been made in compliance with law and have been fully disclosed .
There have been queries raised in relation to payments to rating agencies . And obviously, as you all know, all borrowings are subject to ratings. Without such ratings, lenders will not lend money to the company. And this is standard industry practice. In some years where the borrowing figures are higher or the companies have more borrowing, there will be more ratings and therefore the higher ratings costs have been paid to such agency. And then the final set of related party transactions seems to be around CSR contributions, which are made to respective NGOs and implementation agency in the form of work contracts.
This is also the standard practice in the industry. And CSR, like you all know, is mandatory under law, right? So, these are the broad categories, of questions raised.
And as we can see from this that, a lot of these are like, facts that have been distorted and presented selectively. And they've taken standard industry practice and been twisted in a way that kind of seems like that's been maligned. We confirm that all operations of the company are carried out as per the laws of the land following due compliance of applicable regulatory guidelines.
And we're committed to transparent communication with our investors and other stakeholders and have released this clarification. We also reserve the right to take action against such agency for causing damage to our reputation and interests.
You know, obviously, the reason we're having this call is if

any of you have any specific
concerns, or you want to get into any specific line item where you'd like our response, we're very happy to give it to you. So, let me stop with that and I'll turn it over to you for any specific questions that you might have. So, we can give you specific responses.
Nischint Chawathe: Those who have questions, you can raise your hand and ask a question. We have one or two questions in the queue. I'm just unmuting them. Ye s, Viral, your line is unmuted. You can ask your question.
Viral: Hello?
Nischint Chawathe: Yes, you can ask a question.
Vellayan Subbiah: Hello, Viral. How are you?
Viral: Hi, good morning, V ellayan . Thank you so much. Ye s.
Vellayan Subbiah: And I think kind of your clarificatory note also is kind of quite apt, but go ahead. Please Viral, happy to take any questions from you.
Viral: Thank you so much, Vellayan , first of all, for being so proactive and doing this at such a short notice. I think most of the allegations, as we have highlighted, don't seem to carry the weight. I

just wanted to understand, V ellayan , from you, like what is, in your opinion, likely the motives

of such a kind of, I would say, kind of say a hit job, if I may.
And what are the actions that you intend to take? That is one. And just second, as a clarificatory, there's also an entity called Murugappa Management Services , which has been mentioned that they, it has also paid fees to credit rating agencies, if we can clarify, that was pertaining to the borrowings done by that specific entity and not for the other Group entities?
Vellayan Subbiah: Correct. Right. So, first, in terms of kind of, what is the motive and -- so, Viral like, you know, we were also kind of first informed about this, yesterday evening, right? We are trying to assess the motive, including kind of whether there was any kind of financial motives or kind of, you know, so some of this we're going to also leave to the regulators to kind of help kind of assess for us .
But -- whether there has been any financial motive or kind of anything related to intent to kind of, so that's something that we want to, we don't want to kind of speculate on, but we want the regulators to basically look at and provide a perspective on.
Second, in terms of action that we want to take, I think the thing where we are quite clear, some, we definitely looks like there is clear scope that will, where they, given such erroneous reporting, that there is scope for libel.
So, we will, we are going to basically engage, with legal advisors that will basically help us in terms of taking action against the agency, which we definitely think is warranted, given the nature of how they have kind of just gone out with all this erroneous information and created a stir around it. So, that's definitely something that we're evaluating right now, Viral.
You know, I'll just give you some context on MMS and then Aru l will get that specific question in terms of the Ratings Agency question. So, basically, MMS was incorporated as a company to provide consulting and review services to all the 29 businesses of the Murugappa Group, right . And so basically at the Group corporate level, several functions were centralized and focused . So, everything included review of business plans, large M&A, any capexes, corporate communication, group level HR, group level finance, governance, you know, laying down any group governance norms, all of this were functions provided by MMS.
MMS was staffed with professionals in the area of finance, HR, strategy, PR, IT. In addition, family members were also on the roles of MMS and their services were deputed to various group companies as the situation warranted over time, right? And basically , that was the nature of this thing.
And so, in that situation, to meet som

e of the expenses of MMS, companies did contribute to
MMS and that's kind of part of what they've also seemed to kind of allege in their statement. It's been a way that it's been a fairly standard mechanism of operation and MMS works on a no - profit model, right . So, basically, the charges were matched to the costs incurred.

So, that's the quick point on that. To the specific question on ratings, Arul, kind of help.
Arul Selvan: Viral, you are referring to MMS rating or Chola's rating?
Vellayan Subbiah: No, I think one of the acquisitions they have made is that ratings, that MMS paid ratings agencies. Correct. So, the question was, did MMS pay for Chola's rating?
Arul Selvan: No, no. MMS had its own borrowing.
Vellayan Subbiah: Exactly.
Arul Selvan: Because they had to, at points in time, that's what I want to say. At points in time, they have to invest in the group companies for their capital determination. So, towards those borrowings, the rating had been taken by MMS for itself. No rating agency will take a fee from that company, for another company.
Chola's rating, we have paid for our borrowings from the market and even bank borrowings require ratings. So, towards that we have paid. And we have ratings from all the large rating agencies, and the payments have been made to them towards the rating and ours is one of the finely priced rating fees incidentally.
Viral: No, perfect. Yes, sorry.
Vellayan Subbiah: Go ahead. Please, go ahead. Viral, I do not know if that provides kind of clarity to the questions that you had asked.
Viral: I think this is perfectly very clear. Just last, if I may, again, with the kind of say, I would say our financial performance has been, and now it has been some time since ICRA has also kind of upgraded the outlook for Chola. Do you anticipate, say, AAA cr edit rating upgrade, maybe in the next 6 to 12 months?
Arul Selvan: Yes, the rating is a little, it's a little bit, a lot of objective decisions also taken by the individual rating committees. So, we will leave it to them to take the call. When we are talking to them, we keep updating them on our performance and our, various criteria that they try to evaluate as well

from a quantitative perspective. The qualitative perspective is for them to take a view and give us the rating. Yes, we are in discussions with them, but I cannot give assured timing for this upgra de.
Management: We always aspire for that.
Viral : No, no, fair enough. Thank you so much.
Vellayan Subbiah: Thank you, Vira l.
Nischint Chawathe: Yes, Shreya Shivani, you can go next.

Shreya Shivani: So, just wanted one clarification. You just mentioned that they've also written, they've also put in their blog that they had reached out to with, reached out to you all with the relevant questions. Was it yesterday only before, after they published their blog?
Vellayan Subbiah: Yesterday late evening. So, the first communication, Shreya, we got from them was yesterday evening and it was a simultaneous mail that came out from contact@cobrapost.com and it was sent out to almost like more than, well, I think 25 …
Management: Its sent to the company email ids , as well as it was sent out a different email ID.
Vellayan Subbiah: Yes. So, they found email IDs and often they've found wrong email IDs. They've sent the wrong email to the wrong people also. So, and just basically kind of, send one of these things saying, you know, please respond by X, otherwise we're going to do the same.
Shreya Shivani: So, in a sense, it was a blog was published before they sent out the mails. I'm just trying to understand why they operated and how they operated?
Vellayan Subbiah: Honestly, you have to tell us when the blog w

as published.
Shreya Shivani: I think in the afternoon. Yes. Sometime in the afternoon, so.
Vellayan Subbiah: So, it sounds like it's gone in parallel, Shreya. Because I think the first mail, we received was around 3. 30…
Management: 3.30. So, they said they will do it today. They released parallel.
Vellayan Subbiah: So, Yes. So, it sounds like they've done everything in parallel, Shreya.
Shreya Shivani: Okay. I just wanted that clarification and thank you for holding this call. That's it for me.
Vellayan Subbiah: Yes. And again, I think if anybody has, see, the one thing we want to do is ensure that if you all have any specific concerns on any of the points they've raised, we address them head on. Right. So, you please ask any questions that you have and we'll be happy to address.
Nischint Chawathe: Sure. Next question comes from K aitav Shah. K aitav, you can unmute and ask a question.
Vellayan Subbiah: This Pranit Shah has also asked some questions. Okay. Go ahead, K aitav.
Kaitav Shah: Yes, good morning and thank you for taking the time out to address this at such a short notice. I think it's commendable, including the reply that you have already given. So, just one question was on the related party transactions. And of course, there is a lot more o n the policy that is available.
But in terms of the numbers that they have probably given out in upwards of INR10,000 crores versus INR2,000 crore s reported, do you have any understanding on how they arrived at that number or would you like to dispute it in some factual way? That would be great for us to understand.

Arul Selvan: Kaitav, this INR10,000 crore s number seems to be over a stretch of years.
Vellayan Subbiah: 2017 to 2025, they have taken 8 years and accumulated 8 years data.
Arul Selvan: And during the earlier part of this period, certain companies need not be classified as related party as per the regulations by itself, because they were not either a subsidiary or an associate in terms of their definition of related party. And hence, in t he earlier part of the years, these were not related party transactions.
After 2022, we started because the regulation also required and we started including them. So, that is, they are playing on this regulatory requirement to say that it is not disclosed. This is the fact and every point in time as per the prevailing regulation, we have disclosed all the transactions with any institution we are dealing with.
Kaitav Shah: Thank you. I think this was the only question.
Nischint Chawathe: Next question comes from Nitin Dhyani . Nitin, you can ask your question. You can unmute and ask a question.
Nitin Dhyani: Yes. Thanks for the opportunity and for doing it so early. Just one thing, see, we are just going

through the documents, whatever the post is and your responses against that. So, in case we have further clarifications, can you like tell us whom to reach out, any contact points?
Arul Selvan: Nitin, you can reach out to Company Secretary and CFO.
Management: Nitin, you might have to mute, but basically you can reach out to the Company Secretary or the CFO.
Nitin Dhyani: Okay. Yes. Thank you.
Nischint Chawathe: So, we have one question in the chat window.
Arul Selvan: Nischint , you have to mute Nitin.
Nischint Chawathe: Yes, sorry about it. So, just one question in the chat window.
Arul Selvan: Nischint , there were some chats also open.
Nischint Chawathe: Yes, I am just reading that. So, it says that does CBSL primarily provide DSA services?
Arul Selvan: The CBSL is providing feet on street to the people. So, not a DSA, it is a feet on street provider. So, it is a hiring and maintaining the feet on street.
Management: Since we are actually operating in the rural market, Tier 4, Tier 5, Tier 6, then the employees whom we

recruit in the feet on street as a sales executive, collection executive, many times they have not completed their graduation. For all those reasons , since we are into financial inclusion, we are providing employment in those markets as well as also grooming them to become a manager in overtime . So, that is the process.

First, they come in CBSL and then they get promoted and then they join in Chola and that kind of from 5 to 6 years training we give them. And that is the reason CBSL is there for many years. It is not that now. 20 years they are there.
Management: It is an exclusive manpower company.
Arul Selvan: Yes, it is the practice in the industry in financial services, .
Management: It is an outsourc ing entity
Nischint Chawathe: Correct. What is the quantum of fees paid to rating agencies?
Arul Selvan: I will dig out the details and give you the information. It should be in the range of INR10 crores, if I am not mistaken.
Vellayan Subbiah: So, it is per year versus what they h ave tried to do is sum up like 8 years, h ow much you paid in eight years, right?
Arul Selvan: So, they have used a different period for different numbers they have given. So, w e are trying to reconcile that, b ut it will be approximately INR10 crores per agency in a given year.
Nischint Chawathe: Sure. In fact, I think since we have you a nd this is one of the questions?
Arul Selvan: Nischint for the ICRA for the past 8 years, it is INR38 crores. So, it would be probably increasing based on the volume of transaction.
Nischint Chawathe: INR38 crores over 8 years.
Arul Selvan: INR38 crores o ver 8 years for ICRA actually ICRA is the largest rating agency for us.
Vellayan Subbiah: CRISIL is INR1 7 crores.
Nischint Chawathe: CRISIL is 17.
Arul Selvan: CRISIL is INR17 crores. So, likewise the other s will be less, but just to give an indication. Primarily, we land with CRISIL for the short -term rating, ICRA for the long -term and the short - term because we need dual rating and India rating for Tier 2 and some of the ir securitization transactions.
So, depending on securitization transactions, the rating fees may go up, go down over the years where we have larger transactions or lesser transactions because during COVID period, we had very less securitization transactions. In that period, you would have seen a little bit of a lower payment to them.
Nischint Chawathe: Could you talk about payments to Isha Foundation and sports bodies?
Vellayan Subbiah: So, that is standard CSR. I mean, so this is one of the things that they seem to have raised up. All our CSR is disclosed in the annual report i t is there every year by project . All our projects

are audited for the requirement. All projects above 1 crore s are audited. So, they seem to have indicated that CSR payments, to entities. So, they have asked why are there payments to NGOs? Why are you paying NGO. So, CSR is mandatory. So the implementation agencies will have work contracts and that has been the standard process.

Arul Selvan: We do not give it as donation, we give it as contract because we are also need ed to monitor the completion of the project and then give a report. That is why it is given as contract. if I give donation, then we will have no right to monitor it because they can use it for anything they want. So, we give them specific, for example, where we give for eye surgery. Then we say how many people have conducted eye surgery over the period and that into the ra te, that is what we should pay l ike that is how it is, why this is sounding as a contract.
Nischint Chawathe: Got it. Are there any plans to simplify and streamline the related party or group structure?
Arul Selvan: Relate

d party, wherever it is required we are engaging with them. Like Chola Insurance gives us the best insurance premium possible for a party either from the borrower's perspective or from our perspective because borrower gets the best coverage and we ge t a good premium, good commission on that. Likewise, Net Access provides the IT services. CBSL provides the manpower.
We have been engaging and they are giving them this rate. So, these are very, I mean, from a total expenses perspective, these costs are very, very minuscule or very -- not of significant nature and then in critical requirements only we move. Even if you see C BSL also, we have been progressively moving large part into the main company itself for various considerations because some of the employees would like to work in C IFCL rather than an associate company.
So, according to their wishes we also keep shifting them over a period, we have reduce d the volume of peo ple engaged through C BSL, but it is a process that will take time. So, these will be continuing for some time, but I think it is, I mean, these are all perfectly disclosed as per the disclosures and pricing is at arm’s length . We have even done a third -party verification of the pricing this year, that is last year and this was also verified by the statutory auditors that the pricing for them are at arm’s length.
Management: Just to add as far as the insurance is concerned, we are also working with many ot her insurance companies like HDFC, Bajaj Alliance , ICICI Prudential. We are providing term insurance to our customer. Then we are also working with Niva Bupa , providing health insurance to our customer. So, Chola MS is not the only company.
Management: These are also extra activity, which are also subject to inspection.
Management: And they are also doing the -- they have already gone through the each and every engagement.
Nischint Chawathe: Sure. Can you explain the quantum of payments made by Murugappa Management Services to family members and other members of the management?

Vellayan Subbiah: So, part of the thing is that this call is for Chola, but I think we, I mean, like what we can -- we can definitely get that in, I mean, information for you . So, if there is a specific request, we can kind of get that information for you. What just so you all know, kind of all they are referring to is the salaries paid to all of these people over time. So they are talking about everybody's kind of, salaries over like an 8 -year period, which have always been kind of reviewed. But, I mean, that MMS specific information we do not have yet, w hich we will kind of study with.
Nischint Chawathe: MMS is actually getting fees from all the companies.
Vellayan Subbiah: We talk ed through that . It is not that only from Chola. Yes, that is the other thing, Nischint , that has to be clarified, which is MMS… is not only taking from Chola and distributing to them.
Every one of the 29 companies in the group contributes to MMS. And then, then all the professionals who are part of MMS and the family members that are part of MMS, get that, draw their salaries from that.
Nischint Chawathe: Is there any plan to change the corporate structure so that such allegations do not reoccur?
Vellayan Subbiah: So, we have already done that. So, as you know now no longer do we basically like -- so significantly the role of MMS has been pared down only to do group corporate communi cation and manage kind of -- FY '22 onwards. Since then kind of all our including kind of my compensation everybody and by the way my compensation was always kind of Chola and this thing, b ut I am just saying all of the others also kind of their compensation now, kind of is fully disclosed because it is done in the compa nies in which they work.
Arul Selvan: Actually, over

the last three years payouts to MMS has reduced to less than INR1 crore s per annum.
Management: Which were taken by the individual companies.
Arul Selvan: Right, because the activities ha ve been taken by the individual.
Management: Individual comp anies themselves. And the Murugappa Corporate Board has been sort of broken into the three large verticals handled by senior members here. So, that is why the payments to

MMS has been largely reduced over the last three years after this sort of distribution of responsibility has happened.
The number which is noted is for the period, again, 2017 to now, where the large part of it is for the earlier periods, where the corporate board structure was prevailing with external and internal members being part of the corporate board, as well as the support, that is the… Support function, group HR, group support function , Group IT head, group corporate communication, etc. Currently, only corporate communication is, group strategy, capital allocation, all this was handled at the group level. But now, it has been sort of, because of the voluminous growth of the group across all different verticals, this has now been broken into three large, subgroups handled by the respective …

Vellayan Subbiah: Yes. And there also, Nischint also to give the different people comfort, anyway, obviously, MMS has also been filing income tax returns, and their affairs are also subject to scrutiny, right .
So, basically…
Vellayan Subbiah: So, they have also basically passed, whatever authorities were basically regulating them.
Nischint Chawathe: Are there any steps taken to reduce cash collection? And what proportion of collections are in cash in the last…
Management: Cash collection is coming down, Nischint . You know that, no? Our vehicle finance customer, irrespective of funded by Chola or any other finance company, they are collecting cash in the month end, because the customers are depending on the market and the market is also paying them cash. So, that is going on. But the cash collection, which used to be 50% sometime back, long time back, has come down to now 15%. Correct.
So, that is a significant improvement in my view. But cash collection is going to be there. We cannot avoid that, because these are the market load operator in tier 5, tier 6 town. They are supplying the vegetable and patties and then collecting the cash from the ir customer and is going to pay the money also through cash only. And it is not only for us, all companies are doing like that.
Nischint Chawathe: The market practice. Sure. Nitya, your line is unmuted. You can ask the next question.
Nitya: Thank you. The question from my side is, sir, you mentioned INR10 crore s expenses to credit rating agencies. And also the clarification, you said that borrowings are subject to ratings. Can you highlight on an average, what is the percentage of this expense as a percentage of borrowings? And also, are there any deviations from the market practices here?
Arul Selvan: Total borrowings is around INR1,87,000 crores, but that is the current borrowing.
Nischint Chawathe: And say like, what is the total kind of cost that we would have?
Management: Total borrowing versus total cost.
Vellayan Subbiah: No, total fees.
Nischint Chawathe: The total fees versus total. Yes. So, how much is it?
Management: INR175,000 crores.
Management : That is a borrowing. And what is the to tal fees paid in the last year?
Management: INR20 crores across all the three. The INR20 crores of fees, Nitya, against a borrowing of INR1,74,000 crores.
Nitya : Okay.
Vellayan Subbiah: Okay. So, as a percentage, you can do the math there.

Nitya : Well, sure. And are there any deviations from

the market practices?
Vellayan Subbiah: Nitya, that is totally in line. I would actually say that it is lower than the fees that, like, Arul gets better rates than anybody else.
Management: 0.01 percent of the borrowing.
Vellayan Subbiah: Yes, it is 0.01 % of the borrowing and it definitely is kind of in line with industry, Nitya. There is nothing out of line.
Management: Slightly lower than industry.
Nitya : Okay. Thank you.
Vellayan Subbiah: And obviously, you can get independent verification of this, Nitya. We have given you the number. So, you can get independent verification.
Nitya: Sure. Thank you so much.

Nischint Chawathe: Jai, your line is unmuted. You can go next. Yes.
Vinod Rajamani: Good morning. This is Vinod Rajamani from Nirmal Bang. Just one question on this, in what Cobra post has put up. They have said that 38 borrower entities have paid CIFCL interest out of which, cash, sorry, charge registers declaring outstanding debt, only some of them have filed. So, did the management get the list of the entities to which this lending was done and w hat proportion would that be of the lending? And any color on this?
Arul Selvan: Jai, Arul, see, most of our borrowers are self -employed non -professionals and small organizations are like partnerships or sole proprietorship . They do not really follow like a corporate borrower of getting their, you know, borrower's charge registration, which is only applicable for corporate s. So, I think they are trying to correlate this without understanding the nature of the customer profile we are handling, which I think most of the investors and research analysts like you know.
So, that trying to correlate this to with the charge creation will not be feasible because these are self-employed non -professionals who are taking independent loans under private market -- private residential properties, which is mortgaged. I am talking one sector of the business, which is the la p.
Nischint Chawathe: Yes, that is what kind of stuck me as being very, you know, that just did not make sense in this, in what they had put up. Yes, but thanks a lot, sir, for clarifying this.
Arul Selvan: Understand the situation.
Nischint Chawathe: Yes, there is just two more questions. I think one says that, the report stated that GNPAs disclosed by the company may be understated. So, do you have any clarification on that?

Arul Selvan: No, I do not know. GNPA is being verified by the auditors, GNPA is verified by the statutory auditors and the GNPAs are also verified by the i nternal auditors and the ASM auditors, there is an ASM audit also done by an independent agency appointed by the bank. So, all of them are verified and all of them have been seen and, you know, this cannot be, there can be no secrets about it.
Vellayan Subbiah: I think we have shown so much data on our GNPAs, every business, this thing, right . So, I think some of these where they just kind of put out these blanket statements, it is very easy to say, listen, kind of, you know , whatever, you are kind of underreporting kind of all the bad news, this thing, right .
So, I just think some of these are just like total blanket statements without any fact or honesty . I would be surprised if they could even tell you what GNPA is ? Right. Kind of, because you see some of the level of, kind of, some of the accusation , it is quite bizarre. But definitely, I think that for all of you who know us, the level of disclosure we provide on GNPAs and the level of audit that we go through, I do not think that there is anything there, which can potentially -- not be an introduction, in a sense. Yes. We just finished a six -week regulatory inspection. Yes. So, I do not think that, you know, that is, it just seems to be totally, totally speculated as a concept.
Nischint Cha

wathe: Sure. And just one question is essent ially on some trends that you could share for third quarter. Now, I think that we have you…
Management: Thank you, Nischint . We do not want to…
Nischint Chawathe: This is one of the questions that is there, as well.
Management: We just wanted to stay, keep this as a response to this thing.
Arul Selvan: Disbursement has picked up, you know, and we expect a decent quarter, but, you know, not too far or it could be better than the results of the first half.
Ravindra Kundu : Yes, Yes. But if we are, we have mentioned it in even the earning call, it happened after the October month and we said that the vehicle finance business picked up, the disbursement has gone up, HL has also picked up. So, overall disbursement side, this quarter will be turnaround quarter.
And then we have been saying that always the q uarter three, quarter four are good for the delinquency and the delinquency goes down this quarter. So, we are in line with that. So, it is going to be a better number, yes.
Nischint Chawathe: Perfect. Those were the questions for today. We do not have any more questions in the queue. So, probably we can end the call now. Thank you everyone for joining us today. Thank you very much management for providing us an opportunity to host the call.
Vellayan Subbiah: Yes. Nischint , thank you for hosting and thank you everybody for joining at short notice. And, please, like we said, you know, any other questions that you have, please address them to the

company secretary or to the CFO and we will be happy to clarify. And thanks again for all your support and for joining at short n otice. Thank you.

Call: Feb 2026

09 February, 2026

The Secretary
National Stock Exchange of India Limited
Capital Market – Listing , Exchange Plaza
5th Floor, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (E)
Mumbai 400 051
NSE SCRIP CODE: CHOLAFIN EQ The Secretary
BSE Ltd.
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001

BSE SCRIP CODE: 511243

Dear Sirs / Madam,

Sub.: Transcript of Earnings call for the quarter ended December 31, 2025

Further to our letter dated 2 February, 2026, informing you regarding the upload of the audio recording of the Earnings Call for the quarter ended 31 December, 2025, we enclose the copy of the Transcript of the Earnings Call, which has also been uploaded on the Company's website today in the following link:

https://www.cholamandalam.com/investors/call-transcript

We request you to take the above on record.

Thanking you,

Yours faithfully,
For Cholamandalam Investment and Finance Company Limited

P. Sujatha
Company Secretary

Encl.: As above

"Cholamandalam Investment and Finance Company
Limited
Q3 FY '26 Earnings Conference Call"
February 02, 202 6

MANAGEMENT : MR. VELLAYAN SUBBIAH – EXECUTIVE CHAIRMAN
– CHOLAMANDALAM INVESTMENT AND FINANCE
COMPANY LIMITED
MR. RAVINDRA KUNDU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CHOLAMANDALAM
INVESTMENT AND FINANCE COMPANY LIMITED
MR. ARUL SELVAN – CHIEF FINANCIAL OFFICER–
CHOLAMANDALAM INVESTMENT AND FINANCE
COMPANY LIMITED

MODERATOR : MR. NISCHINT CHAWATHE – KOTAK SECURITIES

Nischint Chawathe: Good morning, everyone. Welcome to the interaction with management of Cholamandalam Investment and Finance Company Limited. We will discuss 3Q FY '26 earnings today. The senior management is represented by Mr. Vellayan Subbiah, Executive Chairman; Mr. Ravindra Kundu, Managing Director and CEO; and Mr. Arul Selvan, Chief Financial Officer. I would now like to hand over the call to Vellayan for his opening comments, after which we will take the Q&A. Over to you, Vellayan.

Vellayan Subbiah: Thank you, Nischint, and good morning, everyone. I'm happy to take you through our performance for Q3 FY '26. We had aggregate disbursements of INR29,962 crores, which is a growth of 16% year -on-year, and that takes our AUM to INR227,770 crores. AUM growth remained steady at 20% at the end of this quarter. Disbursements saw healthy growth across all major product segments in the quarter.

Vehicle finance delivered a 17% year -on-year increase in disbursements, supported by broad - based industry momentum across CVs, PVs and 2 -wheelers in both new and used categories. GST rate reduction also helped bring down vehicle prices, which further strengthened customer sentiment and supported sustained demand across segments. LAP , Home Loan, and SBPL also delivered strong disburs ement s growth during the quarter.

This momentum was supported by sustained housing demand across key markets, coupled with healthy traction in mortgage -backed lending for both self -occupied residential properties and SME credit demand. Q3 witnessed robust customer inquiries and improved conversion rates across segments, contributing meaningfully to the overall expansion of our retail mortgage portfolio.

LAP grew disbursals by 26% year -on-year and home loans grew disbursals by 10% year -on- year and SBPL by 30% year -on-year in Q3 of FY '26. AUM growth in these business verticals continue to be strong with LAP registering 31%, HL registering 27% and SBPL having a 52% growth over Q3 FY '25.

Disbursement growth in the unsecured segment was also strong with momentum picking up in Q3, registering a 32% growth over Q2 of FY '26. Due to the withdrawal from fin-tech-based lending, the growth year -on-year continues to be negative over Q3 of FY '25. This will change from Q1 of FY '27 as we had stopped lending through fin-tech relationships from Q1 of FY '26. Likewise, in SME, also the growth in disbursement over Q3 of FY '25 continues to be negative due to the conscious slowdown in supply chain finance.On a sequential basis, disbursals grew by 16%, driven by term loans and equipment finance. The AUM growth was robust at 33%. The newly introduced gold loan business disbursed INR772 crores during Q3 FY '26 operating out of 118 dedicated branches in the South and Eastern parts of India.

As highlighted in our previous call, NIM improved by 33 bps in Q3 over previous year with the RBI's rate cut progressively impacting our cost of funds favourably .

Operating expenses have remained steady on a year -on-year basis, even after incorporating the impact of the new labour code in this quarter. This reflects our continuous focus on cost

discipline and productivity. Credit costs improved marginally as the impact of running down the fin-tech business continues to influence our credit costs. On the vehicle finance side, the credit costs have stabilized, and we are looking at a reasonable moderation in Q4.

ROA for Q3 FY '26 stands at 3.2% and ROE at 19.11%. With the second half progressing well, we anticipate Q4 to reflect improved performance in line with past trends. In terms of liquidity and capital adequacy, we hold a strong liquidity position with total liquid assets of INR18,857 crores, including undrawn sanction lines.

The ALM is comfortable with no negative cumulative mismatches across all time buckets.

Our capital adequacy position stood at 19.16% in December '25 with Tier 1 capital at 14.12%. Out of the total issuance of INR2,000 crores, CCDs amounting to INR307 crores were converted in the month of October 2025. Further, INR1,063 crores of CCDs were converted in January 2026. This will improve Tier 1 capital in Q4 of 2026.

There's a balance of INR633 crores of CCDs, which is expected to be converted in July of 2026.

And finally, the Board approved the payment of an interim dividend of 65%, which is INR1.30 per share. So, Nischint, I'll stop with that, and we'll be happy to turn it over to you for questions.

Nischint Chawathe: The first question comes from Suraj Das of Sundaram Mutual Fund.

Suraj Das: Sir, one question on the vehicle side. First, in terms of the asset quality, I mean, if I look at the, let us say, overall credit cost on the vehicle that is running a bit higher versus your historical levels. Anything that you want to call out in terms of specific geography or particular OEM or probably any subsegment that is probably giving pain? While you were highlighting that probably the vehicle credit cost will see substantial moderation going ahead.

But what would be the rationale? Is it because of, let us say, the growth and hence, automatically the credit cost coming down? Or it would be more from underlying cash flow improvement from the borrowers or maybe the state governments payment coming in or something like that?

So just first, if you can highlight, I mean, what is the cause of this pain because your vehicle credit cost is running at 2%, which is relatively higher versus the peers as well as the historical levels. That will be my first question.

Ravindra Kundu: So, a few data points which I would like to tell you about the vehicle finance is that Stage 3 from June quarter of 3.89% has gone up to 4.1% in September and December, it has remained at 4.17%. So, in Stage 3, we have got the stability now. As far as Stage 2 is concerned, it is 3.9% in June and gone up to 3.96%, but it has come down to 3.6%. So, 30 basis point improvement in Stage 2 has been seen.

And also internally, we are monitoring the early default and nonstarters. Stage 3 has come down significantly – in quarter 3 itself and likely to further improve in March quarter. So, this is in line with our plan only. Our NCL numbers in quarter 1 was 2.2%, which has come down to 2.1% in quarter 2 and then in this quarter, it has further gone down to 2%.

So, from the first quarter to third quarter, the NCL has come down, though it is at an elevated level. But as you know that the first 2 quarters in India has got impacted due to rains and also capacity utilization got impacted. That is the case, the seasonal effect. And it is similar to the last year. But this year onwards, we are seeing that there is a good demand coming up. Vehicle demand has improved after the GST rate cut and all those things happen.

And then we are seeing that disbursements are going up. That means the deployment of the customers have improved and the capacity utilizations are improving. So, we are expecting quarter 4 of the vehicle finance is going to be very good and then they are going to maintain it in the next financial year. So, coming back to your point that it is at elevated level, yes, but it started coming down in the Stage 2 and early default and non -starters has come down. Stage 3 is stable. From here, it will go down.

Suraj Das: Sure, sir. But sir, this early starter or let us say, the early delinquency coming down, is it a factor of underlying cash flow improvement? Or is it a factor of more, let us say, growth? Because this quarter, the disbursement growth has been relatively go od on a Q -o-Q basis?

Ravindra Kundu

: Early default is basically pertaining to the first 6 months or 12 months of the book where the customer is getting into the first delinquent. So, it is nowhere related to the denominator effect. If one customer goes into the first bucket, it is early default or nonstarter. Only the period we basically monitor . Nonstarter for 6 months. And so, it is very stringent now, and it is nowhere getting impacted because of the denominator.

And therefore, early default and nonstarter going down and also Stage 2 coming down for the full book is actually the indication that the collection efficiency is increasing. And in the month of January also, we have seen that, which is completed recently . So, this trajectory is going to be maintained in vehicle finance. And not only in vehicle finance, we are seeing the similar impact and benefit coming in CSEL also.

Suraj Das: And this improvement has been across OEM, across geography?

Ravindra Kundu: Across OEM, across geography, across the type of product, new and used.

Suraj Das: Sure, sir. And sir, last question on growth. I think this quarter, the vehicle disbursement growth has been very strong, partly could be pent -up demand also, but how do you see the overall disbursement growth going ahead?

Ravindra Kundu: Since we have seen the January, I have the opportunity to tell you that things are looking better than quarter 3 in this quarter till now because 60 more days to go. So, quarter 4 will be better than quarter 3 in terms of overall disbursement and across all the businesses, we are seeing the disbursements are up.

Like quarter 3, you would have seen that SME or CSEL are slightly behind in terms of the disbursement comparing the quarter 3 of the last year because they were doing much higher and they have given up some portfolio. But now the disbursements are up.

Suraj Das: Sure, sir. And if I can squeeze in last one question, sir. Can you give the slippages and write -off number in vehicle this quarter or 9 months maybe?
Ravindra Kundu: Those numbers are consistent actually. We have not seen any significant change in terms of write -off.
Suraj Das: INR353 crores.
Ravindra Kundu: INR353 crores up to INR401 crores.
Suraj Das: Okay. And INR353 crores is write -off?
Ravindra Kundu: No, INR401 crores.
Suraj Das: Okay. And INR353 crores is the slippages .
Ravindra Kundu: INR353 crores was the previous quarter.
Nischint Chawathe: Kunal Shah from Citi.
Kunal Shah: So, the first question was on home loan credit cost, not a significant number in absolute term on the base where it is. But if we look at it in terms of the credit cost in home loans, that has gone up. So, anything to read into it? Was there any one -off out there, which has led to slightly higher credit cost? And the second question was on CSEL. So now we have started to see the improvement on the disbursement side.
So, there was a decent traction on a quarter -on-quarter basis on the disbursements. So going forward, maybe last time also you indicated that the stress has peaked out in CSEL. So should we see now significant improvement in CSEL and where should the credit c ost stabilize compared to 6.4%.
Ravindra Kundu: Yes. Just to start with home loan, and this is one -off quarter for the home loan in terms of their NCL. What they did is that the non -SARFAESI pool working on and they got into the stage where the collection is visible through the legal. Now they have cont acted or tied up with the ARC and given up INR65 crores of their Stage 3, wherein we booked the NCL upfront. So, the NCL hit is in the line of HL P&L is around INR35 crores for the INR65 crores of book, which basically they removed.
And the income line is slightly elevated because of the whole deal has gone up by INR23 crores. So, the P&L line is actually not much gap. There

fore, you can see that the ROAs remain at 4.2%.
So that's because of the -- we take NCL line, NCL, not like in -- in some of the players, we have seen that they do it slightly differently. They basically take i ncome also into the NCL line and keep the NCL better. But we have not done that.
And we have also created a little bit of extra provision because now we are going to get this money collected through the ARC. So, we have not taken entire benefit. INR5 crores, INR6 crores extra NCL we have taken. So, net-net, what I'm saying is that and even in the past, we

said that because the NBFC like Chola doesn't have the non -SARFAESI for less than INR20 lakh for SBPL , HL and Affordable LAP.
Time to time, when we get into the situation where we are quite confident that in such situation if we can collect money, then we will route it through ARC and get it done. And that is what is going to be the process even in the future. Once in a while, it will be done. But at ROA level, if you see that they are at very high level, 4.2%, and they will continue to do that. And their target of ROA of 4.5%, pretax ROA , Prashanth has been always saying that he will deliver it. So, we should actually rely on his commitment . Now coming to the CSEL...
Kunal Shah: So, one thing -- sorry, on this. So, there was a sale to ARC during the quarter, and we had taken the provisioning knock of INR35-odd crores on that transaction. Is that the right interpretation?
Ravindra Kundu: Yes. NCL line. I think accounting line; let you understand from our CFO.
Arul Selvan: No, let me explain. So, there is a INR65 crores of assets sold. And when you sell, you have to write it off in the book and the income that comes is coming in income line. This is as per the IndA S. So, it's not like the whole thing has been removed from the book as assets and you have brought the income, whatever the remaining. Provision, which have been carried, would have got reversed. Net impact is around INR35 crores in the NCL line.
Vellayan Subbiah: It is 65 bps of the 1.1%. So, if it wasn't for this, it would have been 0.45%.
Ravindra Kundu: And our overall NCL also would have been better for the company. But this is the right thing for the organization. That is what we are targeting. Now coming to the CSEL , CSEL NCL actually moving right direction. In quarter 1, it was 6.7%. Now quarter 2 was 7%, and now it has come down to 6.4%. And in absolute value also, the NCLs are coming down because of the rundown of the partnership book.
And also, we are seeing the overall NCL of the traditional CSEL, which is like on -ground DSA,

DST business, which is done unsecured personal loan business loan and professional loan, there also the absolute value NCLs are coming down. So, we are expecting the 6.4% of NCL of December quarter to further go down in quarter 4, and that trajectory will be maintained in next year also.
You will see that because they have cut down almost INR500 crores disbursement per month from this financial year. And now they are reaching to the same level of disbursement what they used to hit it last year. From the next year, they will get the benefit of base and then disbursement look very high. So once that the d isbursements start picking up and NCLs are going to go down.
And even in the case of NCL, I would like to tell you what we have done into the DSA, DST business, where we segregated the entire portfolio into 4 category, diamond , gold, silver and bronze. And every quarter, we have removed bronze, silver and gold and now we are only sourcing the diamond quality of the portfolio, which has got the very lower NCL as of now. But the overall NCL because of the new portfolio will start appearing after 1 year.

So, we are

moving in that direction. By doing that, we have also successfully maintained our disbursement growth at the same level. And now we will start growing the disbursement with the better quality of sourcing. So, the quality of sourcing is improving. Disbursement growth is improving and portfolio quality is improving in terms of NCL. So, this is a good news from the CSEL side.
Kunal Shah: Yes. So, the question was where should it settle ideally compared to 6.4%. After doing this, if we are sourcing diamond category, 4 quarters down the line, what should be the steady -state NCL in CSEL?
Ravindra Kundu: That's what I said that this entire book of diamond will be accumulated in next 2 to 3 years' time. And ideally, by that time, we should improve the number significantly. That is the number. So, at this juncture, I don't want to commit any number. 6.4% is very high. And it can come down definitely below 5% in next financial year.
Nischint Chawathe: Next is Piran Engineer from CLSA.
Piran Engineer: Just firstly, in the M&HCV segment, we are seeing demand migration towards large fleet operators, and that's being then tapped by the banks. How is it in the case of LCVs and SCVs? And is that a risk you foresee for this segment also?
Ravindra Kundu: No. First of all, Piran, if you see in our HCV for last 2, 3 years , we slowed down our disbursals as compared to Industry in HCV. And therefore, when the cost of funds started coming down, we started getting benefit to start acquiring more HCV customer. So, some numbers are very, very surprising to you that industry grew by 20%, but Chola grew by 56% in heavy commercial vehicle. But in the case of light commercial vehicle, we were already high. So therefore, our growth and market growth are more or less same.
In the case of small commercial vehicle, the market is actually growing at the rate of, say, 16%, we grew by 28%, which is a high yield book. So, in the commercial vehicle segment, in the new segment, overall disbursement growth is coming because of market share as well as the industry.
Banks are always there in the large and captive customer. We were always into the SRTO. SRTO were away from the market earlier because they were not seeing the capacity utilization.
After the GST cut, when the cost of vehicle has come down and also EMI burden has come down because of both interest rate cut and also total loan has come down because of the vehicle price coming down. The SRTOs are now getting into that. So, our disbursement growth is not depending on whether bank is aggressive or not. It is depending on whether our segment is coming to the market to buy the vehicle or not.
So, we are seeing that now that is happening. And therefore, HCV and small commercial vehicle started growing, and we are maintaining our market share at a similar level at the light commercial vehicle. Vellayan, do you want to comment?
Vellayan Subbiah: His question is different.

Piran Engineer: Exactly. My question is different. It's more on like the market structure, right? Like, is the LCV market also heavily like towards fleet operators? Or is it more fragmented towards SRTOs, which is why you all can still continue to...
Ravindra Kundu: LCV is more into the SRTO and less into the fleet. HCV is more into the fleet and less into the

SRTO.
Piran Engineer: Okay. And that will continue like this, you feel?
Ravindra Kundu: Yes, it will continue. Because in light commercial vehicle, it starts from 3.5-ton GVW to, say, 19-ton GVW. So therefore, the range is large. As of now, the banks are concentrating in a high tonnage vehicle, which is like 10 ton plus. The lower tonnage vehicle is still is actually getting sold in the Tier 3, Tier 4, Tier 5 town where the people are buying for transporting vegetable and all. But they are mainly the market load

operator where the NBFC is only financing.
Balraj Menon : And to add on that, the retail operators, be it in light commercial vehicle, that is IM LCV, Indian segment, and M&HCV, we are seeing a strong traction of retail operators, which is Chola's set of customers coming in from November, December and that trend is continuing in the month of Jan.
Piran Engineer: So, when you have like the Amazons and all the e -commerce players, which need that last mile distribution, do they end up outsourcing that to smaller transport operators? I would assume that this segment also gets more and more formalized with the proliferati on of e -commerce.
Ravindra Kundu: That is what I said know. In any case, that was there earlier, and they were actually being funded by bank. What I'm saying is that...
Vellayan Subbiah: No, no. His question is on the e -commerce shift, right? So, the e -commerce shift, yes. So, Piran, to your question, the e -commerce players will prefer to contract with people that have a larger fleet. And you do see some people getting into fleet. But traditionally, so if you take the percentage that has gone to fleet in terms of these business es, it is much, much less than heavy commercial vehicle.
So heavy commercial has always been larger fleets. Here, you see it getting a bit more formalized. But Piran, it's only that the e -commerce segment that basically demands that, right, which is kind of this large level of formalization from their supply bas e.
Piran Engineer: Correct.
Vellayan Subbiah: Besides that, there's not that many...
Ravindra Kundu: And also, this is there now for quite some time. So, post COVID, we are seeing this -- like e - commerce buying the vehicle being funded by the banks are already there. It is not that this year, it is getting changed. The electric vehicle is getting more funded by the banks because those are getting actually purchased by the large operator. So, if the EVs are going to go up, then you will see the shift in that in terms of the mix between the banks and NBFCs.

Piran Engineer: Got it. My next question is on yields. Now when I look at, say, SME yields over the last 9 months, they've been the same as it was in March '25 despite 100 bps of repo rate cut. Have we pruned low -yielding business? Or why hasn't the transmission happened? And likewise, even in LAP, and I'm just taking a longer time frame here, if I look versus pre -COVID and today, LAP yields are actually higher today?
And it's counterintuitive given how much of SME, MSME competition we've seen in the last 5 years. So just your comments on how we've been able to sustain yields in both these segments would be helpful?
Suresh Kumar : On the LAP side, so post -COVID, we have also introduced small LAP with a higher rate of interest. And the business mix, which is kind of helping us in sustaining, we understood this is going to be a challenge and we changed the strategy immediately after t he COVID.
Vellayan Subbiah: In both situations, it's a business mix issue. If you take a like -for-like product, you will see yields coming down. But things we consciously are looking at is if we have to maintain, then kind of we do look at changing the mix as well.
Ravindra Kundu: LAP has introduced a small LAP and that small LAP has now started getting the momentum. So, the amount of volume they are generating like INR8,000 crores, in that around 20% is coming from small LAP, which has got high and therefore, they are able to maintain the yield.
At the same time, SME has given up the supply chain finance and they have reduced their disbursement by INR600 crores, what they used to do. And also, they have introduced the Micro Term Loan which is high yield
Pankaj Murpani : Also Increase in equipment finance, which is like our equipment finance business has gone up, which is a

shorter term and a higher rate of interest, the Industrial Equipment business. So that is helping us to improve over in the...
Nischint Chawathe: Next in line is Shubhranshu Mishra from PhillipCapital.
Shubhranshu Mishra: Congratulations on a great set of numbers. The first question is around the growth itself. We're looking at a stellar growth, which is coming because of the GST rate cut. Are we in discussions

with various OEMs? Is there any RM inflation, which is to be pa ssed, which could more likely offset the GST rate cut benefits that we have seen? CAFE norms is still in a discussion paper. Are we going to see any kind of rate hikes by OEMs there?
Second is, if we can speak about various OEMs, what kind of market shares do we enjoy there? And what are we looking at in terms of market share increases, say, the larger OEMs like Maruti, Tata Motors, Mahindra, Ashok Leyland, the larger ones.
The next question is a bit strategic in nature. When do we do we hit INR1,000 crore s PAT on an annual basis in each of the 3 businesses -- new businesses that we have started, which is SBPL, SME and CSEL? And the third is just a data keeping question. What would be our F EMI in the personal loans?

Ravindra Kundu: Lot of questions, Shubhranshu.
Balraj Menon : For vehicle finance, as far as the OEMs are concerned, 2 things, what has happened from October, November, December across the segment, be it small commercial vehicle, light commercial vehicle, ILCV, M&HCV, passenger cars, all market share s we have grown. And as you know, we have our market share in Tata, Volvo, Eicher, Leyland, these have all grown and most of it are in double digits. Maruti, we have gained substantial market share across. Small commercial vehicle also, we have grown.
So, in2-wheelers ,we have grown our market share in Royal Enfield, in Honda and of course, in Hero also because we are focusing in these 3 manufacturers mainly. So, to your question that across the board, our market shares have gone up and the growth has been higher than the market growth. And the trend has continued in the month of January. We hope this will continue for this quarter and going forward.
Vellayan Subbiah: Okay, FEMI, you asked...
Sucheth Bharathan : Yes. What is the question on FEMI?
Shubhranshu Mishra: Current FEMI rate.
Sucheth Bharathan : For FEMI rate, it used to be peaked at 3.90 percentage. But over the last 3 months, it has come down to 3.1, 3.2 types. –But I would like to tell you that FEMI is never an indicator for any of your metrics because it requires what you call the NACH registration with the bank. All those things are as an indicator. So, I would say it has come down, but it is never an indicator from my past experience, I'm saying.
Shubhranshu Mishra: Just one clarification the market share, this is on volumes we are speaking of, right?
Ravindra Kundu: Yes, market share in numbers, on number.
Shubhranshu Mishra: The last part, INR1,000 crores PAT...
Vellayan Subbiah: Yes. I think the broad guidance has always been this, right, which is like when we get into some of the newer businesses, the growth rates will be higher than the growth rates in some of our traditional. But we don't want to give guidance on when each of them are going to give INR1,000 crores in PAT. So so I don't think we'll give specific guidance on that.
Ravindra Kundu: Shubhranshu, actually, if you see that the CSEL now has a ROTA of 1.4% and what we have been discussing between me and Sucheth that he will deliver 3.5% ROA, which is normally we targeted in the next financial year. Both Vijay and Sucheth put together driv ing the CSEL business.
So, most important thing is the ROA. In the case of SBPL, so if you take one by one new businesses, is already delivering PBT ROA more than 7% and SME started delivering more than

2%. So, they are all moving towards the direction what we have set in the beginning in terms of profit.

Shubhranshu Mishra: Understood. This was very helpful and look forward to INR1,000 crores PAT in each of these businesses. Best of luck.
Nischint Chawathe: The next question comes from Raghav Garg from AMBIT Capital.
Raghav Garg: I have two questions. One, I just wanted to go back to the vehicle finance asset quality bit. See, when I look at your asset quality trends on this portfolio and compare it to peers, your trends seem to be a little inferior. Say, for example, the Q -on-Q drop in credit cost is lower, the Y -o-Y trend is higher. And even when I look at the net accretion to vehicle finance NPAs, it's on the higher side versus peers.

So, I just wanted to understand, specifically with respect to your customer segment in the sense that why is he finding it difficult to repay you versus what we've seen for other auto NBFCs? Is there some customer -specific colour to this or any vehicle type colour to this? That's my first question.
Ravindra Kundu: No. In our vehicle finance, if you know that our mix is not towards the one segment alone. It is actually distributed across all segments. That means we have been financing heavy commercial vehicle, light commercial vehicles, small commercial vehicles new. Suppose you come up with any finance company, which is more towards the used, the used is not so much deteriorated during the last 2 years.
The small commercial vehicle and light commercial vehicle plus tractor has deteriorated in the last 2 years because of the slight monsoon deficit and then capacity utilization got impacted during last 2 years during the first half. Having said that, what I mentioned in the beginning of todays call that our vehicle finance Stage 2 has come down from 3.96% to 3.61%.
Whenever the Stage 3 goes up, like it was 4.11% in September quarter, now it is 4.17%, similar level. First, Stage 2 and early default and nonstarter start coming down. And then subsequently, you start seeing the improvement coming in Stage 3 as well. So, the trajectory is looking very good in terms of vehicle finance. You're asking why it has gone up.
I have said that it's because of the mix of both new and used, not that either new or used, we are doing it. We are doing all product. And that is the reason things started looking slightly high in the Stage 3, but the trajectory is looking good from the e arly default and nonstarter point of view, and you will see the result in quarter 4 and going forward.
And as far as the market and product is concerned, product and market across the geography, we do not have any concentration in terms of any particular market or any particular product is basically doing very bad. It is all distributed across.
Raghav Garg: Understood. My second question is, I heard your commentary on early starter or nonstarter, those metrics showing improvement. So, my question is that, say, for example, if we see INR100 of credit cost in the vehicle finance portfolio, how much of this would you attribute to this specific bucket of early starter or nonstarter? And then if we see this number as a percentage of, say, 2 or 4 quarter lakh disbursements, would that be the r ight way to look at it?

Ravindra Kundu: Majority of the NCL is coming from Stage 2 assets . Stage 2 is obviously much lower, as I mentioned. So, Stage 3 also, we have not that we have single provisioning. In the Stage 3 as the...
Vellayan Subbiah: His question is -- he is saying ED and nonstarter contribute to what percentage of...
Ravindra Kundu: The ED nonstarter is part of the stage...
Vellayan Subbiah: As a percentage of our NCL over time. So, from a cohort perspective, how

much of it flows into
this thing. So, I think that's your question.
Raghav Garg: Yes.
Arul Selvan: The behaviour of these 2 parameters indicates the business of the portfolio. So, if it is coming down, then it means that the current portfolio is behaving better. So the impact of this will be seen over the next 4 or 5 quarters because that means if there is a lesser of early default and nonstarters, then what happens is at a given point in time, the equity of the customer becomes larger, so he will not move out. That's the sort of the attribute we are looking towards as keep reducing this.
Raghav Garg: See, my only point behind asking this question is because we don't get segment -wise stage 2 or even the net slippage on a segment -wise basis, just getting some colour as to how much of the credit cost from the vehicle finance is coming from the early bucket would just help in modelling the numbers better. That was the only objective behind asking this question.
Vellayan Subbiah: I think understood. So, we can get back with that data.
Raghav Garg: That will be helpful. I have one more question. Can I ask?
Ravindra Kundu: Yes.
Raghav Garg: In the affordable HL, I think you mentioned INR65 crores of principal has been sold to ARC. Is that right? Is that understanding right?
Vellayan Subbiah: Yes.
Raghav Garg: And despite that, the GNPA has come down only from INR376 crores to INR358 crores, which means that there have been some slippages here too. Is that understanding correct. So, any specific or geographic colour to this?
Prashanth Kumar : No. Basically, only the non -SARFAESI pool, there is a slightly increase in delinquencies, which we do all the legal means to collect out of that. So, it is only the non -SARFAESI pool slightly gone up. It is not about any geographies. Geographies, in fact, everywhere the infant

delinquencies are coming down. And Q4, we'll see this has started coming down everywhere.
So, we'll maintain the NCL as 0.5 going forward.
Nischint Chawathe: Next is Shreya Shivani from Nomura.

Shreya Shivani: Hi, hope I'm audible. I have 2 questions. My first question is on the vehicle book. So, in December and probably end of November, probably there were 2 cyclones that hit Southern part of India. And can you help us understand what has been the impact of these cyclones on our customer base?
Is there some stress that can show up in the 4Q numbers because of this pool? My second question is on the growth outlook for some of the non -vehicle book. We backed out from the fin-tech portion, and we are going to scale up direct digital and consumer durable loans.
Can you help us understand how much time will it take for you to set up the infrastructure for these 2 segments and then the growth can kick in for you? So, is the growth like 4 quarters away or 3 quarters away in these segments, which are basically replacing your fin-tech book? Those are my 2 questions.
Balraj Menon : So, to answer the first question as far as the South zone is concerned, for the vehicle finance, last 4 months, South zone had the collection across all metrics is that they have done well. For the month of Jan also, in spite of the highest holidays in a year in South zone happens in the month of January with Pongal, Makar Sankranti, all this happening.
So, we have done extremely well in South zone for the month till January. So, we are not facing or we have not seen any kind of pressure or stress as far as the cyclone and it has been very, very, very marginal. So, there's not much of impact on vehicle finance book in South zone for Chola.
Ravindra Kundu: And as far as the CSEL is concerned, there are 2 segments of CSEL. One is the DSA, DST business, which we are now doing INR700 crores per month and then CD and digital lending book, which we are doing INR300 crores per

month, so close to INR1,000 crores per month.
Our peak was INR1,200 crores per month. But quarter 1 of this financial year was only INR2,000 crores. So, if we do even INR1,000 crores we will do INR3,000 crores from the quarter 1, you will see significant growth coming up.
And as I mentioned in the call –we have taken corrective measures in order to improve the quality of CSEL traditional in terms of removing the three segment of the portfolio, which we were actually causing the concern in terms of the NCL and still growing at the rate of INR700 crores per month, which is going to grow the disbursement from quarter 1 at the rate of 25% plus.
Shreya Shivani: Right. And in the digital and consumer durable, you said INR300 crores. I'm assuming that majority would be digital because consumer durable -- the infrastructure as in partnering with all these the stores, etcetera , would take time, right? So, the INR300 crores may be more digital.
Is that understanding, correct?
Ravindra Kundu: Digital is actually INR100 crores and INR150 crores is around Samsung, and then around INR50 crores is the CD business, which we are doing with Open market . So, around INR300 crores.
And INR200 crores CD, INR100 crores digital. Still CD is higher than the digital. CD is only going to go up.

Vijay Kini : Yes. So, we have the tie -up in Samsung Finance Plus. So already the infrastructure is all set as far as the platform is concerned. So, our distribution is based on the Samsung Finance Plus platform itself. We're able to acquire more customers across the country. So, I think from a time lag perspective, that has been taken care of.
Shreya Shivani: Okay. Interesting. Sobut you will be looking for more tie -ups in the CD, right? I mean, this must be your first -- yes, all right.
Vellayan Subbiah: Yes. How many tie -up we have now?
Vijay Kini : We already have about 9 tie-ups. We have broadly covered about 75% of the entire mobile market. So, we are actually working on distribution on the open market platform for CV.
Vellayan Subbiah: In addition to this,we just moved out of mobile into household appliance segments as well. So, this is going to grow in different tiers over time, right? So, the first part is going to be mobile.
And then the second part is going to be non -mobile, other household appliances.

Nischint Chawathe: Next comes from Viral Shah from IIFL.
Viral Shah: Sir, I had 2 questions primarily. One is I was looking at your comments with regards to within the vehicle finance industry and therein, you have mentioned that the used vehicle finance prices saw good demand with replacement cycle kicking in or expected t o kick in and prices declining. So over here, I just wanted to understand , first of all, two parts to it?
Which subsegment of this, I would say, within vehicle, the used segment is seeing a demand pickup because of replacement? And secondly, what is the extent of the used CV prices declining? And if at all, you see any concerns with regard to asset quality ove r there? I'll ask the second question after this.
Balraj Menon : See, there are 2 things. And see, immediately after the GST reduction was announced, there was a lull for almost 15 days. Subsequent to that, the market got corrected. And the initial spurt in demand happened in the M&HCV segment at the retail operator lev el. The real movement in and subsequently, it has flown towards the ILCV segment. So, M&HCV to ILCV segment. And in the M&HCV segment also in the used business, the initial was on the haulage segment.
And in January, we are seeing a traction coming up in the tipper segment also because a lot of contracts have been released and the usage for the secondary segment, there is a demand for tipper also coming in. So, this is where it stands. See at the small commercial vehicle segme

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and all, we are yet to see a huge but it's more or less BAU as far as the small commercial vehicle segment is concerned in used business. ILCV, we are seeing a traction coming up. M&HCV started from haulage; it has moved to tippe rs. So, this is what the current scenario is.
Ravindra Kundu: Just to continue, Viral, this is also linked with the new HCV and new LCV sale. As the HCV market is growing, the replacement cycle also kicking up for the used. The people who are buying the vehicle, they are not only adding the vehicle, but they're also sometimes replacing

the vehicle what they have. So, when they sell their existing fleet and buy the new vehicle, new vehicle sales picks up and old vehicle sales also picking up.
So, both are going to get benefited because when the existing customer having the vehicle are selling and that vehicle comes in the market, quality of the vehicles are good and that vehicle gives better price than the vehicle, which comes through the repo sal e and all. So now the quality of the used vehicle coming in the market after, say, December or, say, after November, are quality -wise better.
Little bit drop is there in terms of valuation of the vehicle, which is hardly 5%. But it doesn't matter because at the end of the day, if someone wants to buy new vehicle, wants to sell the vehicle, he need it for his replacement , customer need it for their deployment. So that is not important. Important is that the vehicle is available for us to finance. And therefore, our used business is going up from December onwards, which is likely to go up further in quarter 4.
Viral Shah: Right. And how long, sir, do you see this replacement cycle playing out? Is this something that you expect over the next few quarters? Or is it just 4Q?
Ravindra Kundu: Yes. So, it is simple. Last 2 years, there has been lull in the new vehicle sale. So new vehicle sale now only it started picking up. Commercial vehicle did not pick up immediately after the GST cut. It has started only in December. In fact, December was very low. January, I'm seeing the peak impact is coming.
And the passenger vehicle, whatever we have seen in the Q3, that remains same. It's not going up. So now the disbursements are driven by the new vehicle sale of commercial vehicle side, which is going to also support the used vehicle side. Suppose new vehicle is continuously , I'm talking about the heavy commercial vehicle and light commercial vehicle. It's continued to grow at the rate of, say, 15% or even 10% to 15%.
Obviously, to that extent, the used vehicle is also going to come in terms of unit. Now when you are financing it, the GV value is actually matter for financing. So, if that is the case, 10% to 15% in the unit number, it converts into the value, it comes to 20% plus. And it can continue until such time, new vehicle sales continue.
Viral Shah: Got it. And secondly, sir, the question was more for Arul, sir. Sir, how do you see now the cost of fund trajectory for you, given how the bond yield movements have been especially not just today, but I would say, over the last 3, 6 months as well, we have barely seen any reduction in the G -SEC rates. So how should we think about it? And consequently, the margins also going ahead?
Arul Selvan: You're right. There has been no tightness in the liquidity as well as on the rates. But I think the good part is that, we have a mix, which is also partly fixed rate borrowings. So still there is steam left in that to reduce more on the NCD side, on the market borrowings and the MCLR side on the bank borrowings. These two will still give us another 5 to 10 basis points on the cost of fund

reduction in next quarter is what we are working on, which should at least to a large extent, flow through to the NIM.

Viral Shah: And sir, beyond that?
Arul Selvan: Beyond that, I don't think there is...
Ravindra Kundu: Beyond that, we need to increase the NIM through business only. So, in the quarter 4, obviously, due to better collection your other income goes up, and you have seen that last year, if you take the investor presentations, you are able to see quarter 4 NIMs are always higher. So, we are going to expect that also in this quarter.
Nischint Chawathe: Next comes in a question comes in from the line of Akshay Jain, from Autonomous.
Akshay Jain: So, my first question is again on margins. So, while you have indicated that next quarter, the margins will go up because of two impacts. One, cost of funds will come down. And number two, other income being pretty well in 4Q. So currently, the NIMs are around 8% odd and maybe next quarter, given your guidance or given your outlook, it can go up to, say, 8.1%, 8.2% range? But how should we look at F '27? Like should we expect the margins to be held around similar levels, 8.1 -ish, 8.2 -ish levels? Or how should we think about NIMs incrementally? And what will be our incremental cost of funds in this quarter?
Arul Selvan: First of all, I said 5 to 10 basis points, you took it to 20 basis points.
Akshay Jain: No. So, I included the other income as well?
Arul Selvan: No, no, all put together only income, so 8.1% would be the quarter 4 number. So overall, we should end the year with around shade less than the 7.9% we are talking here. I expect it to hold next year to a large extent unless there is some drastic increase. I don't see any reduction coming throu gh beyond current levels. So I hope unless there are some macro issues cropping up, that should not be increased also. So, we should hold at the current level.
Akshay Jain: Understood. And on the AUM growth, while you have guided for a wide range of 20%, 25% and given the strong Q3 and your comments on continued strong January. So, should we expect the AUM to grow at the higher end of this range?
Arul Selvan: No. See, it is the same thing in the reverse way. When disbursement dropped in Q1, Q2, AUM didn't drop that far. So same way when in 1 or 2 quarters of disbursement peaking, AUM will also not react so fast. So still, we hold a 20% to 22% AUM growth for the current year. Yes, we will look at opportunities to improve, but I don't want to give any guidance beyond that.
Akshay Jain: Understood. And any guidance on the credit cost front also? Because for this year, you had mentioned around 1.6 percentage and 4Q is expected to be strong for Chola?
Arul Selvan: So, this is a third question. So, let's skip it.
Nischint Chawathe: Next question comes from the line of Aravind Ravichandran from Sundaram.

Aravind Ravichandran: So, my question is on SBPL business, where like net credit cost is moving up continuously for the past few quarters. So, do we see any risks to growth there in the near term into that business? And are we comfortable with this level of credit costs? That is my first question. And second question is on LAP business.
Should we consider then spreads and margins to hold largely despite rate cuts, which has come through because of the mix change which is happening continuously? And if I can ask one more question, in affordable housing segment, should we start to see again the disbursements growth picking up?
Ashish Potulwar : For SBPL, the credit cost for Q3 may look higher, but it has basically reached a peak. We don't see any more increase as far as credit cost is concerned. In fact, actually, if we go geographically, two of our zones have already started improving in December and January. It will reflect in Q4 end and in Q1, definitely, you'll see stabilization of that. And further to that, it will start going dow

n.
Ravindra Kundu: And also, we've mentioned that in the past that SBPL is entirely a non -SARFAESI book. So, the collection is through a traditional way of doing legal and also the follow -up on ground . So traditional way of doing legal means, that means it takes 2 to 3 years' time. It requires a cycle of resolution of the case which is there in the pipeline. So now we started getting resolution through

legal in some markets.
And in some markets, we are yet to get it. So that 's the reason Ashish is commenting that the NCLs are picking up now here. And from here, we can actually expect that NCL will go down. And also, in the case of SBPL, from time to time , we'll see that how we can actually do some ARC sale and reduce the Stage 3. That is also in the pipeline. Their PBT ROA is quite good at a very high level at 7.3%, and they will continue to deliver this. In the case of HL...
Suresh Kumar : In case of LAP, if we look at it last year to current year, there's a 20-basis point increase in the margin, but this is primarily because of the product mix. We have continued to expand our higher interest product. But equally also, we are expanding our geo to the Tier 3, Tier 4, which is also helping us in sustaining our yields. N ow this NIM will be about at the same range.
We will continue to hold it at the same levels. And that would be a slight increase in the -- if you look at the Q3 opex , it's about 1.8%, and the YTD opex is 1.7%. It will again be at the same range bound, 1.7% to 1.8%. I think there should not be any material impact on the overall ROA, if at all it would be 10 basis points maximum. Otherwise, it will be at the same range.
Prashanth Kumar \0: And for HL growth side, we have seen a good quarter, and we hope to see -- we have always maintained that the book growth -- AUM growth will be around 28% to 30%, and we see that coming for the next 2 years.
Nischint Chawathe: Next, we have Nidhesh Jain from Investec.
Nidhesh Jain Sir, my question is on growth and asset quality. So, if I look at segmental data in home loans, our GNP has been increasing, if I add the ARC transaction. In SBPL also, our GNP has been

increasing. There is slight increase in SME also. So, what gives us confidence in growing these segments? In the CSEL segment when the GNPAs were increasing, we have slowed down the growth. But in these segments, we are continuing to push growth. So, what is giving us confidence to continue to grow despite increasing GNPA?
Ravindra Kundu: So, we have seen that in the case of HL, LAP and SBPL, even in the SME, there are 2 type of customers who are getting into this Stage 3. One are they who can be resolved by the SARFAESI and one is non -SARFAESI. SARFAESI cases are getting resolved because in these property business, mortgage business when you have a property, you will get the money because they're appreciating asset. So, there is no point that you're going to lose money unless you have a problem in the property itself. So, we are confident that the underlying security is in place.
It's just a matter of time, either SARFAESI 9 months to 12 months and non-SARFAESI, it takes 2 to 3 years. So that's the reason we have done the deal in the case of non -SARFAESI in HL book . And we are seeing that even after doing all this thing in HL, the steady -state NCL is going to be 0.5% to 0.6% and the PBT ROA is going to be 4.5%. And similarly, in the case of LAP, they are commenting that they will continue to deliver 3.7% to 3.8%. An d in the case of SBPL, again, they are delivering 7% plus PBT ROA.
In the case of SME, as we mentioned that since the term loan book, which is actually, again, with the mortgage of the property of the customer, which takes time because here, the entire book is SARFAESI. But it is a corporate customer where the SARFAESI ta kes a little bi

t more
time because the customer contests for a longer period.
And that is the reason SARFAESI cycle in the SME, it takes 1.5 years. And we are seeing that some results have started coming in the month of December, which is going to continue in quarter 4. And quarter 4 onwards, you will see with a better result in the SME in terms of the Stage 3 reduction and NCL reduction.
Nischint Chawathe: Our next question comes from Sonal Gandhi of AMSEC.
Sonal Gandhi So my question was more on the PBT ROTA. So, for a long time, we've been guiding that we'll be closer to 3.5%. Obviously, we understand this issue with credit cost. But going ahead, maybe when we are also talking about consumer durable business, okay? So that's a high infra -heavy business, probably ROAs would n ot come until you reach a scale?
So how do you see opex and how do you see PBT ROTA for CSEL and overall business, say, for FY '27 and FY '28? And second one was on the impact of new labour code. So, are we done with the entire -- have we taken the entire impact in this quarter? Or is there anything to meaning for the Q4?
Arulselvan : Well, CSEL still is a very small percentage of the overall AUM, so around 7% of the overall AUM. And as we scale up, we will certainly make sure that it starts contributing at the same or a similar expectation levels of about 3% ROTA and progressively buil d thereon from there. So that should not be a change. The larger impact will be once we correct the Vehicle Finance

business and then the other businesses coming in, with their expected levels of ROTA. Those two will be the contributing factors to reach the 3.5 % pretax ROTA.
And with regard to the labour code, yes, we have provided for the gratuity fully for all the past period based on the actuarial value, which is but that's been completely covered. The rest will be only on a month -on-month basis changing. So, there may be a slight difference in the salary cost as we do some corrections with regard to the page definition per se, but I don't see that as a big game -changer.
Nischint Chawathe: We'll take the last question from the line of Abhijit from Motilal Oswal.
Abhijit: Ravi, sir, just 2 questions. One is, I mean, if you look at this financial years, FY '25, '26, right? I would say, I mean, difficult years from March '24 to now. I mean, we've discussed in the past, right, that infrastructure spending has actually been ver y slow. I think I heard on the call earlier today that GST cuts, and we're seeing very good momentum in Q3, expecting that to conti nue into Q4?
But if you look at the asset quality, right, I mean, from March '24 to now, right, I mean just one direction, things have kept deteriorating. Do you think this is just to do, I mean, with the weak macro that we are seeing and for a significant improvement because, obviously, we are in Q4, we would look at a better Q4. But then we, again, head into the seasonally weaker fir st half of the next fiscal year?
So, I mean, what do you think we really need, right, as an industry, at Chola for things to substantially start improving from here in terms of asset quality? And the other thing is, in terms of noninterest income, are there any initiatives that we are taking to improve the fee income or the noninterest side of things, noninterest income side? Those two questions.
Ravindra Kundu: Good morning, Abhijit. See, for the last 1.5 years, starting as you mentioned, 2024 immediately after the election or from the election year itself, that quarter itself, we started seeing that there is a problem in terms of vehicle finance, in terms of the NCLs are going up. And then it is couple with -- so in our business, we have 8 business lines.
Out of 8 business lines, we have only 2 business lines where the NCLs are high, one is Vehicle Finance, the CSEL. So, Vehicle Fi

nance is entirely due to the macro. And CSEL is because of
the partnership business has gone slightly higher. That is one reason. So, it is not related to macro, I'll say. It is because of the segment.
And also, in the case of CSEL traditional, which is unsecured, given the professional, personnel and the business loan, it is because of the type of process it is being adopted by the entire industry that at that point in time, the multiple fundings were happening for a customer. Number of loans being given to one customer where high, number of inquiries were high.
And that is the reason in that segment, the NCL went up, which is because the number of players suddenly went up and then the DSA, I think I can say the little advantage they have taken and

therefore, that segment got impacted. Otherwise, when that segment was done by a few, that problem was not there.
So, if you see CSEL and VF business where INR600 crores and INR300 crores put together INR900 crores NCL is coming in the quarter. I am expecting that, that number will start significantly going down because the capacity utilization in vehicle has improved significantly.
And as you mentioned that Stage 2 is coming down, that means collection efficiency h as improved. That is going to start showing up in the NCL also from the quarter 4.
Now coming to the future, the seasonality effect is going to be there. There has been 2 problems in vehicle, seasonality and cyclicity. So, I am expecting that the cyclicity problem is going to get resolved if the vehicle demand is continued to be there, from now onwards till next 3, 4 years, as we have seen that the cycles are actually 4 years up and 1 and 1.5 years down. So, Vehicle Finance has a good news if the cyclicity gets resolved.
Seasonality impact is going to be there. And that is the effort we need to put it on ground, which I think because during the cyclicity, we improved the collection, feet on the street, on ground more. Then after the cyclicity problems gets resolved, our co llection efficiency improved significantly. So, Vehicle Finance is going to be better, significantly better from quarter 1. If the cyclicity program is not their, seasonality is there.
Now coming to the CSEL, as I mentioned, the indication is that the numbers are looking better because the partnership book has already come down from INR3,000 crores to INR600 crores.

So, the partnership book NCL is completely getting eliminated from the next financial year. And traditional CSEL business, their NCL has also started coming down. So, both put together, there, NCL will look better as we mentioned that they can go down as low as 5%. So, both the sides, we are benefited in time to come.
Abhijit: And the last thing on the noninterest income side, are we taking any initiatives there to improve?
Ravindra Kundu: Non interest as such in our business is not much the fee income, what we do it, by doing the protecting the asset and the life of the customer . What we do in insurance is with the income is coming and then other income is coming from the additional finance charges and all in fee collected. So, what is going to happen in the time, when the collection improves -- I mean, this is very specific to Vehicle Finance.
Whenever collection improves, the other income goes up. And that is the reason the fee income or other income, whatever you say that it's going to go up in the quarter 4. And if that continued, as I mentioned, if the cyclicity is improved in quarter 1 onwards, and their collection is improving, stage 3 is coming down. During that period, for start period, for at least 1 year, you will see that the overall income will be high.
Nischint Chawathe: Thank you very much. This concludes the call. Thank you, participants for joining us today, and thanks a lot to the management for giving us an

opportunity to host the call.
Ravindra Kundu: Thank you. Nischint.

Call: May 2026

11 May, 2026
The Secretary
National Stock Exchange of India Limited
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Senapati Bapat Marg, Lower Parel,
Mumbai 400 013 The Secretary
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1st Floor, P.J. Towers
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NSE SCRIP CODE: CHOLAFIN EQ BSE SCRIP CODE: 511243

Dear Sir / Madam,

Sub.: Transcript of Earnings call for the quarter ended 31 March, 2026

Further to our letter dated 4 May, 2026, wherein we had informed you regarding the upload of the audio recording of the Earnings Call for the quarter ended 31 March, 2026, we enclose a copy of the Transcript of the Earnings Call, which is uploaded on the Company's website toda y in the following link:

https://www.cholamandalam.com/investors/call-transcript

We request you to take the above on record.
Thanking you,
Yours faithfully,
For Cholamandalam Investment and Finance Company Limited

P Sujatha
Company Secretary
Encl.: as above

"Cholamandalam Investment and Finance Company
Limited
Q4 FY '26 Earnings Conference Call"
May 04, 2026

M
ANAGEMENT : MR. VELLAYAN SUBBIAH – EXECUTIVE DIRECTOR –
CHOLAMANDALAM INVESTMENT AND FINANCE
COMPANY LIMITED
MR. RAVINDRA KUNDU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CHOLAMANDALAM
INVESTMENT AND FINANCE COMPANY LIMITED
MR. ARUL SELVAN – CHIEF FINANCIAL OFFICER –
CHOLAMANDALAM INVESTMENT AND FINANCE
COMPANY LIMITED

MODERATOR : MR. NISCHINT CHAWATHE – KOTAK SECURITIES

Nischint Chawathe: Good morning, everyone. Welcome to the interaction with management of Cholamandalam Investment and Finance Company Limited. Today, we discuss 4Q FY '26 Earnings and Management Outlook . The senior management is represented by Mr. Vellayan Subbiah, Executive Chairman; Mr. Ravindra Kundu, Managing Director and CEO; and Mr. Arul Selvan,

Chief Financial Officer. I would now like to hand over the call to Vellayan for hi s opening comments, after which we'll take the Q&As.
Vellayan Subbiah: Thank you, Nischint, for hosting the call, and good morning, everyone. I'm happy to take you through performance of Chola for Q4 FY '26. So first, we will go through the disbursal growt h for the quarter. Chola reported aggregate disbursements of INR 32,913 crores, which represents a 25% year -on-year growth for Q4, which resulted in AUM increasing to INR 2,42,630 crores.AUM growth remained healthy at 21% as at the end of the quarter, reflecting sustained momentum across the portfolio. Disbursements registered strong, broad- based growth across all major product segments during the quarter. Vehicle Finance business reported 26% year -on-year growth in Q4, driven by sustained demand across vehic le categories with A uto AUM increasing 18% year -on-year to INR 1,19,558 crores.
The MSME segment, which comprises of LAP, SME and SBPL, recorded 11% growth in Q4 disbursements supported by strong demand and robust branch-led distribution. MSME segment AUM grew 29% year -on-year. LAP AUM at INR 52,295 crores whic h is a 26% growth year -on-year.
SME AUM is at INR 9,338 crores, which is a 41% growth and SBPL AUM is at INR 3,537 crores, which is a 46% growth year -on-year. The Consumer segment delivered 45% year -on-year disbursement growth, driven by sustained momentum across product segments with the newly launched Gold Loan business disbursing INR 1,130 crores in Q4 FY'26.
Home loan disbursements saw mild moderation in Q4 due to procedural timing factors, including election -related administrative slowdowns, land-record digitization mismatches , and localized lien- marking delays in select markets, which temporarily extended verification and disbursal timelines .
Consumer segment AUM grew at 20% year -on-year, including 23% in Home Loans while CSEL AUM increased 4% despite the exit from partnership -led businesses.
In terms of profitability, our NIMs improved by 40 bps year -on-year in Q4 driven by a gradual reduction in the Company's cost of funds as interest r ates softened during the period.
Credit costs (before management overlay) declined by 20 bps year -on-year in Q4 across product segments, reflecting stable portfolio performance. In order to mitigate any negative impact on credit costs due to heightened global uncertainties, the company has provided a management overlay for INR 200 crores a s a precautionary buffer.
The overlay addresses potential second -order stresses arising from volatility in crude and refined fuel prices, risk of LPG supply shortfalls and supply-side pressures on sectors dependent on global shipping and commodity flows, while core asset quality indicators remain resilient.
Return on assets for Q4 FY '26 stood at 4.1% (before overlay) compared to 3.6% in Q4 FY '25 while return on equity for the quarter was 23%, underscoring improved profitability.

We hold a st rong liquidity position with a total liquid asset of INR 21,186 crores, which includes undrawn sanction lines. The ALM is comfortable with no negative cumulative mismatches across all -time buckets. Our Capital Adequacy position stood at 19.21% in March '26, with Tier 1 capital at 14.73%. Out of the total issuance of INR 2,000 crore s CCDs, CCD amounting to INR1,370 crores were converted in FY '26. The balance INR 630 crores of CCD is expected to be converted in the first ha lf of FY '27.
The Board of Directors of the company has recommended a final dividend of INR 0.70 per share, which is 35% on the equity shares of the company, subject to the approval of the members of the company at the ensuing Annual General Meeting. This is in addition to the

interim dividend
of INR1.30 per share (65%) for the financial year FY25 -‘26 declared by the company on 31st January 2026.
Finishing with that, I'll stop, and we'll be happy to take questions from audience.
Nischint Chawathe: Sure. We'll now start with the question -and-answer session. The first question comes from Kunal Shah of Citi.
Kunal Shah: Yes. So looking at this outlook, no doubt, we have created this overlay buffer. But if you can guide in terms of how we are looking at the trajectory getting into FY '27 and both with respect

to AUM growth as well as credit cost, if you can indicate in terms of how the outlook will be? And anything particularly on the Vehicle Finance side or any of these segments wherein we would have ti ghtened the credit filters or improve the screening out there, how we are incrementally looking at these segments, yes?
Ravindra Kundu: First, on the credit filter side, I would like to highlight that we have been continuously working to improve the Gini c oefficient of our underwriting tools across all divisions. This will help us further reduce credit costs. For this financial year, we continue to maintain our committed growth trajectory of 20% to 23%. We are also expecting our net credit cost to decline from 1.6% pre-overlay to around 1.5%. Consequently, our return on assets should improve, moving closer to a pre -tax ROA of 3.5%, as previously discussed.
Kunal Shah: Okay. Got it. So you mentioned like in terms of the credit filters, we have -- sorry, I didn't get that exactly.
Ravindra Kundu: We have been working on improving our underwriting tool, specifically the Gini coefficient, which helps us validate the accuracy of our credit decisions. This effort is being undertaken in collaboration with a ll the company's credit managers across divisions. This initiative has been in place for the past year and has already helped us improve asset quality across CSEL, CD, and the Vehicle Finance segments, particularly in the fourth quarter. We expect these im provements to continue through the current financial year as well.
Kunal Shah: Okay. And that should help the overall credit cost trajectory of 1.5 -odd percent?
Ravindra Kundu: Yes, it should help us to get that number.

Kunal Shah: Okay. And no need for any further overlay. This doesn't include any overlay buffer as such. We believe like INR 200-odd crores, which we have done, that is sufficient taking into consideration the current dynamics, which are there?
Arul Selvan:
Yes, this is more of a precautionar y measure, considering the global uncertainty and the potential for higher credit costs. As of now, however, there is no need for any additional overlay.
Nischint Chawathe: Raghav Garg of AMBIT, you go next.
Raghav Garg: Okay. Am I audible?
Nischint Chawat he: Yes.
Raghav Garg: Yes. Okay. So I just want to understand, see for April '26, these 2 key OEMs, Tata and Eicher have reported fairly good growth in their CV volumes. Now should that be taken as a proxy for how the on-ground sentiment is, amongst the CV operators that despite the war and despite the disruptions that have been there domestically, they are still going out there and buying trucks because they see the good demand for transportation? Or do you see some risk to CV sales momentum sustaining in the near term or even in the medium term? And that could be a risk to your growth guidance or estimate? That's my first question.
Ravindra Kundu:
Not only has the commercial vehicle segment shown strong performance, but the passenger vehicle segment has also reported good numbers in the month of April. We have had the opportunity to review our own performance as well, and our sales, credit, and collections have been very strong compared to April 2025. As of now, at the ground level, we have not observed any change in customer

behavior.

Raghav Garg: Understood. So what you're essentially saying is that despite all those disruptions and the narrative being that there is a lot of risk and I think rightfully so, you've also taken some management overlay. There is nothing on the ground at least in terms of data that wo uld suggest that things are deteriorating. Is that understanding, correct?
Ravindra Kundu: Absolutely. That is correct.
Raghav Garg: Okay. My second question is that for FY '26, can you give me the total recoveries cost? This same number in FY '25 was INR 441 crores, what was this number for the full year FY '26? And then I have a follow -up question on this.
Ravindra Kundu: So maybe we'll come back after seeing the number.

Raghav Garg: So, what I wanted to ask is that typically, what we've seen is that in ye ars when there is asset quality paying the recoveries, cost grow at a higher rate versus say, the overall business growth or the overall opex growth. I am assuming that it would have been the case this year also, but with the asset quality improving in FY '27, your recovery cost growth should be much lower or it may not increase at all. Could that be one of the levers to your opex ratio improvement next year? I just want to get your thoughts on this.

Ravindra Kundu: I believe you are referring to collection costs as a percentage of assets. Collection costs are part of our overall operating expenses, and if you look at the total operating expense ratio, it has largely remained stable. It stands at around 3.1% compared to 3.0% last year.

There has been no meaningful increase in operating expenses, despite the addition of the gold loan business and expansion in the consumer durable segment. This indicates that recovery costs have not increased. In fact, recoveries have improved. During the third and fo urth quarters, we saw better capacity utilization of the vehicles .

Additionally, we benefited from resolutions through the SARFAESI process. Taken together, these factors have led to an improvement in overall collection efficiency. Another important point, which we have been consistently highlighting, is the steady improvement in Stage 2 assets from the second quarter onwards. This reflects better repayment behavior across customers in the 0 –30, 31 –60, and 61 –90 DPD buckets during the year. As a result, Sta ge 2 levels have declined.

Finally, Stage 3 assets also showed improvement in the last quarter.

Raghav Garg: Understood. Do I have opportunity for one more question or...

Ravindra Kundu: Please, go ahead.

Raghav Garg: Okay. See, when I look at your total G old Loan AUM and then when I divide that by the total active customer base in the G old Loan segment, that comes out to be some INR 5 lakh, INR 6 lakh of exposure per customer. I just wanted to get some sense on what kind of ticket sizes you are doing in G old Loan segment? And what kind of yields are you charging to customers? I just want to get a comprehensive color on the kind of customer segment that you're targeting? And how are you positioning yourself versus the othe r gold loan NBFCs?

Ranjit Ramachandran : If you look at our portfolio, our average loan ticket size in Q4 has declined. When we started, the average ticket size was around INR 3 lakh, and it has now come down to approximately INR 2 lakh. This reflects a mor e granular acquisition strategy. In the gold loan segment, customers typically take more than one loan. As a result, total customer exposure can vary between INR 5 lakh and INR 6 lakh per customer. However, in terms of average ticket size per loan, it remains around INR 2 lakh.

Raghav Garg: Are you saying that even your customer would have around 1.5 to 2 loans? And for total, exposure would be INR4 lakhs to INR 5 lakhs?

Ranjit Ramachandran : Yes. Okay. So as I mentioned, we have always been maintaining, our yield which is very healthy as compared to our peers.

Ravindra Kundu: So, ticket size is INR 2 lakh now. It had started with INR 300,000, it has come down. And yield has gone up now to 15.

Ranjit Ramachandran : So the yield is healthy as compared to our competitors. So if you look at our strategy is to get as much granular as possible, get into more of the retail customers, and we have been successful in doing that over the last 9 months of operations.

Nischint Chawathe: Viral from IIFL, you go next.

Viral Shah: Congrats on a good set of numbers. I had 2 questions. Sir, one is on the CSEL piece. When I see our segmental numbers, I think we are now starting to see a genuine turnaround, I would say, on the asset quality as well as I think we are getting our g rowth over here. Can you just highlight what is now incrementally you are looking at this segment in terms of, say, the growth potential, number one.

And number two is, I see that the expense or the opex levels also have gone up in this quarter. Where are we investing in terms of distribution, which product segments? And what can be a steady state and ROA outlook for, say, FY '27 and '28 in this segment? And whether it will be to what degree and extent ROA -accretive? So that's my first question, s ir.

Ravindra Kundu: CSEL currently operates across two business segments. The first includes unsecured personal loans, business loans, and professional loans. The second includes consumer durables financing, mobile lending, and direct -to-customer financing through our in-house digital and fintech platform. These are the two core businesses within CSEL As you would have noticed, loan losses declined to 5.2% in Q4, and we expect this trend of improvement to continue going forward. As a result, with a Q4 ROA o f 2.3%, we believe that pretax ROA should comfortably cross 3% during the current financial year. This will be driven by further reductions in loan losses and an improvement in net interest

margins, particularly due to higher growth in the consumer durable s
segment.
In terms of growth, disbursement growth stood at 39% in Q4, and we expect this momentum to continue given the low base in Q1 and Q2. More importantly, asset growth has now begun to pick up and currently stands at around 4%. By the end of this financial year, we expect the combined CSEL portfolio—including unsecured PL, business and professional loans, as well as consumer durables, digital, and mobile lending— to reach approximately 20% asset growth by
Q4.
Operating expenses were higher in Q 4 primarily due to the payment of CGTMSE insurance. In the current financial year as well, this cost will be incurred but will be spread evenly across all quarters. As a result, the one-time impact seen in Q4 —around 6%— will not recur, and operating expense ratios are expected to normalize closer to 4.5%.

Overall, we expect improvements in both operating expenses and net credit costs, which should support an increase in ROA from around 1.6% in the previous year to 3% or higher going forward.
Viral Shah: Got it, sir. Very clear. And just as , I would say, extension to your response, you mentioned that you have paid premiums for the CGTMSE in this pool. So what percentage of our PL over here will be covered by this insurance?
Sucheth Bharathan: As of now, we hav e covered around 70 percentage of our assets. And we continue to improve that. Probably, we may go up to 80% to 82%. That is what our plan is, to cover the asset in unsecured business.
Viral Shah: Okay. And this will be around INR 10,000 crores, INR 12,000 crores asset, right, in the ex of CD business?
Sucheth Bharathan: It is only BL portfolio that we are going under CGTMSE, and it will be around INR3,000 c

rores
to INR3,500 crores.
Ravindra Kundu: Yes, as I mentioned earlier, this includes personal l oans, business loans, and professional loans on one side, and consumer durables, mobile lending, and D2C on the other. The business loan portfolio stands at around INR 5,000 crore, of which approximately 80%—about INR 3,500 crore —registered as part of CGTM SE last quarter .
Viral Shah: Got it. Sir, very clear. And sir, my -- the second question is with regards to on the asset quality front in April. You did highlight that you are not seeing anything, say, from a customer or the borrower behavior. If you can j ust throw some light in terms of how are your bounce rates
trending? And is this basically across the segments, vehicle finance and also the home loan, LAP? If you can just give some color over there, qualitative as well is okay.
Ravindra Kundu: The largest benefit is expected to come from the Vehicle Finance segment. I believe Balraj would be the right person to comment on this, based on what he has observed so far during the month, particularly in light of recent rate movements.
Balraj Menon : We have just closed the month of April, and I would like to highlight a couple of key points.
First, early defaults and non -starter accounts are significantly lower in April 2026 compared to April 2025. In fact, these levels are broadly in line with the Apri l–March trends seen in 2024 and 2025, and we have not observed any meaningful deterioration. Typically, we see some level of deterioration moving from March to April, but this year the trend has been more favorable.
Second, even at the first -cut level, our net credit loss numbers are lower than those recorded in April last year. Overall, the trends so far have been encouraging.
Nischint Chawathe: The next question comes from Abhijit from Motilal Oswal.
Abhijit: Thanks, Nischint. Sir, just on the ROA tree, l ast 2 years, I think, you will also acknowledge has been particularly tough, especially from the Vehicle Finance side. Balraj sir just mentioned that in April 2026, nonstarters have been much lower than what we saw in April of last 2 years.

So just trying to understand versus ROAs of 2.3%, 2.4% that you've seen in the last 2 years.
You'll remember when we had started these newer business lines, the whole idea was to get to better ROAs over a period of time. I acknowledge last 2 years on the NCL line has be en higher.
Now I mean, when you said that this year, FY '27, we should look at a credit cost of 1.5%. Just trying to understand which segments vehicle being one. CSEL, you'll remember last year, we were incurring higher credit cost on that book, which was originated through fintech
partnerships. So just trying to understand, I mean, what all levers will we have on the ROA tree,

which can lead to an ROA expansion this year or next year?
Arul Selvan:
This is Arul here. We expect NIMs to largely remain stable at around 8%. While the newer businesses will deliver higher yields, this benefit is likely to be offset, on a conservative basis, by a marginal increase in the cost of funds over the course of FY27. Taking these two factors together, we expect NIMs to hold at approximately the 8% level.
Operating expenses are expected to remain broadly stable in the range of 3.0% to 3.1%. The key improvement will come from net credit losses, driven by both the Vehicle Finance and CSEL segments, as you rightly pointe d out. This should result in an improvement of around 20 basis points.
Currently, our ROA stands at about 3.3%, after factoring in a management overlay of approximately 9 basis points. If we exclude this overlay, our underlying net credit loss is around 1.6%. Even with a modest improvement to 1.5%, we should comfortably achieve a pre -tax ROTA of around 3.5%.

Abhijit: And sir, while you are here, I just wanted to unders

tand, I mean, what will be the approach to ARCs in the coming -- basically trying to unde rstand this SBPL book that we have, that is not something that we can apply SARFAESI . So what will be the approach to ARCs in that business?
Arul Selvan:
Our focus will be to use ARCs in cases where we are unable to pursue recovery through SARFAESI. This would typically apply to loans with ticket sizes below ■20 lakh, whether from the home loan portfolio or SBPL. These broadly fall under two segments . SME and LAP — where ticket sizes tend to be larger. In such cases, we will predominantly rely on SARFAESI for recovery, and the use of ARCs is likely to be limited.
Abhijit: Got it. And last question is for Ravi sir. Just trying to understand within the vehicle financing book, various sub-segments, I mean, you mentioned earlier, April trends are looking good but are there any product sub -segments or geographies where you are seeing anything unusual or everything is as per expectations. And till now, we have not seen any impact of the war.
Ravindra Kundu:

Over the last three years, we have faced challenges stemmi ng from both geographical and product -specific factors. This is why we have consistently described the period as a down cycle for the vehicle segment. This downturn impacted vehicle sales across categories, including small -ticket loans such as Tata Ace veh icles, light commercial vehicles, and even heavy commercial vehicles. In effect, all segments were affected.
From Q4 onwards, however, we have started to see a meaningful improvement. Even in the month of April, vehicle demand has continued to hold up. As Balraj mentioned earlier, early delinquencies and non-starter trends across all product segments have shown improvement, indicating better portfolio performance.
We have also maintained that we expect to gain some market share in Vehicle Finance as conditions improve, and this is now playing out as anticipated. Last year, at this time, Chola's growth was primarily driven by three engines —LAP, SBPL, and Home Loans. Today, all eight business engines are contributing to growth.
This gives us a higher le vel of comfort, as we are now well diversified. Within Vehicle Finance itself, we are diversified across segments, and at the Chola level, we are diversified geographically as well. This diversification positions us well to manage and absorb the uncertaint ies that exist in the market.
Nischint Chawathe: Next question comes from Deep from Bandhan.
Deep: Sir, one quick thing. We are at around 6.94x gearing and guiding a growth of around 20% to 23%. So any sense, sir or clarity on when will we raise some capit al if needed? And I mean how -- I mean not on the quantum, but any timelines for those because I think we have -- I mean, 19.2% is our capital adequacy ratio. So how much of this will be -- I mean will we consume some amount of capital for growth this year as well or our internal accruals will be sufficient? Any clarity, sir, on this part?
And sir, one follow -up on this is that any internal policy or something that we have in mind, I understand that we have been reducing gearing from 7.1x -- 7.17x last qua rter to 6.94x currently.
So sir, any internal policy or any guidance that you would like to give for the gearing ratio?
Arul Selvan: We closely monitor our capital adequacy ratio and have clearly articulated our guidance in this regard. If our Tier 1 ratio were to approach 13%, we would certainly begin evaluating equity-raising options. However, in a scenario where we are delivering a pre-tax ROTA of around 3.5% and growing at a pace of less than 23% to 25%, we believe we should be largely

self-suffici ent in meeting our capital requirements through internal accruals. This has consistently been our stated approach to capital planning.
That said, if attractive growth

opportunities arose, we would not hesitate to consider raising additional capital to support and strengthen growth. Any such decision would be taken in consultation with our promoters and senior leadership, based on a careful assessment of prevailing market conditions and growth prospects.

Overall, our capital deployment and fund-raising approach will continue to remain aligned with the policy framework I have outlined earlier.
Deep: Okay. Sir, and one more question. I understand we are AA+ positive from ICRA and AA+ as stable from all other rating agencies. And I mean, sir, any initial talks, what they have been saying to -- I mean to take Chola to a different level from AA+? So any steps that we are following there or I mean, in such scenarios, I mean, anything that you would like to highlight on that part?
Arul Selvan: We are in ongoing discu ssions with them and will continue to evaluate the situation. As you know, there is no fixed formula whereby achieving certain metrics automatically results in an upgrade. Credit ratings are assessed using both qualitative and quantitative factors. Many of our peers have achieved AAA ratings by leveraging explicit parental support. However, that is not applicable in our case, as there is no direct dependence on any parent entity for Chola's funding requirements.
Deep: Sure, sir. I understand. I mean the positive trigger is also a qualitative one.
Nischint Chawathe: Next is Abhishek from HSBC.
Abhishek: So just a few questions. First, on vehicle loans this year, what is the disbursement and AUM growth that you're looking at?
Ravindra Kundu:
In Vehicl e Finance, we expect the current momentum seen in Q4 to continue. Based on this, we are guiding towards disbursement growth of around 15% to 20% and asset growth of approximately 18%.
Abhishek: Okay. And considering that there might be some disruptions, even then you're confident that you can do this level of growth in vehicles this year?
Ravindra Kundu: Yes. That is what Balraj is committing.
Abhishek: Got it. Right. The other question, the Fintech book, how much of it is left to run down now?
Arul Selvan: The amount is expected to be in the range of INR 300 to INR 400 crore. However, this will have a relatively long tail, as it will be spread across the entire year, given that these are exposures outstanding for more than one year.
Abhishek: Okay. Yes, but it's quite negligible that way. Okay. The third thing is, in the overlay provisions that you have made, have you changed any PD -LGD assumptions? And does the run rate credit cost change or this is just a onetime activity and you go back to the run rate cr edit cost?
Arul Selvan: No, we have not made any changes to the PD -LGD assumptions. If we were to change the PD-LGD, there would be no need for an overlay. The overlay has been determined based on our past experience during similar situations, such as the COVID period and the phase of elevated diesel prices, and how delinquencies evolved during those times. Using a similar framework, we

assessed the potential impact and arrived at the appropriate overlay. Therefore, there has been no change to the underlying PD -LGD assumptions.
Abhishek: Got it. Yes, because some other NBFCs are having to gain some of these core assu mptions. So nothing like that, right? The ECL model remains…
Arul Selvan: Abhishek, the PD -LGD is derived from historical data and past experience. We cannot revise past data, as it is the historical performance that determines the PD -LGD estimates. There are essentially two ways to reflect additional risk —either through changes in macro assumptions or by applying a management overlay. In this case, the available macro inputs were actually pointing to stronge

r GDP growth and more favorable forecasts, as these assumptions were finalized prior to February, before the subsequent geopolitical developments. The IMF macro
data that we rely on was also published before those events.

Therefore, to appropriately capture the impact of developments tha t occurred post -February, we chose to factor them in through a management overlay rather than altering the underlying PD-LGD assumptions.
Abhishek: Got it. And CGTMSE, the cost for this quarter would be roughly around INR40 crores?
Arul Selvan: Yes.
Arul S elvan : INR38 crores.
Abhishek: Perfect. Just one last quick question on HL yields. Now that inter -quarter movement is because of assignment and up- fronting of income or is there something else?
Arul Selvan: Assignment income is not credited to the respecti ve business portfolios; it is disclosed separately. Also, we have not assigned any part of the home loan book. The assignments relate only to certain other portions of the portfolio.
Abhishek: Arul, this 50 -bps jump...
Arul Selvan: This primarily arises fr om ARC accounting, where the ARC receipts are recognized as income, while the corresponding net credit losses are higher. When these two effects are netted, the overall ROTA remains largely unchanged. However, it does support the bottom line.
Ravindra Kund u: Page number 72 footnote is there. 0.39% is the NIM gone up because of that.
Nischint Chawathe: Piran from CLSA, you go next.
Piran: Congratulations team on the very strong set of numbers. Just firstly, what would it take for home loan disbursements to pick up? It's been in this INR1,800 crores, INR2,000 crores range for now 7, 8 quarters.

Prashant : The key point is that, as of now, we are maintaining a steady book growth rate of around 23%. We expect Q1 to be slightly better than this level. Last year, in Q3 and Q4, we saw a pickup in incremental disbursements, and in Q3 we crossed INR 2,000 crore as well.
For the current year, we expect disbursement growth in the range of 12% to 15%, while maintaining steady AUM growth of around 25% or higher.
Piran: But sir, why has it been lagging? Like, what will change next year for growth to pick up to 15%, if I ask it that way?
Prashant : Four years back , our presence was largely concentrated in the southern region. Over the last three years, however, our scal e-up has led to a pan-India footprint. The branches we added during this expansion phase have now started contributing meaningfully, and as a result, the proportion of business coming from the South has been steadily declining.
At the same time, we are seeing strong traction in other regions across India. Incremental business is increasingly coming from these locations, supported by improvements in productivity and the maturation of newly opened branches. Looking ahead, we expect the coming year to be a pha se of meaningful scale-up in disbursements, along with improved operational efficiency. This should enable us to sustain a ROTA of 4.2% or higher.
Ravindra Kundu: As mentioned in the opening note, and as the Chairman highlighted earlier, there has been som e delay in completing documentation due to the ongoing elections in two southern states. This has temporarily impacted disbursements in both LAP and Home Loans.
However, this has not affected our overall asset growth. We remain confident of achieving asset growth of 25% or higher in the Home Loan and LAP businesses. In addition, our other mortgage segments —SBPL and SME —are expected to grow at a rate exceeding 30%.
Taken together, growth in the mortgage businesses will continue to be the primary driver of overall company growth. This is further supported by newer businesses such as CSEL, consumer durables, and gold loans. Therefore, we are comfortable reiterating our guidance of maintaining overall company grow

th in the range of 20% to 23%.
Piran: Understood. Sir, secondly, on Vehicle Finance, I just wanted to understand, let's say, fuel prices go up 10% tomorrow. How much do you need to increase freight rates to offset that and maintain steady profitability per truck?
Ravindra Kundu: There are essentially two types of customers to consider, t o begin with, HCVs account for only about 5% to 7% of our overall Vehicle Finance portfolio, which is a relatively small proportion. The bulk of our business is in small commercial vehicles, light commercial vehicles, passenger cars, and construction equipment, where fuel price fluctuations have a much lower impact. The sensitivity to diesel prices is largely limited to the heavy commercial vehicle segment.
Even within HCVs, the impact is primarily on long-hau l transporters who consume significantly more diesel. For example, a long -haul operator may run around 6,000 kilometers over 20 days,

with an average fuel efficiency of about 3 km per litre. This translates into diesel consumption of roughly 2,000 litres. If diesel prices increase by ■20 per litre—around a 20% to 25% rise —it results in an additional fuel cost of about ■50,000.
Typically, a long-haul transporter's net income after all operating expenses is around ■1 lakh. Even with this increase in fuel cost s, they are still left with about ■50,000. While this certainly affects their disposable income and standard of living, it does not materially impair their ability to service EMIs or meet repayment obligations.
It is also important to note that long -haul t ransporters are usually large fleet operators. Our exposure, however, is predominantly to small road transport operators who operate within a city or within a state. For these operators, passing on increased fuel costs through freight rates is relatively e asier.
In contrast, large fleet operators working under fixed-rate contracts or with low road -load providers may find it harder to pass on fuel cost increases immediately.
Overall, given that our exposure to heavy commercial vehicles is limited and skewed towards small road transport operators, the impact of higher diesel prices on our portfolio is not expected to be significant. The more critical factor for us is demand —if freight demand remains healthy and loads are available, operators are general ly able to pass on cost increases, mitigating the impact on credit performance.
Piran: But one fundamental question, why will fuel price not impact LCV operators? Is fuel cost a smaller proportion of the revenue than for heavy...
Ravindra Kundu: They do not operate over long distances like 6,000 kilometers. Their operations are limited to shorter leads.
In addition, they are market -load operators who source loads from the open market and are able to pass through fuel cost increases relatively quickly throug h freight rates.
Arul Selvan: Daily pricing, it's like a daily pricing.
Ravindra Kundu: Pricing in this segment is daily . It is not fixed or predetermined, and operators adjust freight rates dynamically rather than having to work within a fixed pricing str ucture.
Piran: Okay. Fair. Just secondly, and this is probably very qualitative, but which of the end segments are more price sensitive or price elastic as in, for example, if freight rates go up 20% tomorrow, where will we see a drop in demand because of the freight rate rise? So for example, if I'm shipping iPhones and my -- and the freight rates go up 20%, there's obviously not going to be a drop in demand because the freight cost is a miniscule proportion of the iPhone cost. But there will be many other sectors where this would lead to some sort of elasticity of demand. So if you could just maybe touch upon this qualitatively, that will be useful?
Ravindra Kundu: What you are saying is that freight rates increase o

nly when demand is strong. If demand is weak, freight rates cannot go up. That is the first and most important point —only when loads
are available can transporters command higher freight rates.

The second point is that transportation costs themselves do not materially impact demand. Any increase in freight is essentially an inflationary impact rather than a demand -destroying factor.
Vellayan Subbiah: I think Piran's question relates to the end -use segments. Your sector analyst colleagues would be best placed to address this, as the key da ta point required is logistics cost as a percentage of the overall revenue or cost structure of the product.
We know, for example, that in certain heavy infrastructure sectors, logistics costs can account for as much as 22% to 24% of the total cost structure. In such sectors, the impact is obviously more pronounced. Your analyst colleagues should be able to provide a detailed breakdown, as this analysis —logistics cost as a percentage of total sectoral cost —is fairly readily available.
Broadly speaking, it i s well understood that heavier infrastructure -oriented sectors tend to have higher logistics costs as a proportion of their overall cost of revenue.
Nischint Chawathe: Yes, we have a large participant list for questions. So, my suggestion is just to keep i t brief and maybe 1 or 2 questions. Shubhranshu from PhilipCapital you go next.
Shubhranshu: The first one is the growth number that you gave, that's on the disbursement. So, if you can split this number into a business -wise, I think you've already given f or Vehicle Finance. For rest of the businesses, if you can split this growth for '27, what kind of growth we can look at for each of the businesses? Second is how many people do we deploy in collections? And again, we can split that business -wise?
Arul Sel van: Shubhranshu, I can't give you business data. These are not in the public domain. We had given a lot of data.

Shubhranshu: At least the total number of people in collection , Sir?
Arul Selvan: The number of people we can give you. That is around 30,000 we have now on collections. That is there. But independently, each business -wise is very difficult to share ...
Shubhranshu: That's fair, sir. I'll take it offline. The first part of the question, sir, the growth numbers.
Arul Selvan: On growth, we have already provided AUM guidance. As discussed earlier, we are targeting overall AUM growth in the range of 20% to 23%.
At a segment level, Vehicle Finance is expected to grow at around 18%, while LAP and Home Loans are expected to see growth in the range of 25% to 30%. The remaining businesses, which are relatively newer, are expected to grow at a higher rate. However, when combined, the overall growth at the company level is expected to normalize to the 20% to 23% range that I mentioned earlier.
Shubhranshu: Right, sir. And if I can just squeeze in one last question, sir. If I look at the LAP PBT as a percentage of total PBT, sir, it's roughly at around 30%, 31%, which is quite high versus the rest of the previous 5, 6 years, sir. Earlier, it used to clock anywhere between 19% to 22%, and this

is a huge spike. So, any reason it is here or we are likely to see this come off? If you can elaborate on that, it will be great, sir.
Arul Selvan: They have been growing their book at a healthy pace, and costs have also remained low. This is encouraging, and we are quite pleased with the performance. We would like to continue on this trajectory going forward.
Shubhranshu: It will stay at around 30%?
Arul Selvan: Yes.
Nischint Chawathe: Nidhesh from Investec, you go next.
Nidhesh: Sir, my question is on branch addition. What are the plans to add branches in vehicle, home equity an

d home loans in FY '27?
Prashant : The key point is that we already have the Vehicle Finance branch infrastructure in place. For us, this is primarily an extension through additional manpower. We are planning to open around 60 new branches in Q1 and another 40 branches in Q2, taking the total to approximately 100 Home Loan branches in the next financial year.
Arulselvan : These will be shared branches of Vehicle Finance. Unique branches would be the gold loan branches, which should be in the range of around 300 plus.
Suresh : Will always be part of the VF...
Arul Selvan: All the other businesses would mostly be in the Vehicl e Finance branches. Vehicle finance branch by itself would go up by around 100...
Suresh : Basically, for the other divisions. It's deployment of manpower in the branches, which will create the new branch.
Vellayan Subbiah: 100 in LAP?
Nidhesh : 100 in VF and then probably 300 in Gold , that will be the branch addition?
Arul Selvan: These 100 branches will be within the Vehicle Finance network, where other businesses will also begin to participate. As Prashant and Suresh mentioned earlier, these teams will start operating out of existing Vehicle Finance branches where they are not currently present, contributing to incremental growth by leveraging the same branch infrastructure.
Suresh : The count would be 100 in HL and 100 in LAP.
Arul Selvan: 100 in HL Yes. So those add up all the numbers to arrive at the total number of branches for Chola. That's what I was trying to say.
Nischint : Sorry, just a clarification, Gold branches addition is 300. And what is the current base?

Ravindra Kundu: Gold loan is adding 360 more. Today we are at 119 . 480 HL will increase another 100, LAP will add 100. Similarly, CSEL and CD are also likely to add 100 branches. SME is going to go move up.
Nischint Chawathe: And Gold tends to be exclusive, right? I mean there is no sharing of branches.
Arul Selvan: Gold will be exclusive, rest of them will co -located.
Nischint Chawathe: The next question comes from Shreepal of Equirus.
Shreepal: Congrats on a good quarter. My question was on Vehicle Finance front. So within that, HCV has seen a very strong growth this quarter. Are we seeing similar trends in April as well? And

how is the competition from banks in this particular segment, especially on the newer side?
Balraj Menon : As of April, we have recorded growth acros s all segments. We have seen growth in passenger vehicles, two -wheelers, heavy commercial vehicles, and light commercial vehicles. Across all product categories, we have also been able to increase our market share.
Shreepal: Okay. And on the competition fr om bank, if you could give some color there?
Ravindra Kundu: As of now, we have not seen any significant change. The situation remains at a similar level to where it was earlier.
Shreepal Doshi: Okay. Got it. And sir, is that a trend in the newer segment a s well? Because I mean, PSU banks who were hurt, they've become very aggressive in that particular segment. So, we are not seeing any thing for us?
Ravindra Kundu: They are into Passengers …
Balraj Menon : We have not observed any significant change in competitive behavior over the past four to five months. Even in April, there has been no noticeable shift.
Nischint Chawathe: So apparently, as per CMI data, freight rates have already gone up in April versus March? And apparently, some of the data suggests 10% month-on -month growth. So, is this something which has to do with demand? Or is it something in anticipation of fuel prices?
Ravindra Kundu: As of now, diesel prices are at same level.
Nischint Chawathe: Demand has been strong in April. Yes. Sorry, I'm not sure if you're audible. You're saying demand is strong in April.
Ravindra Kundu: Yes. Demand has been strong in April.

The prices have not gone up. So, fuel prices cannot be the reason for increasing the freight.
Nischint Chawathe: Got it. Yes. So, this was the last question. We don't have any further participants in the queue. Anybody who wants to ask a question can raise their hand. So, I think, yes, that's it. We are done.

Thank you very much manageme nt for giving us an opportunity to host the call. Okay. We have a question from Harshit. Can we take that? Harshit, you can ask a question.
Harshit: Sir, the question was on the cost growth itself. So, when we look at FY '26, our employee cost was around 2 7% Y -o-Y. But going forward, obviously, we want to invest in gold loan and we want to invest in newer businesses. But how should we look at the overall cost growth versus the AUM growth? And yes, I think on a net basis, should we start tracking AUM growth or we should start getting some operating leverage out there?
Arul Selvan: We believe it will take another year or so before we start seeing meaningful operating leverage, as we are currently adding new branches across most of the businesses we discussed earlier. As a result, we expect operating expenses to remain around 3% of average assets on an overall basis. There may be some quarter -to-quarter fluctuations, but broadly, this is the level at which we expect to operate for now. At this stage, we would not want to factor in operating leverage beyond this assumption.
Harshit: Got it. The idea was to just check because given -- in gold loan assumption was that typically the breakeven periods are shorter compared to non -gold loan business.
Arul Selvan : There is a significant capital outlay involved, as these are exclusive branches and require new hiring. Unlike Vehicle Finance, we cannot rely on fresh or entry-level hires; we need experienced personnel, particularly from businesses such as gold loans.
Additionally, there are parallel initiatives on the IT front, including investments in AI -driven capabilities, which are also adding to costs. Given all of this, we believe it would be prudent not to factor in too many cost benefits or efficiencies at this stage, ahead of where we currently stand.
Nischint Chawathe: We will take the last question from Bunty Chawla.
Bunty Chawla: Yes. So, as we have seen new business part or CSEL, which we were struggling with respect to asset quality and all are doing good now. We are confident on that. Vehicle financing was some bit of a pain in terms of asset quality. That is now out. And growth, we are very much confident in vehicle financing. And already, we -- in terms of West Asia crisis, if you are seeing, you are saying already, we have an overlay of INR200 crores on the credit cost per se.
So, then we are still guiding for credit cost as a whole from 1.6% to 1.4%. If we go with the history, we have been in the range of 1% to 1.4%. So, what still -- getting us to still give a credit cost guidance of just 1.5%. We can easily touch 1.4% with respect to history. So, what is that creating us back? Or are we being conservative in that sense? If you can share some bit of a thought process on that?
Ravindra Kundu: For this year, our credit cost guidance is 1.5%. If we achieve this level, then next year the expectation would naturally be to improve further, say to 1.4%. In that sense, credit cost improvement is a continuous journey year after year. We do not want to ove r-promise or set

aggressive targets upfront; let us first see how much improvement we can deliver this year, and based on that performance, we will aim to improve further in subsequent years.
It is also important to recognize that some of our high- yield businesses—such as CSEL, consumer durables, digital, and mobile lending—are structurally design

ed with higher net credit
costs. As these segments grow, the associated credit costs will also reflect that design.
At the same time, our mortgage businesses operate with much lower credit costs, while Vehicle Finance sits somewhere in between. Therefore, we need to view credit costs at a consolidated level, considering the mix across all three segments, to arrive at a normalized or sustainable credit cost for the c ompany.
Historically, this has been in the range of 1% to 1.2% but redefining a steady -state level will take time. Once all eight businesses are fully scaled and stabilized —over the next one to two years —we will be in a much better position to clearly defi ne our long-term ROA and net credit loss levels.
For now, we are comfortable holding our guidance at 1.5% for the current financial year, while continuing to work toward further improvement.
Nischint Chawathe: Perfect. That was the last question. Thank you very much for joining us. Thank you, management, for giving us an opportunity to host the call. Thank you.